

2018

INTEGRATED ANNUAL REPORT

& FINANCIAL STATEMENTS



**BUILDING
PROSPERITY
TOGETHER**



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can be found
elsewhere in
this report



MORE INFORMATION

Can be found
Online at
www.nicgroup.com



Our Commitment to Integrated Reporting

This integrated report aims to provide a clear, detailed and comprehensive view of how we create value for our stakeholders. This report also highlights our strategies, opportunities and challenges in realizing sustainable value for the future.

We are committed to the principals of integrated reporting as it endeavors to create value in the long term. The purpose of integrated report is to make corporate reporting more transparent and meaningful for our stakeholders.

About this Report

This report is a summary of our strategy, business model, products and services and the details of our value creation to our various stakeholders to ensure continued and sustainable success of our business.

Who we are summarizes the Group's history, operations, leadership and performance.

Our Business provides a concise overview of the Group and the connectivity and interdependencies between our stakeholders. Each of the following sections focuses on a specific element of value creation as described below

- **Our Value Creation Model** draws on various capitals as inputs and, through the business activities, converts them to outputs.
- **Our strategy** highlights all objectives set for the new strategic cycle to be a yardstick upon which we measure the success of our promise of building prosperity together.
- **Material Themes** discloses information about matters that substantively affect the organization's ability to create value over the short, medium and long term
- **Our Stakeholders** provides insight into the nature and quality of the organization's relationships with its key stakeholders, including how and to what extent the organization understands, takes into account and responds to their legitimate needs and interests.

Our Performance outlines the utilization of capital acquired from society and our environment in order to optimize value-creation, while maintaining the transparency, conciseness and connectivity of the information presented.

Group Risk Management highlights how the organization monitors risks that may hamper the achievement of its strategic objectives.

Corporate Governance describes the delivery and protection of sustainable value using strategic direction provided by the Board and the maintenance of a strong governance culture.

Financial Statements contains comprehensive information on business carried out during the period of January 1 to December 31, 2018 ("2018") and from January 1 to December 31, 2017 ("2017"). Information on the main entities that are subject to the influence and significant control of NIC Group PLC is also presented.

The financials statements are presented in accordance with the International Financial Reporting Standards (IFRS) applicable to our operations and businesses. Sector information, economic forecasts and performance indicators are derived from the business and their main sources are highlighted within this report

Scope of the report

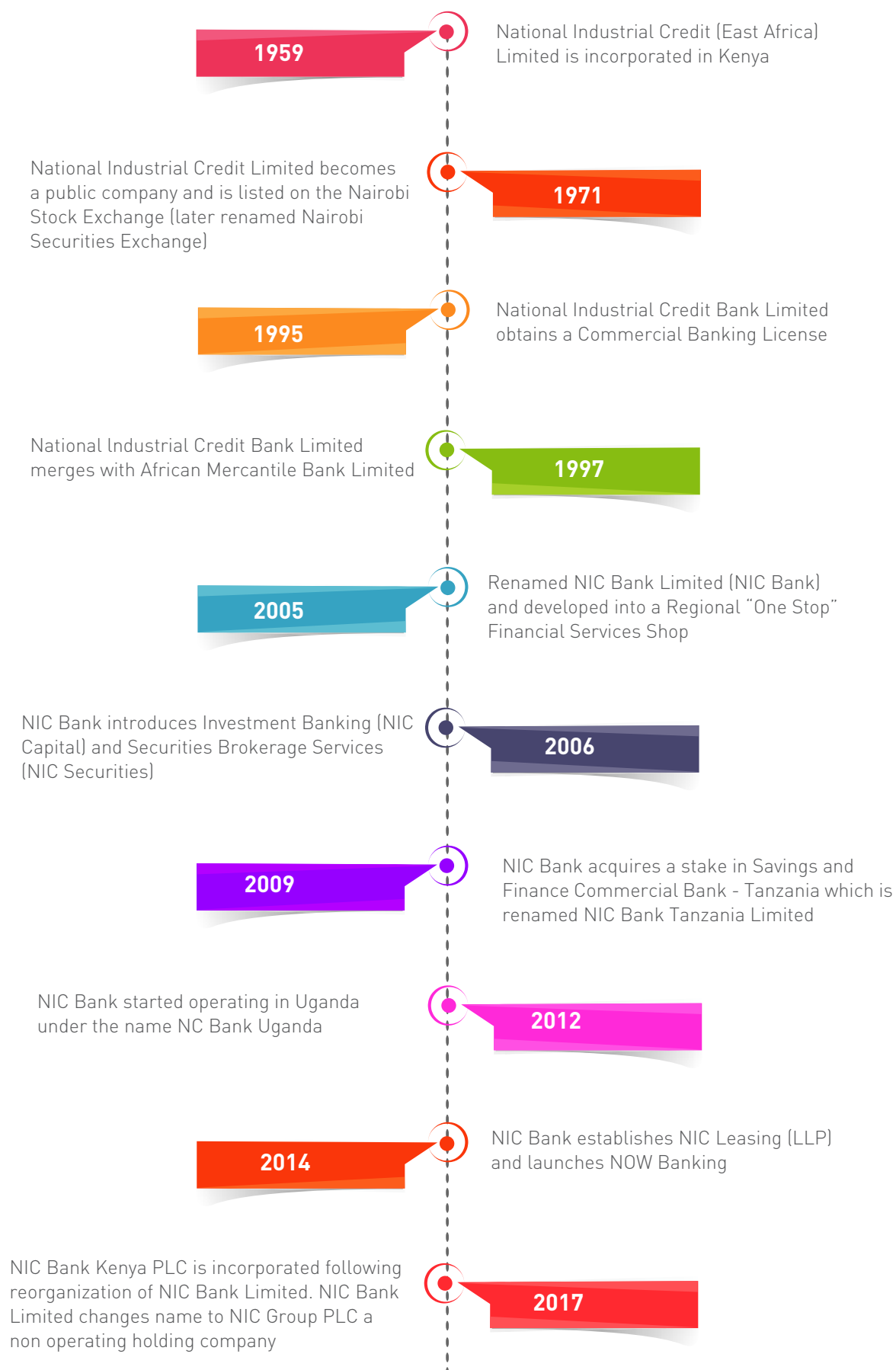
Our 2018 Annual Report has been presented as an Integrated Report with the aim of articulating how NIC Group PLC, as an organization has effectively managed its business to deliver consistent value to its stakeholders.

The information provided covers all material matters relating to our business strategy, governance, risk and areas of critical importance to our stakeholders. It also contains comprehensive information of our financial performance. The structure of the report has been further developed as part of our continuous focus on improving communication to our stakeholders.

A description of our material topics is provided under Material themes.

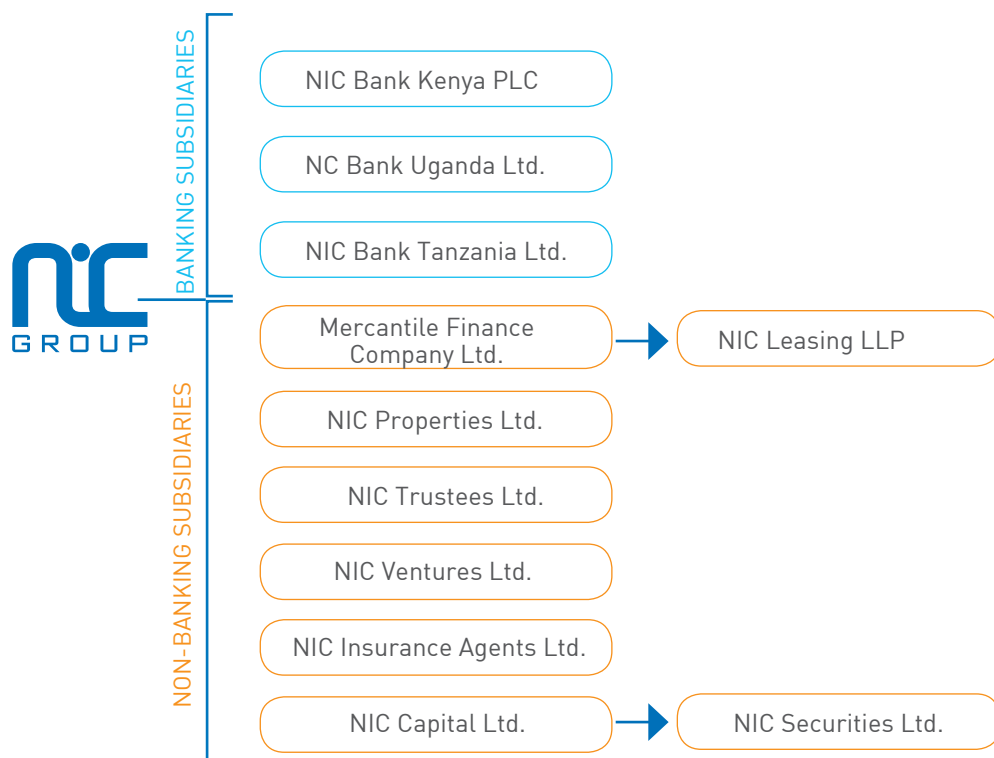


OUR HISTORY



ABOUT US

OUR STRUCTURE



VISION

Building Prosperity Together

OUR PRODUCT PORTFOLIO

Corporate Banking Solutions

- Corporate Loans
- Working Capital
- Trade Finance Products
- Syndications
- Asset Finance

Retail Banking Solutions

- Personal banking
- Platinum banking
- Mortgages
- Credit/Debit cards
- SME banking
- Asset finance

Other Financial Services

- Investment banking
- Stock brokerage
- Bancassurance
- Leasing
- Treasury and FX

Channels

- Branches
- ATMs
- Online banking
- Mobile banking
- Agency banking

VALUES



INDUSTRY ACCOLADES AND AWARDS

FiRe Awards;

Winner Corporate Governance Category

Champions of Governance (COG) Award;

Overall Winner

Champions of Governance (COG) Award;

Winner Finance & Investment Category

Banker Africa East Africa Awards;

Technology and Innovation Award

CIO 100 Awards;

Most Innovative Bank East Africa

KRA Distinguished Taxpayers' Awards;

Best Large Taxpayer Corporation Tax Yield Category

Think Business Awards;

1st Runner Up - Best Bank in Asset Finance







We innovate to deliver value

My journey with NIC has been fantastic. Our commercial vehicles have been purchased through NIC asset financing. All I can say is; from the process of applying for the asset finance facility, to the stage of getting the vehicles and paying off the loan, the entire experience has been extraordinary.

NIC has enabled us grow beyond the county.

ASSET FINANCE CUSTOMER

GROUP KEY PERFORMANCE INDICATORS

Another year of good progress

Operating income

Shs 16.1billion

Interest income

Shs 21.0billion

Profit before tax

Shs 5.8billion

Profit after tax

Shs 4.2billion

Customer deposits

Shs 145billion

Total equity

Shs 35.8billion

Non-funded income

23.7% of our Revenues

EPS of **Shs 6.06** and

DPS of **Shs 1.25**

Total assets

Shs 208billion

Cost to income ratio

43%

Liquidity ratio

48%

(20% minimum regulatory requirement)

Core capital to total risk weighted assets

19%

(10.5% minimum regulatory requirement)

Core capital to total deposits ratio

22%

(8% minimum regulatory requirement)

Total capital to total risk weighted assets

20%

(14.5 % minimum regulatory requirement)



OUR VALUE CREATION BUSINESS MODEL

INPUT

Financial Capital

- Total Assets: Shs. 208.4 billion
- Total Equity: Shs. 35.8 billion
- Borrowings: Shs. 14.9 billion
- Cash and Cash Equivalents: Shs. 11.9 billion

Human Capital

- 1,345 employees (70:30;Permanent:Contractual)
- Induction and training of new employees
- Leadership program implementation
- E-learning platform
- Job rotation and short term assignments
- Wellness programmes
- Internship programmes
- Reward & recognition programmes
- Work-based mentorship

Manufactured Capital

- 9 new branches; 53 branches in total
- USD 1 million investment in
 - 24 cash and cheque deposit machines
 - Cash recyclers
 - Video Teller Machines

Intellectual Capital

- Core banking system upgrade
- Online Banking upgrade
- Adoption of E-PIN for debit & credit cards in place of paper based card pins
- Implementation of paperless account opening & loan originations

Social Relationship Capital

- Innovative solutions to deliver simple, fast and contextual banking to customers
- Implemented Customer Relationship Management system to record complaints
- Implementation of signature programs under the 3P Citizenship Strategy
- Kes 23million donated towards philanthropic activities (donations & scholarships)
- Kes 3million donated toward marketing sponsorship (athletics and sports events, conferences, tradeshow, etc)

OUR FUNDAMENTALS

Leadership
Effective controls
Improving the Customer Experience
Our culture

STAKEHOLDER

Shareholders/Investors
Partners/Suppliers
Customers
Employees
Government/Regulators

BUILDING PROSPERITY TOGETHER

OUR BUSINESS

Corporate Banking
Retail Banking
SME Banking
Subsidiaries

OUR VALUES

Passion
Integrity
Professionalism
Responsiveness
Innovation

OUTPUT

- 151 employees promoted
- 166 new employees hired
- 27 out of 40 interns absorbed into mainstream banking
- Regrettable turnover 4.28% (Benchmark 10%)
- 192 employees recognized under the Rewards & Recognition Program
- Key Customer Excellence Metrics
 - Customer Satisfaction Score – 79.3%
 - Net Promoter Score – 35
 - Net Easy Score – 57%
 - Average Turn Around Time – 1.9 days
- Reforestation Agenda #Change the Story
 - 6.1 million trees planted
 - PR Value Kes 250million
- 136 Secondary School students sponsored
- 460 Secondary School students mentored
- Innovation Challenge
 - 300 High Schools Student Entrepreneurship Competition
 - National Innovation Challenge: 42 ideas submitted by 3 universities, 3 Hubs and 22 Youth Groups

OUTCOME

Strengths

- Asset Finance product franchise
- Lean platform and strict cost control
- Secure capital standing with high capital adequacy ratio
- increased customer satisfaction scores
- Robust and comprehensive product portfolio
- Strong and capable leadership team

Opportunities

- Uptake in regional integration and trade
- Higher financial inclusion
- Uptake in adoption of technology and innovation
- Large scale infrastructure and development projects by regional governments
- Expanding middle class with an appetite for differentiated products

Threats

- Challenging credit environment
- Reduced confidence in the banking sector due to lack of trust
- Credit extension in the private sector is at its lowest
- Shrinking margins
- Restructurings and redundancies
- Increased regulatory scrutiny
- Slowing economy

OUR STRATEGY

At the beginning of 2018, the Group rolled out a new strategy, named, “#3T: Trailblazing to Tier 1 through Transactional Banking.” This strategy is a natural progression from the previous one and seeks to capitalize on the gains made while scaling up to the next level. The primary ambition of this strategy is to attain Tier One status by 2022. The strategy seeks to grow our transactional business, increase the scale of services offered by the Group and deliver superior customer satisfaction through digital innovation and best in class customer experience.

In today’s ever evolving banking landscape we recognize that scale is important not just for sustainability and efficiency but because it allows us to invest and take risks and respond to and leverage opportunities. The Group is well positioned to respond to the reality that banking products have become commoditized and therefore our focus on customer service excellence will be our key differentiator.

A key shift in our 2018 – 2022 strategy will be the change in focus for our front office staff from asset led growth to deposit led growth. This shift is fundamental, and will require reorganizing and redefining roles and responsibilities for our customer facing business units. This shift has been necessitated to drive cross-selling, deepen customer relationships and enhance our returns for our shareholders



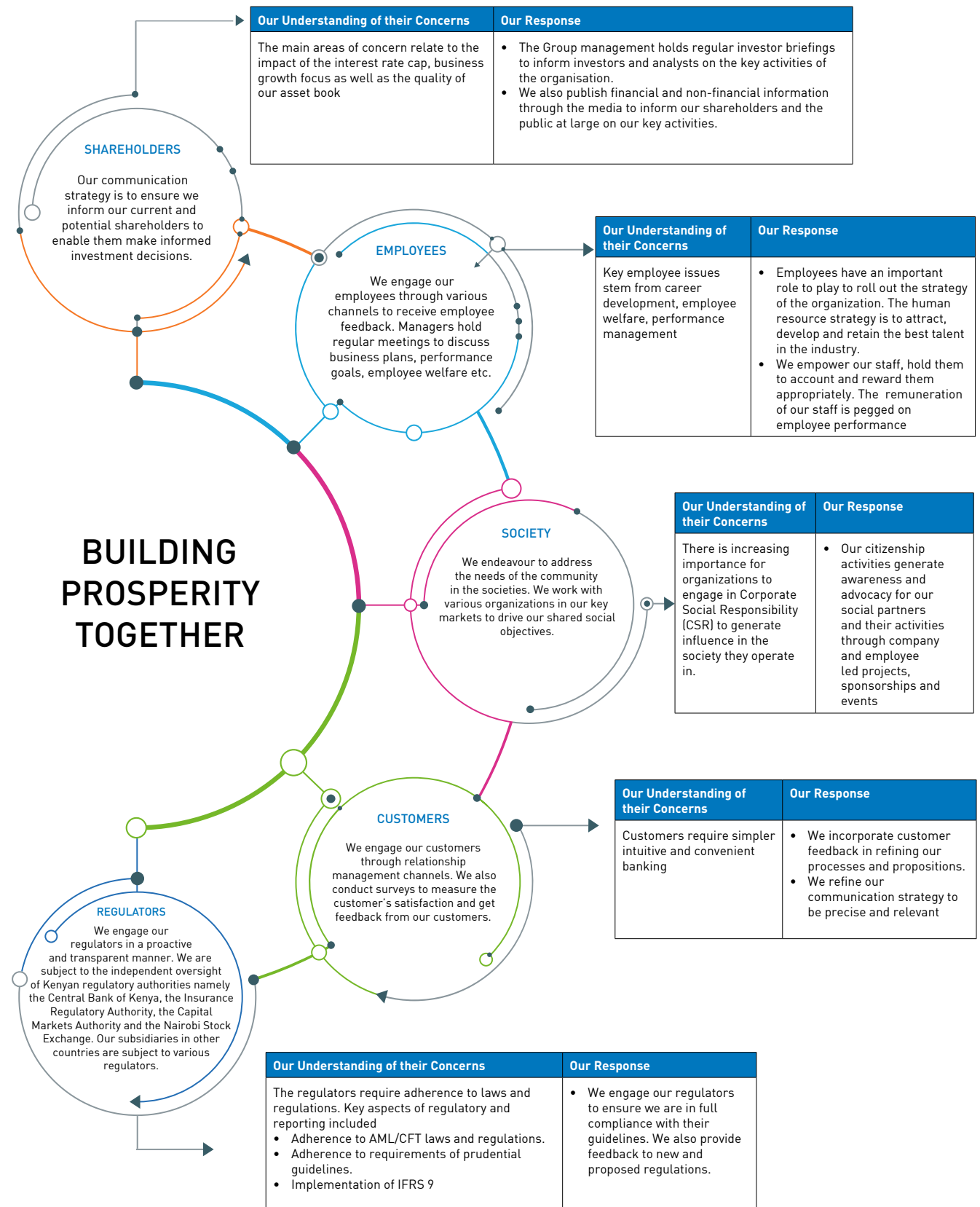
MATERIAL ISSUES

The issues that are material to our long-term success

 Shareholders/ Investors	Material Issues • Group Strategy. • Optimize Balance Sheet Growth. • Enhance Return on Shareholder funds.	Risk and Impact • Challenging Economic environment. • Changing Financial Reporting Standards e.g. IFRS 9, IFRS15, IFRS 16. impact on profitability.	Opportunities • Strong balance sheet that enables us capture the opportunities in our operating environment. • Strong fundamentals - we are able to meet our customer's financial requirements.	Desired Outcomes • Capital gains and better dividend yield.
 Employees	Material Issues • A conducive working environment. • Nurture a culture of excellence among employees. • Engage openly with staff and encourage open and honest feedback.	Risk and Impact • Demotivation of staff would hinder the achievement of the organisational goals. • Loss of talent would deter us from attaining our strategic objectives. • Incompetent/ Unskilled employees.	Opportunities • Our tech-savvy workforce will steer the organisation through the dynamic economic environment. • Our well trained and motivated workforce will harness the opportunities that arise bolstering the organisation's growth	Desired Outcomes • A well skilled and passionate, high performing workforce.
 Innovation	Material Issues • Digital Revolution • Crypto-currencies • Cyber Security	Risk and Impact • Cyber-crime is a major concern for financial institutions. • Digital banking is posing a threat to traditional brick and mortar banking.	Opportunities. • To boost customer confidence, we have well defined cyber-security strategies • Innovation; we have partnered with Fin-Tech(s) to harness opportunities arising in the digital space.	Desired Outcomes • Be at the fore-front of the digital revolution and innovation.
 Society	Material Issues • Corporate Reputation	Risk and Impact • Malignment of our brand. • Loss of business	Opportunities. • We have transparency and accountability mechanisms' that create a constructive and affirmative image in the society .	Desired Outcomes • Enhanced brand image.
 Regulator	Material Issues • New legislation and regulation.	Risk and Impact • Lack of adherence to the statutory and regulatory regulations would lead to regulatory sanctions and pose reputational risk.	Opportunities • Strong compliance and ethics will help the organisation confidently take risks and seize new market opportunities • Customers are more likely to do business with us if they believe that we are fair and transparent.	Desired Outcomes • A compliant organisation with strong corporate governance.

OUR STAKEHOLDERS

We are committed to ensure that we create a lasting value for our stakeholders as we make sustainable contribution to the society.





We prioritise your business sustainability

NIC SASA Stock Financing has enabled most of our loyal customers who have been purchasing from us to access stock loans for their businesses. These loans have ensured their businesses are fully stocked daily and as a result profit margins have increased.

Ishano EABL Distributor.

SME BANKING CUSTOMER



CHAIRMAN'S MESSAGE

JAMES NDEGWA

Dear Shareholders,
I am pleased to present the NIC Group Annual Report and Financial Statements for the year ended 31 December 2018. Despite a challenging and subdued business environment, NIC Group has remained resilient. In line with its Strategy, the Group has been able to return a solid performance, especially in the key focus segments of Retail, SME and Asset Finance.

I am pleased to present the NIC Group PLC Annual Integrated Report and Financial Statements for the year ending 31 December 2018.

At the beginning of the year, the Group rolled out a strategy whose core ambition was the attainment of Tier One status by 2022. The strategy seeks to grow our transactional business, increase the scale of services offered by the Group and deliver superior customer experience through digital innovation. Investing in the new strategy has yielded positive results for the Group and in 2018 we saw growth in both Retail and SME business across balance sheet and customer number metrics.

We anticipate further growth following the recent upgrade of NIC Bank's core banking system, which will enable the Bank to take advantage of emerging shifts in digital technology and pursue the opportunities that it offers. We now have one of the most advanced core banking platforms in Kenya and, through this, we hope to offer innovative new products and superior customer experience.

The Board is keen to support innovation across the Group. We shall continue to prioritise investments in technology to ensure that we meet our customers' needs and offer exceptional value and service.

A significant part of NIC Group's growth strategy over the last few years has been our branch expansion program which is built on the aspiration to be just walking distance from our customers. In a year where many banks were closing branches, we opened eight branches in 2018 – four along the Kenya coastline in Diani, Kilifi, Malindi and Watamu and the others in Kitale, Narok, Parklands and Lavington.

Corporate governance

NIC Group adheres to the highest standards of corporate governance and the Board continuously reviews our governance structures in line with existing and emerging regulatory requirements. The Group's structures and processes are outlined in greater detail later in this report.

Our continuous focus and commitment to adhere to high governance practices has seen NIC Group recognized consistently as leaders in this space. In 2018, for the sixth time, we were crowned the Champions of Governance and the Finance and Investment Sector leader by the Institute of Certified Secretaries (ICS) during its annual Champions of Governance awards. We were also recognized

MESSAGE FROM THE CHAIRMAN (Continued)

at the 2018 Institute of Certified Public Accountants of Kenya, Capital Markets Authority and Nairobi Securities Exchange FiRe Awards, where we emerged as winners in the Corporate Governance category.

Outlook

The three markets of Kenya, Uganda and Tanzania in which the Group operates, were relatively stable in 2018 with key macroeconomic indicators showing stronger GDP growth.

1. Kenya

- According to the Kenya National Bureau of Statistics, Kenya's Gross Domestic Product (GDP) grew by an average of 6% in the last 3 quarters of 2018. The National Treasury expects the full year 2018 growth to come in at 6.1% on the back of continued stability of the macroeconomic environment which includes low inflation, low short term interest rates and a stable exchange rate. We note that growth was primarily driven by the agricultural sector (approx.26% of GDP) and the manufacturing sector (approx.10% of GDP).
- The economy continued to be impacted by the effects of the Interest Rate Cap law which was effected in September 2016. This, coupled with fiscal tightening measures, poses headwinds to the outlook.
- Inflation through 2018 was generally stable and within CBK's target range of (5% +/- 2.5%) on account of lower food prices that had offset the increases in energy prices as well as transport costs post the implementation of VAT on petroleum products. Inflation rate closed the year at 5.7%.
- In 2018, the Kenya Shilling remained stable against the dollar on the back of a narrowing current account deficit, which stood at 5.2% in December 2018, strengthening foreign reserves and increasing diaspora remittances.

2. Uganda

- The Ugandan economy is forecasted to grow by 6% in FY18/19 by the World Bank. This growth is primarily driven by agriculture, financial and insurance services, trade, information and communication. Uganda Bureau of Statistics ("UNBOS") highlighted that the economy grew by 6.1% in FY17/18 which was a jump from a three year low of 3.9% in FY16/17. On a quarterly basis, UNBOS highlighted that the economy grew by 6.8% in quarter 1 of FY18/19 compared to 6.9% in quarter 1 of FY17/18.

- Headline inflation has been on a downward trend for four consecutive months in a row from a peak of 3.8% in August 2018, to a low of 2.2% in December 2018. The decline was mostly caused by easing prices of food as a result of a bumper harvest experienced in 2017.
- The Ugandan shilling strengthened against the dollar from a rate of 3,800 in June 2018 to 3,600 in December 2018 bolstered by dollar inflows from agricultural exports (approx. 80% of total exports). With the stabilization in global oil prices, the Ugandan Shilling is expected to continue to gain value.

3. Tanzania

- Tanzania's real gross domestic product (GDP) registered a 5 year high of 7.1% in 2017 primarily buoyed by loose fiscal policies. Quarterly 2018 growth data are pending due to an on-going GDP rebasing exercise.
- Tanzania's economic growth in 2018 is expected to be strong on the back of expansionary fiscal measures. Improvement in infrastructure and stable power supply are expected to boost the industrial sector, while favorable weather patterns are likely to yield better agricultural production.
- Tanzania's inflation has been on a downward trend since July 2017 (5.20%). However, in December 2018, the trend reversed when inflation rose to a three month high of 3.3%. The low rates have been under-pinned by relatively low food prices as a result of adequate and favourable rain patterns leading to bumper harvests.
- The Tanzania Shilling (TZS) shed 1.6% in 2018 to close at 2,278 against the US dollar due to the widening current account deficit.

Looking forward, the East Africa region will continue to post high economic growth driven by a favourable macroeconomic environment and political stability. Fiscal positions are also gradually improving coupled with the increased foreign direct investments inflows.

East Africa also benefits from its strategic geographic location, investment opportunities in oil, gas, and coal along with continued exploration for other minerals.

Profitability & Dividend Pay-out

In 2018, NIC Group recorded a profit before tax of Shs. 5.82billion. Based on this performance the Board of Directors have recommended a first and final dividend of Shs. 1.25 per share. This amounts to a total dividend pay-out of Shs. 880million.

MESSAGE FROM THE CHAIRMAN (Continued)

2019 Outlook

2019 The year began with a greater sense of optimism and we expect moderate growth in 2019, with adequate rains expected to drive growth in the agricultural sector, which is Kenya's largest sector.

The Kenyan shilling is expected to remain stable owing to a well contained current account deficit, strong agricultural exports and a predictable international environment. We do not foresee major inflationary movement especially in light of expected stable international oil prices driven by a swelling inventory of US crude oil.

In terms of the stock market the Nairobi Securities Exchange benchmark index (NASI) rose by 8% in January 2019.

The improving macroeconomic environment is likely to improve asset quality, enhancing banking sector performance and thus grow credit access for the private sector. The manufacturing sector is advantageously poised to grow due to reduced cost of production. This is expected to catalyze growth in aggregate spending buoying private sector further. Government spending on implementation of the Big Four development agenda is expected to underpin the economic growth in 2019.

NIC Group and CBA Proposed Merger

As I stated earlier, our current strategy is expected to continue driving the Group's growth towards being one of the largest banks in East Africa. The Group will be looking to shift focus to deposit led growth in this strategic cycle while continuing to position for sustained growth through customer excellence and digital ecosystem leadership.

With that said, and in pursuit of accelerating achievement of this ambition, on December 6 2018, NIC Group and Commercial Bank of Africa Limited (CBA) announced that their respective Boards of Directors had authorized the commencement of discussions regarding a potential merger of the two entities.

The proposed merger will create a bank with the financial strength, expertise and regional reach to support Kenya's and the regions' economic growth aspirations. In particular, the merged entity will be in a strong position to play a key role in supporting Kenya's economic ambitions, specifically facilitating implementation of the Big Four Agenda.

The combined bank will be amongst the largest financial institutions in the East Africa region with a total asset base in excess of Shs 451billion and Shareholders' Equity of Shs 66billion. Going by our December 2018 results, it will be the second largest bank in Kenya by customer deposits

and third largest by total assets and a true market leader in Corporate Banking, Asset Finance and Digital Banking. The bank will operate a network of more than 100 branches across five regional economic centers including Nairobi, Kampala, Dar es Salaam, Kigali and Abidjan. Serving over 40 million customers, the combined entity will be the largest bank in Africa by customer numbers.

Upon successful conclusion of these discussions and subject to approvals from the shareholders of the two entities and the regulatory authorities it is expected that the envisaged new entity will be effective in Q3 2019.

It is the view of the two Boards that the potential merger would bring together the best in class retail and corporate banks with strong potential for growth in all aspects of banking and wealth management. I am confident that the complementary business profiles of the two banks will deliver value to all stakeholders, including shareholders, customers and staff.

The proposed merger with CBA is a very important and major development for NIC Group and represents another very significant milestone in the long journey of the Company spanning almost 60 years. I have every confidence that there will be many more positive milestones ahead for the combined entity as it seeks to take a key role in supporting Kenya and the region's economic ambitions.

Appreciation

We would not be where we are today without the consistent, unwavering support of our various stakeholders. We greatly appreciate the support of our over 26,000 shareholders which has allowed the Group to continue making critical investments to ensure future growth.

The support of our customers is equally important and we do not take it for granted. We are committed to continually strive to meet their expectations and to serve them in an efficient and innovative way.

Our regulators, professional advisors and service providers and all our other business partners have also played an important role in the Group's success in 2018.

Finally I thank my fellow Directors, the Management and staff for their contribution and commitment to the Group

J PM Ndegwa

Chairman



GROUP MANAGING DIRECTOR **JOHN GACHORA**

Dear Shareholders,
In 2018, NIC Group PLC (“NIC Group”) launched its 2018-2022 strategy which aimed to support its next phase of growth and leadership positioning after successfully concluding its three-year strategic plan.

In 2018, NIC Group PLC (“NIC Group”) launched its 2018-2022 strategy which aimed to support its next phase of growth and leadership positioning after successfully concluding its three-year strategic plan.

In the current strategic cycle, the Group will seek to strengthen its position in Retail and SME business, increase the scale of services offered and leverage on innovation to deliver superior customer experience.

Deliverance Sustainable Growth

Over the last few years, NIC Bank Kenya Plc (“NIC Bank”), the Group’s flagship, has strongly positioned itself as a leading retail and SME bank coming on the back of its already entrenched leadership in the areas of Corporate Banking and Asset Finance.

In 2018, NIC Bank, in partnership with Strathmore University held a two day Small and Medium Enterprises (SMEs) workshop whose theme was: “Enhancing SMEs’ Sustainability through Innovation.” The workshop was attended by over 1,500 SMEs’ with many subsequently becoming customers of the bank.

Later in the year, the bank took a leading role in arranging the SME Presidential Roundtable held on 15 – 16 October 2018. This provided an opportunity for the Presidential Delivery Unit to interact with SMEs’ in recognition of their central role in the economy; to discuss the opportunities in the sector and develop solutions for challenges facing the sector. As a follow on to this round table, the bank has rolled out a community banking solution which targets SMEs’ operating in Nairobi’s Gikomba and Kariobangi area. The bank is also working with several other government and private sector stakeholders to develop more holistic solutions to meet the SMEs’ growing financial needs across the country.

MESSAGE FROM THE GROUP MANAGING DIRECTOR (Continued)

The bank continued with its branch expansion strategy in 2018 to reach more SME and Retail customers. In the year under review, the bank opened 8 new branches across the country. The additional branches saw the branch network grow to 44 branches in Kenya. In early 2019, the Group plans to open a branch in Zanzibar to bring the total footprint across the region to 53. The role of branches will continue to evolve as hub for relationship management whilst digital channels will be used to support customers' day to day transactional needs.

During the year under review, the bank continued to strengthen its position in asset finance through signing of a number of significant partnerships.

NIC Bank partnered with MHH Japanese Cars, a subsidiary of MHH International, to extend loans to customers for Japanese sourced second-hand vehicles. The partnership enables bank customers to import quality vehicles directly from Japan and enjoy up to 80% financing. The bank also entered into an asset financing deal with Simba Corporation targeting individuals, SMEs' and large commercial businesses.

In March 2018, NIC Bank became the first bank in East Africa to implement the NCR Interactive Teller Machine in partnership with NCR Corporation, a global leader in omni-channel solutions. The service, branded as 'NOW SERVE', will augment in-person teller services and allow customers to speak to a remote live teller and complete over 90% of all branch transactions.

Delivering for Customers

During this financial year, the bank's customer base increased by 15%. Meanwhile, the number of registered customers on NIC NOW, our mobile banking solution increased by 31%, with over half of them (56%) being active users.

Investments in digital platforms remains a key priority for the business and a key lever through which we will drive customer convenience. For this reason, in 2018, we begun a journey to upgrade our online banking system to an Omni channel system which would greatly improve our corporate customers' user experience. Once implemented, our customers would be able to seamlessly engage across various digital channels. Our mobile banking application was also enhanced to include additional capabilities such as the ability to borrow loans using NIC NOW.

Our Citizenship Agenda

In line with our new strategic focus, we revamped our Citizenship Agenda to enable greater efficacy through internal and external collaborations and partnerships. Our 2018 – 2022 Citizenship Strategy focuses on building on our previous achievements with an emphasis on scale and impact, adopting programs that resonate with our business strategy and broadening our Citizenship Philosophy beyond engagement to encompass sustainable business practices.

Our citizenship programmes fall under three thematic pillars; Planet, Profit and People. Corresponding to these pillars, we have identified three social flagship programs; reforestation, road safety and initiatives focused on Persons with Albinism. As an ambition, our flagship programs seek to address a national issue and leverage public interest and support for its success with our role being that of an enabler.

Early in the year, we launched a tree planting movement dubbed #ChangeTheStory. The movement was initiated following the national debate around deforestation in the country. Through our strategic partnership with Kenya Forest Services, the Green Belt Movement and other private sectors players, over six million tree seedlings were planted during the campaign period.

We continued our education sponsorship for persons with albinism through the Dr. Choksey Albinism Foundation. In the year under review, we sponsored a total of 130 students, with 70 being primary school pupils with albinism. In addition, we also sponsored six secondary school students with albinism who are currently studying at the M-Pesa Foundation Academy.

As the Home of Asset Finance, we acknowledge that we contribute significantly to the number of vehicles on our roads. Therefore we deem it fit to give back to the community we operate in through active participation in Road Safety campaign programs. We are currently in discussions with a number of key stakeholders and potential partners to come up with a robust road safety campaign in the coming financial year.

Our People

As a Group, we take great pride in our workforce who year on year continue to show commitment, dedication and hard work to deliver on our vision; Building Prosperity Together.

MESSAGE FROM THE GROUP MANAGING DIRECTOR (Continued)

We appreciate that in order to remain an employer of choice, we must attract and retain the right talent in line with our current and future business requirements, motivate employees to deliver on our promise and provide opportunities for employees to enhance their skills and competencies.

In line with this, this financial year, the Group made significant investments in the people agenda, focusing on;

- Building capacity in front office and in key support functions
- Introducing a structured curriculum for customer experience, staff induction, relationship and credit management to support a customer centered culture
- Refining our Performance Management Scorecard to ensure full alignment to strategic objectives for each business / support function
- Ensuring that NIC Group compensation & benefits structure remains competitive through continuous benchmarking against industry peers

NIC Group and CBA Group merger discussion

As our Chairman noted in his statement, towards the end of the fourth quarter, the Boards of NIC Group and CBA Group gave the green light to commence discussions regarding a potential merger.

Upon successful conclusion of these discussions and subject to approvals from shareholders of the two entities and regulatory authorities it is expected that the envisaged merger would create one of the largest financial services groups in the region.

The proposed merger is in line with our stated strategic ambitions, and would strongly position the combined entity as a significant Tier One player in Kenya and the region.

Future outlook

We are optimistic about the future and the benefits that the proposed merger would bring to all key stakeholders.

With the government investments expected under the Big Four agenda in Kenya, the healthy growth expectations across the region and our enhanced balance sheet, we believe we are well positioned for growth.

John Gachora

Group Managing Director



GROUP EXECUTIVE DIRECTOR FINANCE & STRATEGY **DAVID ABWOGA**

The Group delivered resilient results in 2018 in line with the current strategy. We continued investments in technology, physical infrastructure and human capital to grow the business and improve future operating efficiency.

Overall Performance

In 2018, NIC Group delivered a profit before tax of Shs. 5.8billion, an increase of 4% from the level in 2017, driven by growth in earning assets and broad-based growth in fee income offset by an increase in credit impairment charges & operating expenses.

The resultant profitability ratios have remained relatively steady compared to the previous year. This year our return on total assets was 2.79% (2017-2.72%) and our Return on Total Equity was 16.27% (2017-16.13%).

Operating Income.

Total operating income rose 12% to Shs 16.1billion as we captured opportunities across our businesses and the region. Net operating income at Shs 12.8billion was 8% up from previous year.

Interest income was stable and grew 8% to Shs 21billion. Income from investments in Government Securities which was 31% up from the previous year at Shs 6.8billion was offset by a 6% decline in income on loans and advances from the level in 2017. The decrease in income on loans and advances was mainly as a result of a decrease in corporate lending income due to lower interest margins and the reduction in the Central Bank Rate (CBR) used as a benchmark for the maximum lending rate in Kenya.

Interest expense on the other hand increased by 14% to Shs 8.7 billion due to growth in customer deposit volumes and increased deposit rates as a result of developments in the market rates.

The Net Interest Income of Shs 12.2billion was up 4% year from previous year.

Net fee and commission income rose 7% to Shs 1.3billion from a wide range of activities. Leading the increase was an underlying 11% growth in transaction and service fees led by higher cash management income as a result of new customer acquisition as well as increased customer volumes. Net trading income Increased by 9% to Shs 1.3billion. Customer foreign exchange transactions increased resulting in higher trading income. Card related fees were also higher due to growth in the number of Card transactions.

MESSAGE FROM THE GROUP EXECUTIVE DIRECTOR FINANCE & STRATEGY (Continued)

Operating Expenses

The Group's operating expenses amounted to Shs 6.9billion in 2018 an increase of 11% from the level in 2017. Operating expenses benefitted from efficiency measures and productivity savings which were however more than offset by continued investments in branch network, technology and human capital to improve future operating efficiency.

The cost income ratio excluding impairment charges was maintained at 43%.

Credit impairment charges

The credit impairment charges increased to Shs 3.3billion in 2018 from Shs 2.5billion the previous year as a result of reclassification & measurement of items under the new IFRS 9 standard.

From 1 January 2018, IFRS 9 requires banks to classify financial assets into three categories based on their risk profile. The provision for impairment on performing financing arrangements is stages 1 and 2, while impairment provision for credit losses on impaired financing arrangements is stage 3. For impaired (i.e. Stage 3) assets, we continue to take specific allowances as before. For unimpaired (i.e. Stage 1 and 2) assets, we calculate an expected credit loss (ECL) balance. The starting point of the ECL estimation is risk measures, from models modified to incorporate point-in-time and forward-looking adjustments. These are based on current and forecasted credit-risk-cycle indices, latest loss experience and macroeconomic forecast models. Changes to the ECL from period to period are reflected as allowance charges in the profit and loss account.

Balance sheet remains strong

Total Assets

Total assets increased marginally to Shs 208billion. Cash and balances at central bank increased by Shs 2.4billion to Shs 12billion.

The Gross Loans and advances grew by 2% to Shs 125billion from Shs 123billion as increased new lending, principally in the retail and SME sectors' was offset by the effect of the transition to IFRS 9. Outside of the non-performing loans, asset quality for the rest of the portfolio remained healthy as IFRS 9 continued to embed and the prudent management of credit risk.

Government securities investments rose by 13% to Shs. 62billion from Shs. 55billion in 2017.

Total Liabilities

Total liabilities increased Shs 1.2billion to Shs 173billion. Customer deposits rose 4% to Shs 144billion in 2018 from Shs 138billion the previous year. Borrowings decreased from Shs 17billion to Shs 14.9billion due to repayments of the medium term lines of credit. We have adequate liquidity to support asset growth. The loan-deposit ratio was comfortable at 81%.

Non-performing Loans (NPLs)

Our NPLs rose from Shs 14.3billion in 2017 to Shs 16.8billion in 2018. The rise in NPLs is occasioned by a few delinquent customers causing a decline of the credit quality of the book. We have intensified our remedial and recovery efforts.

We maintained prudent levels of allowance coverage because of the conservative approach we took for both NPLs recognition and collateral valuation.

Equity and Capital Adequacy

Total equity stood at Shs 35.8billion. In May 2018, the group issued bonus shares at the rate of one (1) fully paid up bonus share of par value Shs 5 for every ten (10) shares of par value Shs 5.

The Group is well positioned to support growth, has remained well capitalized and is compliant with all prudential ratios required by the regulators. Further, the Group's capital management policies are based on the internal capital adequacy assessment process. (ICAAP).

The liquidity coverage ratio as at 31 Dec 2018 was 49%, which was above the regulatory requirement of 20%.

2019 Outlook

Our current strategy is taking shape with clear progress being made through out the Group. Our performance in 2018 was encouraging and the outlook for our business and markets is positive. We are well-positioned with a strong balance sheet enabling us to execute our growth strategy and invest in opportunities that will enhance future returns.

BOARD OF DIRECTORS



JAMES P. M. NDEGWA ●●
CHAIRMAN (NON-EXECUTIVE)

Mr. Ndegwa has extensive experience in governance and business management. He is the Chairman of First Chartered Securities Limited and is a Director of several other companies. He also serves as Chairman of the CMA. Mr. Ndegwa holds an MA (Hons) degree from the University of Oxford, UK, and is an Associate of the Chartered Insurance Institute, UK and the Insurance Institute of Kenya. He joined the Board on 19th November 2003 and was appointed Chairman in 2005.



FREDERICK M. MBIRU ●
VICE CHAIRMAN (NON-EXECUTIVE)

Mr. Mbiru is a Management Consultant in banking and finance with over 25 years' experience in the field and a further 30 years in Banking. He is also a director of several other companies and previously served as General Manager of Barclays Bank of Kenya until 1993.

Mr. Mbiru holds a Bachelor of Arts degree in Business Administration (Hons) degree from Makerere University and is an Associate of the Chartered Institute of Bankers, UK. He joined the Board on 16th February 1993.



JOHN GACHORA ●●
GROUP MANAGING DIRECTOR (EXECUTIVE)

Mr. Gachora has several years of experience in executive management positions at various global companies in Corporate and Investment Banking, Structuring and Financial Engineering, Commercial Banking and Financial services. He is a Director of several other companies and previously served as a Managing Director at Bank of America Securities and as Managing Director, Corporate and Investment Banking at Barclays Africa prior to joining the NIC Group. Mr. Gachora holds a Bachelor of Science and a Masters in Engineering degrees in Electrical Engineering and Computer Science from the Massachusetts Institute of Technology, USA and MBA degree from the Wharton School, University of Pennsylvania, USA. He joined the Board on 21st August 2013 and was appointed Group Managing Director in September 2013.



FRANCIS N. MWANZIA ●
NON-EXECUTIVE DIRECTOR

Mr. Mwanzia has extensive experience in Finance, Governance and Real Estate development. He is currently a businessman, Non-Executive Director of Associated Battery Manufacturers (E.A.) Ltd and director of several other companies, and previously served as Company Secretary and Group Financial Controller of NAS Airport Services until 2000.

Mr. Mwanzia holds a BComm. (Hons) degree from University of Nairobi and is a qualified member of the Association of Chartered Certified Accountants, UK and Chartered Institute of Secretaries and Administrators, UK. He is also a member of ICPAK and ICS. He joined the Board on 3rd August 1995.



ANDREW S. M. NDEGWA ●●
NON-EXECUTIVE DIRECTOR

Mr. Ndegwa has extensive experience in business management and financial services. He is currently Executive Director of First Chartered Securities Limited, a Non-Executive Director at Unga Group PLC and director of several other companies. He previously served with Citibank and thereafter AMBank until 1995. Mr. Ndegwa holds an MA (Hons) degree in Philosophy, Politics and Economics from Oxford University, UK. He joined the Board on 23rd April 1997.



ISABELLA P. OCHOLA - WILSON ●
NON-EXECUTIVE DIRECTOR

Mrs. Ochola-Wilson is a Business Consultant with extensive Business Management experience. She is currently the Chairman of Unga Group PLC, a member of the University Council, Technical University of Kenya and is a director of several other companies. She previously served as Project Manager for DFID's Business Partnership Programme until 2005.

Mrs. Ochola-Wilson holds a BA degree from University of Dar-es-Salaam and MBA degree (Marketing) from University of British Columbia, Canada. She joined the Board on 5th November 1999.

KEY : ● MEMBER OF THE GROUP BOARD ● MEMBER OF THE BANK BOARD

BOARD OF DIRECTORS (Continued)



GEORGE A. MAINA ●●
NON-EXECUTIVE DIRECTOR

Mr. Maina has extensive experience in Investment Banking, Business consultancy, commodity trading, project management and oil industry experience in Africa, the Caribbean and Central America. He is currently the Chairman of BAT Kenya PLC, a trustee at Starehe Boys Centre and Gertrude Gardens Children Hospital and Director of several other companies, and previously served as Managing Director of Kenya Shell and BP Kenya Limited until 2002. Mr. Maina holds a B. Tech (Hons) degree in Aeronautical Engineering and Design from Loughborough University, UK. He joined the Board on 1st June 2002.



ALAN J. DODD ●
EXECUTIVE DIRECTOR

Mr. Dodd has extensive regional and international banking experience covering East and Southern Africa, Middle East and Asia. He is a director of several other companies and previously served as Executive Director, Corporate at Standard Chartered Bank Kenya Ltd.

Mr. Dodd holds a BA (Hons) degree in Economics from University of Portsmouth, UK and is a member of the Institute of Financial Services, UK. He joined the NIC Group in January 2006 as Director, Corporate Banking, and was appointed to the Board as Executive Director on 22nd February 2006.



PARAS V. SHAH ●●
NON-EXECUTIVE DIRECTOR

Mr. Shah is a lawyer by profession and has extensive legal experience. He is currently a partner at Coulson Harney LLP (Bowmans) and a director of several other companies. Mr. Shah holds an LLB (Hons) degree from King's College London, Diploma in legal practice from the College of Law, London, Diploma in Legal Practice from Kenya School of Law and Diploma in Management from Henley School of Management. He is also a Certified Public Secretary and a member of the ICPSK, LSK, Chartered Institute of Arbitrators and Law Society of England & Wales. He joined the Board on 23rd February 2010.



KAIRO THUO ●
NON-EXECUTIVE DIRECTOR
(INDEPENDENT)

Mr. Thuo has vast experience in Law and Accounting and is a tax, legal and financial consultant. He is currently the Managing Partner of Viva Africa Consulting LLP and Non-Executive Director, Special Economic Zones Authority and Kenya Power and Lighting Company Ltd and other companies. He previously served as Associate Director at Deloitte until 2009.

Mr. Thuo holds an LLB degree from the University of Nairobi and is a Certified Public Accountant with membership in the Institute of Certified Public Accountants of Kenya. He joined the Board on 27th November 2013.



ESTHER N. NGAINE ●●
NON-EXECUTIVE DIRECTOR
(INDEPENDENT)

Mrs. Ngaine is a senior banker with 36 years of banking experience and over the years has played a key role in the development of the Financial Services Sector in Kenya and the East Africa Region. She brings on board a wealth of banking experience. She is currently the Managing Director of Amuri Investment and Management Co. Ltd, Non-Executive Director of several other companies and previously served as Director and Head of Public Sector at Citibank NA, Nairobi until 2014. Mrs. Ngaine holds a BSc. in International Business Administration, Finance option from United States International University (USIU). She joined the NIC Board on 15th June 2014.



PHILIP R. LOPOKOIYIT ●●
NON-EXECUTIVE DIRECTOR (INDEPENDENT)

Mr. Lopokoiyit has a wealth of experience in Finance, accounting, risk management, internal controls and corporate governance, having worked for over 20 years in various senior management capacities in multinational companies, his last assignment was Area Head of Finance BAT East and Central Africa until 2017. He is a Non -Executive Director at CIC Insurance Group Ltd. Mr. Lopokoiyit holds a B.Com Degree (Hons.), Accounting Option from the University of Nairobi and MBA degree from the Warwick Business School, UK. He is a Fellow of the Institute of Chartered Accountants in England and Wales and a member of Institute of Certified Public Accountants of Kenya (ICPAK) and the Institute of Chartered Management Accountants (ACMA). He joined the Board on 8th February 2018.

BOARD OF DIRECTORS (Continued)



WAKINI NDEGWA ●
NON-EXECUTIVE DIRECTOR

Ms. Ndegwa brings a wealth of experience in banking, governance and strategic management, having worked in various capacities in the banking, environmental and property sectors of the economy and in the management of various private companies. She is currently a director of several companies and is a keen equestrian and avid promoter of environmental conservation.

Ms. Ndegwa holds a BA (Hons.) Degree in Geography from the University of Oxford, UK. She joined the Board on 8th February 2018.



JONATHAN SOMEN ●●
NON-EXECUTIVE DIRECTOR
(INDEPENDENT)

Mr. Somen is an IT expert and well-known entrepreneur in Kenya. He is the founder and former Group Managing Director of Access Kenya Group Limited, one of the pioneer internet service providers in Kenya. He is also the founder and director of various companies in the technology industry, including Eldama Technologies Limited and Virtual IT Limited and is a keen sportsman and avid promoter of environmental conservation. Mr. Somen holds a BSc. Degree in Economics and Accounting from the University of Bristol, UK. He joined the Board on 8th February 2018.



DAVID ABWOGA ●
GROUP EXECUTIVE DIRECTOR

Mr. Abwoga has over 25 years regional experience in Audit, Operations and Finance, having worked for several years in various executive management positions at Citibank N.A., Marshalls (E.A.) Ltd. and Deloitte, the last three of which have been as Director, Finance and Strategy at NIC Bank. Mr. Abwoga holds a BA degree in Economics from Moi University and an MBA, Strategic Management from the University of Nairobi. He is also a Certified Public Accountant, CPA (K) and Certified Public Secretary, CPS (K) in Kenya. He joined the Board on 21st March 2018.



LIVINGSTONE MURAGE ●●
GROUP COMPANY SECRETARY

Mr. Murage has a B.Com (Hons) degree from University of Nairobi and is a Certified Public Accountant and a Certified Public Secretary. He is also a member of ICPAK and ICPSK.

Mr. Murage has over 30 years' experience in the financial sector. He previously worked for Pricewaterhouse Coopers and Mobil Oil, before joining the Mercantile Finance Company in 1986. In 1990, he was part of the team that led to the formation of African Mercantile Bank (AMBank) and was subsequently involved in its merger with National Industrial Credit Bank in 1997. After the merger, he held several senior leadership positions including Head of Treasury, Head of Operations, Head of Human Resources and Head of Finance and Administration. In 1999, he was appointed Company Secretary, a position he holds to date.

KEY : ● MEMBER OF THE GROUP BOARD ● MEMBER OF THE BANK BOARD

Notes:

- Board members' directorships in other entities external to the group were reviewed by the Governance and Nominations Committee and it was determined that all Directors were fully compliant with the regulatory requirements prescribed in the Code and the applicable Regulations.

SENIOR MANAGEMENT

The management team is tasked with the day to day running of operations and execution of the strategy.



JOHN GACHORA
GROUP MANAGING DIRECTOR



ALAN J. DODD
EXECUTIVE DIRECTOR



DAVID ABWOGA
GROUP EXECUTIVE DIRECTOR,
FINANCE & STRATEGY



LIVINGSTONE MURAGE
GROUP COMPANY
SECRETARY



SANKUL R. MANDAVIA
DIRECTOR, TREASURY



ROSALIND GICHURU
DIRECTOR, MARKETING,
COMMUNICATION & CITIZENSHIP



MONICAH W. KIHIA
DIRECTOR, HUMAN
RESOURCES



JULIUS M. KAMAU
DIRECTOR, TECHNOLOGY
& OPERATIONS



ELLIE G. CHIURI
DIRECTOR, CORPORATE
BANKING



EDWIN .S INDULI
DIRECTOR, RISK MANAGEMENT



PETER M. MUTHINI
AG. DIRECTOR, RETAIL BANKING



JOSHUA O. OCHOLA
HEAD OF INTERNAL AUDIT



WAWERU G. MATHENGE
HEAD OF LEGAL AND
COMPLIANCE



We make your dreams come true

NIC Bank came through for me in my home ownership journey. Being a first time owner, the Bank ensured the process and requirements were very clear from the onset. My Relationship Manager guided me closely and I felt confident and at peace even when some aspects of the process seemed to take longer than expected. I was well informed and kept updated

HOME OWNER

OUR CAPITALS

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FINANCIAL CAPITAL

At NIC Group we, strive to harness our key resources to address our strategic objectives so as to deliver on service excellence to our customers, return value to our shareholders, be the employer of choice, give back and improve the welfare of the community.

FINANCIAL CAPITAL

This is a pool of funds obtained from various stakeholders to fund the organization to offer financial services. We have obtained financing from equity, debt and retained reserves generated from the operations of the business.

We have optimally leveraged our financial resources to fund the strategic initiatives of the business. This financial capital enables us to deliver on our strategic thrusts of creating and managing stakeholder value (including Quality services to our customers, dividends to our shareholders, salaries for employees and investment in communities) in a sustainable manner.

Value Added Statement

The Value Added Statement below depicts the wealth created by the organization and how that wealth is distributed among various stakeholders.

	2018	2017
What we earned		
Net Interest received on customer loans	17,660,903	16,936,595
Fees and commissions	1,387,426	1,294,386
Other Income	2,531,705	1,369,057
Total Earnings	21,580,034	19,600,038
What we spent		
Interest paid on deposits	7,514,059	6,377,621
Interest paid on borrowings	1,314,848	1,366,734
Employee benefits	3,834,982	3,373,785
Other administrative costs	3,093,280	2,880,948
Income tax Expense	1,594,495	1,456,532
Total Expenses	17,351,664	15,455,620
Total Profit	4,228,370	4,144,418

Our Contribution to the Government

We have a long-running commitment to transparency about how and where we pay taxes. We are also proud of the broader economic contribution we make to society – part of which takes the form of taxes paid to governments. We are committed to promoting a culture of ethics and integrity in all our operations. In 2018, we were recognized by the Kenya Revenue Authority as distinguished Taxpayers in the Large Corporate Tax Category. We remitted to the revenue authority a total of Shs 4.8billion.

We have pioneered growth in transparent tax reporting by producing our annual Taxes Paid report. We are committed to continuing our leading role in best practice. Our report is designed to provide information on our tax contribution that is relevant and easily understood, whilst also showing how we create value for our stakeholders.

Our Annual Taxes Paid Report

	2018	2017
	Sh'000'	Sh'000'
Employee taxes	743,750	678,360
Corporate Taxes	2,308,560	2,354,630
Valued Added Tax	565,642	349,569
Custom Duty	291,410	197,628
Tax Collected on Behalf of Government	981,759	835,266
Total	4,891,121	4,415,453

Our Contribution to the Shareholders

NIC's dividend policy is to pay a stable dividend each year. Subject to shareholder approval, the group will pay dividends of Shs 880million (Shs 1.25 per share).

FOCUS ON SERVICE EXCELLENCE

Service excellence is at the core of what we do. We acknowledge that our customers' needs have to be met in a timely manner, at their convenience and addressed comprehensively. In cognizance of this fact, we have invested and leveraged on innovation to drive convenience and accessibility to our products and service. This year, we undertook the following initiatives:

Branch Expansion and Relocation

We continued with our strategic branch expansion program with the main objective of bringing our services closer to our target customers. As a result of this, we opened a total of eight branches during the financial year.

- Four new branches in the Coast region; Kilifi, Malindi, Watamu and Diani, which coupled with our marketing activities in the region, saw our customer base increase by over 30,000.
- In addition, we opened two branches in Nairobi (Lavington & Parklands area) and one each in Kitale and Narok.
- The Changamwe and Nakuru branches were relocated to different locations in their respective towns for ease of access.



Convenience banking

To ensure that our customers can access basic banking needs at their convenience, we rolled out a number of innovative banking solutions which include;

- A Video Teller Machine (VTM) at our Mall Branch in Westland's, Nairobi. This technology, augments in-person teller services and allows customers to speak to a remote live teller and seek their assistance to complete over 90% of all branch transactions.
- 24 cash recycler ATMs under the NOW Serve umbrella through which customers are able to deposit cash or cheques and withdraw cash beyond normal operating hours. Through this initiative, we have been able to collect over Shs 9.5billion through cheque deposits and Shs 400million of cash deposits at the close of 2018.
- Tablet banking which enables our sales team to open accounts and originate loan requests for customers remotely. This approach eliminates the need for customers to complete paper-based account opening forms which are perceived to be tedious and time consuming.



FOCUS ON SERVICE EXCELLENCE (Continued)



Product Enhancements

We consistently refine our products to fit our customers profile and ease of service. In furtherance of this endeavour we;

- Added an Over the Counter (OTC) service at the NIC Securities brokerage to increase the nature & volume of trades performed by our shares trading team. In addition, we also implemented an IT solution which allows for over the counter trading for stocks not listed in the Nairobi Stock Exchange.
- Enhanced our Mobile application enabling our customers to view the status of their loans and deposits, trade in forex, undertake external transfers and apply for mobile loans.
- Incorporated electronic pins in our credit and debit cards features. Customers no longer need to collect paper-based PIN mailers but instead set up new PINs upon collection of their card from any NIC Bank ATM.



Customer Complaint Resolution

We have a Customer Relationship Management System that we use to record complaints received. Any complaints logged sends an acknowledgment message to the customer with a reference number. Each complaint is categorized depending on its nature. Every complaint category has a Service Level Agreement (SLA) timeline in which the complaint should be resolved.

How we measure our success.

CUSTOMER SATISFACTION INDEX		
2016	2017	2018
75.70%	80.70%	79.30%

NET PROMOTER SCORE (NPS)		
2016	2017	2018
21	45	35

NET EASY SCORE		
2016	2017	2018
84%	91%	57%

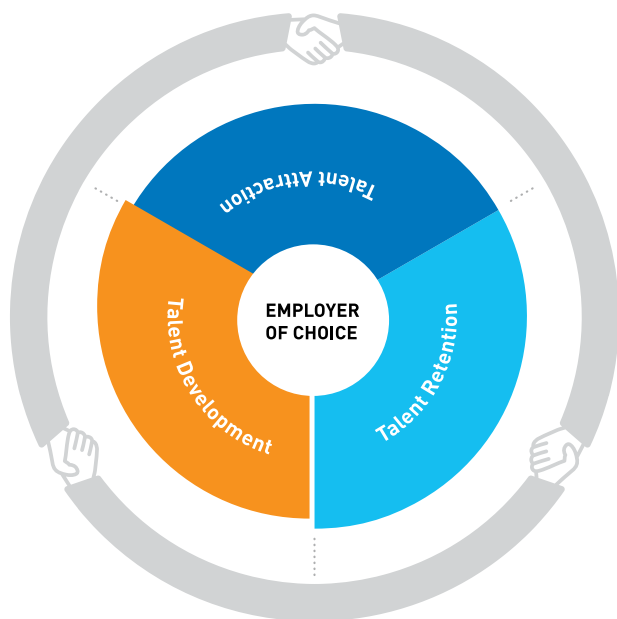
AVERAGE TURNAROUND TIME (TAT)		
2016	2017	2018
3.5 days	2.3 days	1.9 days

Based on the feedback we receive from customers, it is clear that we need to constantly review our customer journeys so as to remain relevant and accessible, more so now in the digital age.

The areas we are committed to improving going forward are:

- Digitization of our customer journeys
- Enhancement of our service culture
- Institutionalization our customer retention program
- Improvement of our customer management systems

EMPLOYEE WELFARE



49

Average learning hours per employee

106

No. of staff Inducted in the Year

60%

Annual Wellness Check Attendance

166

New Hires

No. of Interns absorbed into mainstream banking	27 /40
Staff rotated to new positions	42
Staff promoted	151
Staff taken through mentorship orientation	248
Employees recognized	192



Key Data	2018	2017
Total Turn-Over	9.27%	10.74%
Regrettable Turn-Over	4.28%	3.34%
Number of employees Trained	1043	1147
Gender Diversity(Men to Women)	50:50	54:46
Permanent :Contract Staff	1042:303	921:228

We value and appreciate that having employees with the skills, know-how, personal commitment and motivation is key to our success. As such, we made significant investments to ensure that we have a motivated workforce, equipped to deliver growth for themselves, our customers, their colleagues and to the group as a whole. In alignment to our vision of "Building Prosperity together". During the financial year, we made significant investments in our people agenda.

1) Learning & Development

The Bank attaches great importance to staff learning and development as a means of ensuring that employees have requisite competencies to perform their jobs. To ensure that we continuously offer best in class service, we have in place the following opportunities to up skill our staff:-

- Blended learning which includes a robust e-Learning platform, classroom training and other forms of learning including. Job rotation, and on the job learning.
- Comprehensive induction program for new staff with subsequent learning exposure based on individual employee needs vis-à-vis job requirements.
- Customized in house training programs such as the Executive Relationship Marketing targeting Relationship Managers, Branch Managers and the Risk Management & Operations control training for Operations staff.

EMPLOYEE WELFARE (Continued)

We also launched certification programs in partnership with Retail Banking Academy (UK) and European Investment Bank to enhance our employees' level of skills and competencies;

Key Programs	Target
Retail Banking Academy	Branch Managers, Relationship Managers & Assistant Managers
Problematic loan management	Business Remedial & Personal Banking
Customer Relationship Management	Customer Facing Staff
Turn Around and Recoveries program	Branch Managers & Relationship Managers
Leasing Program	All business units
Training of Trainers	Trainers

2) Employee Wellness

This year there was a marked increase in the number of staff who participated in our annual wellness program. A total of 567 staff participated compared to 351 in 2017 indicating that more employees are taking keen interest in knowing the state of their wellbeing. In addition to a robust health care cover we offer our staff, we also implemented the following to ensure that our employee continue to receive best in class health care management;

- Rolled out "Dial a Daktari". which allows an employee to call a doctor, give a brief on his/her symptoms then the doctor provides diagnosis and sends him/her a prescription. Medication is delivered to the patient via a digital platform dubbed "My Dawa".
- In January 2018 we commissioned a staff club house and aptly named it "NIC Blazers Club". Apart from providing our employees with healthy meals for breakfast and lunch, the facility is also used in the for indoor games such as darts table tennis and board games such as Chase, scrabble & draughts. The Club is spacious with a good ambiance that offers a relaxing atmosphere for staff to meet and "catch up" thereby improving collaboration and networking.

3) Attracting & Retaining Talent

We endeavor to secure the most talented people, we follow a policy of recruiting people regardless of nationality, gender, and other attributes. As a Group we have focused on recruiting skilled and talented professionals to drive our ambitious growth strategy. During recruitment, we ensure that we get the right people, with the right attitude and provide them with the right environment where they are best suited to display their capabilities to the fullest and deliver value to the organization.

a) Internship Programs

The Group runs a bi-annual 3-6 months structured Internship program targeting students in 3rd & 4th years or those who have completed their degree programs with less than one year post graduate experience from recognized local and international University Institutions. The aim of the program is to provide students with an opportunity to enhance their classroom learning through practical career-related work experience while contributing to the organization's citizenship agenda as well as creating a talent pipeline for the Bank's entry level graduate positions.

EMPLOYEE WELFARE (Continued)

b) Career Progression & Succession Planning

NIC Group has identified “Talent Management and Succession Planning” as one of the key focus areas that will position us as an “Employer of Choice”. Our career progression strategy is aimed at aligning employee’s career goals with the organization’s goals and providing employees with skill development opportunities to enhance their performance in the current positions and prepare them for higher level positions. Therefore, we deliberately ensure we have a ready and effective internal talent pool by;

- Identifying critical roles within the organization
- Identifying possible successors
- Identifying high potentials
- Assessing potential successors for these critical roles
- Developing appropriate career development actions

The Group also continues to build its leadership pipeline with all newly promoted middle management staff being taken through NIC Trailblaze Leadership 1 Program while Senior Managers are enrolled on NIC Trailblaze Leadership 11 program. We also launched the NIC Mentorship program through which our senior leadership volunteers to offer guidance to our staff as part of our leadership development agenda.

c) Reward & Recognition

To encourage excellence, promote our company values and provide recognition for significant accomplishments which are over and above what would normally be expected of an employee in the normal course of their duty, the Group continues to embed the Reward & Recognition Program with various cash and non –cash based rewards & recognition programs.

d) Compensation

We are committed to offering a competitive, market and performance driven reward system to the employees for their effort, skills and dedication towards the achievement of our vision. We compensate unionisable staff as per the provisions of the Collective Bargaining Agreement (CBA) and the human resource policy. Other non-unionsable



Members of Staff during a Team building event



EMPLOYEE WELFARE (Continued)

staff are compensated as per the human resource policy. To remain competitive, we monitor and benchmark our compensation practices against industry standards.

4) Employee Engagement

Employee engagement is key to the viability of our business and is at the heart of our strategy. We are in constant communication with our staff to ensure their concerns are well addressed through a robust Human Resource business Partner model. We also continuously engage staff via some of the communication channels highlighted below;

- HR Caravans
- Online engagement surveys
- Training Sessions
- Quarterly Town Halls
- Coaching & Mentorship
- End of Year Parties
- Email Communications
- Team Building i.e. the House Concept
- Regular Departmental meetings
- One on one meetings

5) Performance Management

To properly evaluate performance and further the development of our people, the Group has a standard and clear Enterprise Performance Management process which requires all employees to have SMART goals that are aligned to the overall organizational strategy. Employees set their goals at the beginning of each year, and these goals are aligned with the Group's strategy. Each individual's performance is assessed during half and full year reviews and a performance outcome score indicated against each objective reflected on the Performance Contract and the overall score agreed with the Line Manager. This process is guided by, a clear performance management, compensation & talent management & career progression policies.



Members of Staff during a Team building event



Members of Staff during a Team building event

ENVIRONMENT

Our actions	Impacts
- Employing energy efficient practices to increase energy efficiency. - Reduce paper and water consumption - Participation in environmental conservation activities especially tree planting initiative to replenish our water towers.	- Promotion of environmental conservation - Promotion of energy and water conservation

As a responsible entity, we acknowledge that the interdependences between economic activity, ecosystems and natural resources present risks and opportunities to our business and stakeholders. We work to mitigate any environmental impact of our operational activities and promote best practices to reduce our carbon footprint and enhance our energy efficiencies.

Energy efficiency



- Our most direct environmental impact stems from the carbon emissions from our office buildings and branches through the consumption of electricity. To ensure optimal utility of our energy, we have refined our processes to manage our usage of energy by adopting the following initiatives
- Invested in equipment and automated cooling systems for our energy intensive data centres.
- Installed LED lighting in all our premises.
- Installed lighting sensors at the Head Office parking silo.
- Installed solar lighting for all security floodlights at the Head office.
- Continued to promote an energy-saving culture where we encourage employees to switch off lights when not in use
- These energy efficiency initiatives have resulted to a significant reduction in our energy requirements.

Transforming into a Paperless Office



- We have engaged our staff on the need to reduce usage of paper by adopting innovative solutions available within the Group. Through these efforts we have managed to reduce paper consumption thus increasing the sustainability of our business.

Environmental conservation



- We engage in activities that promote environmental conservation through sustainable finance practices. We are committed to reducing our own carbon footprint and are working closely with both customers and suppliers to help them adapt and take advantage of opportunities in the low-carbon economy. We have also adopted a reforestation initiative supporting tree planting in the water towers. (See Social Capital for more information on Reforestation).



CITIZENSHIP



“ The Group’s Citizenship Agenda aims to improve the livelihood of our community by partnering with likeminded organizations to make a difference in the livelihoods of the under privileged or affected, drive financial inclusion and prosperity and provide a platform for engagement. ”



NIC Executive Director, Alan Dodd & the Marketing Director, Rosalind Gichuru donating a cheque to Edumed Trust Kenya Officials



NIC Bank member of Staff with Upperhill students during job shadow event



NIC Group Managing Director with Upperhill students during the KCDF Mentenda Program

During the year, we undertook the following initiatives aligned to our strategic pillars:

- Education remains a key pillar of our Citizenship agenda. In 2018, we partnered with Palmhouse Foundation, Edumed Trust and Dr. Choksey Albinism Foundation. Through our efforts over 130 students received financial support to continue with their studies.
- We continued with our mentorship program in partnership with Kenya Community Development Foundation (KCDF) and Junior Achievement (JA) Kenya. During the year, we mentored 350 students of Upper Hill High School through the “Mentenda” program which seeks to empower the boy child to address the challenges they face in the society. In addition, during the Global Money Week over 100 students from ten school around Nairobi and selected regions participated in the job shadow at our Head Office and selected branches. This activity was coordinated in partnership with JA.
- Through our partnership with Junior Achievement Kenya which seeks to drive financial inclusion, we launched the National Innovation Challenge and Student Entrepreneurship Competition. The main aim of the challenge is to task students in high school, universities, hubs and youth groups to come up with innovative solution which help solve everyday problems and have positive change in the financial services sector. During the year over 300 High schools, 3 universities, 3 Hubs and 22 youth groups participated in the Challenge with the winning ideas being placed under incubation with JA.

CITIZENSHIP (continued)



NIC Bank Members of staff during Mpesa Foundation visit



NIC Cricket Cup T20 Challenge winners



NIC Group Managing Director, John Gachora Cabinet Secretary - Environment Tobiko Keriako & Senior Management team during Tree Planting exercise at Michuki park



NIC Bank Members of staff join Ofafa Jericho High School students during Tree Planting exercise at their school

- We continued to support humanitarian assistance and initiatives targeting the disenfranchised in the society through sponsorships and donations. During the year, we sponsored the Nature Kenya Charity Golf tournament, Safaricom Rugby Tournament and Peponi House Charity Fete to support their charity programmes. We also made donations to the Catholic Church Fraternity and SOS Children's Village.
- We renewed our official sponsorship of the annual NIC Cup Cricket Tournament dubbed, the NIC Cricket Cup T20 Challenge. The tournament, which is in its third year brings together seven teams which compete against each other on a weekly basis for a period of three months.
- Our Reforestation Initiative (#ChangeTheStory); NIC Group is a company with a sustainable programme that cares for the environment it operates in. In 2018, the Group spearheaded a Reforestation Initiative called, '#ChangeTheStory'. Many of us have seen the impact of deforestation in our lives, the drought, high temperatures, and erratic weather patterns. In a country that relies heavily on agriculture, these changes have a major impact on our lives and businesses. We truly believe that we can reverse the issues we are seeing in our generation. It is for this reason the #ChangeTheStory initiative was born – to plant trees! In our first year of engagement, through this initiative the bank contributed to the planting of over five million trees in Kenya.



NIC Group Managing Director, John Gachora, Cabinet Secretary - Environment Tobiko Keriako & NIC Group Chairman during Tree Planting exercise at Michuki park



We grow with you

I joined NIC Bank seven years ago and they gave me a construction loan in the form of equity release. This has helped propel my business and attain a number of housing units. NIC has also assisted me with Trade Financing through ATI which has helped me deliver my goods on time. NIC is the real partner

SME BANKING CUSTOMER

OUR BUSINESS

BANKING SUBSIDIARIES

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NON-BANKING SUBSIDIARIES

NIC Insurance Agents Limited	48
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NIC GROUP PLC ON THE CAPITAL MARKETS

Continued dialogue with the capital markets

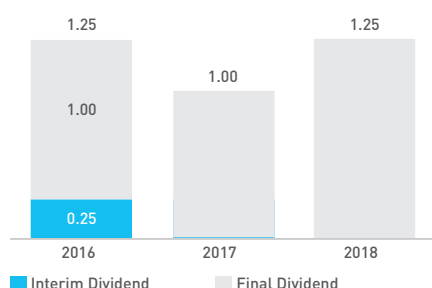
We attach great value to maintaining an open dialogue with the financial community in order to promote transparency. Management held a number of meetings with analysts during the year.

Analyst recommendations

The following analyst recommendations were recently made regarding NIC Group share price.

Company name		Target Price	Dated
Genghis	Buy	34.89	10-Dec-18
Exotix	Buy	45.00	04-Dec-18
Dyer & Blair	Buy	32.55	29-Nov-18

Dividend Paid in Shs. per share



Bonus Issue

In addition to the 2017 dividend paid, in May 2018, the Group issued Bonus shares at the rate of one(1) new fully paid up bonus share of par value Shs five(5) for every ten(10) shares par value. Shs 5.

Dividend Payout Ratio

	2016	2017	2018
No. of Shares (millions)	640	640	704
EPS	6.73	5.93	6.06
DPS	1.25	1.00	1.25
Payout Ratio	18.6%	15.3%	14.84%

Listings

NIC Group PLC Common shares are listed on the Nairobi Securities Exchange. During the 12 months ended 31 December 2018, 69million shares were traded.

Key share data (as at 31 Dec. 2018)

Bloomberg Code	NICB.KN
Reuters Code	NIC.NR
NSE Code	NIC
Last Closing Price (Shs.)	27.80
Free Float (%)	67.85%
Price change YTD	1.45/5.22%
52 week high/low (Shs.)	44.50/20.50
Market Cap [(Shs. bn)	20.8
PB	0.58x
Dividend Yield (%)	3.44%

Broad base of shareholders

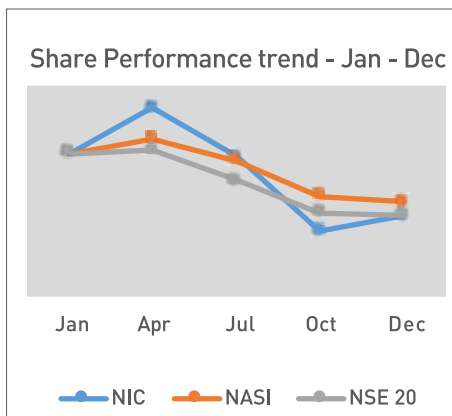
NIC Group PLC had a total of 26,776 shareholders as at end of December 2018. They comprised mainly of local investors, with less than 2% being foreign investors.

Distribution of shares

	2016	2017	2018
Local individual investors	17.2%	17.2%	18.8%
Local institutional investors	81.0%	81.5%	80.0%
Foreign individual investors	0.8%	0.7%	0.7%
Foreign institutional investors	1.1%	0.6%	0.6%
Total	25,642	25,588	26,776

Share price performance 2018

Our share price performance mirrored both the NSE-20 and NASI Indices, as shown below:



Dividend Policy

The Group's dividend policy is to pay a stable dividend each year. Cash dividend is default, stock dividend is optional.



NIC Bank Credit Rating

Long Term Rating Scale: A(KE)

Short Term Rating Scale: A1-(KE)

Rating Outlook: Stable

NIC Bank is committed to maintaining a strong investment grade rating.

BUSINESS OVERVIEW



BUSINESS REVIEW

The principal activity of the Bank is the provision of retail and corporate banking.

The increased borrowing appetite by government perpetrated a tough business operating environment which adversely affected both the corporate and SMEs sector owing to crowding out effect. Inflationary pressure has been successfully contained within the CBK target range (2.5% - 7.5%), hence Kenya's Monetary Policy Committee (MPC) eased the Central Bank Rate (CBR) from 10% to 9% within the year.

Our performance was mainly impacted by lower yields on loans and advances and the high cost of funds that contributed to shrinkage in our margins. The Bank recorded a profit before tax of Shs 5.9 billion, the same as the previous year. Total assets grew marginally year on year to Shs 195 billion on the back of increased customer deposits that increased by Shs 5.5 billion in the year. Investment in Government securities grew by 12.7% year on year to close the year at Shs 58 billion.



NC Bank Uganda Limited is a subsidiary of NIC Group which is a licensed financial institution under the Financial Institutions Act and is a member of the Uganda Bankers' Association and Uganda Leasing Association. The Bank is engaged in the business of commercial banking and the provision of related banking services.

Results

The Bank rolled out its 3 year strategic cycle during the year with a key focus on customer experience to drive future growth. Our customer base has grown by 447 to close at 2,034. The Bank is adequately capitalized with strong core capital and total capital ratios of 22.6 per cent and 23.4 per cent respectively, well above the regulatory requirement of 10 per cent and 12 per cent respectively.

The Bank registered a Loss after tax of Ushs 3.82 billion, down from a profit of Ushs 0.55 billion recorded in 2017.



NIC Bank Tanzania Limited is a commercial bank licensed by the Bank of Tanzania and is a member of Tanzania Bankers' association. The Bank is a subsidiary of NIC Group. The principal activity of the Bank is to provide financial services to corporate and retail customers.

In 2018, the Bank rolled out its 3 year strategy with a key focus on being customer centric and fostering growth to become tier II bank through transaction banking.

The bank launched various enhancements on its digital channels i.e. VISA, Mobile banking, the online platform, to improve service delivery to its customers. Furthermore, the bank opened an additional branch; Zanzibar Branch, which increases the bank's foot print to six branches.

The bank's performance was heavily impacted by the implementation of the Financial Instruments standard; IFRS 9 and a change of Bank of Tanzania regulation on management of risky assets.

The financial outcome in 2018 was as follows:

The Loan assets declined from TSh 103 billion in 2017 to TSh 86 billion in 2018.

The deposits declined from TSh 108 billion in 2017 to TSh 96 billion.

The Bank registered a Loss before tax of TSh 3.7 billion, down from a Loss before tax of TSh 3.2 billion recorded in 2017.

The Bank remains adequately capitalized with strong core capital ratios. The liquidity ratio is also well above the statutory limit of 20%.

OUR BANKING BUSINESS

RETAIL BANKING

Overall, Retail Banking division has made significant progress in meeting our strategic objectives of improving the overall customer experience and realigning the bank's infrastructure and intellectual capital to meet changing customer needs. Our retail banking propositions and products target the affluent and the mass affluent demographic. We acknowledge that our target customers value convenience and service excellence and as a result of this, we have continued to leverage on technology to meet and surpass their needs. In 2018, we rolled out a Video Teller Machine the first of its kind in Eastern Africa to provide a 24 hour access of the services available through our branch counters. We have also rolled out Cash Recycler Machines across the country that allow customers to deposit both cheques and cash and receive credit into their accounts on the spot. Our Tablet Banking solution allows for paperless account opening as well as personal loan and asset finance applications at the customer's convenience. We strive to enhance customer experience through mining data for insights on customer habits and anticipated financial needs.

Key notable highlights in Retail and SME Banking

- 16,500 active online users
- 68,869 mobile users.
- 18 processes migrated online
- 8 New branches (Diani, Malindi, Kilifi, Watamu, Kitale, Narok, Parklands and Lavington)
- 26,798 new customers holding 41,970 accounts
- New products launched: High Yield Fixed Deposit account and Mobile loans

SME BANKING

The goal of our SME Banking proposition is to build strong and enduring relationships that create value for our customers, and provide them with greater choice and flexibility. Thus, we have greatly improved our service levels and reduced credit risk by tightening of our processes and refining our operations. Given the diverse nature of this segment, we have leveraged on our partnership with Strathmore University to train our entrepreneurs on various business management courses at discounted rates. We have also organized business summits which provide them with networking opportunities and through which they get to learning from each other. On financing, we also added a stock financing module on NIC NOW; our mobile banking App that allows SMEs to access stock on credit at the click of a button. Looking forward, we will continue to leverage on the gains of advancement in technology to build digital libraries of the financial track record of our customers so as to efficiently evaluate their credit worthiness.

OUR BANKING BUSINESS

CORPORATE BANKING

In this segment, we have created relevant solutions for our diverse range of corporate customers spread across the key segments of the economy namely agriculture, manufacturing, trading, health, education, transport, infrastructure, and public sector among others. These solutions include:-

- Working capital support which assists businesses in managing their day-to-day operations optimally
- Trade Finance solutions that largely address import & export needs.
- Tailored cash management solutions leveraged on the latest technology for the efficient management of payments collections
- Term facilities for the acquisition of the necessary assets required for business expansion among other solutions.

Our plan is to continue channeling our resources on new customer acquisition while providing exemplary service to our existing customers in tandem with our strategic objectives with a view to scaling up our market share. Corporate banking will continue to, among other priorities, focus on innovation in 2019. This will enhance operational efficiencies and add value to our customers. Our staff will also continue to be equipped with the best possible training/skills in tandem with the dynamics of the market demands.

Key notable highlights Corporate Banking

- 9.7% growth of our asset book

ASSET FINANCE

The Asset Finance arm of the bank continued to perform well. In 2018, we retained our market leadership position and wrote 60% more business compared to our nearest competitor. Despite our balance sheet remaining relatively flat, our segment closed the year at a Profit Before Tax figure some 96% ahead of budget, and managed to claw back a significant proportion of earlier provisions.

Other successes include:

- A diversification of product offering beyond new and used motor vehicles, to include machinery, IT equipment and medical equipment.
- An increase in the number of partnerships and dealerships that have contributed significantly to our success.

In line with our culture of innovation, we have automated the loan application process to allow our customers apply for loans from the comfort of their own homes through their computer or mobile devices at their convenience, without having to visit a branch. We have also made significant investments ultimately to improve our turnaround time to under two days, which is best in class.

Key notable highlights in Asset Finance

- Financed over 4,500 units worth over Shs 16billion.
- Contributed to the success of the bank by onboarding 3,000 new current and savings accounts
- A 28% increase in the number of commercial units financed

OUR NON- BANKING BUSINESS

BANCASSURANCE

As a rapidly growing, channel Bancassurance contributes significantly to traditional revenue streams in the banking and insurance industry by offering life and non-life insurance products and services to customers on behalf of underwriters. We have implemented various strategies around innovation, service, processes and strategic partnerships to deliver a seamless experience to our customers. These initiatives include:-

- Fostering partnerships with vehicle dealers' since they are the first point of contact with our customers who buy vehicles and machinery.
- Nurtured our relationship with our insurance partners and launched new products for our customers.
- We are in the final stages of integrating our software systems to enhance efficiency further.
- Availed an insurance aggregator on our website that allows customers to compute real-time insurance quotes

Aware of the fact that we operate in a highly competitive ecosystem with an increasingly dynamic economic and regulatory environment, our 2019 strategy is to leverage on technology and invest in our human capital in order to deliver service excellence to our customers in a bid to differentiate ourselves in the industry.

Key notable highlights in Bancassurance

- 51% increase in gross underwritten premiums
- 89% growth in number of policies
- 52% growth in income
- 53% growth in Profit Before Tax
- 67% growth in volume of assets insured.

LEASING LLP

NIC Leasing is increasingly becoming a market leader in its ecosystem. It performed well in the year, despite the operating lease product being relatively new in the Kenyan market. A number of local and multinational corporates have taken up leasing as a method of asset acquisition. The Kenya Government has also adopted operating leases for their vehicles and medical equipment. In 2018, NIC Leasing was involved directly for the first time in offering vehicles to the National Police Service in a leasing transaction in partnership with Isuzu East Africa, valued at Shs. 800million.

Leasing supports our customers by improving their cash flow, seamlessly taking advantage of technology at a competitive cost. Like in other areas of the world, the operating lease model of asset financing will, in our opinion, continue to grow rapidly and become an important source of revenue for the Group in future.

Key notable highlights in Leasing LLP

- Supply of 400 Isuzu trucks, buses and double-cabs to Government of Kenya.
- Assets under management grew by Shs 1.2billion
- Profit Before Tax grew by over 100%

OUR NON- BANKING BUSINESS

NIC CAPITAL

This company is a subsidiary of the NIC Group PLC. The Company is licensed and regulated by the Capital Markets Authority and whose principal activity is the provision of investment banking services. The main services that the Company provides include:

- Project finance services on financing structures on both equity and debt financing, cash flow modelling and negotiation on project agreements;
- Capital raising services such as debt offering, equity offerings and structured products; and
- Advisory services including due diligence, business restructuring, mergers and acquisition and company valuation.

While the deal landscape was active in 2018, there was a misconception between market valuations and client's expectations which resulted to a general slowdown in closing the various announced transactions. Consequently, these factors equally impacted our business performance in 2018. NIC Capital recorded a revenue of Shs 43.1million out of which Shs 39.8million was attributed to advisory income.

NIC SECURITIES

The Company is licensed and regulated by the Capital Markets Authority and is a trading participant of the Nairobi Securities Exchange. We provide investors with a secure platform to participate in a diversified array of investments in the equity and bonds markets, backed by solid advice from our highly skilled research analysts to enable clients meet their return objectives. Additionally, we provide sponsoring broker services, Over the Counter trading for unlisted companies and immobilization services.

The financial performance in 2018 was affected by the slow trading activity witnessed in the second half of 2018, because of the high foreign investor sell offs owing to increased Fed rates in the US and trade wars between US and China. The local funds and high net worth clients opted to take a cautious approach owing to massive sell offs, increasing profits warnings by some listed companies and a failed rate cap repeal bill.

The Profit for the year of Shs 13.6million (2017: Shs 6.8million) has been added to retained earnings.

NIC VENTURES

This company is a subsidiary of NIC Group PLC. The African Mercantile Banking Company Limited a wholly owned subsidiary of NIC Group PLC changed its name to NIC Ventures Limited ("the Company") on 13th November 2017. Its activities are limited to provision of innovative solutions through partnerships and investments in financial technology. The company did not trade during the year.



Governance for Sustainability

We hold ourselves to the highest standards. We have remained consistent in our business delivery through our continued investment in good governance standards.

GROUP MANAGING
DIRECTOR

GROUP RISK MANAGEMENT

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CORPORATE GOVERNANCE

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RISK MANAGEMENT REPORT

Risk Management Governance

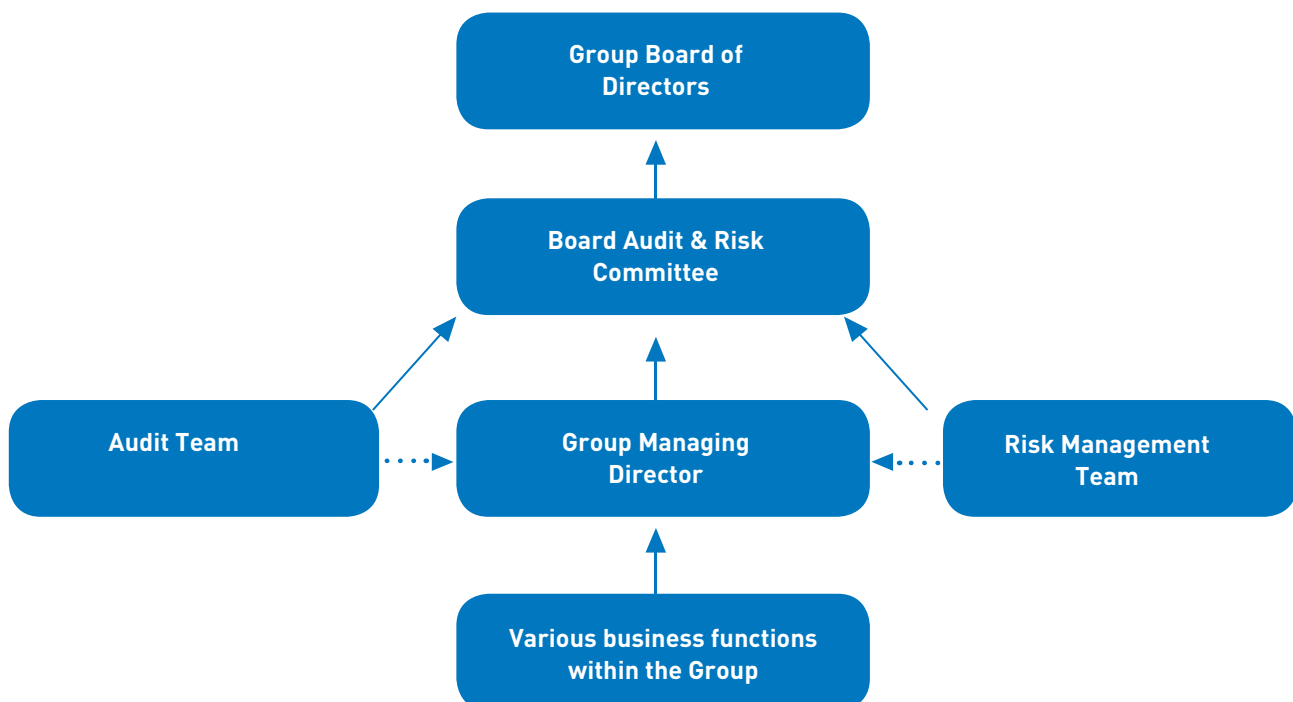
NIC Group recognises that effective risk management is critical to enable us to meet our strategic objectives.

The Board has overall responsibility for the Group's risk management and internal control environment and systems. The Board Audit and Risk Management Committee (BARC), under delegation from the full Board, monitors the nature and extent of risk exposures against the approved risk appetite for our principal risks. The Board has approved Terms of Reference for the Committee which provide the framework for the committee's work.

The Board Audit & Risk Committee (BARC) and the Board Executive Committee are responsible for both risk management and capital management respectively.

Key objectives are:

- Independent oversight of NIC Group's risks including risk identification, assessment / measurement and management (control / mitigation) of all material risks that face the Group;
- Collaborating with all business areas within the Group to produce risk and capital reports;
- Reviewing the Group's Internal Capital Adequacy Assessment Process (the ICAAP) report, and recommending the appropriate changes therein;
- Reviewing the Group's capital adequacy against capital adequacy regulations, and also the more stringent approved internal capital adequacy limits, and recommend changes where applicable; and
- Reviewing the Return on Equity, Return on Assets, and other Key Performance, and Risk Indicator (KPIs & KRIs) Ratios. The Group's risk management governance structure is illustrated below:



RISK MANAGEMENT REPORT (Continued)

Enterprise-wide Risk Management Framework (ERMF), Approach, Policy, Process & Culture

ERMF is an independent, integrated environment for the management of key risks faced by the Group founded on sound global, as well as local best practices.

The key objectives are to ensure:

1. Risk taking is consistent with shareholder expectations, the strategic plan, regulatory requirements (including stress testing and the ICAAP), and an appropriate risk culture is institutionalised across the Group.
2. All material existing and emerging risks are identified, and managed in accordance with the Board's expectations.
3. Risks are managed consistently across the Group, plus their interactions and their associated impacts, are well understood when making decisions.
4. Risks are clearly identified, assessed, monitored and controlled / mitigated, with rewards assured to be in line with these risks, and decision makers held accountable for their actions.
5. Risk origination, its identification, assessment, monitoring and control are independently reviewed on a regular basis to avoid governance, or conflict of interest issues.
6. Sufficient economic capital buffers are maintained to take on, and absorb key risks shocks, if and when, they occur.

It is with this in mind that the Risk Management Division is tasked to assist the Group's Board of Directors, and the Senior Management in order to achieve those objectives.

The ERMF provides a comprehensive and integrated enterprise-wide approach to managing the risks faced on a day to day basis hence enables the Group to achieve its objectives in a controlled manner towards the achievement of strategic, tactical and operational business goals.

It is acknowledged that the Group operates in a complex, increasingly competitive environment demanding higher quality of accountability and standards that place great pressure on its available resources.

The framework provides information on key stakeholders roles plus responsibilities, procedures, standards, systems, and tools that are used, and also sets the context in

which risks are managed in terms of their identification, assessment, monitoring, control, and finally independent reviews.

The implementation of robust, integrated and transparent risk management programs is therefore important to structurally align these challenges to its strategic objectives and against the background of uncertainty.

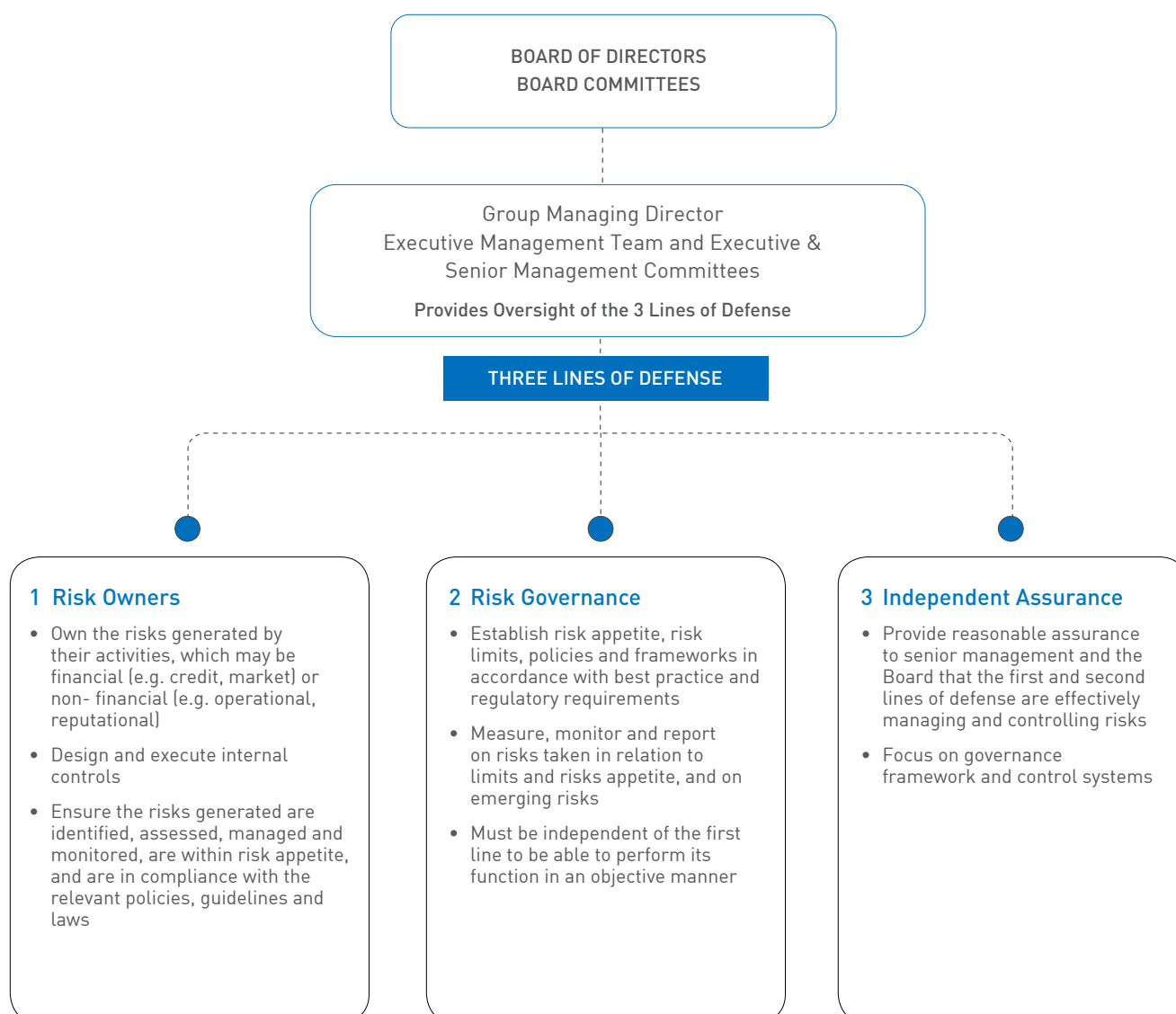
The Framework has been developed to:

- Enable the Group to pro-actively and systematically manage its risks while continuously reviewing its risk profile to levels acceptable to all stakeholders.
- Ensure appropriate strategies and tactics are in place to mitigate risks while maximizing on opportunities.
- Embed the enterprise-wide risk management processes and ensure they form an integral part of the strategic, tactical and operational level planning.
- Create a risk awareness and risk management learning culture that is all permeating in the Group.
- Provide credibility to the risk management processes starting from risk objective setting, identification, assessment, monitoring, controlling to reporting plus communicating of the current, new and emerging risks, in a continuous and regular manner.
- Recognize the need for, and align, the holistic Group-wide "top-down" strategic assessment with the "bottom-up" operational and strategic risk assessment and reporting.

The key elements to this effective ERMF are:

- a) active Board and Senior Management oversight;
- b) adequate risk policies, procedures, and limits;
- c) adequate risk identification, assessment, monitoring and control, plus reporting through appropriately robust management information systems; and
- d) comprehensive internal controls, coupled with periodical independent reviews.

RISK MANAGEMENT REPORT (Continued)



In summary, as defined in our Group Enterprise-Wide Risk Management Framework, these consist of:

- Business and Operating functions that take, own and mitigate against the risks faced (1st Line of Defense);
- The Risk Management function that provides independent oversight, and also challenges the 1st line of defense functions, whilst providing independent, plus enterprise-wide risk management reviews and assessment methodology plus tools to support their controls (2nd Line of Defense);
- Internal and External Audit functions provide independent assurance that risks are understood and well mitigated against, & are within the Board approved Risk Appetite (3rd Line of Defense).

The Group is organized and aligned to the 3 lines of defense, while fostering independence & challenge, but maintaining a collaborative approach and free flow of information between the lines of defense.

RISK MANAGEMENT REPORT (Continued)

THREE LINES OF DEFENSE		
First Line of Risk Control	Second Line of risk control	Third Line Of Risk Control
Primary Risk Owners: Business units	Risk Governance: Management Risk Committees and Risk Management Division	Independent Assurance provider: Internal and External Auditors
The individual business units ensure that they act in accordance with mandates, policies and procedures. They also: - Identify key risks to own business - Specify and implement appropriate risk management processes - Specify and implement early warning measures, as well as associated reporting and management processes - Implement corrective actions, as required	Independent oversight and monitoring risk across business units Committees (ALCO, Credit Risk Review, CRMC, NPAG&R, etc) - Take ownership of and maintain risk governance and frameworks - Recommend risk appetite in line with the strategy - Review and update risk policies - Overseeing and monitoring the implementation of Risk Management policies - Ensuring that risk issues are resolved effectively by risk owners Risk Division - Monitor compliance to risk appetite and risk policies - Challenge risk profile through review of risk assessment, evaluation of risk management processes and monitoring of corrective actions	Provide independent assurance of the adequacy and effectiveness of implementing policy and procedure - Evaluation of the development and implementation of policies of relevant business - Review of the integrity, accuracy and completeness of risk reports and other business reports
Reports to management	Reports to Board Risk Management Committee	Reports to Board Audit and Risk Committee, full Board and Shareholders

ALCO - Assets and Liability Committee

CRMC- Country Risk Management Committee

NPAG&R- New Products and Activities Governance & Risk Committee

RISK MANAGEMENT REPORT (Continued)

Risk Appetite Statement

A fundamental principle underpinning both risk management and strategy formulation is that the Board must understand the risks to which the institution is exposed to, and then also establish a robust and efficient Risk Appetite Framework (RAF) for the institution, that adequately mitigates against those risks.

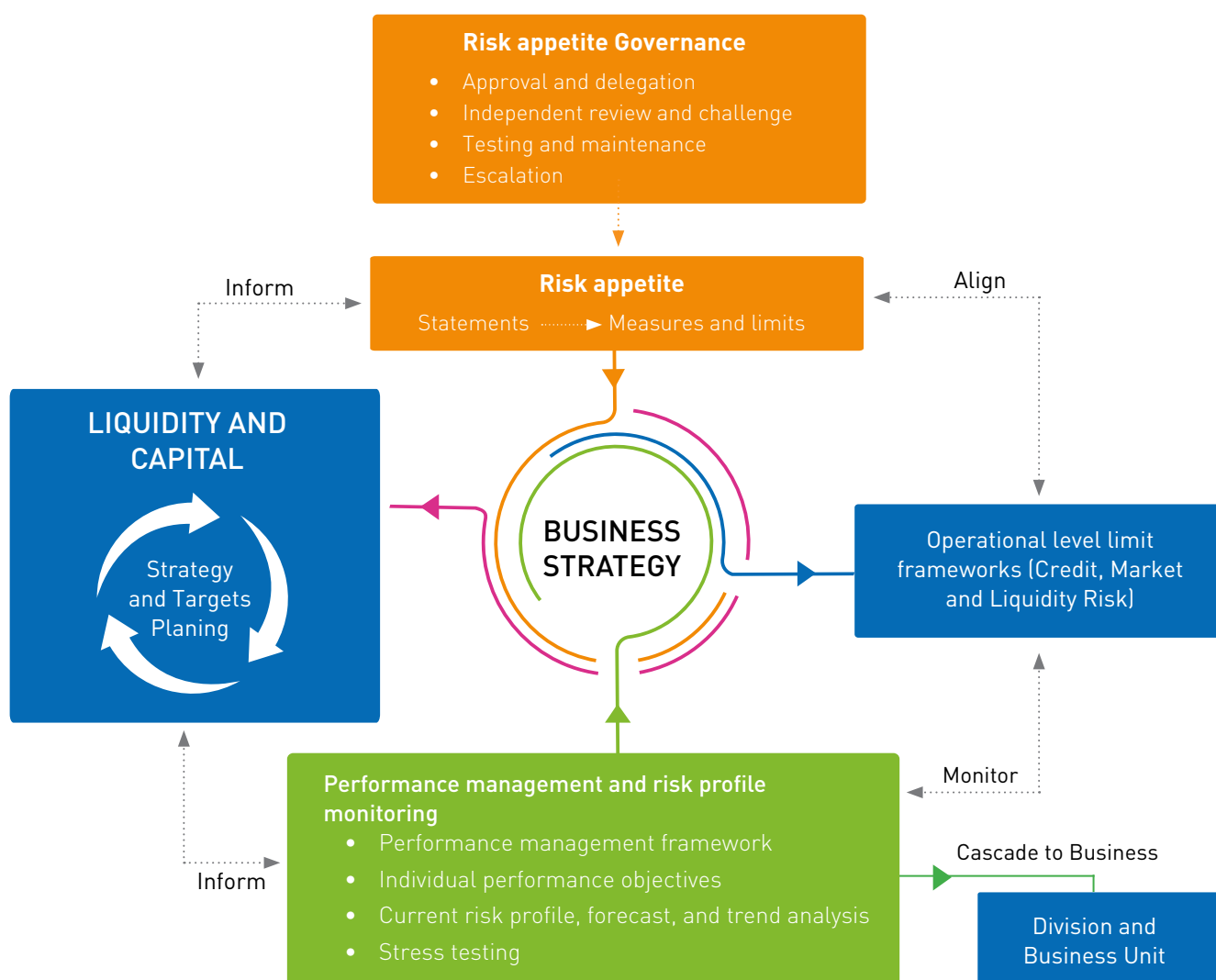
The Group's RAF is the "overall approach, including policies, control processes and systems, through which risk appetite is established, implemented, communicated and monitored." The RAF demonstrates the implicit link between risk appetite, strategy, capital and stress testing. In doing so, it defines the major risk limits and tolerances around those limits. The RAF also clarifies the actions required to be taken in the event of a breach of risk limits and tolerances. Finally, it specifies the roles and

responsibilities of the officers that are responsible for the implementation of the RAF.

Hinged upon international best practices the RAF sets out the key elements for:

- (i) an effective risk appetite framework,
- (ii) an effective risk appetite statement,
- (iii) risk limits, and
- (iv) defining the roles and responsibilities of the Board of Directors and Senior Management.

The diagram / flowchart below depicts the key elements of the Group's Risk Appetite approach and shows how the Risk Appetite links to Capital, Risk Management, Strategy, Stress Tests and the Internal Capital Adequacy Assessment Process (ICAAP).



RISK MANAGEMENT REPORT (Continued)

Risk appetite is an articulation of the level of risk the Group is willing to take in order to pursue its chosen strategy and its related objectives. This risk appetite can be expressed quantitatively in terms of risk measures such as Capital and Earnings at Risk (earnings volatility), and qualitatively in terms of policies or controls meant to limit risks that may, or may not be quantifiable.

Risk appetite focuses on proactive portfolio management, balance sheet strength and capital discipline. The Group manages its overall business within a formally approved risk appetite statement, which is in line with its strategic and the capital planning principles. The risk appetite framework contains the maximum limits and tolerance levels for the different risk types of risks (namely: strategic, credit, liquidity, operational (incl. ICT), market, compliance, reputation, country and transfer risks) that the Group can take at any one point in time.

The tolerance limits are supported by a comprehensive stress testing program used to review the worst case scenarios against regulatory and approved limits, triggering mitigating controls, if potential breaches are noted.

The Group has adopted an independent and prudent enterprise-wide risk management framework plus culture but also acknowledges that calculated, and well managed risks must be taken to achieve its approved strategic goals. The risk appetite focuses on proactive portfolio management, balance sheet strength, and capital discipline.

Stress Testing

Stress testing and scenario analysis

A stress test is commonly described as the evaluation of the financial position of a Group under a severe, but

plausible, scenario to assist in decision-making within the Group. The term stress testing is also used to refer not only to the mechanics of applying specific individual tests, but also to the wider environment within which the tests are developed, evaluated and used within the decision-making process. Stress testing is an important risk management tool utilised by NIC Group as part of its internal capital and risk management process.

Process and stress test descriptions

Stress testing alerts management to adverse unexpected outcomes related to a variety of risks and provides an indication of how much capital or liquidity might be needed to absorb losses should such large shocks occur. Moreover, stress testing is a tool that supplements other risk management approaches and measurements. It plays a particularly important role for

NIC Group in:

- Linking projected budget and financial results, capital supply and demand to stress scenarios;
- Forward looking assessment of risk and risk appetite;
- Informing capital and liquidity planning procedures, and the capital adequacy assessment;
- Informing the setting of the Group's risk tolerance limits; and
- Facilitating the development of management action plans (i.e. risk mitigation or contingency plans) across a range of stressed condition.

NIC Group runs a stress testing programme on a regular basis as the nature and scale of business develops. The stress testing framework covers a number of different types of tests:

- Stresses demonstrating the effect of risks on the Group's earnings over a period;
- Stresses and scenarios that demonstrate the effect of risks on the Group's liquidity;
- Stresses that consider the effect of risks on the Group's capital; and
- Scenarios of significant macro-economic or operational events that may affect earnings, capital and liquidity.

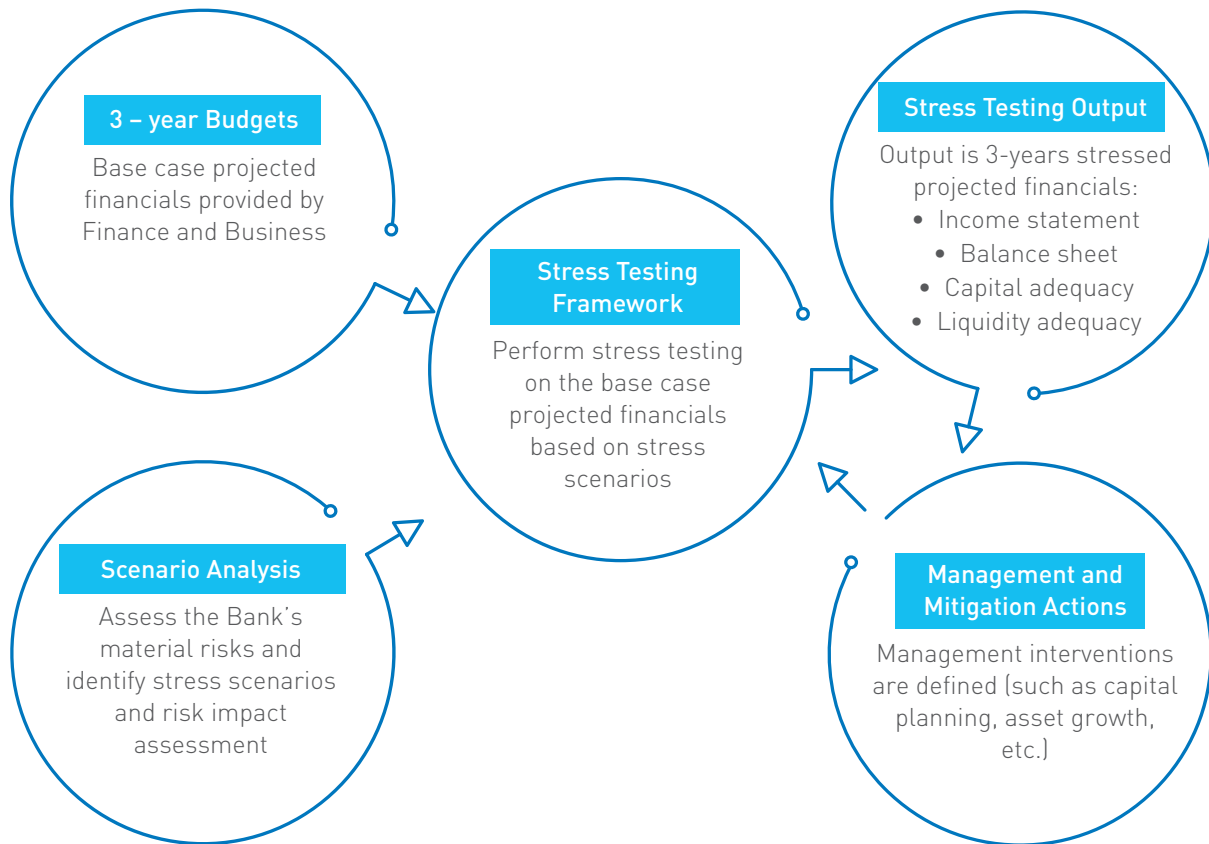
The severity of the stresses and scenarios varies according to their purpose but has the overall aim of demonstrating to Senior Management and other key stakeholders the risks that have been taken on by the business, in order that Senior Management may consider them in the light of the risk appetite that has been set.

The stress testing framework considers how stress tests are to be performed, and the oversight aspects required.

The illustration below offers a high-level view of the stress testing framework.

RISK MANAGEMENT REPORT (Continued)

Approach to stress testing



The stress testing scenarios, outputs and any proposed management actions are to be reviewed and approved by the Management Executive Committee (EXCOM).

The stress and scenario tests focus upon the effect of various scenarios (Base, Moderate & Worst case) on the Group's earnings, capital and liquidity requirements

Identifying our Principal Risks

This entails identification and classification of internal and external factors that could adversely affect the achievement of strategic, tactical and / or operational business objectives through a top down and bottom up approach across the Group. The principal risks identified are reviewed and agreed by the Management EXCOM prior to review by the BARC. Each principal risk is assigned to a senior executive who is responsible for managing the risk and reporting on progress to the executive committee.

RISK MANAGEMENT REPORT (Continued)

Credit and Counterparty Risk

Risk Description	Assessment	Mitigation
Credit risk is the current or potential impact to earnings and capital arising from an obligor or counterparty failing or is unwilling to perform on an obligation / contract, or its ability to perform such an obligation is impaired to the extent it results in an economic loss to the Group. Any single (direct and / or indirect) exposure or group of exposures with the potential to produce losses large enough to threaten the Group's stability or its ability to maintain its core business. Due to the business nature, it is the single largest risk facing the Group.	Credit key risk indicators (KRIs), including the quality of our credit portfolios via several credit metrics such as Portfolio at Risk, Non- Performing loans levels, Provision levels, portfolio concentrations by geography, product type, business lines and industry sector, amongst others, are independently reviewed by the Head of Risk Management & Compliance with regular oversight reviews from the BARC. Detailed analysis of the quality of our credit portfolio & a report tabled at BARC. Impairment & write-off policy clarity for all credit segments.	Approved and regularly reviewed Risk Appetite, Strategy, policies, procedures, discretionary approval limits at individual & management / Board committee levels. Facilities structures, limits, collateral requirements, ongoing management, monitoring & reporting of exposures are governed by these principles. Customers are regularly risk rated, then facilities sizes plus their complexity and collateral arrangements based on those. Segregation of conflicting tasks (ie. Sales, approvals, credit operations, collections, and remedial activities). Collateral arrangements.

Liquidity and Funding Risk

Risk Description	Assessment	Mitigation
Current or potential impact on earnings or capital arising from the Bank's inability to meet its liabilities / financial obligations as and when they fall due, or fund increases in assets without incurring unacceptable costs or losses.	Liquidity KRIs, statutory liquidity ratios, advances to deposits ratios, the quality of maturity analysis of its cash-flows from a time bucket perspective are regularly reported and reviewed at ALCO & BARC. Treasury department manages this risk on a daily basis using some of the above techniques in addition to daily cash-flow forecasts for its decisions.	Assets funded by adequate liquidity Projects cashflow per currency type Monitors KRIs against internal and regulatory guidelines. Maintains a diverse array and range of funding sources as contingencies. Manage concentrations to avoid reliance on large individual depositors and ensure a satisfactory funding mix is attained. Invest in short term liquid instruments, which can easily be sold in secondary markets in need. Ensure investments in large cash outlay projects are budgeted for, and carried out from liquid cash flows. Maintain liquidity and funding contingency plans and KRIs that clearly identify early stress conditions and describe actions to be taken in events of difficulties arising from systemic or funding crisis, while minimising adverse long-term implications.

RISK MANAGEMENT REPORT (Continued)

Market Risk

Risk Description	Assessment	Mitigation
Market risk is the potential impact to capital as a result of values of assets and liabilities or revenues adversely affected by changes in market conditions or market movements. It arises from movements in market prices particularly changes in interest rates, foreign currency exchange rates, fixed rate securities and equity prices which we are exposed to.	Market KRIs, interest rates risk balance sheet, interest rates maturity analysis from a time bucket perspective, mark to market fixed income securities portfolios, are regularly reported and reviewed at ALCO & BARC. Treasury department manages this risk on a daily basis using some of the above techniques in addition to ensuring interest rates in the banking book are well controlled. Distinct market risk exposures for which specific limits in place are: Interest rate risk. Foreign exchange risk. Price risk.	Market risk appetite and KRIs are monitored and reported against the actual market risk exposures to ensure they are within the approved appetite. The matching and controlled mismatching of the maturities and interest and foreign exchange rates of assets and liabilities is fundamental to the management of the Group's market risk though it is unusual to completely be matched due to the nature of business terms & types of products offered. The Group also ensures that the single currency and overall market risk exposures are within the internal and regulatory position limits of maximum 10% of its core capital. Finally, the Group ensures fixed income securities portfolios operate within the approved appetites / limits.

RISK MANAGEMENT REPORT (Continued)

Strategic Risk

Risk Description	Assessment	Mitigation
Current and prospective impact on the Bank's earnings or capital arising from adverse business decisions, improper implementation of strategic decisions, or lack of responsiveness to industry/ economic changes. The Group defines strategic risk as the potential for loss arising from ineffective business strategies, improper implementation of those strategies, sudden unexpected changes in its operating environments, or from lack of adequate responsiveness to changes in those specific business environments. The Group faces several strategic risks from its environment which include: • Macro-economic changes; • Competition from the financial industry, and organisations providing similar services; • Technological changes; • Key legislative and regulatory changes; • Major political events; and • Human capital or social/ demographic trends and changes.	The business carries out regular business performance reviews periodically, but at a minimum on a monthly basis against It performs regular industry strengths, weaknesses, opportunities and threats (SWOT); and peer analysis reviews and reports those. The reviews are regularly reported to the Board of Directors for information and advice, or action where significant deviations occur. The reports include identification of key risks being faced, and how they are being managed to within approved appetite.	Board and Management develops, approves and implements a new strategic cycle every 3 to 5 years, to cater for its next growth phase. Management executes the approved strategic objectives and actively monitors business performance against the objectives through regular periodic reviews. The Group Managing Director co- ordinates an annual strategic planning process for senior management intended to align individual business strategies to overall enterprise Business unit heads are responsible for directing strategies in their respective units and ensuring such strategies are aligned to the overall strategy of the Group. They are also responsible for monitoring, managing and reporting on the effectiveness and risks of their business' strategic objectives, and the progress they have made towards achieving these. They oversee the direction and trends of significant current and emerging risks related to their business units and that proper mitigating actions are being taken where appropriate.

RISK MANAGEMENT REPORT (Continued)

Operational Risk

Risk Description	Assessment	Mitigation
Current or potential loss to capital or earnings arising from inadequate or failed internal processes, systems, people and external events, including legal risks but excluding reputational, compliance and strategic risks. The potential impact that major disruptions or disasters will affect key business operations resulting in loss of earnings &/or capital and in turn adversely affect the Group's reputation. It includes the risk of the loss of key staff members and the cost of replacing them with equally competent staff. This forms part of operational risk under Pillar I but is assessed separately due to its materiality to the Group.	Conducts quarterly comprehensive Risk and Control Self-Assessments of key operational risk exposures and internal control environment. Senior management is able to evaluate its effectiveness and implement appropriate additional corrective actions where needed, to offset or reduce any unacceptable risk. The Group also uses incident reporting and KRIs to identify plus assess certain risks it faces. The ICT Steering Committee (ICT STEERCO) and CRMC provide a forum for all divisions to discuss concerns on operational or IT systems, including cyber- security, frauds, and business continuity management risks.	Policies and systems are in place that require internal and industry-wide operational risk events be identified, tracked and reported to the right levels to ensure they are analysed appropriately and timely corrective action is taken. Significant operational risk issues together with measures to address them are tracked, assessed and reported to senior management and the Board of Directors to ensure accountability is maintained over current and emerging risks. The operational risk function evaluates reports on the exceptions identified by each unit and any significant issues reported to the quarterly CRMC. For risks identified in each area, the unit manager / head along with the operational risk function will follow through and monitor actions being taken to resolve them conclusively and satisfactorily.

Reputational Risk

Risk Description	Assessment	Mitigation
Current or potential loss to earnings and / or capital arising from damage or deterioration of the Group's reputation or standing due to negative perception of its image or its business practices amongst customers, counterparties, shareholders, regulatory authorities and other stakeholders, whether true or not. When all other risks are managed well, this risk is substantially minimised.	Senior management and the Board of Directors receive periodic reports on the assessment of the Group's reputational risk exposures that arise from its business (including sales, service and legal matters) activities so as to form a view on associated risks and implement corrective actions.	Ultimate responsibility for this risk rests with the Board of Directors and senior management who examine the Group's reputational risk as part of their regular mandate They are assisted in this aspect by the Marketing, Citizenship and Communications Department. Their purpose is to ensure that all products, services, and activities meet the Group's reputational risk objectives in line with the Board of Director's approved appetite. Every employee and representative of the Group is aware of their responsibility to contribute in a positive way towards our reputation. This is through ensuring ethical practices are always adhered to, interactions with all stakeholders are positive, and we comply with applicable codes, policies, legislation, & regulations.

RISK MANAGEMENT REPORT (Continued)

Compliance & Legal Risk

Risk Description	Assessment	Mitigation
NIC Group defines Compliance or Regulatory Risk as the potential of loss arising from non-compliance with laws, rules, regulations, obligatory practices / standards, contractual agreements, or other legal requirements including the effectiveness of preventing and handling litigation. It is not actively or deliberately pursued in the expectation of a profit or return, but occurs in the normal course of our business operations. The Group meets high standards of compliance with legal, regulatory and policy requirements in all business dealings and transactions as required by our five main regulators (CBK, BoT, BoU, CMA and IRA), amongst other regulators, and Government Agencies.	The Compliance Department identifies and monitors the key risks and is responsible for ensuring that the day to day business controls comply with applicable legislation plus regulations and are in line with best practices. On a quarterly basis a compliance obligations register per key functions is updated to confirm adherence. Internal and external legal counsel work closely with business units to identify areas of existing and potential regulatory/legal risks and actively manage them to reduce the Group's exposures. Business unit heads have the responsibility and accountability of managing legal and regulatory risks relating to their units on a day to day basis with assistance / advice and oversight from the Legal and Compliance functions. Senior management and Board Risk Management Committee receive the Risk Management Department's opinions / reports on the strength of the Group's Compliance Risk Framework to enable them to determine whether it's under control and where not, tracks significant corrective actions closures.	The Board of Directors and Senior Management through the Group's Code of Conduct & Ethics sets the "tone at the top" for a culture of integrity beginning with concern for what is right (including compliance to policy and the law) in all our business considerations, decisions and actions. All employees attest to this Code, which include our values, when they join the Group, and thereafter periodically, indicating that they have understood it, and that they have complied with its provisions. Other Compliance mitigants: • Periodic tracking of compliance to general banking laws, regulations and reporting requirements. • Approved compliance policy and program in place to provide guidance on compliance risk management. • Robust policies, programs and systems designed to manage the Know Your Customer (KYC) and Anti-Money Laundering (AML) risks as envisaged in the Proceeds of Crime & Anti-Money Laundering Act, and related Regulations. • Upgraded account opening requirements and customer transaction screening procedures to meet the stringent requirements stipulated therein related laws and regulations. • Reporting of suspicious and other transactions such as cash transactions over regulatory thresholds, is done as required by the law and policy standards. • Periodic due diligence on correspondent banking counterparties, and meet KYC / AML obligations to them continuously. • Staff are trained when they join the Group and periodically certified as such in line with the law. • Code of Conduct & Ethics covering good Values, and Conduct issues such as Anti-Bribery, customer confidentiality matters, etc.

RISK MANAGEMENT REPORT (Continued)

Information & Communication Technology Risk

Risk Description	Assessment	Mitigation
ICT Risk is the business risk associated with the use, ownership, operation, involvement, influence and adoption of ICT within an enterprise. It consists of ICT-related events and conditions that could potentially impact the business. It can occur with both uncertain frequency and magnitude, and it creates challenges in meeting strategic goals and objectives.	The Group employs risk assessments on an ongoing basis throughout the system development life cycle and across all of the tiers in the risk management hierarchy -with the frequency of the risk assessments and the resources applied during the assessments, commensurate with the expressly defined purpose and scope of the assessments. Risk assessments address the potential adverse impacts to the Bank operations and assets, individuals, and other organizations, arising from the operation and use of information systems and the information processed, stored, and transmitted by those systems.	Policies, processes and technology have been put in place to mitigate ICT risks. These are revised regularly to bring them up-to-date with the evolving threat landscape. Information Security incidents are identified, tracked and reported. The ICT risk function holds monthly meetings with key stakeholders in Technology and Operations department to discuss key risks and their mitigation strategies. An evaluation of the mitigants is also done and any improvements agreed upon. Significant residual ICT risks, together with measures to address them are tracked, assessed and reported to Senior Management and the Board of Directors on a quarterly basis. This ensures visibility is maintained over current and emerging risks.

GROUP INTERNAL AUDIT

Key responsibilities and processes

NIC Group Internal Audit Department is an independent function whose primary objective is to provide an independent review service for the Audit Committee of the Board and Management in order to assist them carry out their responsibilities in regard to maintaining an adequate system of corporate governance, internal control and risk management. Its objectives, scope of authority and responsibilities are defined in the Audit Charter, which is approved by the Board Audit Committee (BAC) and reviewed every two years. The Group internal audit function is therefore established by the Audit Committee and reports directly to the Committee. Administratively, the internal audit function reports to the Group Company Secretary.

Group Audit's responsibilities include:

- Evaluating the reliability, adequacy and effectiveness of the Group's governance, risk management and internal controls systems, including whether there is prompt and accurate recording of transactions and proper safeguarding of assets;
- Independent appraisal of reliability and integrity of information and the means used to identify, measure, classify, and report such information;
- Reviewing whether NIC complies with laws and regulations and adheres to established policies;
- Providing consulting and advisory services related to governance, risk management and control as appropriate for the organization including special assignments that may be required by the Audit committee or management; and
- Reviewing whether management is taking appropriate steps to address control deficiencies.

Group Internal Audit has unfettered access to the BAC and management, as well as the right to seek information and explanation. Group Audit has an organizational and strategic alignment to the Group. The head of Group Audit has a seat in the Group Risk Management Committee, and attends strategic planning forums. The mission of Group Internal Audit is to provide assessments, independent from line management, on the adequacy and effectiveness of the NIC Group's risk management, control and governance processes and to report on these results. Establishment and maintenance of the system of internal control remains the responsibility of management under the oversight of the Board of Directors. Group Internal Audit department is well positioned and resourced to provide this assurance and report to BAC. Additional support is provided by service providers on an out-sourced basis as may be necessary.

The Institute of Internal Auditors (IIA) Professional Practices Framework requires that changes in management direction, objectives, emphasis and focus

should be reflected in updates to the audit universe and related Audit Plan of an organization. Group Audit adopts a risk-based approach in its auditing activities. Risk based audit provides a systematic method for identifying, prioritizing and scheduling audits while at the same time providing a means by which scarce audit resources can be targeted in areas of high risk within NIC Group's entire audit universe. Annual audit coverage addresses the range of risks that NIC Group identifies as "key" to the achievement of its objectives. An annual audit plan is developed using a structured risk and control assessment framework through which the inherent risk and control effectiveness of each auditable entity in NIC Group is assessed. The assessment also covers risks arising from new lines of business or new products. Audit projects are planned based on the results of the assessment, with priority given to auditing higher risk areas and as required by regulators. At least annually, the Head of Internal Audit submits to senior management and the Board Audit Committee an internal audit plan for review and approval.

Group Audit adheres to the Code of Conduct and the Code of Ethics established by the Institute of Internal Auditors (IIA). It is also guided by the Mission Statement in the Audit Charter and has aligned its practices with the latest International Professional Practices Framework released in January 2017 by IIA. Group Audit's effectiveness is measured with reference to the IIA's Ten Core Principles for the professional practice of internal auditing.

Audit reports containing identified issues and corrective action plans are reported to the BAC and senior management. Progress of the corrective action plans is monitored and past due action plans are included in quarterly reports to the senior management and the BAC.

Mandate & Positioning

The mission of the Group Internal Audit is to provide assessments, independent from line management, on the adequacy and effectiveness of the NIC Group's risk management, control and governance processes and to report on these results. Establishment and maintenance of the system of internal control remains the responsibility of management under the oversight of the Board of Directors. Group Audit is well positioned and resourced to provide this assurance and report to the Board Audit Committee. In preparing the Audit Plan, the department has drawn upon its experience (including past audit reports) and made audit prioritization based on parameters such as Risk adaptability, Risk velocity, Risk complexity, Risk Perseverance and Risk Persistence.

Stakeholder expectation

Stakeholders encompasses; Board Audit Committee, Executive management and external parties such as Central Bank of Kenya (and other regulators), external auditors and are pivotal in Audit activity. The Executive management is a primary client for the Group Internal Audit as most of the Group audit's work involves the review of frameworks, systems and controls set up by the management. It is important that Group Audit is open with management at all phases of the audit and as far as possible encourages a partnership approach to audit with management and listens to executive management expectations including audit requests. The Group Audit Plan addresses this expectation through advisory or consulting reviews based on agreed upon procedures and terms of reference and engages Executive Management Committee (Excom) for the purposes of addressing expectations in the Audit Plan.

Central Bank of Kenya and other regulatory organs (and external auditors) expect Internal audit functions to maintain independence in its reporting to the Board Audit Committee in order for them to place reliance on the work of the Internal auditors. Group Audit Plan is committed to meeting the requirements of the CBK Prudential guidelines as well as other regulatory guidelines and external party collaborations.

Group Audit appraises the regulators and external auditors of all relevant audit matters and works closely with the external auditor to coordinate audit efforts.

Quality assurance and key developments

In line with leading practices, Group Audit has a quality assurance and improvement programme (QAIP) that covers all aspects of its audit activity and conforms to the International Standards for the Professional Practice of Internal Auditing. The QAIP programme includes both internal and external assessments, and external quality assessment reviews are carried out at least once every five years by qualified professionals from an external organization. An internal Quality self-assessment review was undertaken in 2018 with an external validation planned for 2019.

As part of its mandate relating to consulting services, Group Audit provides ad-hoc project and advisory engagement on activities that directly support NIC internal governance and corporate processes that provide important, albeit indirect, support to business and management activities and day to day operations. Group Audit has leveraged extensively on the use of data, technology and automation to provide greater insights and timely warnings on emerging risks. Some of the implemented initiatives to improve its capacity and effectiveness include;

- Automating the internal audit process by deploying an audit management software, TeamMate;
- Acquisition of a data analysis tool, IDEA and increasingly adopting data analytics for efficiency of audits and provide value to auditees;

- Continuous auditing reviews involving control and risk assessments automatically on a more frequent basis as set out in the Internal Audit continuous auditing framework and ICT Audit Plan. Continuous auditing changes the audit paradigm from periodic reviews of a sample of transactions to ongoing audit testing of 100 percent of transactions. The results of quarterly reviews are discussed with management for immediate remediation;
- Improvement of tracking of audit recommendations through automation including Board audit committee action points through Board action items tracker;
- Involvement in consulting engagements such as new system product roll out and participation in special assignments requested by management. In particular, the Bank conducted a technical upgrade of the core banking system and Group Audit, as part of its assurance and advisory obligations, provided quality assurance services to the project whose objective was to determine if activities in the project were being carried out in accordance with best practices and whether the procedures in place were adequate to ensure quality of the project in general; and
- Continuous professional training for Internal Audit staff through conferences, seminars & certifications. Training is linked to the development plans prepared for each staff and help staff maintain their minimum professional requirements and quality.

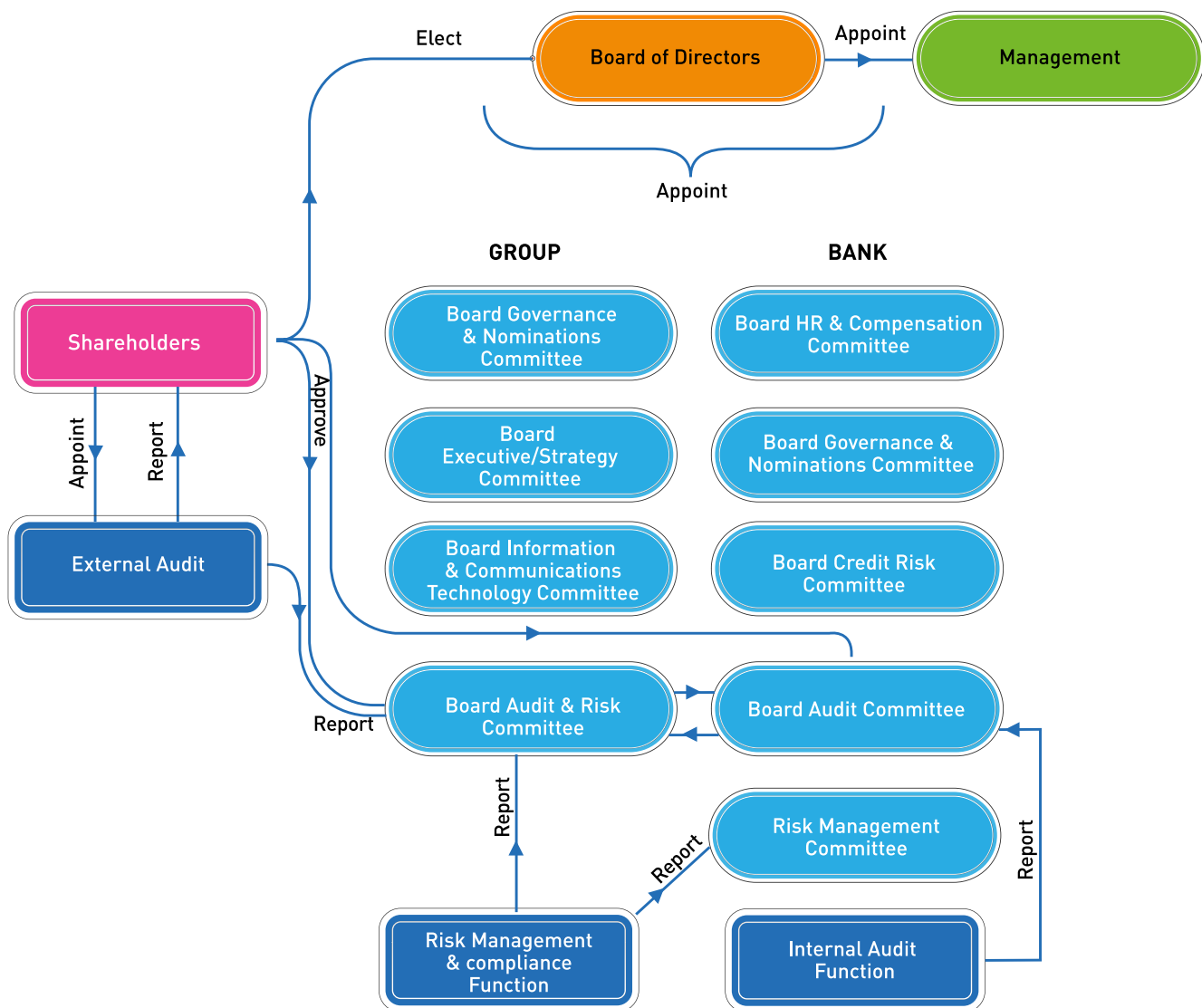
Greater emphasis has increasingly been placed on emerging risks & threats including Cybersecurity, ICT and digital business landscape. All audits of information & technology systems are conducted in line with the Information Systems Standards and Guidelines as provided by the Information Systems Audit & Control Association (ISACA). Regulatory Cybersecurity guidelines (2017) have been necessitated by the increase risks of cybersecurity threats coming from all around the world. Group Internal Audit prepares Annual ICT Audit Plan incorporating review of emerging threats and wider impact of the digital landscape.

Group Audit has also piloted the agile/guest auditing approach in selected audits, aimed at enhancing transparency, increasing collaboration and prioritizing focus areas with auditees, while maintaining audit independence. Additionally, the Joint audit program entails cross country audit collaboration and seeks full alignment of NIC Group audits with the international professional standards; best practice in governance and audit; and the specific expectations of the stakeholders. In 2018, 6 such engagements were undertaken involving teams from Kenya, Uganda and Tanzania eliciting acclamation from audit clients due to the value derived.

CORPORATE GOVERNANCE STATEMENT

The Group's Vision and Values, underpin the pillars that the NIC Group, (made up of NIC Group PLC and all its direct and indirect subsidiaries), leans upon in ensuring good corporate governance practices. The Group, being a responsible citizen of the Republic of Kenya, and operating subsidiaries within the East African region, recognizes the importance of, and strives to consistently uphold excellent standards in corporate governance for the prudent management of its suite of businesses so as to deliver sustainable stakeholder value. The Group achieves this by remaining steadfastly committed and at the forefront in adopting best practices in corporate governance, internal control, risk management and compliance in the rapidly evolving financial landscape.

Governance Structure



The roles played by each of the above committees are described on pages 79 to 84 of this report.

CORPORATE GOVERNANCE STATEMENT (Continued)

The Board of Directors' of NIC Group PLC and NIC Bank Kenya PLC (the Companies) have established robust governance structures which have taken into consideration:

- the guidelines from the Capital Markets Authority Code of Corporate Governance Practices for Issuers of Securities to the Public, (the Code);
- the Central Bank of Kenya Prudential Guidelines on Corporate Governance, (the Prudential Guidelines); and
- other best practices including but not limited to the King Principles on Corporate Governance, which provide a practical guidance to Directors and Senior Management of Companies in discharging their Corporate Governance responsibilities.

Governance Principles

Among the principles that the Board subscribes to in upholding the Group's Corporate Governance practices include but are not limited to:

- Compliance with the Constitution of Kenya, applicable laws and regulations, relevant national and international standards and internal policies;
- Structural integrity and accountability through frequent review of the Boards' and Management's composition, independence, competencies, diversity and complementarity, effectiveness, supporting structures and appropriate segregation of duty and delegation of authority;
- Timely, transparent and relevant communication and disclosures, including key policies and relevant information, to provide stakeholders with a clear understanding of our businesses;
- Implementation of strong audit procedures through ensuring audit independence, applying internationally recognized auditing and accounting principles, ensuring the undertaking of a well-scoped internal and external audits and maintenance of robust internal controls;
- Alignment of roles, deliverables and remuneration with the long term interests of shareholders and ensuring employee participation in enhancing stakeholders' long term interests;
- Optimising shareholder returns through frequent and forward looking strategy reviews with the objective of adopting the most appropriate and viable strategies to enable and promote the long term prosperity of the Group's businesses; and
- Upholding the highest levels of integrity in the Group's culture and practices through a well-defined and implemented Code of Conduct and Ethics.

The Group's Corporate Governance framework is well defined in order to promote transparency and strengthen accountability of the Board and Management to all its stakeholders. The framework focuses on ensuring that corporate decisions result in the application of the highest governance standards with the benefit of the guidance recommended by the Capital Markets Authority and the Central Bank of Kenya.

Compliance with the corporate governance requirements

Following the issuance of the Code of Corporate Governance Practices for Issuers of Securities to the public (the Code) by the Capital Markets Authority in late 2015, the Companies' Boards have consistently tracked the implementation of the guidelines and recommendations therein.

The Boards, in order to ensure that the Companies are well positioned to uphold their Corporate Governance principles and to check on the level of compliance with sound governance practices, commissioned a Governance Audit which was undertaken by competent professionals, recognised and accredited by the Institute of Certified Secretaries (ICS). The key findings and recommendations of the Governance Auditor, Messrs. Maonga Ndonge Associates – CPS(K), include:

- The need to increase the number of Independent Directors on the Bank's Board and review those of the Board Audit Committees of the companies in the same frame as well as review diversity in relation to gender representation. The Board's actions in this regard are detailed on page 75 of this statement;
- An observation on the need to enhance the statement of oversight on the Boards' responsibility in the companies' Board Charters in relation to the Boards' already existing processes and practices on the internal controls framework and highlighting the existing insider trading policies to Board processes. The Board's actions in this regard are detailed on page 70 to 71 of this statement;
- A recommendation to review the Board Committee Terms of Reference for the new Committees created under the holding company in view of the recently concluded Group reorganization. The Board's actions in this regard are detailed on page 79 of this statement;
- A recommendation to draft, consolidate and align the related party, stakeholder relations, citizenship, conflict of interest, ethics risk profiling and induction programs and policies, which are currently contained in other policies, into standalone policies. The Board's actions in this regard are detailed on page 70 to 72 of this statement;
- A recommendation to document the alignment of responsibilities contained in the Board Work Plan vis-à-vis the Board Committees for ease of reference and expand the scope of application of the sustainability policies. The Board's actions in this regard are detailed

CORPORATE GOVERNANCE STATEMENT (Continued)

on page 70 of this statement.

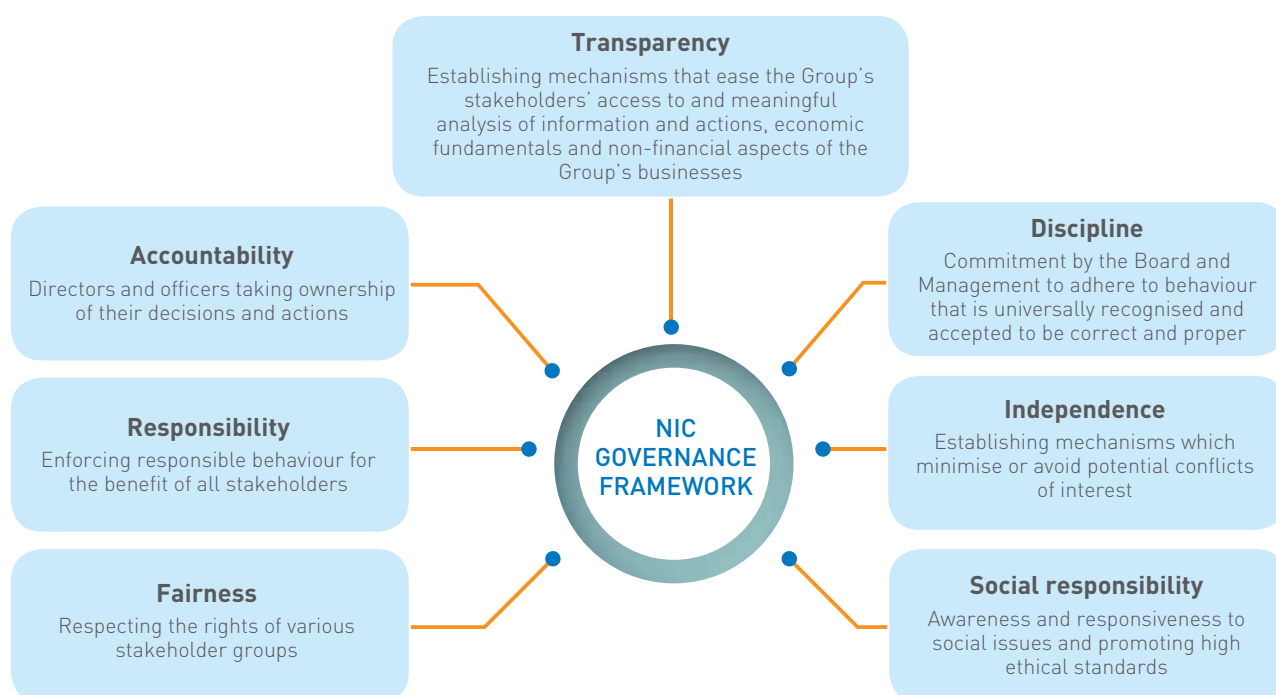
The Governance Auditor's opinion has been annexed to this report.

The Boards also commissioned a Legal and Compliance Audit by a duly qualified legal professional, licensed by the Law Society of Kenya (LSK), to establish the level of adherence by the Companies to applicable laws, regulations and standards. As at the date of issuing this report, the Legal and Compliance audit by Namasaka & Kariuki Advocates was ongoing as a result of which the Auditor's opinion together with a summary of the key findings will be issued to stakeholders vide the Companies' websites as soon as it is availed. We anticipate that the report will be concluded by the end of April, 2019.

Application of the Governance Framework

The Board's Governance and Nominations Committee, frequently tracks the implementation of the Code and the enhancement of the Group's Corporate Governance practices.

The Board and Management applies the principles, recommendations and guidelines outlined in the Code and Prudential Guidelines by embodying the following key characteristics:



CORPORATE GOVERNANCE STATEMENT (Continued)

Board Policies

The Boards have established a number of policy and procedure documents to guide the Directors and Management on the implementation of their roles and responsibilities and the effective running of the Group's businesses. The Board policies, some of which are standalone policies while others are embedded in existing operational policies such as those on human resources, and related governance documents are as listed below together with a brief summary on their key provisions in line with the Board's desire to ensure adequate disclosures to stakeholders.

Board Charter	Board Remuneration, Attraction and Retention Policy
Provides guidance to the Board in the discharge of its duties in overseeing the affairs of the company and covers areas relating to: - Board structure; - Key Board functions; - Board processes; and - Board effectiveness. The Board Charters for the Non-Operating Holding Company and the Bank have been published on the Companies' websites. The Board Charters will be enhanced during the 2019 review cycle to cover in further detail matters relating to induction and the Board work plan, among other enhancements, the recommendations made during the governance audit.	The Policy sets guidelines and criteria for the Board's compensation, attraction and retention of Directors. It establishes the requirements for: - a transparent, fair and reasonable remuneration process; - a framework that encourages long-term financial soundness and risk management through minimization of risky behavior and motivation for application of sound practices; - a good and strong reputation of the Group that attracts Directors and encourages their retention; and - continuous growth opportunities for Directors to advance their skills hence enabling their long term retention. The Director's remuneration policy and report, including details of their compensation appears on page 97 to 101 of this Report.

Corporate Disclosures Policy	Code of Conduct and Ethics
The policy of the Group is to make adequate disclosure of material information and to ensure that all communications to the Group's stakeholders are timely, complete and accurate and appropriately and broadly communicated in accordance with all applicable legal and regulatory requirements. A standalone policy on stakeholder relations is currently under review to enhance the Group's relationship with its Stakeholders; while additional enhancements will be made to the Citizenship policies during the 2019 review cycle to cover, among other enhancements, the recommendations made during the governance audit	The Code of Conduct and Ethics, which has been published on the Group's website (www.nicgroup.com), expresses the values that drive our behavior including addressing ethical issues, integrity on reporting, adherence to policies and procedures and addressing internal and external audit matters. It gives guidance to the Board, Management and Staff of the Group on acceptable behavior and ethical standards. Directors, Management and Staff of the Group reaffirm their commitment to upholding the requirements of the policies as defined within the Group Code of Conduct and Ethics annually. Additional policy enhancements in relation to the Group's Conflict of Interest and Ethics Risk Profiling policies will be made during the 2019 review cycle to cover, among other enhancements, the recommendations made during the governance audit.

CORPORATE GOVERNANCE STATEMENT (Continued)

Conflicts of Interest Policy	Environmental, Social and Governance Policies
The policy on conflict of interest has been established and elaborated upon within the Group Code of Conduct and Ethics, the Directors' letters of appointment, and disclosures on actual, potential or perceived conflicts of interest are a standing agenda item at each Board and Committee meeting. The policy requires: - new Directors to disclose any actual, potential or perceived conflicts of interest prior to the Board's consideration of their appointment; - non-participation in discussions or decisions in which they have a conflict of interest; and - its application to all internal stakeholders of the Group. The Group Company Secretary maintains a register of all disclosed conflicts of interest. The policy will be enhanced during the 2019 review cycle to cover, among other enhancements, the recommendations made during the governance audit.	The Group policies and procedures create a framework in which the Group and its Customers commit to undertaking their activities in a manner that is considerate to the environment and communities surrounding their operations. The policies require: - undertaking an assessment of customers' operating activities; - creating a sustainable ecosystem that is beneficial to all parties involved; and - designing an environmentally friendly structure that promotes sustainability. The Group further enhanced its policies to focus on three key pillars, being Planet, People and Profit in which a correlated approach has been established to ensure that as the Group pursues wealth creation for its stakeholders, it also seeks to entrench and realise its vision in its interaction with People and the physical environment.
Procurement Policy	Securities Trading Policy
The Policy subscribes to principles of openness, integrity and fairness in implementing the Group's procurement practices. This is achieved through: - providing equal opportunity to all; - transparency in the procurement process; - procurement that matches the businesses standards and image; - promotion of environmental and social protection through the supply chain; - ensuring accountability on all transactions; - upholding the anti-bribery and anti-corruption laws and regulations; and - alignment to the Group's strategic plans hence ensuring prudent allocation of resources to enhance stakeholder value.	The policy prohibits Directors, Management and staff from trading in the securities, (including equity securities, convertible securities, options, bonds and any stock index containing the security), of any company while in possession of material, non- public information, (also known as insider information), regarding the entity. - Information is considered to be "non-public" unless it has been publicly disclosed, and adequate time has passed for the securities market(s) to consider the import of the information. - Staff are required to adhere to the Staff & Related Parties Securities Trading Policy for additional details on permissible trading activity. The Board is glad to report that during the year 2018, there were no known or identified instances of insider trading by the Directors, Management and Staff of the Group. The policy will be enhanced during the 2019 review cycle to cover, among other enhancements, the recommendations made during the governance audit.

CORPORATE GOVERNANCE STATEMENT (Continued)

Whistle Blowing Policy	ICT Policies
The Board established a Whistle Blowing Policy which: • sets out the Boards', Managements' and Staff members' obligation and commitment to upholding the highest levels of integrity and observance of the rule of law; • provides a definition of who a whistle blower is, protection and remedies for whistle blowers, dispute resolution mechanism, voluntary disclosure program, reporting channels and procedures, timely disclosure on findings and resolution and data retention; • is consistent with the commitments made in the Board Charter and Code of Conduct and Ethics and is applicable to all stakeholders of the Group; and • provides stakeholders with a secure, confidential and anonymous channel to report information that requires Management's and the Boards' attention on ethical and governance matters. The policy has been published on the Group's website, (www.nicgroup.com), for ease of access and reference by the Group's stakeholders	The Policies on ICT as established by the Board set the framework for: • prudent procurement practices in relation to ICT systems; • harmonization of systems that can be seamlessly used by all entities within the Group to pursue its service delivery objectives; • an access controls platform to ensure adequate security is maintained for all data held with clear responsibilities and accountabilities for systems use; • the creation of an enabling environment for relevant infrastructure implementation and future development needs; • ICT literacy and professional skills development for all staff and especially for those charged with the administration of ICT systems; and • development of fit for purpose ICT systems and applications in support of the innovation and digital approach for the Group. The policies are administered by Management with periodic reports and updates submitted to the Board ICT Committee for consideration and guidance.
Directors' External Activities and Related Party Transactions Policy	
Directors have a statutory duty to avoid situations in which they have or may have interests that conflict with those of the Group. Business transactions with all parties, including the Directors or their related parties are carried out at arm's length. In 2018 the Directors submitted their annual declarations of interests which included an acknowledgement: • of their obligation to declare any matter concerning the Group that may result in a conflict of interest and exclude themselves from any discussion or decision over the matter in question; • that should they be appointed to the Board or acquire a significant interest in a business competing with the Group, that they would be obliged to offer their resignation; • that should they be appointed to the Board of an entity, including a Government entity, that may expose them to potential or actual conflict of interest, that they would be obliged to declare such appointment, undergo an assessment to determine the extent of such conflict and, where applicable, offer their resignation as a Director where the conflict cannot be mitigated by the existing Board policies for the management of conflicts of interest; and • that the foregoing also applies to interests of their immediate family members. In addition at every Board and Committee meeting, the Directors declared any interest they may have had in the matters to be discussed at the meeting. Business transactions with the Directors or their related parties are disclosed on page 198 to 200 note 40 of this report	

CORPORATE GOVERNANCE STATEMENT (Continued)

Board Responsibilities

The Board is responsible for the long term success of the Group. It sets the Group's core values and strategy and oversees implementation by management. It ensures there is strong risk management and internal control framework in place that allows risks to be assessed and managed effectively. It provides leadership and direction and is responsible for corporate governance and financial performance of the Group.

The Executive Directors assist the Group Managing Director in the execution of his role in running the Group's businesses while the Non-Executive Directors undertake an oversight role over the management of the Group's businesses, advise, constructively challenge, and monitor the success of Management in delivering the agreed strategy within the Board approved risk appetite and control framework. Independent Directors bear the additional role of ensuring that the minority shareholders' interests are protected at all times through exercising independent judgment and impartiality in discharging their responsibilities.

The Board

- | | |
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| <ul style="list-style-type: none"> • Retains full and effective control over the Group; • Monitors Management in implementing Board plans and strategies; • Ensures a comprehensive system for Directors' independence; • Identifies and monitors non-financial aspects relevant to the business; • Ensures ethical behaviour and compliance with the Constitution of Kenya, relevant laws, regulations and policies; • Defines the levels of materiality, reserving specific powers to the Board and delegating other matters; • Identifies, implements and reviews the Group's internal controls; | <ul style="list-style-type: none"> • Maintains awareness of, and commits to, the underlying principles of good governance; • Reviews the strategic direction and business plans of the Group; • Approves specific financial and non-financial objectives and Management policies; • Reviews processes for the identification and management of business risks and compliance with regulatory and legal areas; • Reviews succession planning for the Board and Management team; • Provides oversight of performance against targets and objectives; and • Ensures that the companies operate sustainably, including on environmental and social governance aspects. |
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CORPORATE GOVERNANCE STATEMENT (Continued)

Roles of the Chairman and Group Managing Director

The roles and responsibilities of the Chairman of the Board and the Group Managing Director remain distinct and separate and are clearly defined in the Board charter. The key aspects of their roles entail:

Chairman	Group Managing Director
• Providing leadership without limiting collective responsibility for Board decisions; • Facilitating sound decision making and the full discharge of the Board's duties; • Inculcating a positive culture in the Board; • Working with Committee chairpersons to co-ordinate the Committees' schedule of meetings; • Ensuring effective communication with Shareholders and clear Board understanding of the views of stakeholders; • Leading the induction program for new Directors and the continuous professional development needs of individual Directors; • Ensuring that the Board is evaluated at least once a year; and • Representing the Group to stakeholders	• Effectively and efficiently running the Group businesses on a day to day basis; • Developing and recommending a long-term strategy and vision, business plans and budgets for the Group that support long-term strategy and create shareholder value ; • Ensuring the achievement of a satisfactory competitive position; • Establishing an active plan for Management development and succession; • Formulating and overseeing the implementation of major corporate policies; • Consistently striving to achieve the Group's financial and operating goals and objectives; and • Inculcating an ethical work climate that is conducive to attracting, retaining, and motivating a top-quality employees.

Group Company Secretary

The Board is assisted by a qualified and competent Group Company Secretary who is a member of the Institute of Certified Secretaries (ICS) and the Institute of Certified Public Accountants of Kenya (ICPAK), both in good standing. Details of the skills, experience and expertise of the Group Company Secretary are set out on page 28 of this report.

Key Responsibilities:

- Providing guidance to the Board on its duties and responsibilities and on matters of governance including monitoring and coordinating their completion;
- Supporting the Board by ensuring adherence to Board policies and procedures and providing guidance to the Board on its duties and responsibilities;
- Assisting the Chairman in the preparation of the annual Board work plan;
- Ensuring the timely preparation and circulation of the Board and Committee minutes and other relevant papers;
- Assisting the Board with the annual Board evaluation exercise;
- Assisting the Chairman with the induction process for new Directors and planning for continuous professional development of individual Directors;
- Coordinating the governance audit and legal and compliance audit processes;
- Maintaining custody of the Group companies' seals, accounting to the Board for their use and maintaining a record of their use;
- Maintaining and updating the register of conflict of interest; and
- Facilitating effective communication between the Group and its Shareholders and providing guidance to the Board on good corporate governance practices.

During the course of the year, the Group Company Secretary also bore additional administrative oversight over the Risk

CORPORATE GOVERNANCE STATEMENT (Continued)

Management and Compliance and Internal Audit functions which are independent functions within the Group that report to their respective Board Committees.

Board meetings and activities

The Board and its Committees meet regularly in accordance with business requirements. All Directors participate in discussing the strategy, financial performance, internal control systems and the risk management practices of the Group. Meetings of the Board are structured to allow sufficient time for consideration of all matters and the Chairman encourages constructive challenge and debate. Management, external service providers and any other required subject matter experts attend by invitation from time to time as circumstances dictate.

The Board schedules meetings at least four times a year with Directors attending in person. Matters which require decisions outside the scheduled meetings are dealt with through additional ad hoc meetings.

At each regularly scheduled meeting, the Board:

- receives reports from the Group Managing Director and Executive Directors on the market developments, performance and results of the Group;
- is updated on the strategic developments and initiatives for each of the business segments;
- receives updates from operating functions, risk management and compliance, internal audit, human resources and on corporate social responsibility matters;
- reviews new and updated policy documents for consideration and approval.

The Chairman and Group Managing Director also maintain frequent contact with each other and other board members throughout the year outside of the formal meetings.

Board Size, Composition and Independence

The Board:

- Is composed so as to allow effective decision-making and supervision of Management in consideration of the nature and structure of the Group's businesses.
- Has a sufficient number of Directors, which is dictated by the Company's Articles of Association, to allow for fruitful discussions and to enable appropriate, swift and prudent decisions.
- Maintains a minimum of at least one-third Independent Non-Executive Directors and two-thirds Non-Executive Directors to enable adequate representation and protection of the rights of minority shareholders.

Independent Directors are determined based on the requirements outlined in the Code and the CBK Prudential Guidelines on Corporate Governance. In this regard, an assessment is undertaken annually by the Board, the independent Governance Auditor and an independent consultant during the Board evaluation process to ascertain the status of independent Directors and the overall independence of Board Directors in the execution of their duties.

The Group Board in the year 2018 comprised nine (9) Directors - the Chairman, Group Managing Director, Executive Director and six (6) Non-Executive Directors, three (3) of whom are Independent Non-Executive Directors. This meets the requirements of the Code to have at least one-third of the directors being independent non-executive directors.

The Board of the Bank comprises fourteen (14) Directors, four (4) of whom are Independent Non-Executive Directors and 12 of whom are Non-Executive. As a result, the Bank's Board falls marginally below the one-third Independent Non-Executive Director threshold which the Board is further reviewing in order to achieve the one-third Independent Non-Executive Director requirement within the shortest time possible.

During the Group reorganisation which was implemented in 2017, the Central Bank of Kenya granted the Holding Company and the Bank a twenty four (24) month transition period to enable the Board of Directors to review their structures.

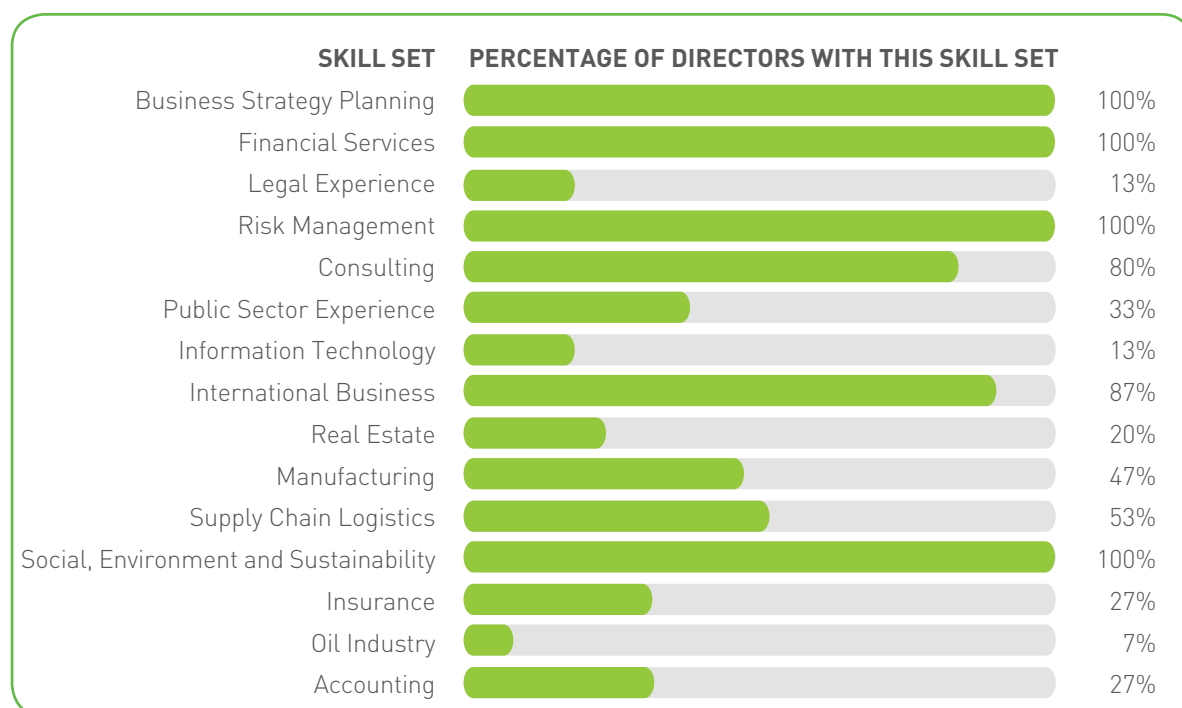
The Board considers its overall size and composition to be appropriate, having regard in particular to the independence, character and integrity of all Directors as well as key technical expertise skills. Each Non-Executive Director has an ongoing obligation to inform the Board of any circumstances which could impair his or her independence.

CORPORATE GOVERNANCE STATEMENT (Continued)

The Board's composition:

- Is reflective of the strong levels of Board independence and adequate representation of the minority shareholders;
- Adheres to the policies and procedures enacted by the Board through the Board Charter and Board Committee Terms of Reference to ensure that each Board member's independence is recognised and upheld at all times; and
- Is of an appropriate size and composition given the current scale and geographic footprint of the NIC Group

It is the opinion of the Board that its membership is well composed in terms of the range and diversity of industry knowledge, skills, background, professional qualifications and experience. This is reflective of the Board's commitment to ensure strong levels of Board independence and adequate representation of the minority shareholders.



Non-executive Directors are independent of Management and are subject to retirement by rotation, upon which they are required to seek re-election by Shareholders at least once every three years in accordance with the Articles of Association and the Board Charter. Any Director appointed during the year is required to retire and seek re-appointment at the next Annual General Meeting.

Highlights of key responsibilities on appointments

The Board:

- Is responsible for identifying its members and recommending them for election by the shareholders;
- Considers recommendations on appointments from other Directors and the Shareholders;
- Has a formal and transparent procedure in the appointment of Directors to the Board;
- Annually, through the Governance and Nominations Committee, reviews the appropriate skills and characteristics required of Board members in the context of the Board Charter and the Vision and Objectives of the Group; and
- Approves the appointment of prospective candidates.

The Directors' abridged biographies appear on page 26 to 28 of this Annual Report.

CORPORATE GOVERNANCE STATEMENT (Continued)

Highlights of the key activities in 2018

During the course of the year 2018, the Board focused on the achievement of the following key objectives:

Objective	Key considerations
1) Strategy Development and Capital Planning	- Monitoring the execution of the Group's business plans and budgets and advising on and reviewing the implementation of the 2018 – 2022 strategy; - Reviewing, advising on and approving significant matters with a bearing on the Group's capital position; - Reviewing comprehensive market updates and recommending actions for implementation against the strategic plans; - Considering updates and advising on the digital strategy; and - Considering and recommending for shareholder approval the dividend payout.
2) Group Performance	- Monitoring and reviewing updates of the entire Group's performance against the set business targets and strategies and providing guidance on improvements on a quarterly basis at a minimum; and - Considering and approving the financial reports and accounting policies in use.
3) Internal Controls and Compliance	- Reviewing, recommending and approving the policies and systems for internal controls; - Appointing the external auditor, reviewing and approving the internal and auditors' work plans and guiding on the recommendations made by the auditors for improvement of operational controls; - Considering and recommending measures for risk control as advised by the internal audit and risk management and compliance functions; - Reviewing the level of compliance to laws, regulations and internal policies; and - Establishing relevant policies to prudently manage the Group's business activities.
4) Governance and Ethics	- Reviewing the Group's Board and its committees' composition, Charter and Terms of Reference against regulatory requirements and business needs; - Monitoring compliance with good governance principles and practices and implementing measures for adherence thereof; - Reviewing the Group's ethical policies, monitoring and reinforcing the ethical practices by internal stakeholders and avoiding conflicts of interest; - Undertaking continuous professional development and targeted training on governance, business management and technical areas; - Reviewing, recommending and approving changes to the governance, risk and compliance policies including those on people and talent management, succession planning and diversity; and - Undertaking an evaluation of the Group's Board, its committees, Executive Management's and the Group Company Secretary's effectiveness and monitoring the implementation of the previous year's evaluation recommendations.

CORPORATE GOVERNANCE STATEMENT (Continued)

5) Customer Satisfaction	• Reviewing updates and guiding on customer satisfaction strategies; and • Monitoring and recommending measures for the improvement of policies and practices for the protection of consumers and enhancement of the Group's services for consumers' benefit.
6) Stakeholder Engagement	• Identifying and considering the Group's stakeholders needs in Board decisions; • Establishing mechanisms for engagement with the Group's stakeholders on key matters affecting them; and • Proactively communicating with the key stakeholders to ensure that appropriate disclosures have been made for their consideration.
7) Merger between NIC and Commercial Bank of Africa	• Reviewing the proposed merger as part of the Group's strategic plan on growth and sustainability; • Approving the commencement of discussions into achieving the successful merger of the two financial institution groups; • Reviewing the key requirements and advising on actions to ensure its success; and • Ensuring that all stakeholders are updated on the progress of the proposed merger.

- In the course of, and for the purposes of, effectively executing their duties and as empowered through the Board Charter, Directors may at their discretion procure the services of independent subject matter experts and/or staff of the Group companies to assist the Board where unique expertise or insights are required.

CORPORATE GOVERNANCE STATEMENT (Continued)

BOARD COMMITTEES

The Board operates under a comprehensive structure made up of Committees established to assist it in discharging its responsibilities and obligations. The Committees assist the Board in carrying out its functions and ensuring that there is independent oversight of strategy implementation, internal controls, risk management, financial and audit issues.

The Board has determined the purpose and number of Committees required to support it in carrying out its duties and responsibilities and in guiding Management. The Committees, whose mandate and authority has been entrenched in the Board Charter, have been established with specific terms of reference which are regularly reviewed and up-dated. The appointment of the members to these Committees draws on the skills and experience of individual Directors. The role played by the Board committees has become increasingly important over the years and forms a principal point of contact between the Directors and Senior Management. The Chairman of each Board Committee reports to the Board on the matters discussed at Board Committee meetings.

GROUP BOARD COMMITTEES

In 2018 the Group Board had four (4) Committees mainly comprised of Non-Executive Directors:

- Audit & Risk Committee;
- Executive & Strategy Committee;
- Governance and Nominations Committee; and
- Information and Communication Technology (ICT) Committee.

Following the Group reorganization, the Executive and Strategy Committee and Information and Communication Technology Committee were taken up to the holding company level while new committees were formed for Governance and Nominations and Audit and Risk. The Committees adopted the same policies previously held at Bank level and are being reviewed for enhancements and updates during the 2019 review cycle, a matter that was also commented upon during the Governance Audit. The changes will be more for alignment and delineation so as to clarify the scope and role from a Group perspective as the core responsibilities and activities are already well-defined therein

The composition of the Board Committees is outlined on page 89 and details of Directors' attendance of meetings is outlined on page 88 of this report.

AUDIT & RISK COMMITTEE

The Audit & Risk Committee plays a vital role in ensuring the integrity of the financial statements and internal controls of the Group on behalf of the Board. It also sets the strategic risk parameters through policies, guidelines, tolerance limits and approving the risk management strategy, significant policies and programs. The Committee meets at least quarterly in order to evaluate the effectiveness of the Group's financial, internal control and risk management systems.

Key purpose and responsibilities

Financial Reporting

The Committee plays a vital role in ensuring the integrity of the financial statements prior to their review and approval by the Board through:

- review of the accounting policies, financial reporting and regulatory compliance practices of the Group;
- evaluation of the effectiveness of the internal control systems of the Group in accordance with its approved audit plan; and
- the appointment, supervision and performance appraisal of the independent external and internal auditors.

External Audit

The Committee:

- receives reports on the findings of the external auditors and Management's corrective actions in response to the findings;
- meets quarterly, and the external auditors are invited to attend whenever necessary but at least twice in a year where they meet without Senior Management's presence;
- annually, reviews and approves the overall scope and plans for the external audit activities, including the fees which have to be ratified by the shareholders; and
- reviews the External auditor's performance.

To maintain independence, objectivity and professionalism of the external auditor, the Committee invites prequalified audit firms to bid for professional audit and tax services every six to nine years while the audit partner is rotated not more than five years after having taken up the assignment. The audit firms make presentations to the Committee and are evaluated on a set criteria and the Committee recommends to the Board the appointment of a suitable audit firm. The Board then recommends to the shareholders the appointment of the proposed auditor subject to the approval of appointment by the Central Bank of Kenya.

CORPORATE GOVERNANCE STATEMENT (Continued)

Internal Audit

The Audit Committee is involved in the appointment and performance assessment of the Head of Internal Audit, who reports directly to this Committee. The Committee;

- reviews the overall scope, annual plans and budget for the Internal Audit function's activities;
- oversees the alignment of Internal Audit activities vis-à-vis the risk management programs; and
- reviews all Internal Audit reports and has regular direct access to the Head of Internal Audit.

The above processes have been developed to ensure the competence and independence of the internal and external auditors hence ensuring timely, accurate and transparent reporting and disclosures on financial and internal control performance.

Risk Management:

The Committee:

- sets the strategic risk parameters and tolerance limits through appropriate risk policies/ guidelines;
- approves the risk management strategy and programs;
- monitors compliance with the risk policies, limits and programs; and
- reviews the adequacy of the risk management framework in relation to the risks faced by the Group.

The Committee is assisted in these functions by various Management risk committees which undertake both regular and ad-hoc reviews of the Group's risk management environment, the results of which are reported at appropriate levels for review and action.

Highlights of the key activities in 2018

During the course of the year, the Committee received, reviewed, monitored, considered, approved, guided Management and made recommendations to the Board on:

- the internal audit scope, risk based plan, capacity and quality assurance program and the internal audit quality self-assessment and progress reports;
- the internal audit reports and recommendations on issues identified, including status of implementation of audit recommendations;
- the external audit service plan and reports, including the audit recommendations on issues identified; and engagements with the external auditors;
- the Group's performance and approval of audited and unaudited financial statements;
- the business continuity test results;
- the adequacy of internal control structures and review of incidents;

- a summary of the litigations for and against the Bank to assess level of exposure;
- major loans in arrears for the purposes of approval of adequacy of provisions on the loan book;
- performance appraisal of the Head of Internal Audit and the Internal Audit department and review of the department's resourcing;
- updates on implementation progress and impact of the IFRS 9 standard at the Bank;
- independent report on vulnerability of the Group's ICT systems;
- updates on the implementation of key risk management and internal control systems;
- disaster recovery and business continuity management;
- policy changes in relation to national and applicable international laws, regulations and policies including but not limited to Basel III and IFRS 9, 15 and 16;
- updates on the Group reorganization and emerging risks thereof;
- updates on the Group's Environmental and Social Management System; and
- the Corporate Risk register on all key risks affecting the Group including the political and economic risks and the plans to manage any risks that may materialise as a result.

EXECUTIVE AND STRATEGY COMMITTEE

The Committee assists the Board in discharging its responsibilities relative to strategy and general operations oversight. The Committee meets regularly to review and recommend for Board approval major capital projects, periodic strategic plans, and key policy guidelines as developed by Management.

Key purpose and responsibilities

- strategy formulation and general operations review;
- approval of major capital projects, periodic strategic plans, and key policy guidelines vis-à-vis the strategic plan as developed by Management;
- provision of entrepreneurial leadership within a framework of prudent and effective controls;
- monitoring of the Group's performance against strategic plans and objectives on an ongoing basis; and
- reviewing, and monitoring the Group's capital position, approving proposals for investments, capital projects and the allocation of capital and other resources within the Group.

CORPORATE GOVERNANCE STATEMENT (Continued)

Highlights of the key activities in 2018

During the course of the year, the Committee received, reviewed, monitored, considered, approved, guided Management and made recommendations to the Board on:

- the execution of the Group's strategy;
- proposals on new initiatives and updates on significant matters that had a bearing on the Group's capital position;
- branch expansion and major business investments;
- market position updates vis-à-vis the strategic targets; and
- monitoring the new strategy for the period 2018 – 2022

GOVERNANCE AND NOMINATIONS COMMITTEE

The Committees' objective is to establish a robust Board of Directors who can deliver on the Group's strategic plans; assessing its effectiveness by developing a Board Charter to be implemented by the Board of Directors towards ensuring the protection, maintenance and enhancement of a sustainable return for the Group's stakeholders.

Key purpose and responsibilities

The Committee:

- tracks and monitors adherence by the Board and Management on good corporate governance practices as enshrined in the Articles of Association, Board Charter and applicable regulatory requirements;
- maintains an overview of the Board's composition and ensures that the Directors collectively possess the required skills, expertise and experience to grow and sustain the business and uphold the principles and practices of good Corporate Governance as determined by the Board through its Charter;
- oversees the Board's annual performance evaluation and is responsible for assessing the extent of any conflict of interest posed by Directors' other interests or duties;
- ensures that the term of office of the Directors is organised in a manner that ensures a smooth transition in the event of changes to the Board's membership;
- considers the requirements for the appointment of Board members and makes recommendations for appointment to the Board through the Board Chairman;
- ensures that all appointments to the Board are approved, where required, by the Group's regulators and thereafter by the Shareholders during the Annual General Meeting;
- establishes an induction program for new members and recommends continuous professional development programs for the Board including at least twelve hours of development annually on areas of governance;

- facilitates, through the Group Company Secretary, an annual governance audit and legal and compliance audit to provide assurance on the governance practices and adherence to laws; and
- reviews the status of Independent Non-Executive Directors annually in accordance with the requirements set out under the regulatory guidelines.

The Committee successfully carried out its responsibilities as outlined above during the course of the year 2018.

In order to ensure that the Group is adhering to all laws, regulations and standards applicable to it and for the purposes of providing assurance to its stakeholders and complying with the CMA Code of Corporate Governance Practices for Issuers of Securities to the Public, the Committee through the Group Company Secretary facilitates a comprehensive independent legal and compliance audit at least once every two years by a legal professional in good standing with the Law Society of Kenya. An internal legal and compliance audit is carried out in each year preceding the independent audit to achieve the same purpose and ensure that any departures from the required levels of compliance are identified and corrected in a timely manner.

In relation to the process for appointments to the Board, the Committee considers recommendations on proposed members from the Directors and the Shareholders. The Committee then assesses the suitability of candidates for appointment to the Board, whereby the person(s) should possess:

- high levels of integrity with impeccable professional, technical and moral credentials;
- strong business acumen with demonstrated positive and knowledgeable contribution to discussions relative to banking business; and
- strategic and tactical vision and thought.

In assessing potential new Directors, the Committee considers individuals from various disciplines, diverse backgrounds, gender representation and any potential areas of conflict that may undermine their position or service as Director.

CORPORATE GOVERNANCE STATEMENT (Continued)

Highlights of the key activities in 2018

During the course of the year, the Committee received, reviewed, monitored, considered, approved, guided Management and made recommendations to the Board on:

- the Board Evaluation report;
- the Group Company Secretary's report on the level and status of compliance with the Capital Markets Authority's and Central Bank of Kenya's corporate governance requirements and the Companies Act's requirements; and
- the Group's application of the principles of good corporate governance based on the findings and recommendations made from the Governance Audit.

Board Induction, Training and Professional Development

On appointment, each Director takes part in an induction programme, during which he/she meets members of Senior Management, receives information about the role of the Board, each board Committee and the powers delegated to these Committees.

The Board is committed to the continuing professional development of the Directors in order for them to build on their expertise and develop deeper understanding of the Group's business and markets.

In 2018 the Directors were kept up to date with key developments which included two whole-day sessions covering the following training and sensitisation activities facilitated by external experts on each subject matter area:

- International Financial Reporting Standards (IFRS) 15 & 16;
- Environmental and Social Risk Management;
- Credit Risk;
- Corporate Governance;
- Financial Crime (including Anti-Money Laundering practices);
- Anti-Bribery and Corruption and Whistleblowing; and
- High performing Boards.

In addition, all Board Audit Committee and Board Governance and Nominations Committee members attended a CMA facilitated forum on the State of Corporate Governance and Open Session on Corporate Governance Practices.

The Board is confident that its members have the full ability and knowledge to perform their duties as required.

INFORMATION COMMUNICATION TECHNOLOGY (ICT) COMMITTEE

The Committee oversees the cultivation and promotion of an ethical ICT governance and management culture and awareness and provides the required leadership to support and achieve the effective and efficient management of ICT resources to facilitate the achievement of the Group's strategic objectives.

Key purpose and responsibilities

The Committee:

- ensures that the Group has in place an appropriate ICT governance structure and risk management framework which suits the business needs and risk tolerance;
- develops and periodically reviews the alignment of ICT strategy with the overall business strategies and significant policies of the Group;
- approves the ICT risk management strategies and policies;
- sets the ICT ethical and integrity standards and establishes a culture that emphasizes and demonstrates the importance of ICT risk management;
- establishes an ICT steering committee consisting of representatives from senior management, the ICT function and major business units to oversee the ICT activities and report to senior management and the Board on the effectiveness of strategic ICT planning, budgets and expenditure, ICT performance and its optimization;
- ensures effective periodic internal and external audit procedures are carried out on the ICT risk management practices with reports submitted to the Board Audit Committee;
- ensures the appropriation of required funding for ICT risk management functions; and
- understands the major ICT risks inherent in the Group's business while setting acceptable tolerance levels for the risks and ensures the implementation of the measures necessary to identify, measure, monitor and control / mitigate ICT risks.

Highlights of the key activities in 2018

During the course of the year, the Committee received, reviewed, monitored, considered, approved, guided Management and made recommendations to the Board on:

- the core banking system upgrade;
- investment in Omni-channel banking capabilities
- digital transformation strategy;
- data and analytics strategy;
- cyber security initiatives; and
- ICT capacity to support the Group's ICT and digital strategy

CORPORATE GOVERNANCE STATEMENT (Continued)

BANK BOARD COMMITTEES

In 2018 the Bank Board had five (5) Committees comprised of Non-Executive Directors:

- Audit Committee;
- Credit Risk Committee;
- Governance and Nominations Committee;
- Human Resources and Compensation Committee; and
- Risk Management Committee.

The composition of the Board Committees is outlined on page 89 of this annual report.

AUDIT COMMITTEE

The Bank's Audit Committee bears and undertakes similar responsibilities and activities as those of the Holding Company's Audit and Risk Committee with the exception of review of the risk management activities which are overseen by the Risk Management Committee.

CREDIT RISK COMMITTEE

The Committee reviews and oversees the overall lending policies and approves credit applications that are above the approval limits delegated to Management. It ensures that there are effective procedures for prudent lending and debt management practices.

Key purpose and responsibilities

The Committee:

- reviews and oversees the overall lending policies of the Bank;
- approves credit applications that are above the approval limits delegated to Management;
- ensures that there are effective procedures to identify and manage irregular and problem facilities, minimize credit loss and maximize recoveries;
- considers issues that may materially impact on the current and future quality of the loan portfolio and credit risk management, and further ensures that adequate provisions for bad and doubtful debts have been made in compliance with the regulatory requirements and prudent credit management practices; and
- regularly reviews and recommends to the Board discretionary credit limits for the Board Credit Risk Committee and Management Credit Risk Committee.

Highlights of the key activities in 2018

During the course of the year, the Committee received, reviewed, monitored, considered, approved, guided Management and made recommendations to the Board on:

- impact of IFRS 9 provisioning on impairment for credits;

- impact of IFRS 15 and IFRS 16;
- automation of the Corporate Loan underwriting process;
- covenants and portfolio monitoring;
- digital lending solution via distribution finance;
- incorporation of Credit Risk Advisory Group within the Credit Risk function to handle problem credits;
- pre-watch management committee to address early warning signs on credit;
- large exposure facilities above Management's approval limits;
- business proposals for renewals and increase in limits and extensions approved by the Management Credit Risk Committee (MCRC);
- new business proposals and renewals with/without increase and extensions approved by the MCRC;
- updates on progress made on non-performing facilities; and
- updates on business environment issues affecting the loan portfolio(s).

GOVERNANCE AND NOMINATIONS COMMITTEE

The Bank's Governance and Nominations Committee bears and undertakes similar responsibilities and activities as those of the Holding Company's Governance and Nominations Committee.

HUMAN RESOURCES AND COMPENSATION COMMITTEE

The Committee reviews the Human Resources policies and procedures and ensures that they adequately support the Group's strategy. It ensures that the Group continues to provide remuneration packages that fairly reward staff for their contribution to the business and continues to attract, motivate and retain staff of the highest caliber.

Key purpose and responsibilities

The Committee:

- reviews the Human Resources policies and procedures and ensures that they adequately support the Group's strategy;
- ensures that the Group provides remuneration packages that fairly reward staff for their contribution to the business and continues to attract, motivate and retain staff of the highest caliber;
- ensures succession plans are in place for all senior executive management of the Group; and
- establishes and approves the compensation structures of Management and employees of the Group.

CORPORATE GOVERNANCE STATEMENT (Continued)

The Committee's activities are geared towards enhancing staff welfare, minimizing irresponsible and unnecessary risk taking and ensuring that management and employees are motivated to achieve superior performance whilst enhancing the strength and stability of the Group.

Highlights of the key activities in 2018

During the course of the year, the Committee received, reviewed, monitored, considered, approved, guided Management and made recommendations to the Board on:

- updates on the human resource management systems;
- updates on staff satisfaction, succession and retention strategies;
- the Group's talent management, resourcing and professional development plans;
- the Group's performance management, performance review and rating process, career advancement proposals, salary review and bonus (profit share) payment plan; and
- Senior Managements' performance appraisals and proposals as presented by the Group Managing Director.

RISK MANAGEMENT COMMITTEE

The Bank's Risk Management Committee bears and undertakes similar responsibilities and activities as those of the Holding Company's Audit and Risk Committee with the exception of review of the audit activities which are overseen by the Audit Committee.

COMMUNICATION WITH STAKEHOLDERS

The Group is committed to relating openly with its shareholders and other stakeholders by providing regular information on its performance and addressing any areas of concern. This is achieved through quarterly publication of extracts of its financial performance in the daily newspapers in line with the Central Bank of Kenya and Capital Market's Authority's requirements, publication of annual audited accounts and integrated report and holding of the Annual General Meeting.

The annual integrated report also provides a rich set of information regarding the Group's activities which are reported through the Chairman's, Group Managing Director's and Executive Director's reports on the environment, progress of the strategy and factors affecting the Group's performance. Additional information in the report outlines the various measures that the Board and Management have undertaken in ensuring the achievement of the Group's vision in building prosperity for the Group's stakeholders.

The Group also holds periodic investor briefings to update investors on material factors affecting the Group both positively and negatively and its performance vis-à-vis the strategic plan. Further to this, the Chairman holds annual cocktail events in Nairobi and Mombasa to meet with various stakeholders (mainly customers and investors) to appraise them of developments in an informal and interactive setting. The most recently published financial results are also available on the Group's website, www.nicgroup.com which is interactive and has all the relevant information relating to the Group companies.

In order to foster transparent and accountable long term relationships, the Board has in place formal strategies to promote sustainability including aspects relating to the companies' environmental, social and governance activities and, through the Group Company Secretary, facilitates effective communication between the Group and its shareholders and stakeholders, hence ensuring that their rights are protected at all times. This includes giving shareholders the opportunity to place items on the agenda at Annual General Meetings, according them the opportunity to question Management of the companies and develop a program for regular investor briefings on the Group's economic, social and environmental performance.

The Group has engaged the services of a registrar, C&R Group who, together with the Group Company Secretary, regularly address issues raised by the shareholders.

INTERNAL CONTROLS

The Directors acknowledge their responsibility for the Group's internal control systems, including taking reasonable steps to ensure that adequate systems are being maintained. Internal control systems are designed to meet the particular needs of the Group, and the risks to which it is exposed with procedures intended to provide effective internal financial and operational control. However, it is to be recognized that such systems can only provide reasonable, but not absolute, assurance against material misstatement.

The Board has reviewed the Group's internal control policies and procedures and is satisfied that appropriate controls and procedures are in place.

The Board has put in place a comprehensive risk management framework to identify all key risks, measure these risks, manage the risk positions and determine capital allocations. The policies are integrated in the overall management reporting structure.

The Group's performance trend is reported regularly to the Board and includes an analysis of performance against budget and prior periods. The financial information is prepared using appropriate accounting policies which are applied consistently.

The Group has an Internal Audit Department which is an independent function that reports directly to the Board

CORPORATE GOVERNANCE STATEMENT (Continued)

Audit Committee and provides independent confirmation that the Group's business standards, policies and procedures are being complied with. Where found necessary, corrective action is recommended.

The Group also has a Risk Management and Compliance Department, headed by a senior officer who reports directly to the Board Risk Management Committee. The Board Committee oversees the development and implementation of the Risk Management and Compliance framework while ensuring adherence to the Group's internal policies and regulatory requirements.

A key component of internal controls is the Boards relationship with Management and the latter's implementation of effective governance structures to manage arising risks. The primary Management governance structures is key Management Committees which oversee the implementation of the Board approved policies and which assist the Board and its Committees to implement, monitor, track and report on various Board mandated initiatives.

MANAGEMENT COMMITTEES

A significant factor in the Group's ongoing success is the strength of the Management team. Members of the Management team bring together a vital combination of leadership skills and extensive experience from both local and international institutions. To harness that strength, the Group Managing Director has established Management Committees to assist him and the Board in the management of the Group. These committees are chaired by the Group Managing Director (or his delegate where applicable) and include the respective Heads of Departments, with other senior managers being co-opted on a need basis. The Bank had the following Committees in 2018:

Executive Management Committee (EXCOM)	Assets and Liabilities Committee ALCO
The Committee meets regularly and at least monthly to discuss: - strategy formulation and implementation; - policy and procedure formulation for appropriate internal control; - financial performance against the approved strategy and budgets; and - compliance with the regulatory framework and guidelines and adherence to Group policies and procedures. The Committee also serves as a link between the Board and Management in ensuring that the Board is apprised of key matters affecting the running of the Group.	The Committee meets monthly or more frequently depending on the business circumstances to: - ensure that all foreseeable funding commitments can be met as and when they fall due; - review and manage operational risks pertaining to interest rate, market and exchange rate risks; - ensure compliance with statutory requirements governing liquidity, cash ratio and foreign exchange exposure; and - consider investment policies, and the internal capital adequacy management program. The Committee provides a source of key information that informs considerations at Executive Management Committee and Board Executive and Strategy Committee

CORPORATE GOVERNANCE STATEMENT (Continued)

Management Credit Risk Committee (MCRC)	Credit Portfolio Review Committees
The Committee meets regularly to: - review and approve new credit applications and renewals within the delegated limits set by the Board; - recommend to the Board Credit Risk Committee (BCRC) proposals on the revision of limits; and - recommend to the BCRC facilities for approval that fall within the limits reserved for Board approval. All approvals and recommendations originating from the Committee are independent of the originating business unit(s). The Committee provide a source of key information that informs considerations at the Board Credit Risk Committee.	The Committees (Retail and Corporate and Commercial) meet monthly to review: - the performance of the Group's lending book; - the adequacy of provisions required in accordance with the approved policies and regulatory guidelines; and - strategies to prudently manage the lending book, taking into consideration the dynamic economic and business environment. The Committees provide a source of key information that informs considerations at Management Credit Risk Committee and Board Credit Risk Committee.
Information Communication Technology (ICT) Steering Committee	Risk Management Committee
The Committee meets regularly to review: - major ICT projects to ensure that they meet the minimum standards for implementation as per the ICT strategic plan; - formulation of initiatives to achieve the Board approved ICT strategy; and - undertaking of appropriate risk assessments to ensure that the Group's ICT policies and systems serve the long term needs of the Group in enhancing stakeholder value. The Committee provides a source of key information that informs considerations by the Board ICT Committee.	The Committee meets quarterly to: - review the Group's key risk exposures; - determine the source and potential impact of risks; - review the Risk Management and Compliance function's reports on the level of adequacy of policies and controls in place to manage the risks and level of adherence to regulatory requirements; and - develop mitigation and corrective action plans to manage the key risks. The Committee provides a source of key information that informs considerations at the Board Risk Management Committee.
Procurement Committee	
The Committee meets regularly to: - review the Group's procurement needs, align them to the Group strategic plans and prioritize various needs against critical implementation plans and budgetary allocations; - ensure prudent allocation of resources in enhancing stakeholder value; and - ensure the application of ethical standards through subscribing to principles of openness, integrity and fairness in implementing the Group's procurement practices which is achieved through: • providing opportunities to as many qualified suppliers as is reasonably possible to tender for provision of goods and services to the Group; • transparency in the procurement process, including inviting all shortlisted suppliers to witness the opening of bids and provide feedback for improvement of the tender process; • purchase of high quality goods and services at the most economically favourable terms to ensure that the goods and services add value to the Group and match the businesses standards and image; • providing preference to suppliers who are committed to protection of environmental and social matters in keeping with the Group's commitment and policies on environmental and social protection; • maintaining suitable inventory systems to ensure accountability for all items purchased; and • upholding the anti-bribery and anti-corruption policies and legal requirements in the Group's dealings with suppliers and other stakeholders in the procurement process.	

CORPORATE GOVERNANCE STATEMENT (Continued)

EVALUATION OF BOARD PERFORMANCE

The Board is committed to ensuring that it continues enhance its effectiveness in order to have a positive impact on the performance of the Group and the Bank. In this regard and on an annual basis, the Board conducts a Board Evaluation with a view to identifying its strengths and weaknesses in order to put in place mechanisms for ensuring that it remains a high-performing Board. With the assistance of an independent consultant, the Board undertook a self-evaluation to assess its performance for the year in review. The evaluation was done by way of a questionnaire designed by the independent consultant which covered three parts: Part One was Evaluation of the full Board, Part Two was Evaluation of Board Committees and Part Three was Evaluation of Individual Directors, the Chairman, the Group Managing Director and the Group Company Secretary. The data collected was then analyzed by the independent consultant and a report produced.

Each year, the Board is required to submit the Board Evaluation report to the Central Bank of Kenya and this year was no exception. The key highlights of the Board evaluation for the year 2018 are as outlined below.

The Board Evaluation focused on three (3) foundations, being:

1. People: Whether the Board has the appropriate diversity in the Boardroom in terms of skills, qualifications, technical expertise, relevant industry knowledge and experience, among others.
2. Work: The Boards understanding of its role and responsibilities and in particular its role vis a vis the role of Management.
3. Culture: How the Board inculcates a good governance culture throughout the organization, including how the Board executes its functions, group dynamics and performance culture.

The key outcomes from the Board Evaluation were the following:

1. The composition of the Board and Committees is appropriate with the right mix of knowledge, appropriate experience, competencies and personal qualities, including professionalism.
2. There is a productive working relationship between the Board and the shareholders.
3. Board meetings are conducted in a manner that encourages candid and diverse opinions, meaningful participation and timely resolution of issues.

A number of recommendations were made following the Board Evaluation exercise. The recommendations include the following:

1. Enhance oversight over matters coming through the Whistle Blowing facility.
2. Augment the succession plan for the Group Managing Director and Senior Management and review it regularly.
3. Consider the structure and content of Board papers and define for Management the level of detail required in Board packs.
4. Enhance stakeholder engagement by putting in place appropriate mechanisms for structured engagement and feedback.

The Board has taken up these matters with a view to formulating an implementation plan to strengthen its processes and enhance its effectiveness.

Going Concern

The Board confirms the financial statements are prepared on a going concern basis, as the Directors are satisfied that the Group has adequate resources to continue in business for the foreseeable future. In making this assessment, the Directors have considered a wide range of information relating to present and future conditions, including future projections of profitability, cash flows and capital resources. For this reason, it continues to adopt the going concern basis when preparing the financial statements.

2018 GROUP BOARD COMMITTEES MEMBERSHIP AND ATTENDANCE

Director	Classification	Designation		Board	Audit & Risk	Governance & Nominations	Executive & Strategy	Information & Technology	Training*
J. P. M. Ndegwa	Non-Executive	Chairman, Board	Membership	✓					
			Attendance	7/7		2/2			2/2
J. Gachora	Executive	Group Managing Director	Membership	✓			✓		
			Attendance	7/7	3/3	2/2	3/3	3/3	2/2
A. S. M. Ndegwa	Non-Executive	Chairman, Executive Committee	Membership	✓		✓	✓		
			Attendance	7/7		2/2	3/3		2/2
G. A. Maina	Non-Executive	Non- Executive Director	Membership	✓	✓	✓	✓		
			Attendance	7/7	3/3	1/2	3/3		2/2
P. V. Shah	Non-Executive	Non-Executive Director	Membership	✓			✓		
			Attendance	5/7		1/2	1/3		2/2
E. N. Ngaine	Independent Non-Executive	Chairman, Governance and Nominations Committee	Membership	✓	✓	✓		✓	
			Attendance	7/7	3/3	2/2	1/3	3/3	2/2
P. R. Lopokoiyit	Non-Executive	Chairman, Audit & Risk Committee	Membership	✓	✓	✓		✓	
			Attendance	7/7	3/3	1/2		3/3	2/2
J. Somen	Non-Executive	Chairman, ICT	Membership	✓		✓	✓	✓	
			Attendance	6/7		1/2	2/3	3/3	2/2
D. Abwoga	Executive	Group Executive Director Finance & Strategy	Membership	✓			✓		
			Attendance	7/7	3/3	1/2	3/3	3/3	2/2

* Represent 2 days' training on Credit, Financial Crime and Anti-bribery, Environmental and Social Risk Management, International Financial Reporting Standards (IFRS) and Corporate Governance.

Notes:

✓ Member of respective committee

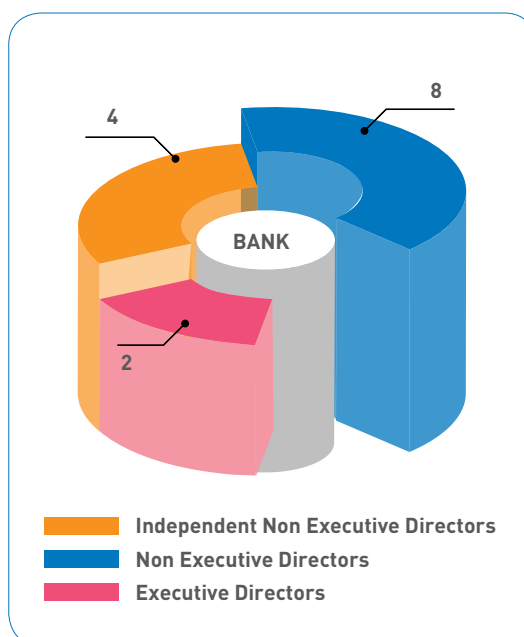
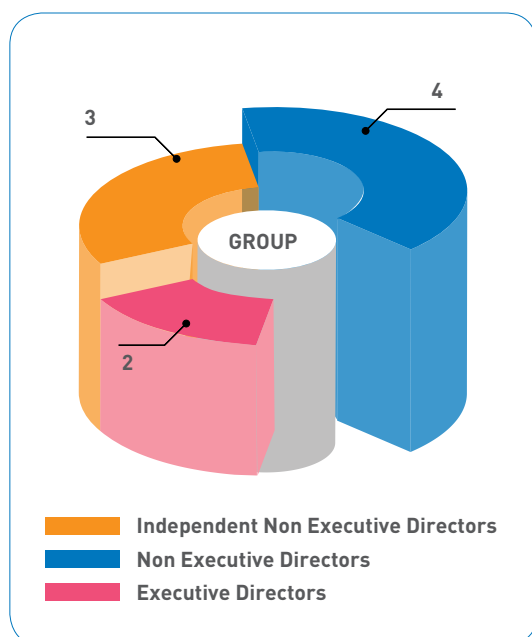
- Where a Director did not attend a Board or Board Committee meeting, an acceptable apology had been received by the Chairman well in advance of the scheduled meeting.
- Attendance by a Director in a Committee meeting where they are not a member was by invitation for purposes of sharing their input where their expertise was required, or in the case of Executive Directors, to provide additional insights on matters under discussion.

CURRENT BOARD AND COMMITTEE COMPOSITION

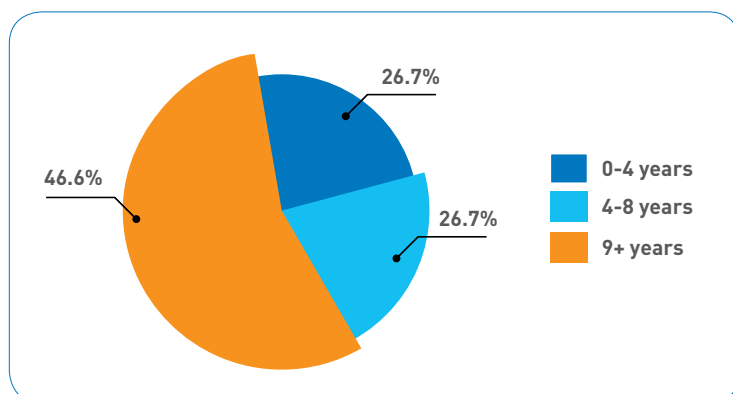
	NIC Group PLC	NIC Bank Kenya PLC
Board of Directors	J P M Ndegwa (Chairman) J Gachora* (Group Managing Director) A S M Ndegwa G A Maina P V Shah E N Ngaine P R Lopokoityit J Somen D Abwoga*	J P M Ndegwa (Chairman) F M Mbiru (Vice Chairman) J Gachora* (Group Managing Director) F N Mwanzia A S M Ndegwa I P Ochola-Wilson G A Maina A J Dodd* P V Shah K Thuo E N Ngaine P R Lopokoityit L R W Ndegwa J Somen
*Executive Directors		
Number of Independent Directors	3 out of 9 (33.33%)	4 out of 14 (28.57%)
	Audit & Risk Committee	Audit Committee
Audit Committee	P R Lopokoityit – Chairman G A Maina E N Ngaine	P R Lopokoityit – Chairman L R W Ndegwa K Thuo
Governance & Nominations Committee	E N Ngaine – Chairman G A Maina A S M Ndegwa P R Lopokoityit J Somen	E N Ngaine – Chairman G A Maina A S M Ndegwa P R Lopokoityit J Somen
Executive / Strategy Committee	A S M Ndegwa – Chairman G A Maina P V Shah J Somen J Gachora D Abwoga	
ICT Committee	J Somen – Chairman E N Ngaine P R Lopokoityit	
Credit Risk Committee		E N Ngaine – Chairman F M Mbiru P V Shah A S M Ndegwa J Gachora A J Dodd
Risk Management Committee		G A Maina – Chairman L R W Ndegwa F N Mwanzia
HR & Compensation Committee		I P Ochola-Wilson – Chairman A S M Ndegwa G A Maina
Notes: - The Independent Non-Executive Directors all have a tenure of less than nine (9) years on the Board; and - Five (5) Directors resigned from the Board of NIC Group PLC on 21st March 2018 while three (3) new Directors were appointed to the same Board on the same date. Three (3) new Directors were appointed to the Board of NIC Bank Kenya PLC on 8th February 2018. The details of the reconstitution of the Board are contained within the Statement on Corporate Governance of this Report.		

Registered Office	NIC House Masaba Road P. O. Box 44599 – 00100 Nairobi
Group Company Secretary	L Murage Certified Public Secretary (Kenya) NIC House, Masaba Road P. O. Box 44599 – 00100 Nairobi
Auditors	PricewaterhouseCoopers Certified Public Accountants (Kenya) PwC Tower Waiyaki Way/ Chiromo Road, Westlands P. O. Box 43963-00100 Nairobi
Registrars and Transfers Office	Custody & Registrars Services Limited 6th Floor, Bruce House Standard Street P. O. Box 8484 – 00100 Nairobi

Number of Independent Directors



Director's Length of Service



SHAREHOLDING PROFILES

The Company, through its Registrar, files returns regularly in line with the requirement of the Capital Markets Authority and the Nairobi Securities Exchange under the listing regulations on transactions related to shareholders.

The number of shareholders as at 31st December 2018 was 26,776 (2017 – 25,922)

A. Principal Shareholders

The top 10 major shareholders, based on the Group's share register as at 31st December 2018 are as follows:

Name	Number of Shares	%
First Chartered Securities Limited	111,521,351	15.84
ICEA Asset Management Limited Account 2000	64,463,608	9.16
Livingstone Registrars Limited	61,457,168	8.73
Rivel Kenya Limited	58,369,703	8.29
Amwa Holdings Limited	14,951,943	2.12
Tropical Veterinary Services Limited	12,110,130	1.72
Makimwa Consultants Limited	9,531,214	1.35
Murwoki Holdings Limited	8,678,715	1.23
SCB Account Pan African Unit Linked FD	7,192,450	1.02
Thuthuma Limited	7,080,465	1.01
Total	355,356,747	50.47

B. Distribution Schedule

Category	Number of Shareholders	Number of Shares	%
1-500 shares	8,739	1,521,831	0.22
501-5,000 shares	13,242	26,407,769	3.75
5,001-10,000 shares	1,944	12,987,950	1.85
10,001-100,000 shares	2,361	62,574,694	8.89
100,001-1,000,000 shares	425	124,570,017	17.70
1,000,001 and over	65	475,877,903	67.60
Total	26,776	703,940,164	100.00

C. Shareholder Profile

Category	Number of Shareholders	Number of Shares	%
Local Individual Investors	24,829	132,202,863	18.78
Local Institutional Investors	1,720	562,484,424	79.91
Foreign Individual Investors	208	5,153,794	0.73
Foreign Institutional Investors	19	4,099,083	0.58
Total	26,776	703,940,164	100.00

Notes:

- The above constitute the key stakeholders who may have the ability to influence the Company's performance and sustainability; and
- The Company submits the entire list of shareholders to the Registrar of Companies Annually.

The following Directors had direct or indirect beneficial equity interests in the ordinary shares of the Group as at 31 December 2018.

	Name	Shares held
1	James P. M. Ndegwa	52,578,948
2	Andrew S. M. Ndegwa	52,567,074
3	John Gachora	347,050
4	Esther N. Ngaine	63,800
5	Paras V. Shah	93,500
6	David Abwoga	8,281



Jadala Place, 3rd Floor
Ngong Lane, Ngong Road
P. O. Box 73248 – 00200
Nairobi, Kenya
Tel: +254 (20) 21 49 923
Cell: +254 722 83 73 43
Email: info@maongandonye.com
www.maongandonye.com

REPORT OF THE INDEPENDENT GOVERNANCE AUDITOR TO THE SHAREHOLDERS OF NIC GROUP PLC AND NIC BANK KENYA PLC

INTRODUCTION

We have carried out Governance Audit of NIC GROUP PLC and NIC BANK KENYA PLC covering the Financial Year ended 31st December 2018 through which we reviewed the Governance Practices, Structures and Systems put in place by the Boards of the two companies.

BOARD RESPONSIBILITY

The Boards of NIC GROUP PLC and NIC BANK KENYA PLC are responsible for putting in place governance structures and systems that support the practice of good governance in the two companies. Their responsibilities include planning, designing and maintaining governance structures through policy formulation necessary for efficient and effective management of the companies. The respective Boards are responsible for ensuring that they are properly constituted for promoting and enhancing ethical leadership and corporate citizenship, accountability, risk management, internal controls, transparency, disclosure, members' rights and obligations, members' relationship, compliance with laws and regulations, sustainability, and performance management.

GOVERNANCE AUDITOR'S RESPONSIBILITY

Our responsibility is to express an opinion on the existence and effectiveness of governance instruments, policies, structures, systems and practices in an organization within the legal and regulatory framework and in accordance with best governance practices as envisaged under proper board constitution and composition; ethical leadership and corporate citizenship; accountability, risk management and internal control; transparency and disclosure; members' rights and obligations; members' relationship; compliance with laws and regulations; sustainability; and performance management based on our audit.

We conducted our audit in accordance with the ICS Governance Audit Standards and Guidelines which conform to global Standards. These standards require that we plan and perform the governance audit to obtain reasonable assurance on the adequacy and effectiveness of the organizations' policies, systems, practices and processes. We believe that our governance audit provides a reasonable basis for our opinion.

OPINION

In our opinion, the Boards of NIC GROUP PLC and NIC BANK KENYA PLC have put in place effective, appropriate and adequate governance structures in the two organizations which are in compliance with the legal and regulatory framework and in line with good governance practices for the interest of stakeholders.

.....
J L G Maonga, P.108
For: Maonga Ndongye Associates

Date: 25th March 2019

Partners: J. L. G. Maonga, D. M. Ndongye



FINANCIAL STATEMENTS

CORPORATE INFORMATION

DIRECTORS

J P M Ndegwa - Chairman
J Gachora* - Group Managing Director
D Abwoga* - Executive Director, Finance and Strategy
Appointed 21 March 2018
P R Lopokoityit – Appointed 21 March 2018
G A Maina
A S M Ndegwa
E N Ngaine
P V Shah
J Somen – Appointed 21 March 2018

*Executive directors

EXECUTIVE/ STRATEGY COMMITTEE

A S M Ndegwa- Chairman
G A Maina
P V Shah
J Somen
J Gachora
D Abwoga

COMPANY SECRETARY

L Murage
Certified Public Secretary (Kenya)
NIC House, Masaba Road
PO Box 44599-00100
Nairobi

AUDITOR

PricewaterhouseCoopers
Certified Public Accountants (Kenya)
PwC Tower
Waiyaki Way/Chiromo Road, Westlands
PO Box 43963-00100
Nairobi

AUDIT AND RISK COMMITTEE

P R Lopokoityit- Chairman
G A Maina
E N Ngaine

GOVERNANCE AND NOMINATIONS COMMITTEE

E N Ngaine – Chairman
P R Lopokoityit
G A Maina
A S M Ndegwa
J Somen

INFORMATION, COMMUNICATIONS AND TECHNOLOGY (ICT) COMMITTEE

J Somen - Chairman
E N Ngaine
P R Lopokoityit

REGISTERED OFFICE

NIC House
Masaba Road
PO Box 44599-00100
Nairobi

REGISTRARS AND TRANSFERS OFFICE

Custody & Registrars Services Limited
6th Floor, Bruce House,
Standard Street
PO Box 8484-00100
Nairobi

DIRECTORS' REPORT

The directors submit their report together with the audited financial statements for the year ended 31 December 2018.

BUSINESS REVIEW

NIC Group PLC (the "Company/Parent") and its subsidiaries (together, the "Group") provide retail, corporate banking, stock brokerage, bancassurance, property and investment banking services.

The Group performance was mainly impacted by lower yields on loans and advances and high cost of funds that contributed to shrinkage in margins. The Group recorded a profit before tax of Shs 5.82 billion, which represents a 4% growth year on year. Total assets grew 1% year on year to Shs 208.4 billion. Customer deposits grew 4% from Shs 138.9 billion to Shs 144.5 billion, while long term borrowings declined by 13% from Shs 17 billion to Shs 14.9 billion. Investment in Government securities grew 13% year on year to close at Shs 61.7 billion. Gross loan book increased by 2% while the net loan book reduced by 1% due to an increase in provisions.

The Group adopted International Financial Reporting Standard (IFRS) 9, financial instruments effective 1 January 2018. As a result, it recorded a charge to its opening equity on 1 January 2018 of Shs 3,028,293,000 to reflect the impact of the new requirements for provisions and classification and measurement of financial instruments at the adoption date. The Group did not restate comparative periods, as permitted by the standard. Accordingly, the 2018 results are based on IFRS 9, while the prior year's results are based on International Accounting Standard (IAS) 39, Financial Instruments: Recognition and Measurement and therefore, certain amounts herein and related ratios are not comparable. The main impact under IFRS 9 is related to provisions for expected credit losses on financing arrangements. The provision for impairment on performing financing arrangements is stages 1 and 2 under IFRS 9, while impairment provision for credit losses on impaired financing arrangements is stage 3. For detailed description of the changes, refer to Note 3 in the financial statements.

On 6 December 2018, NIC Group PLC and Commercial Bank of Africa Limited announced that their Board of Directors authorized the commencement of discussions regarding a potential merger of the two entities. The proposed merger will be completed upon fulfilment of a certain set of conditions precedent, customary to transactions of this nature, including but not limited to, the parties obtaining applicable shareholder and regulatory approvals, and the parties entering into and completing various transactional agreements to complete the merger.

DIVIDENDS

The Group profit for the year of Shs 4,228,370,000 (2017: Shs 4,144,418,000) has been added to retained earnings.

No interim dividend (2017: Nil) was paid to shareholders during the year. The Board has resolved to recommend to the shareholders at the forthcoming Annual General Meeting, scheduled for 17 April 2019, the payment of a first and final dividend for the year of Shs 1.25 per share (2017: final dividend of Shs 1 per share). The dividend will be payable to the shareholders registered on the Company's register at the close of business on 18 April 2019 and will be paid on or after 6 May 2019.

The total dividend for the year, therefore is Shs 1.25 (2017: Shs 1.00) for every one ordinary share amounting to Shs 879,925,000 (2017: Shs 639,946,000).

DIRECTORS' REPORT (Continued)

DIRECTORS

The directors who held office during the year and to the date of this report are shown on page 94

DISCLOSURES TO AUDITOR

The directors confirm that with respect to each director at the time of approval of this report;

- (a) there is, as far as each director is aware, no relevant audit information of which the company's auditor is unaware; and
- (b) each director has taken all steps that ought to have been taken as a director so as to be aware of any relevant audit information and to establish that the company's auditor is aware of that information

TERMS OF APPOINTMENT OF THE AUDITOR

PricewaterhouseCoopers continue in office in accordance with the Company's Articles of Association and Section 721 of the Kenyan Companies Act, 2015.

The directors monitor the effectiveness, objectivity and independence of the auditor. This responsibility includes the approval of the audit engagement contract and the associated fees on behalf of the shareholders.

BY ORDER OF THE BOARD



LIVINGSTONE MURAGE
Group Company Secretary

DIRECTORS' REMUNERATION REPORT

INFORMATION NOT SUBJECT TO AUDIT

This report describes the Group's remuneration policy and the remuneration paid to Directors in 2018. The remuneration policy, including all structures and policies related to remuneration is in line with the Companies Act, No. 17 of 2015, the CMA Code of Corporate Governance Practices for issuers of Securities to the Public, 2015 and the Companies General Amendment Regulations No. 2 of 2017.

There were no changes to the structure of the Directors' remuneration in the year ended 31 December 2018. Directors continued to be remunerated at the same rate as in the year ended 31 December 2017 and therefore there were no substantial changes in the year ended 31 December 2018 in relation to the Directors' remuneration.

The first part of this report describes the remuneration policy, while the second part describes the implementation of the policy in 2018.

Chairman, Board Governance and Nominations Committee

Background:

The members of the Board Governance and Nominations committee are:

E N Ngaine – Chairman

P R Lopokoiyit (Appointed on 21 March 2018)

G A Maina

A S M Ndegwa

J Somen (Appointed on 21 March 2018)

PART 1

Remuneration Policy

The remuneration policy has the objective of providing remuneration that will attract, retain and engage high calibre directors whilst protecting and promoting the Group's strategy and objectives. The structure supports the Group's short term and long term objectives. The policy seeks to provide market competitive remuneration.

Remuneration of Executive Directors

Performance parameters for Executive Directors are drawn from the Group's Strategy. The Directors' targets and performance indicators are closely linked with the performance targets for the business and are anchored on the short-term (annual) and long-term (5 year) strategic objectives of the Group. The targets are set and measured by the Board on a quarterly, half yearly and annual basis in line with the release of the business performance reports.

The remuneration of the Executive Directors consists of:

- Base Salary
- Performance based Compensation
- Deferred Compensation
- Other Benefits – such as company car, medical and life cover, retirement benefits and loans as determined by the Board

DIRECTORS' REMUNERATION REPORT (Continued)

INFORMATION NOT SUBJECT TO AUDIT (Continued)

Remuneration of Non-Executive Directors

The performance of Non-Executive Directors (NEDs) is assessed annually through the Board Evaluation process which considers individual contribution to the activities of the Board and Board Committees. An Evaluation Report is generated with clear recommendations on the performance of the Directors not only as a team but also as individuals. Their remuneration is based on proposals by the Board Governance and Nominations Committee (BGNC) and approved by the Board and the Shareholders. Non-Executive Directors are not entitled to a salary, performance based compensation or other cash or non-cash benefits.

In 2016 the Board approved a compensation structure for NEDs which followed a benchmarking exercise in order to provide market competitive remuneration. The remuneration for NEDs consists of:

- Monthly retainer fee; and
- Sitting allowance for Board and Board Committee meetings

Expenses incurred in respect of travel, accommodation or other incurred expense whilst carrying out duties as a Director are reimbursed at cost

Share Option Scheme

Currently, the Group does not have a share option scheme for Directors or Employees and therefore Directors were not entitled to take up any shares through an Employee Share Option Scheme (ESOP) or a Directors' Share Option Scheme (DSOP).

Directors' Contracts of Service

The Group Managing Director has been appointed on a five (5) year renewable contract term, with the renewal being approved by the Board of Directors prior to maturity date. The Group's Executive Director has been appointed on an open-ended contract while the Bank's Executive Director has been appointed on a two (2) year renewable contract, such renewal being approved by the Board of Directors prior to maturity date. The Executive Directors' continued service is subject to an annual performance review by the Board.

Non-Executive Directors are appointed in accordance with the procedure laid out in the Articles of Association and the Board Charter. NEDs are appointed for a term of 3 years and retire by rotation but are eligible for reappointment taking into consideration their performance and the shareholders' views. The Board Governance and Nominations Committee makes recommendations to the Board based on professional skills and experience, independence and ethical standards. Appointments by the Board are subject to approval from the Central Bank of Kenya, the Group's Shareholders, and where applicable the Capital Markets Authority.

The Notice period for the Group Managing Director is six (6) months while that of the Executive Directors is three (3) months or payment in lieu of notice in all cases. With regards to NEDs, the notice period will vary depending on the circumstances of the departure.

On termination of contract, an Executive Director will be entitled to be paid any amounts due as per contract terms up to the date of such termination. The maximum amount payable would be the salary and applicable benefits payable in lieu of notice where it is agreed to terminate the contract prior to maturity of the notice period. Non-Executive Directors will be entitled to any outstanding dues on the monthly retainer fees and the sitting allowances up to the date of termination. No additional amounts are payable to Directors unless these are expressly approved under special circumstances by the Board of Directors.

Statement of the Previous General Meeting

A Resolution to approve the Directors' remuneration report for the year ended 31 December 2017 was unanimously passed through acclamation by shareholders at the Annual General Meeting held on the 25th day of May 2018. There were no objections to the Directors' Remuneration Report.

DIRECTORS' REMUNERATION REPORT (Continued)**INFORMATION SUBJECT TO AUDIT****PART 2: IMPLEMENTATION REPORT**

The Board is responsible for ensuring that the remuneration policy, and its implementation, are aligned with the Group's strategies and objectives. The policy is designed to avoid instances where the Directors, act in their own interests or take risks that are not in line with the Group's strategy and risk appetite. Where other benefits are granted, the Board ensures that these are in line with market norms.

The following tables show the remuneration for the Chairman, Non-Executive Directors (NEDs) and Executive Directors in respect of qualifying services for the year ended 31st December 2018. The aggregate Directors' emoluments are shown on note 40.

Directors Remuneration for the year ended 31 December 2018	Fees	Salary	Cash Incentive Compensation- Non Deferred	Cash Incentive Compensation- Deferred	Retirement Benefits	Total
	Shs 000	Shs 000	Shs 000	Shs 000	Shs 000	Shs 000
J P M Ndegwa - Chairman	2,720	-	-	-	-	2,720
J Gachora* - Group Managing Director		61,564	23,572	3,198	6,602	94,936
D Abwoga*		22,509	7,848	1,108	2,507	33,972
P R Lopokoityit	3,760	-	-	-	-	3,760
G A Maina	3,300	-	-	-	-	3,300
A S M Ndegwa	7,771	-	-	-	-	7,771
E N Ngaine	4,100	-	-	-	-	4,100
P V Shah	2,860	-	-	-	-	2,860
J Somen	2,486	-	-	-	-	2,486
	26,997	84,073	31,420	4,306	9,109	155,905

The total Directors fees for J P M Ndegwa was paid to Asset Managers Limited in respect of Director's services in the year ended 31 December 2018.

* Executive Directors

DIRECTORS' REMUNERATION REPORT (Continued)**INFORMATION SUBJECT TO AUDIT (Continued)****PART 2: IMPLEMENTATION REPORT (Continued)**

Included in the NEDs fees for the year ended 2018 are amounts relating to fees earned for services rendered to individual NIC Group Companies as tabulated below.

Directors Remuneration for the year ended 31 December 2018	NIC Group PLC	NIC Bank Kenya PLC	NIC Bank Tanzania Ltd	NC Bank Uganda Ltd	NIC Capital Ltd	NIC Securities Ltd	NIC Leasing LLP	Total
	Shs 000	Shs 000	Shs 000	Shs 000	Shs 000	Shs 000	Shs 000	Shs 000
J P M Ndegwa - Chairman	300	2,420						2,720
P R Lopokoiyit	810	2,455		495				3,760
G A Maina	690	2,610						3,300
A S M Ndegwa	450	3,330	1,668	1,723	240	240	120	7,771
E N Ngaine	750	3,350						4,100
P V Shah	200	2,660						2,860
J Somen	550	1,936						2,486
	3,750	18,762	1,668	2,218	240	240	120	26,997

The following tables show the remuneration for the Chairman, Non-Executive Directors (NEDs) and Executive Directors in respect of qualifying services for the year ended 31 December 2017

Directors Remuneration for the year ended 31 December 2017	Fees	Salary	Cash Incentive Compensation	Deferred Cash Incentive Compensation	Retirement Benefits	Total
	Shs 000	Shs 000	Shs 000	Shs 000	Shs 000	Shs 000
J P M Ndegwa - Chairman	2,300					2,300
F M Mbiru - Vice Chairman	6,000					6,000
J Gachora* - Group Managing Director		57,698	29,989	4,131	6,236	98,054
A Dodd*		35,087	10,245	1,533	-	46,865
G A Maina	2,540					2,540
F N Mwanzia	2,940					2,940
A S M Ndegwa	7,606					7,606
E N Ngaine	3,320					3,320
I Ochola-Wilson	4,875					4,875
P V Shah	2,760					2,760
K Thuo	2,100					2,100
	34,441	92,785	40,234	5,664	6,236	179,360

The 2017 remuneration includes fees for directors who served prior to the reorganisation.

The total Directors fees for J P M Ndegwa was paid to Asset Managers Limited in respect of Director's services in the year ended 31 December 2017.

* Executive Directors

DIRECTORS' REMUNERATION REPORT (Continued)**INFORMATION SUBJECT TO AUDIT (Continued)****PART 2: IMPLEMENTATION REPORT (Continued)**

Included in the NEDs fees for the year ended 2017 are amounts relating to fees earned for services rendered in other NIC Group Companies other than NIC Bank Kenya PLC as tabulated below.

Directors fees for the year ended 31 December 2017	NIC Bank Tanzania Ltd Shs'000	NC Bank Uganda Ltd Shs'000	NIC Capital Shs'000	NIC Securities Shs'000	Total Shs'000
F M Mbiru - Vice Chairman	-	2,480	-	-	2,480
A S M Ndegwa	1,956	1,910	180	180	4,226
I Ochola-Wilson	2,295	-	-	-	2,295
	4,251	4,390	180	180	9,001

Share Option Scheme

There was no share option scheme for Directors in the year ended 31 December 2018.

Long Term incentives

There were no Long Term incentives granted to NEDs in the year ended 31 December 2018.

Pension Related Benefits

Pension for Executive Directors is provided under the NIC Group Defined Contribution Pension Scheme, which is registered with the Retirement Benefits Authority and whose members are all employed staff of the Group up to the age of 60 years. The contribution to the scheme is made up of a minimum five percent (5%) contribution of basic salary by the employee and fifteen percent (15%) contribution from the company. This does not include the statutory contribution to the National Social Security Fund (NSSF). As at 31 December 2017, only one Executive Director was a member of the scheme and as at 31 December 2018, two Executive Directors were members of the scheme following the appointment of an Executive Director to the Board of NIC Group PLC.

NEDs are not entitled to a pension benefit.

Compensation for past directors

The Group did not make any payments to Directors for loss of office during the year ended 31 December 2018. (2017: Nil)

There was no change in the Group's policy on payments to former directors in the year ended 31 December 2018.

On behalf of the Board

E N NGAINE

Chair, Governance and Nominations Committee

Date 20 March 2019

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Kenyan Companies Act, 2015 requires the directors to prepare financial statements for each financial year that give a true and fair view of the financial position of the Group and Company as at the end of the financial year and of its profit or loss for that year. The directors are responsible for ensuring that the Group and Company keep proper accounting records that are sufficient to show and explain the transactions of the Group and Company; disclose with reasonable accuracy at any time the financial position of the Group and Company; and that enables them to prepare financial statements of the Group and Company that comply with prescribed financial reporting standards and the requirements of the Kenyan Companies Act, 2015. They are also responsible for safeguarding the assets of the Group and Company and for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors accept responsibility for the preparation and presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act 2015. They also accept responsibility for:

- (i) Designing, implementing and maintaining internal control as they determine necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error;
- (ii) Selecting suitable accounting policies and then applying them consistently; and
- (iii) Making judgements and accounting estimates that are reasonable in the circumstances

Having made an assessment of the Group and Company's ability to continue as a going concern, the directors are not aware of any material uncertainties related to events or conditions that may cast doubt upon the Group and Company's ability to continue as a going concern.

The directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibility.

Approved by the Board of directors on 20 March 2019 and signed on its behalf by:



J P M NDEGWA
Chairman



J GACHORA
Group Managing Director

FIVE YEAR FINANCIAL REVIEW

Consolidated Statement of Financial Position	2014 Shs '000	2015 Shs '000	2016 Shs '000	2017 Shs '000	2018 Shs '000
Assets					
Government securities	19,223,686	27,911,907	30,698,495	54,715,795	61,706,465
Loans and advances to customers	100,575,330	114,657,644	113,040,863	118,405,480	116,853,003
Property and equipment	1,119,264	1,063,760	1,043,497	1,148,712	1,369,575
Others	24,386,379	22,145,957	24,676,130	31,902,475	28,478,374
Total Assets	145,304,659	165,779,268	169,458,985	206,172,462	208,407,417
Liabilities					
Customer Deposits	100,434,954	112,364,637	111,824,685	138,916,570	144,501,060
Line of credit	14,358,480	15,356,190	19,965,484	17,025,858	14,868,337
Other liabilities	8,276,301	11,721,299	7,323,452	15,513,795	13,252,886
Total Liabilities	123,069,735	139,442,126	139,113,621	171,456,223	172,622,283
Total Equity	22,234,924	26,337,142	30,345,364	34,716,239	35,785,134
Total Liabilities and Equity	121,062,739	165,779,268	169,458,985	206,172,462	208,407,417
CONSOLIDATED INCOME STATEMENT					
Interest income	13,711,068	17,014,132	19,020,675	18,415,422	20,999,501
Interest expense	5,712,949	7,271,599	6,852,078	7,641,620	8,716,105
Net interest income	7,998,119	9,742,533	12,168,597	10,773,802	12,283,396
Impairment on Loans and advances	329,133	1,652,475	3,749,530	2,979,724	3,338,598
	7,668,986	8,090,058	8,419,067	7,794,078	8,944,798
Non-interest income	3,508,139	3,955,634	3,919,149	4,061,605	3,806,329
Operating income	11,177,125	12,045,692	12,338,216	11,855,683	12,751,127
Operating expenses	4,946,475	5,648,417	6,171,267	6,254,733	6,928,262
Profit before Tax	6,230,650	6,397,275	6,166,949	5,600,950	5,822,865
Income tax expense	2,113,976	1,912,150	1,836,553	1,456,532	1,594,495
Profit for the year	4,116,674	4,485,125	4,330,396	4,144,418	4,228,370
Earnings Per Share (Shs)	7.07	7.00	6.73	5.93	6.06
Dividend Per Share (Shs)	1.00	1.25	1.25	1.00	1.25
OTHER DISCLOSURES					
1) Non-performing loans and Advances					
a) Non-performing loans and advances	4,032,008	13,228,534	12,883,832	13,038,800	14,673,953
b) Allowance for impairment	2,680,360	2,776,628	5,022,089	5,265,710	5,161,412
c) Net Non-performing loans and advances (a-b)	1,928,893	10,451,906	7,861,743	7,773,090	9,512,541
2) Number of Employees	1001	1069	1095	1,147	1,350
3) Number of Branches	32	35	40	44	53
KEY PERFORMANCE INDICATORS					
Return on capital employed (ROCE)	27.43%	24.28%	20.32%	16.13%	16.27%
Non-interest income to operating income	30.49%	28.88%	24.36%	27.38%	23.66%
Non-performing loans to total loans	4.01%	11.54%	11.40%	11.01%	12.56%
Return on total assets	4.27%	3.86%	3.64%	2.72%	2.79%
Cost to income ratio	43%	41%	38%	42%	43%



INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF NIC GROUP PLC LIMITED

Report on the financial statements

Our opinion

We have audited the accompanying financial statements of NIC Group PLC (the 'Company') and its subsidiaries (together, the 'Group') set out on pages 108 to 201, which comprise the consolidated statement of financial position at 31 December 2018 and the consolidated statements of profit or loss, comprehensive income, changes in equity and cash flows for the year then ended, together with the separate statement of financial position of the Company at 31 December 2018 and the statements of profit or loss, comprehensive income, changes in equity and cash flows for the year then ended, and the notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements of NIC Group PLC give a true and fair view of the financial position of the Group and the Company at 31 December 2018 and of their financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report.

We are independent of the Group and the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Kenya, and we have fulfilled our ethical responsibilities in accordance with these requirements and the IESBA Code.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.



INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF NIC GROUP PLC LIMITED (CONTINUED)

Key audit matter	How our audit addressed the Key audit matter
Credit risk and provision for expected credit losses on financial assets including IFRS 9 transition The Group implemented IFRS 9, Financial Instruments, (IFRS 9) effective 1 January 2018 with the transition adjustment recorded in retained earnings. As explained in note 2.1 (v), the new standard requires the recognition of expected credit losses (ECL) on financial assets. Previously, under IAS 39, impairment losses were recognised on incurred basis only if there was objective evidence of impairment. The inputs in the calculation of expected credit losses, such as, forward looking data, past credit experience, probability of default, discounting of cash flows, computation of exposures at default, cash conversion factors for off-balance sheet exposures and assessment of significant increase in credit risk (SICR), involved significant management judgement, assumptions and estimates. Variations in these assumptions and estimates could result in materially different credit loss outcomes in the financial statements. Note 2 "Significant accounting policies", Note 3 "Financial risk management", Note 6 "Critical accounting estimates and judgments" and Note 22 "Loans and advances to customers" to the financial statements provide detailed information on the estimation of the provision for expected credit losses on loans and advances to customers as at 31 December 2018. Note 2 "Significant Accounting Policies" to the financial statements provides information on the adoption of IFRS 9 by the Group from 1 January 2018, including the estimated impact of the adoption.	Our audit procedures focused on the significant areas of judgement and estimation which could result in material misstatements in the financial statements. These included • Review and assessment of the reasonableness of management's accounting policies over key IFRS 9 concepts, including significant increase in credit risk (SICR), default definition and forecasting of forward looking macro-economic factors. • Testing and reviewing consistency and compliance of asset risk classification in line with IFRS and Group policies. • For significant facilities, assessment of the reasonableness of management judgement and assumptions over the critical data inputs for ECL calculation. • For collective expected credit losses computation: - testing of models by validating historical data input used in the derivation of key model parameters; - assessment of the reasonableness of management assumptions on multiple economic scenarios and variables and the forward looking information; and - assessment of the accuracy of the ECL calculation by testing the model logic and reviewing the ECL formulae to validate that the calculations operated as per our expectation. • Assessment of the consistency of application of the IFRS 9 principles and assumptions on transition (at 1 January 2019) and at the end of the year (at 31 December 2018). • Review of management's ECL related disclosures in the financial statements especially on transition related disclosures and reconciliations, accounting policies and other IFRS 9 related disclosures.

Other information

The other information comprises the Corporate information, Directors report, Directors' remuneration report and Statement of directors' responsibilities which we obtained prior to the date of this auditor's report, and the rest of the other information in the Annual Report which are expected to be made available to us after that date, but does not include the financial statements and our auditor's report thereon. The directors are responsible for the other information. Our opinion on the financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.



INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF NIC GROUP PLC LIMITED (CONTINUED)

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information we have received prior to the date of this auditor's report we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the rest of the other information in the Annual Report and we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of the directors for the financial statements

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, 2015, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.



INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF NIC GROUP PLC LIMITED (CONTINUED)

Auditor's responsibilities for the audit of the financial statements (continued)

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the Group's financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the Group's financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other matters prescribed by the Kenyan Companies Act, 2015

Report of the directors

In our opinion the information given in the report of directors' report on pages 95 to 96 is consistent with the financial statements.

Directors' remuneration report

In our opinion the auditable part of the directors' remuneration report on pages 97 to 101 has been properly prepared in accordance with the Kenyan Companies Act, 2015.

A handwritten signature in black ink, appearing to read 'Richard Njoroge', written over a light blue horizontal line.

Certified Public Accountants

Nairobi

21 March 2019

FCPA Richard Njoroge, Practising certificate No. 1244
Signing partner responsible for the independent audit

STATEMENT OF PROFIT OR LOSS

for the year ended 31 December 2018

COMPANY				GROUP	
2018 Shs'000	2017 Shs'000		Note	2018 Shs'000	2017 Shs'000
59,124	-	Interest income	8 (a)	20,999,501	19,416,130
-	-	Interest expense	8 (b)	(8,716,105)	(7,641,620)
59,124	-	Net Interest Income		12,283,396	11,774,510
-	-	Fee and commission income	9 (a)	1,387,426	1,294,386
-	-	Fee and commission expense	9 (b)	(112,802)	(102,735)
-	-	Net Fee and Commission Income		1,274,624	1,191,651
-	-	Net trading income	10	1,288,249	1,186,095
345,811	46,708	Other operating income	11	1,243,456	182,962
404,935	46,708	Operating Income		16,089,725	14,335,218
-	-	Credit impairment charges	12(a)	(3,338,598)	(2,479,535)
404,935	46,708	Net operating income		12,751,127	11,855,683
(200,632)	(44,707)	Employee benefits	13	(3,834,982)	(3,373,785)
-	-	Depreciation and amortisation	14(a)	(473,917)	(497,238)
(31,297)	(750)	Other operating expenses	14(b)	(2,619,363)	(2,383,710)
(231,929)	(45,457)	Operating Expenses		(6,928,262)	(6,254,733)
173,006	1,251	Profit Before Income Tax		5,822,865	5,600,950
(31,812)	34,822	Income tax expense	15(a)	(1,594,495)	(1,456,532)
141,194	36,073	Profit for the year		4,228,370	4,144,418
141,194	36,073	Profit for the year attributable to:			
-	-	Equity holders of the Group		4,262,634	4,176,755
-	-	Non-controlling interests		(34,264)	(32,337)
141,194	36,073			4,228,370	4,144,418
Shs 0.20	Shs 0.05	Earnings per share (Shs) Basic and diluted	16	Shs 6.06	Shs 5.93

The notes on pages 115 to 200 are an integral part of these financial statements.

STATEMENT OF COMPREHENSIVE INCOME

for the year ended 31 December 2018

COMPANY		GROUP			
2018 Shs'000	2017 Shs'000		Note	2018 Shs'000	2017 Shs'000
141,194	36,073	Profit for the year		4,228,370	4,144,418
		Other comprehensive income:			
		Items that may be subsequently reclassified to profit or loss			
-	969,197	Fair value gains on financial assets measured at FVOCI (2017 – AFS)	36(c)	489,349	1,090,176
-	(969,197)	Fair value gains on financial assets measured at FVOCI (2017 – AFS) released on re-organisation	36(c)	-	(969,197)
-	-	Exchange differences on translation of foreign operations	36(d)	(150,283)	(148,994)
		Items that will not be reclassified to profit or loss			
-	-	Revaluation surplus on property and equipment	36(b)	175,750	-
-	-	Other comprehensive income for the year, net of tax		514,816	(28,015)
141,194	36,073	Total Comprehensive income for the year		4,743,186	4,116,403
		Attributable to:			
143,510	36,073	Equity holders of the Group		4,807,607	4,171,422
-	-	Non-controlling interests		(64,421)	(55,019)
141,194	36,073			4,743,186	4,116,403

The notes on pages 115 to 200 are an integral part of these financial statements.

STATEMENT OF FINANCIAL POSITION

As at 31 December 2018

COMPANY		GROUP			
2018	2017		2018	2017	
Shs'000	Shs'000	Note	Shs'000	Shs'000	
Assets					
337,455	1,200,000	Cash and balances with Central Banks	17	11,955,411	9,516,131
-	-	Items in the course of collection	18	400,689	233,004
-	-	Due from banking institutions	19	5,237,549	12,425,067
-	53,955	Due from group companies	24	-	-
-	-	Derivative assets	21	161,554	-
-	-	Government securities	20	61,706,465	54,715,795
-	-	Loans and advances to customers	22	116,853,003	118,446,485
500	-	Other assets	23	1,590,532	2,356,680
29,568,705	29,118,705	Investments	25	1,310,103	1,413,836
-	-	Property and equipment	27	1,369,575	1,148,712
-	-	Intangible assets	28	1,829,118	1,580,311
-	-	Operating lease prepayments	29	522,625	522,750
19,232	34,822	Current income tax	15(c)	1,075,176	395,513
-	-	Deferred income tax	26	4,395,617	3,418,176
29,925,892	30,407,482	Total assets		208,407,417	206,172,460
Liabilities					
-	-	Customer deposits	30	144,501,060	138,916,570
-	-	Due to banking institutions	31	9,906,429	12,138,495
15,850	61,685	Due to group companies	33	-	-
-	-	Derivative liabilities	21	-	16,467
-	-	Borrowings	32	14,868,337	17,025,858
48,449	-	Other liabilities	34	3,292,183	3,331,400
-	-	Current income tax	15(c)	11,288	5,045
42,986	22,388	Unclaimed dividends	35	42,986	22,388
107,285	84,073	Total liabilities		172,622,283	171,456,223
Equity					
Capital and reserves attributable to equity holders of the Group					
3,519,701	3,199,728	Share capital	36(a)	3,519,701	3,199,728
2,373,994	2,700,017	Share premium	36(a)	2,373,994	2,700,017
-	-	Revaluation surplus on property	36(b)	175,750	-
-	-	Investments revaluation reserve	36(c)	755,873	(87,896)
-	-	Foreign currency translation reserve	36(d)	(1,083,412)	(886,639)
-	-	Regulatory reserve(s)	36(e)	63,462	1,042,359
-	-	Other reserves	36(f)	(157,172)	(157,172)
23,044,987	23,783,718	Retained earnings	36(g)	28,897,206	27,815,058
879,925	639,946	Proposed dividend	35	879,925	639,946
29,818,607	30,323,409	Total capital and reserves attributable to equity holders of the Group		35,425,327	34,265,401
-	-	Non-controlling interests	37	359,807	450,836
29,818,607	30,323,409	Total equity		35,785,134	34,716,237
29,925,892	30,407,482	Total liabilities and equity		208,407,417	206,172,460

The financial statements on pages 108 to 200 were approved and authorised for issue by the Board of Directors on 20 March 2019 and were signed on its behalf by:



J P M NDEGWA

Chairman



P R LOPOKOIYIT

Director



J GACHORA

Group Managing Director



L MURAGE

Group Company Secretary

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY for the year ended 31 December 2017

	Share capital	Share premium	Revaluation surplus on property	Investments on revaluation reserve	Foreign currency translation reserve	Regulatory reserves	Other reserves	Retained earnings	Proposed dividend	Capital and reserves attributable to equity holders of the Bank	Non-controlling interests	Total equity
Note	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
At 1 January 2017	3,199,728	2,700,017	175,202	(208,875)	(760,327)	1,238,486	(157,172)	23,012,504	639,946	29,839,509	505,855	30,345,364
Profit for the year	-	-	-	-	-	-	-	4,176,755	-	4,176,755	(32,337)	4,144,418
Other comprehensive income, net of tax	-	-	-	120,979	(126,312)	-	-	-	-	(5,333)	(22,682)	(28,015)
Total comprehensive income for the year	-	-	-	120,979	(126,312)	-	-	4,176,755	-	4,171,422	(55,019)	4,116,403
Transfer to regulatory reserves	-	-	-	-	-	(196,127)	-	196,127	-	-	-	-
Transactions with owners, recorded directly through equity												
Dividends paid – Final for 2016	35	-	-	-	-	-	-	-	(639,946)	(639,946)	-	(639,946)
Dividends Proposed – Final for 2017	-	-	-	-	-	-	-	(639,946)	639,946	-	-	-
Group re-organisation	-	-	-	-	-	-	-	-	-	-	-	-
Revaluation of AFS Bonds	-	-	-	894,416	-	-	-	-	-	894,416	-	894,416
Realised revaluation reserves on transfer	-	-	(175,202)	(894,416)	-	-	-	1,069,618	-	-	-	-
At 31 December 2017	3,199,728	2,700,017	-	(87,896)	(886,639)	1,042,359	(157,172)	27,815,058	639,946	34,265,401	450,836	34,716,237

The notes on pages 115 to 200 are an integral part of these financial statements.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY (CONTINUED)

for the year ended 31 December 2018

	Note	Share capital Shs'000	Share premium Shs'000	Revaluation surplus on property Shs'000	Investments revaluation reserve Shs'000	Foreign currency translation reserve Shs'000	Regulatory reserves Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividend Shs'000	Capital and reserves attributable to equity holders of the Bank Shs'000	Non-controlling interests Shs'000	Total equity Shs'000
At 1 January 2018		3,199,728	2,700,017	-	(87,896)	(886,639)	1,042,359	(157,172)	27,815,058	639,946	34,265,401	450,836	34,716,237
Adjustment on initial application of IFRS 9 net of tax		-	-	-	(3,981)	-	-	-	(2,997,704)	-	(3,001,685)	(26,608)	(3,028,293)
Profit for the year		-	-	-	-	-	-	-	4,262,634	-	4,262,634	(34,264)	4,228,370
Other comprehensive income, net of tax		-	-	175,750	485,202	(196,773)	80,794	-	-	-	544,973	(30,157)	514,816
Total comprehensive income for the year		-	-	175,750	485,202	(196,773)	80,794	-	4,262,634	-	4,807,607	(64,421)	4,743,186
Transfer of AFS bond revaluation		-	-	-	362,548	-	-	-	(362,548)	-	-	-	-
Transfer from regulatory reserve		-	-	-	-	-	(1,059,691)	-	1,059,691	-	-	-	-
Transactions with owners, recorded directly through equity		-	-	-	-	-	-	-	-	-	-	-	-
Bonus Issue 2018		319,973	(319,973)	-	-	-	-	-	-	-	-	-	-
Bonus Issue expenses		-	(6,050)	-	-	-	-	-	-	-	(6,050)	-	(6,050)
Dividends paid – Final for 2017	35	-	-	-	-	-	-	-	-	(639,946)	(639,946)	-	(639,946)
Dividends Proposed – Final for 2018		-	-	-	-	-	-	-	(879,925)	879,925	-	-	-
At 31 December 2018		3,519,701	2,373,994	175,750	755,873	(1,083,412)	63,462	(157,172)	28,897,206	879,925	35,425,327	359,807	35,785,134

COMPANY STATEMENT OF CHANGES IN EQUITY

for the year ended 31 December 2018

Note	Share capital Shs'000	Share premium Shs'000	Revaluation surplus on property Shs'000	Investments revaluation reserve Shs'000	Regulatory reserve Shs'000	Retained earnings Shs'000	Proposed dividend Shs'000	Total equity Shs'000
At 1 January 2017	3,199,728	2,700,017	175,202	(74,781)	961,793	22,686,358	639,946	30,288,263
Profit and other comprehensive income for the year	-	-	-	-	-	36,073	-	36,073
Group Reorganisation Transaction								
43								
Realised Revaluation on Reorganisation	-	-	(175,202)	74,781	-	100,421	-	-
Transfer to regulatory reserve on Group Reorganisation	-	-	-	-	(961,793)	(961,793)	-	-
Other Group Reorganisation Transactions	-	-	-	-	-	639,019	-	639,019
Transactions with owners, recorded directly through equity								
Dividends paid – Final for 2016	-	-	-	-	-	-	-	-
Dividends proposed – Final for 2017	-	-	-	-	-	(639,946)	(639,946)	(639,946)
At 31 December 2017	3,199,728	2,700,017	-	-	-	23,783,718	639,946	30,323,409
At 1 January 2018	3,199,728	2,700,017	-	-	-	23,783,718	639,946	30,323,409
Profit and other comprehensive income for the year	-	-	-	-	-	141,194	-	141,194
Transactions with owners, recorded directly through equity								
Bonus Issue 2018	319,973	(319,973)	-	-	-	-	-	-
Bonus Issue Expenses	-	(6,050)	-	-	-	-	-	(6,050)
Dividends paid – Final for 2017	-	-	-	-	-	-	(639,946)	(639,946)
Dividends proposed – Final for 2018	-	-	-	-	-	(879,925)	879,925	-
At 31 December 2018	3,519,701	2,373,994	-	-	-	23,044,987	879,925	29,818,607

The notes on pages 115 to 200 are an integral part of these financial statements.

STATEMENT OF CASH FLOWS

for the year ended 31 December 2018

COMPANY		GROUP			
2018 Shs'000	2017 Shs'000		Note	2018 Shs'000	2017 Shs'000
		CASH FLOWS FROM OPERATING ACTIVITIES			
229,344	8,981	Cash generated from operations	39 (a)	11,282,000	25,767,111
(16,222)	(446,765)	Income tax paid	15 (c)	(2,303,723)	(2,831,376)
213,122	(437,784)	Net cash generated from/(used in) operating activities		8,978,277	22,935,735
		CASH FLOWS FROM INVESTING ACTIVITIES			
(450,000)	-	Investment in Subsidiaries		-	-
		Purchase of Government securities		(11,943,113)	(25,453,795)
		Proceeds from disposal of government securities		8,338,340	1,704,345
-	-	Purchase of property and equipment	27	(367,580)	(412,581)
-	-	Purchase of intangible assets	28 (a)	(444,473)	(731,725)
-	-	Proceeds from Corporate bonds		98,225	53,005
-	-	Proceeds from sale of motor vehicle and equipment	39 (c)	1,274	5,635
-	(5,259,004)	Group Reorganisation Transactions		-	-
(450,000)	(5,259,004)	Net cash used in investing activities		(4,317,327)	(24,835,116)
		CASH FLOWS FROM FINANCING ACTIVITIES			
(619,348)	(653,157)	Dividends paid	35	(619,348)	(653,157)
-	-	Repayment of long term borrowings		(3,243,882)	(2,939,626)
(6,050)	-	Bonus and rights issue expenses paid		(6,050)	-
(625,398)	(653,157)	Net cash used in financing activities		(3,869,280)	(3,592,783)
(862,276)	(6,349,945)	NET INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENTS		791,670	(5,492,164)
1,200,000	7,549,945	CASH AND CASH EQUIVALENTS AT 1 JANUARY		2,929,861	8,541,503
-	-	Translation difference		(349,523)	(119,478)
337,724	1,200,000	CASH AND CASH EQUIVALENTS AT 31 DECEMBER	39 (b)	3,372,008	2,929,861

The notes on pages 115 to 200 are an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

1) General Information

NIC Group PLC (the “Company/Parent”) and its subsidiaries (together, the “Group”) provide retail, corporate banking, brokerage, bancassurance, property and investment banking services. NIC Group PLC is incorporated in Kenya under the Kenyan Companies Act 2015 as a public limited liability company and is domiciled in Kenya. The Company’s shares are listed on the Nairobi Securities Exchange (NSE). NIC Group PLC and its subsidiaries operate in Kenya, Tanzania and Uganda through its subsidiaries NIC Bank Tanzania Limited and NC Bank Uganda Limited.

The address of its registered office is as follows:

LR Plot No.8182
NIC House, Masaba Road
PO Box 44599-00100
Nairobi

For the Kenyan Companies Act 2015 reporting purposes, the balance sheet is represented by the statement of financial position and profit and loss account by the statement of profit or loss in these financial statements.

2) Significant accounting policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

a) Basis of preparation

2.1 Basis of preparation

i) Compliance with IFRS

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) and the interpretations issued by the IFRS Interpretations Committee of the IASB (IFRS IC) applicable to companies reporting under IFRS and the requirements of the Kenyan Companies Act, 2015.

ii) Historical cost convention

The financial statements have been prepared on a historical cost basis, except for the following:

- certain financial assets and liabilities (including derivative instruments), certain classes of property, plant and equipment and investment property – measured at fair value; and
- assets held for sale – measured at fair value less costs to sell.

iii) Use of estimates

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires the directors to exercise their judgment in the process of applying the Group’s accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in note 6.

iv) Changes in accounting policies and disclosures

New standards and interpretations not yet adopted

IFRS 16: Leases

The standard, which was issued in January 2016, will upon implementation result in almost all leases being recognised on the statement of financial position, as the distinction between operating and finance leases is removed. IFRS 16 introduces a single, on-balance sheet lease accounting model for lessees. A lessee recognises a right-of-use asset representing its right to use the underlying asset and a lease liability representing its obligation to make lease payments. There are recognition exemptions for short-term leases and leases of low-value items. The accounting for lessors will not significantly change.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

2) Significant accounting policies (continued)

2.1 Basis of preparation (continued)

iv) Changes in accounting policy and disclosures (continued)

New standards and interpretations not yet adopted (continued)

IFRS 16: Leases (continued)

IFRS 16 replaces existing leases guidance, including IAS 17 Leases, IFRIC 4 Determining whether an Arrangement contains a Lease, SIC-15 Operating Leases – Incentives and SIC-27 Evaluating the Substance of Transactions Involving the Legal Form of a Lease.

The Group has assessed the estimated impact that the initial application of IFRS 16 will have on its consolidated financial statements, as described below.

a) Leases in which the Group is a lessee

The Group has completed an initial detailed assessment of the potential impact on its consolidated financial statements. The actual impact of applying IFRS 16 on the financial statements for the financial year ending 31 December 2019 will depend on:

- the final reconciliation of the of the Group's leases' portfolio;
- the Group's assessment of whether it will exercise any lease renewal options; and
- the extent to which the Group chooses to utilise practical expedients and recognition exemptions available under the standard.

The Group will recognise new assets and liabilities for its operating leases of Group premises and equipment. The nature of expenses related to these leases will now change because IFRS 16 replaces the straight-line operating lease expense with a depreciation charge for right-of- use assets and interest expense on lease liabilities. Previously, the Group recognised operating lease expense on a straight-line basis over the term of the lease, and recognised assets and liabilities only to the extent that there was a timing difference between actual lease payments and the expense recognised.

As at 31 December 2018, the Group's future minimum lease payments under non-cancellable operating leases amounted to Shs 1.6 billion on a discounted basis, which the Group estimates it will recognise as additional lease liabilities.

b) Transition

The transition provisions of IFRS 16 allow an entity not to restate comparatives. The Group will elect not to restate comparatives but instead adopt IFRS 16 on 1 January 2019 using a modified retrospective approach. Therefore, the cumulative effect of adopting IFRS 16 will be recognised as an adjustment to the opening balance of retained earnings at 1 January 2019, with no restatement of comparative information.

The Group has assumed an average incremental rate of 7.5% on all its operating leases. Accordingly, on initial transition at 1 January 2019, the Group has estimated the following impact to the financial statement:

	Percentage change
Impact on total assets for right of use asset recognised	0.75% increase
Impact on total liabilities for lease obligation recognised	0.75% increase
Impact on retained earnings on initial application	0.30% decrease

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

2) Significant accounting policies (continued)

2.1 Basis of preparation (continued)

iv) Changes in accounting policy and disclosures (continued)

New and amended standards adopted by the Group

The Group has applied the following standards and amendments for the first time for their annual reporting period commencing 1 January 2018:

- IFRS 15 Revenue from Contracts with Customers
- IFRS 9 Financial Instruments
- Annual Improvements 2015-2016 cycle
- Transfers of investment property – amendments to IAS 40
- Interpretation 22 Foreign Currency Transactions and Advance Consideration

The Group changed its accounting policies and made certain retrospective adjustments following the adoption of IFRS 9 and IFRS 15. Most of the other amendments listed above did not have any impact on the amounts recognised in prior periods and are not expected to significantly affect the current or future periods.

IFRS 15 revenue from Contracts with Customers (IFRS 15)

IFRS 15 provides a single, principles based five-step model to be applied to all contracts with customers (except for contracts that are within the scope of the standards on leases, insurance contracts or financial instruments). It replaced the existing revenue standards and their related interpretations.

The core principle of IFRS 15 is that an entity will recognise revenue to depict the transfer of promised goods or services to customers in an amount that reflects the consideration of which the entity expects to be entitled in exchange for those goods or services. The standard incorporates a five step analysis to determine the amount and timing of revenue recognition.

Because the standard does not apply to revenue associated with financial instruments, it does not impact the majority of the Group's revenue streams. The Group has reviewed the contracts with customers within the scope of IFRS 15 and concluded that the adoption of IFRS 15 did not have a material impact on the Group's revenue recognition criteria and there were therefore no transition adjustments required.

IFRS 9 - Financial Instruments

The Group has adopted IFRS 9 as issued by the IASB in July 2014 with a date of transition of 1 January 2018, which resulted in changes in accounting policies and adjustments to the amounts previously recognised in the financial statements. The Group did not early adopt any of IFRS 9 in previous periods.

As permitted by the transitional provisions of IFRS 9, the Group elected not to restate comparative figures. Any adjustments to the carrying amounts of financial assets and financial liabilities at the date of transition were recognised in the opening retained earnings and other reserves of the current period. The comparative financial information was prepared on an IAS 39 basis while the 2018 information is presented under IFRS 9 basis. As such, comparability between the two reporting periods is not achieved but further details on the impact of this transition are included below.

The adoption of IFRS 9 has resulted in changes in the Group's accounting policies for recognition, classification and measurement of financial assets and financial liabilities and impairment of financial assets. IFRS 9 also significantly amends other standards dealing with financial instruments as IFRS 7 'Financial Instruments: Disclosures'. The new accounting policies are set out in note 2.2. In accordance with the transitional provisions in IFRS 9 comparative figures have not been restated.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

2) Significant accounting policies (continued)

2.1 Basis of preparation (continued)

iv) Changes in accounting policy and disclosures (continued)

New and amended standards adopted by the Group (continued)

IFRS 9 - Financial Instruments (continued)

a) Classification and measurement of financial instruments

From 1 January 2018, the Group has applied IFRS 9 and classifies its financial assets in the following measurement categories:

- Fair value through profit or loss (FVPL);
- Fair value through other comprehensive income (FVOCI); or
- Amortised cost.

The following table shows the original measurement categories in accordance with IAS 39 and the new measurement categories under IFRS 9 and the respective carrying values for the Group's financial assets and financial liabilities as at 1 January 2018.

	Original classification under IAS 39	New classification under IFRS 9	Original carrying amount under IAS 39	New carrying amount under IFRS 9
	Shs' 000	Shs' 000	Shs' 000	Shs' 000
Financial assets				
Cash and balances with Central Banks	Loans and receivables	Amortised cost	9,516,131	9,500,462
Items in the course of collection	Loans and receivables	Amortised cost	233,004	233,004
Deposits and balances due from banking institutions	Loans and receivables	Amortised cost	12,425,067	12,405,885
Fixed rate treasury bonds held at fair value through OCI	AFS	FVOCI	31,422,409	30,536,042
Government securities held to maturity (amortised cost)	HTM	Amortised cost	23,293,386	24,126,261
Corporate bonds	HTM	Amortised cost	1,314,052	1,314,052
Equity investment at FVTPL	FVTPL (Mandatory)	FVTPL	99,784	99,784
Loans and advances from customers	Loans and receivables	Amortised cost	116,774,033	112,541,931
Loan notes at FVTPL	FVTPL (Mandatory)	FVTPL	1,672,452	1,672,452
Other assets (financial)	Loans and receivables	Amortised cost	2,100,482	2,100,482
Total financial assets			198,850,800	194,530,355
Financial liabilities				
Customer deposits	Other liabilities	Amortised cost	138,916,570	138,916,570
Due to banking institutions	Other liabilities	Amortised cost	12,138,495	12,138,495
Borrowings	Other liabilities	Amortised cost	17,025,858	17,025,858
Derivative liabilities	FVTPL (Mandatory)	FVTPL	16,467	16,467
Other liabilities	Other liabilities	Amortised cost	3,292,183	3,292,183
Total financial liabilities			171,389,573	171,389,573

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

2) Significant accounting policies (continued)

2.1 Basis of preparation (continued)

iv) Changes in accounting policy and disclosures (continued)

New and amended standards adopted by the Group (continued)

IFRS 9 - Financial Instruments (continued)

b) Reconciliation of statement of financial position balances from IAS 39 to IFRS 9

The Group has performed an assessment of its business models for managing financial assets held and has classified its financial instruments into the appropriate IFRS 9 categories. The main effects resulting from this reclassification are as follows:

	Opening balance IAS 39 carrying amount 31 December 2017	Reclassifications	Remeasurements	Closing balance IFRS 9 carrying amount 1 January 2018
	Shs' 000	Shs' 000	Shs' 000	Shs' 000
Financial assets				
Amortised cost:				
Cash and balances due from financial institutions	9,516,131	-	(15,669)	9,500,462
Items in the course of collection	233,004	-	-	233,004
Deposits and balances due from banking institutions	12,425,067	-	(19,182)	12,405,885
Government securities at amortised cost	23,293,386	855,782	(22,907)	24,126,261
Investments	1,314,052	-	-	1,314,052
Loans and advances from customers	116,774,033	-	(4,232,103)	112,541,930
Other assets	2,100,482	-	-	2,100,482
Total financial assets measured at amortised cost	165,656,155	855,782	(4,289,860)	162,222,077
Fair value through other comprehensive income (FVOCI):				
Available for sale Government securities	31,422,409	(855,782)	(30,585)	30,536,042
Total financial assets at FVOCI	31,422,409	(855,782)	(30,585)	30,536,042
Fair value through profit or loss (FVPL):				
Loan notes at FVTPL	1,672,452	-	-	1,672,452
Equity Investment at FVTPL	99,784	-	-	99,784
Total financial assets at FVPL	1,772,236	-	-	1,772,236

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

2) Significant accounting policies (continued)

2.1 Basis of preparation (continued)

iv) Changes in accounting policy and disclosures (continued)

New and amended standards adopted by the Group (continued)

IFRS 9 - Financial Instruments (continued)

b) Reconciliation of statement of financial position balances from IAS 39 to IFRS 9 (continued)

	Opening balance IAS 39 carrying amount 31 December 2017	Reclassifications	Remeasurements	Closing balance IFRS 9 carrying amount 1 January 2018
	Shs' 000	Shs' 000	Shs' 000	Shs' 000
Financial assets				
Amortised cost:				
Customer deposits	138,916,570	-	-	138,916,570
Due to banking institutions	12,138,495	-	-	12,138,495
Borrowings	17,025,858	-	-	17,025,858
Other liabilities	3,292,183	-	-	3,292,183
Total financial liabilities measured at amortised cost	171,373,106	-	-	171,373,106
Fair value through profit or loss (FVPL):				
Derivative liabilities	16,467	-	-	16,467
Total financial liabilities at FVTPL	16,467	-	-	16,467

c) Reconciliation of impairment allowance balances from IAS 39 to IFRS 9

The total remeasurement loss for the Group as at 1 January 2018 was Shs 4,320,446,000.

The tables below provide a detailed reconciliations between the prior period's closing impairment allowances measured in accordance with IAS 39 incurred loss model and to the new impairment allowance measured in accordance with the IFRS 9 expected credit loss model at 1 January 2018.

	Loan loss allowance under IAS 39	Remeasurements	Loan loss allowance under IFRS 9
	Shs' 000	Shs' 000	Shs' 000
Financial assets			
Cash and balances with Central Bank of Kenya	-	34,851	34,851
Investment securities at amortised cost	-	22,907	22,907
Investment securities at FVOCI	-	30,585	30,585
Loans and advances to customers	5,987,929	4,153,351	10,141,280
Investments	41,006	-	41,006
Non Financial guarantee contracts (LC's & Guarantee)	-	27,027	27,027
Loan commitments (Undrawn facilities)	-	51,725	51,725
Gross Adjustment on initial application of IFRS 9	6,028,935	4,320,446	10,349,381
Deferred Tax @ 30%	-	(1,296,134)	-
Adjustment on initial application of IFRS 9 net of tax	6,028,935	3,024,312	10,349,381

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

2) Significant accounting policies (continued)

2.2 Financial assets

2.2.1 Policy applicable from 1 January 2018

(i) Classification and subsequent measurement

The classification requirements for debt assets are described below:

Debt assets

Debt assets are those instruments that meet the definition of a financial liability from the issuer's perspective, such as loans, government and corporate bonds and trade receivables purchased from clients in factoring arrangements without recourse.

Classification and subsequent measurement of debt assets depend on:

- the Group's business model for managing the asset; and
- the cash flow characteristics of the asset.

Based on these factors, the Group classifies its debt assets into one of the following three measurement categories:

- **Amortised cost:** Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest ('SPPI'), and that are not designated at FVPL, are measured at amortised cost. The carrying amount of these assets is adjusted by any expected credit loss allowance recognised and measured as described in note 3.1.2. Interest income from these financial assets is included in 'Interest and similar income' using the effective interest rate method.
- **Fair value through other comprehensive income (FVOCI):** Financial assets that are held for collection of contractual cash flows and for selling the assets, where the assets' cash flows represent solely payments of principal and interest, and that are not designated at FVPL, are measured at fair value through other comprehensive income (FVOCI). Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest revenue and foreign exchange gains and losses on the instrument's amortised cost which are recognised in profit or loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss and recognised in 'Net Investment income'. Interest income from these financial assets is included in 'Interest income' using the effective interest rate method.
- **Fair value through profit or loss:** Assets that do not meet the criteria for amortised cost or FVOCI are measured at fair value through profit or loss. A gain or loss on a debt investment that is subsequently measured at fair value through profit or loss and is not part of a hedging relationship is recognised in profit or loss and presented in the profit or loss statement within 'Net trading income' in the period in which it arises, unless it arises from debt assets that were designated at fair value or which are not held for trading, in which case they are presented separately in Net investment income'. Interest income from these financial assets is included in 'Interest income' using the effective interest rate method.

Business model

The business model reflects how the Group manages the assets in order to generate cash flows. That is, whether the Group's objective is solely to collect the contractual cash flows from the assets or is to collect both the contractual cash flows and cash flows arising from the sale of assets. If neither of these is applicable (e.g. financial assets are held for trading purposes), then the financial assets are classified as part of 'other' business model and measured at FVPL. Factors considered by the Group in determining the business model for a group of assets include past experience on how the cash flows for these assets were collected, how the asset's performance is evaluated and reported to key management personnel, how risks are assessed and managed and how managers are compensated.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

2) Significant accounting policies (continued)

2.2 Financial assets (continued)

2.2.1 Policy applicable from 1 January 2018 (continued)

(i) Classification and subsequent measurement (continued)

For example, the Group's business model for the mortgage loan book is to hold to collect contractual cash flows, with sales of loans only being made internally to a consolidated SPV for the purposes of collateralising notes issued, with no resulting derecognition by the Group. Another example is the liquidity portfolio of assets, which is held by the Group as part of liquidity management and is generally classified within the hold to collect and sell business model. Securities held for trading are held principally for the purpose of selling in the near term or are part of a portfolio of financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit-taking. These securities are classified in the 'other' business model and measured at FVTPL.

Solely payments of principal and interest (SPPI):

Where the business model is to hold assets to collect contractual cash flows or to collect contractual cash flows and sell, the Group assesses whether the financial instruments' cash flows represent solely payments of principal and interest (the 'SPPI test'). In making this assessment, the Group considers whether the contractual cash flows are consistent with a basic lending arrangement i.e. interest includes only consideration for the time value of money, credit risk, other basic lending risks and a profit margin that is consistent with a basic lending arrangement. Where the contractual terms introduce exposure to risk or volatility that are inconsistent with a basic lending arrangement, the related financial asset is classified and measured at fair value through profit or loss.

Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are solely payment of principal and interest.

The Group reclassifies debt investments when and only when its business model for managing those assets changes. The reclassification takes place from the start of the first reporting period following the change. Such changes are expected to be very infrequent and none occurred during the period.

Equity instruments

Equity instruments are instruments that meet the definition of equity from the issuer's perspective; that is, instruments that do not contain a contractual obligation to pay and that evidence a residual interest in the issuer's net assets. Examples of equity instruments include basic ordinary shares.

The Group subsequently measures all equity investments at fair value through profit or loss, except where the Group's management has elected, at initial recognition, to irrevocably designate an equity investment at fair value through other comprehensive income. The Group's policy is to designate equity investments as FVOCI when those investments are held for purposes other than to generate investment returns. When this election is used, fair value gains and losses are recognised in OCI and are not subsequently reclassified to profit or loss, including on disposal. Impairment losses (and reversal of impairment losses) are not reported separately from other changes in fair value. Dividends, when representing a return on such investments, continue to be recognised in profit or loss as other income when the Group's right to receive payments is established.

Gains and losses on equity investments at FVPL are included in the 'Net trading income' line in the statement of profit or loss.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

2) Significant accounting policies (continued)**2.2 Financial assets (continued)****2.2.1 Policy applicable from 1 January 2018 (continued)****(ii) Impairment**

The Group assesses on a forward-looking basis the expected credit losses ('ECL') associated with its debt instrument assets carried at amortised cost and FVOCI and with the exposure arising from loan commitments and financial guarantee contracts. The Group recognises a loss allowance for such losses at each reporting date. The measurement of ECL reflects:

- An unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes;
- The time value of money; and
- Reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions. Note 3.1.2 provides more detail of how the expected credit loss allowance is measured.

(iii) Modification of loans

The Group sometimes renegotiates or otherwise modifies the contractual cash flows of loans to customers. When this happens, the Group assesses whether or not the new terms are substantially different to the original terms. The Group does this by considering, among others, the following factors:

- If the borrower is in financial difficulty, whether the modification merely reduces the contractual cash flows to amounts the borrower is expected to be able to pay.
- Whether any substantial new terms are introduced, such as a profit share/equity-based return that substantially affects the risk profile of the loan.
- Significant extension of the loan term when the borrower is not in financial difficulty.
- Significant change in the interest rate.
- Change in the currency the loan is denominated in.
- Insertion of collateral, other security or credit enhancements that significantly affect the credit risk associated with the loan.

If the terms are substantially different, the Group derecognises the original financial asset and recognises a 'new' asset at fair value and recalculates a new effective interest rate for the asset. The date of renegotiation is consequently considered to be the date of initial recognition for impairment calculation purposes, including for the purpose of determining whether a significant increase in credit risk has occurred. However, the Group also assesses whether the new financial asset recognised is deemed to be credit-impaired at initial recognition, especially in circumstances where the renegotiation was driven by the debtor being unable to make the originally agreed payments. Differences in the carrying amount are also recognised in profit or loss as a gain or loss on derecognition.

If the terms are not substantially different, the renegotiation or modification does not result in derecognition, and the Group recalculates the gross carrying amount based on the revised cash flows of the financial asset and recognises a modification gain or loss in profit or loss. The new gross carrying amount is recalculated by discounting the modified cash flows at the original effective interest rate (or credit-adjusted effective interest

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

2) Significant accounting policies (continued)**2.2 Financial assets (continued)****2.2.1 Policy applicable from 1 January 2018 (continued)**

rate for purchased or originated credit-impaired financial assets).

(iv) Derecognition other than a modification

Financial assets, or a portion thereof, are derecognised when the contractual rights to receive the cash flows from the assets have expired, or when they have been transferred and either (i) the Group transfers substantially all the risks and rewards of ownership, or (ii) the Group neither transfers nor retains substantially all the risks and rewards of ownership and the Group has not retained control.

The Group enters into transactions where it retains the contractual rights to receive cash flows from assets but assumes a contractual obligation to pay those cash flows to other entities and transfers substantially all of the risks and rewards. These transactions are accounted for as 'pass through' transfers that result in derecognition if the Group:

- Has no obligation to make payments unless it collects equivalent amounts from the assets;
- Is prohibited from selling or pledging the assets; and
- Has an obligation to remit any cash it collects from the assets without material delay.

Collateral (shares and bonds) furnished by the Group under standard repurchase agreements and securities lending and borrowing transactions are not derecognised because the Group retains substantially all the risks and rewards on the basis of the predetermined repurchase price, and the criteria for derecognition are therefore not met. This also applies to certain securitisation transactions in which the Group retains a subordinated residual interest.

2.2.2 Policy applicable before 1 January 2018**i) Classification**

The Group classified its financial assets into the following categories:

- At fair value through profit or loss
- Loans and receivables
- Held-to-maturity investments
- Available for sale investments

Management determined the appropriate classification of its investments at initial recognition.

(a) Loans and receivables

Loans and advances to customers and trade receivables were non-derivative financial assets with fixed or determinable payments and fixed maturities that were not quoted in an active market and which the Group did not intend to sell immediately or in the near term. Loans and advances to customers were recognised when cash was advanced to borrowers.

(b) Held-to-maturity investments

These were non-derivative financial assets with fixed or determinable payments and fixed maturities that the Group had the positive intention and ability to hold to maturity. Where a sale occurred, other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and classified as available for sale.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

2) Significant accounting policies (continued)**2.2 Financial assets (continued)****2.2.2 Policy applicable before 1 January 2018 (continued)****i) Classification (continued)****(c) Financial assets at fair value through profit or loss**

This category had two sub-categories: Financial assets classified as held for trading and those designated at fair value through profit or loss at inception.

A financial asset was classified as held for trading if acquired principally for the purpose of selling in the short term. Derivatives were also categorised as held for trading unless they were designated and effective as hedging instruments. Financial instruments included in this category were recognised initially at fair value, transactions costs were taken directly to profit or loss. Gains and losses arising from changes in fair value were included directly in profit or loss.

The group designates certain financial assets upon initial recognition as at fair value through profit or loss (fair value option). This designation cannot subsequently be changed and can only be applied when the following conditions are met:

- the application of the fair value option reduces or eliminates an accounting measurement mismatch; or
- the financial assets are part of a portfolio of financial instruments which is risk managed and reported to key management personnel on a fair value basis.

For the Group, these comprise derivative assets (Note 21), certain government securities as set out in Note 20, quoted shares and unquoted equity investments (Note 25). Fair value changes relating to financial assets designated at fair value through profit or loss are recognised in 'Net gains on financial instruments designated at fair value through profit or loss' under 'net trading income' (Note 10)

(d) Available-for-sale investments

Available-for-sale financial assets were assets that were intended to be held for an indefinite period of time, which could be sold in response to needs for liquidity or changes in interest rates, exchange rates or equity prices or that were not classified as (a) financial assets at fair value through profit or loss, (b) loans and receivables, or (c) financial assets held to maturity.

Available for sale financial assets were initially recognised at fair value and measured subsequently at fair value with gains and losses being recognised in other comprehensive income and accumulated in the investments revaluation reserve with the exception of;

- impairment losses
- interest calculated using the effective interest rate method
- foreign exchange gains and losses on monetary assets which are recognised in profit or loss.

ii) Derecognition

The Group derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or substantially all the risks and rewards of ownership incidental to the financial asset are transferred. A financial liability is derecognised when its contractual obligations are redeemed or otherwise extinguished.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

2) Significant accounting policies (continued)

2.2 Financial assets (continued)

2.2.2 Policy applicable before 1 January 2018 (continued)

iii) Measurement

Financial instruments are initially recognised at fair value plus transaction costs.

Financial assets at 'fair value through profit or loss' are subsequently carried at fair value. Gains and losses arising from changes in the fair value in those assets are recognised in profit or loss.

Gains and losses arising from changes in the fair value of 'available-for-sale financial assets' are recognised in other comprehensive income in the period in which they arise and accumulated in the investment revaluation reserves.

When securities classified as available-for-sale are sold or impaired, the accumulated fair value adjustments previously recognised in the investment revaluation reserves are reclassified to profit or loss.

Dividends on available-for-sale equity instruments are recognised in profit or loss as part of other income when the Group's right to receive payments is established.

The fair values of quoted investments are based on the most representative price within the bid-ask spread. If the market for a financial asset is not active (and for unquoted securities), the Group establishes fair value by using valuation techniques that include the use of various valuation methodology. The fair value of financial instruments where no active market exists or where quoted prices are not otherwise available are determined by using valuation techniques. In these cases, the fair values are estimated from observable data in respect of similar financial instruments or using models. Where market observable inputs are not available, they are estimated based on appropriate assumptions. Where valuation techniques (for example, models) are used to determine fair values, they are validated and periodically reviewed by qualified personnel independent of those that sourced them.

Loans and receivables and held to maturity investments are carried at amortised cost using the effective interest rate method.

Financial liabilities are subsequently measured at amortised cost.

iv. Impairment of financial assets

Amounts classified as available for sale

In the case of equity securities classified as available-for-sale, a significant or prolonged decline in the fair value of the security below its cost is considered as an indicator that the securities are impaired. If any such evidence exists for available-for-sale financial assets, the cumulative loss measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that financial asset previously recognised in profit or loss – is removed from other comprehensive income and recognised in profit or loss. Impairment losses recognised in profit

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

2) Significant accounting policies (continued)

2.2 Financial assets (continued)

2.2.2 Policy applicable before 1 January 2018 (continued)

iv) Impairment of financial assets (continued)

or loss on equity instruments are not reversed through profit or loss.

Amounts carried at amortised cost

The Group reviews regularly, on a case-by-case basis, whether any objective evidence exists of impairment, individually for financial assets that are significant and individually or collectively for financial assets that are not individually significant. Financial assets are impaired when objective evidence demonstrates that a loss event has occurred after the initial recognition of the asset and that the loss event has an impact on the future cash flows of the asset that can be estimated reliably.

Loans and receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less provision for impairment. A provision for impairment of loans and receivables is established when there is objective evidence that the Group will not be able to collect all amounts due according to the original terms of the receivables. The amount of provision is the difference between the asset's carrying amount and the present value of estimated future cash flows, discounted at the original effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account, and the amount of the loss is recognised in profit or loss as 'Credit impairment charges'. When a loan or receivable is uncollectible, it is written off against the related allowance account. Subsequent recoveries of amounts previously written off are credited through profit or loss.

Objective evidence that loans and receivables are impaired includes significant financial difficulties of the debtor, probability that the debtor will enter bankruptcy or financial reorganisation, and default or delinquency in payments (more than 30 days overdue), the disappearance of an active market for a security, or other observable data relating to a group of assets such as adverse changes in the payment status of borrowers or issuers in the group, or economic conditions that correlate with defaults in the Group are considered indicators that the loans or receivable is impaired.

In assessing impairment losses, the Group considers the following factors, in each category:

Individually assessed loans

- The aggregate exposure to the Group.
- The viability of the customer's business model and its capacity to trade successfully out of financial difficulties and generate sufficient cash flows to meet its debt obligations.
- The realisable value of the security (or other mitigants) and likelihood of successful repossession net of any costs involved in recovery of amounts.
- The amount and timing of expected receipts and, in cases of liquidation or bankruptcy, dividend available.
- The extent and complexity of other creditors' commitment ranking pari passu with the Group and the likelihood of other creditors continuing to support the customer.

Collectively assessed

- For loans not subject to individual assessment, to cover losses which have been incurred but have not yet been identified.
- For homogeneous groups of loans that are not considered individually significant, where there is objective evidence of impairment.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

2) Significant accounting policies (continued)

2.2 Financial assets (continued)

2.2.2 Policy applicable before 1 January 2018 (continued)

iv) Impairment of financial assets (continued)

Homogeneous groups of loans

For homogeneous groups of loans that are not considered individually significant, or in other cases, when the portfolio size is small or when information is insufficient or not reliable enough, the Group adopts a formulaic approach which allocates progressively higher percentage loss rates in line with the period of time for which a customer's loan is overdue. Loss rates are calculated from the discounted expected future cash flows from a portfolio. These rates and the expected timing of future recoveries are regularly benchmarked against actual outcomes to ensure they remain appropriate.

Loan write – offs

An uncollectible loan is written off against the relevant provision for impairment, either partially or in full, when there is no realistic prospect of recovery and the proceeds from realising the security have been substantially or fully recovered.

Restructured loans

Restructure of a loan is accommodated only where a borrower provides sufficient evidence of cash flow to support the new repayment schedule. The Group monitors the subsequent performance of modified assets. The Group may determine that the credit risk has significantly improved after restructuring, so that the assets are moved from Stage 3 or Stage 2 (Lifetime ECL) to Stage 1 (12-month ECL). This is only the case for assets which have sustained a record of performance in accordance with the new repayment terms for six to twelve consecutive months.

2.3 Financial liabilities

(i) Classification and subsequent measurement

In both the current and prior period, financial liabilities are classified as subsequently measured at amortised cost, except for:

- Financial liabilities at fair value through profit or loss: this classification is applied to derivatives, financial liabilities held for trading (e.g. short positions in the trading booking) and other financial liabilities designated as such at initial recognition. Gains or losses on financial liabilities designated at fair value through profit or loss are presented partially in other comprehensive income (the amount of change in the fair value of the financial liability that is attributable to changes in the credit risk of that liability, which is determined as the amount that is not attributable to changes in market conditions that give rise to market risk) and partially profit or loss (the remaining amount of change in the fair value of the liability). This is unless such a presentation would create, or enlarge, an accounting mismatch, in which case the gains and losses attributable to changes in the credit risk of the liability are also presented in profit or loss;
- Financial liabilities arising from the transfer of financial assets which did not qualify for derecognition, whereby a financial liability is recognised for the consideration received for the transfer. In subsequent periods, the Group recognises any expense incurred on the financial liability; and
- Financial guarantee contracts and loan commitments.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

2) Significant accounting policies (continued)**2.3 Financial liabilities (continued)****(ii) Derecognition**

Financial liabilities are derecognised when they are extinguished (i.e. when the obligation specified in the contract is discharged, cancelled or expires).

The exchange between the Group and its original lenders of debt assets with substantially different terms, as well as substantial modifications of the terms of existing financial liabilities, are accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. The terms are substantially different if the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective interest rate, is at least 10% different from the discounted present value of the remaining cash flows of the original financial liability. In addition, other qualitative factors, such as the currency that the instrument is denominated in, changes in the type of interest rate, new conversion features attached to the instrument and change in covenants are also taken into consideration. If an exchange of debt assets or modification of terms is accounted for as an extinguishment, any costs or fees incurred are recognised as part of the gain or loss on the extinguishment. If the exchange or modification is not accounted for as an extinguishment, any costs or fees incurred adjust the carrying amount of the liability and are amortised over the remaining term of the modified liability.

2.4 Financial guarantee contracts and loan commitments

Financial guarantee contracts are contracts that require the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payments when due, in accordance with the terms of a debt instrument. Such financial guarantees are given to banks, financial institutions and others on behalf of customers to secure loans, overdrafts and other banking facilities.

Financial guarantee contracts are initially measured at fair value and subsequently measured at the higher of:

- The amount of the loss allowance; and
- The premium received on initial recognition less income recognised in accordance with the principles of IFRS 15.

Loan commitments provided by the Group are measured as the amount of the loss allowance. The Group has not provided any commitment to provide loans at a below-market interest rate, or that can be settled net in cash or by delivering or issuing another financial instrument.

For loan commitments and financial guarantee contracts, the loss allowance is recognised as a provision. However, for contracts that include both a loan and an undrawn commitment and the Group cannot separately identify the expected credit losses on the undrawn commitment component from those on the loan component, the expected credit losses on the undrawn commitment are recognised together with the loss allowance for the loan. To the extent that the combined expected credit losses exceed the gross carrying amount of the loan, the expected credit losses are recognised as a provision.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

2) Significant accounting policies (continued)**2.5 Consolidation****i) Subsidiaries**

The consolidated financial statements comprise the financial statements of NIC Group PLC and its subsidiary companies made up to 31 December. Subsidiary undertakings have been fully consolidated. All intercompany transactions, balances and unrealised surpluses and deficits on transactions between Group companies have been eliminated.

Subsidiaries are all entities over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the group. They are deconsolidated from the date that control ceases.

The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group.

A listing of the Company's subsidiaries is set out in Note 25 (b).

The acquisition method of accounting is used when subsidiaries are acquired by the Group. The cost of an acquisition in a business combination is measured at fair value, which is calculated as the sum of the acquisition-date fair values of the consideration transferred by the Group, liabilities assumed by the Group from the former owners of the acquiree and the equity interests issued by the Group in exchange for control of the acquiree. Acquisition-related costs are recognised in profit or loss as incurred.

At the acquisition date, the acquired identifiable assets and the liabilities assumed are generally measured and recognized at their fair value.

Goodwill is measured as the excess of the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree, and the fair value of the Group's previously held equity interest in the acquiree (if any) over the net of the acquisition-date amounts of the identifiable assets acquired and the liabilities assumed.

In the event that the amounts of net assets acquired is in excess of the aggregate of the consideration transferred, the amount of non-controlling interest and the fair value of Group's previously held equity interest, the difference is recognised immediately in profit or loss as a bargain purchase.

In a business combination achieved in stages, the previously held equity interest is re-measured at the acquisition-date fair value with the resulting gain or loss recognised in profit or loss.

Non-controlling interests that are present ownership interests and entitle their holders to a proportionate share of the entity's net assets in the event of liquidation may be initially measured either at fair value or at the non-controlling interests' proportionate share of the recognised amounts of the acquiree's identifiable net assets. The choice of measurement basis is made on a transaction-by-transaction basis. Other types of non-controlling interests are measured at fair value or, when applicable, on the basis specified in another IFRS.

Additional information required by the regulatory bodies is included where appropriate.

i) Changes in ownership interest in subsidiaries without change of control

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions – that is, as transactions with the owners in their capacity as owners. The difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

2) Significant accounting policies (continued)**2.6 Foreign currencies****Functional and Presentation currency**

The financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates (the "Functional Currency"). The financial statements are presented in Kenya Shillings, which is the Group and the Company's Presentation Currency. Except as indicated, financial information presented in Kenya Shillings has been rounded to the nearest thousand.

Transactions and balances

Foreign currency transactions that are transactions denominated, or that require settlement, in a foreign currency are translated into the respective functional currencies of the operations using the exchange rates prevailing at the dates of the transactions.

At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date.

Foreign currency exchange gains and losses resulting from the settlement of such transactions and from the translation at year end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

Translation differences on non-monetary financial instruments, such as equities held at fair value through profit or loss, are reported as part of the fair value gain or loss. Translation differences on non-monetary financial instruments, such as equities classified as available-for-sale financial assets, are included in other comprehensive income.

2.7 Interest income and expense**2.7.1 Policy applicable from 1 January 2018**

Interest income and expense for all interest bearing financial instruments are recognised in profit or loss on accrual basis using the effective interest method. The effective interest rate is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the financial instruments (or, where appropriate, a shorter period) to the carrying amount of the financial instruments. The effective interest rate is established on initial recognition of the financial instrument.

The calculation of the effective interest rate includes all fees and points paid or received transaction costs, and discounts or premiums that are an integral part of the effective interest rate. Transaction costs are incremental costs that are directly attributable to the acquisition, issue or disposal of a financial instrument.

Once a financial asset or a group of similar financial assets has been written down as a result of an impairment loss, interest income is recognised using the rate of interest that was used to discount the future cash flows for purposes of measuring the allowance for impairment.

Interest income and expense on all trading assets and liabilities are considered to be incidental to the Group's trading operations and are presented together with all other changes in the fair value of trading assets and liabilities in net trading income.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

2) Significant accounting policies (continued)

2.7 Interest income and expense (continued)

2.7.1 Policy applicable from 1 January 2018 (continued)

Interest income and expense for all interest bearing financial instruments were recognised in profit or loss on accrual basis using the effective interest method. The effective interest rate was the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the financial instruments (or, where appropriate, a shorter period) to the carrying amount of the financial instruments. The effective interest rate was established on initial recognition of the financial instrument.

The calculation of the effective interest rate included all fees and points paid or received transaction costs, and discounts or premiums that were an integral part of the effective interest rate. Transaction costs were incremental costs that were directly attributable to the acquisition, issue or disposal of a financial instrument.

Once a financial asset or a group of similar financial assets had been written down as a result of an impairment loss, interest income was recognised using the rate of interest that was used to discount the future cash flows for purposes of measuring the allowance for impairment.

Interest income and expense on all trading assets and liabilities were considered to be incidental to the Group's trading operations and were presented together with all other changes in the fair value of trading assets and liabilities in net trading income.

2.8 Fee and commission income and expenses

In the normal course of business, the Group earns fees and commission income from a diverse range of services to its customers. Fees and commission income and expenses that are integral to the effective interest rate on a financial instrument are included in the measurement of the effective interest rate.

Other fees and commission income, including account servicing fees, placement fees, and syndication fees, are recognised as the related services are performed. When a loan commitment is not expected to result in the draw-down of a loan, loan commitment fees are recognised on a straight-line basis over the commitment period.

Other fees and commission expense relates mainly to transaction and service fees, which are incurred as the services are received.

2.9 Net trading income

Net trading income arises from the margins which are achieved through market-making and customer business and from changes in market value caused by movements in interest and exchange rates, equity prices and other market variables. It comprises gains less losses related to trading assets and liabilities, and includes all realised and unrealised fair value changes, interest, dividends and foreign exchange differences

2.10 Offsetting

Financial instruments are offset and the net amount reported in the statement of financial position when there is a legal right to set off the amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

2) Significant accounting policies (continued)**2.11 Employee benefits****Retirement benefit obligations**

The Group operates a defined contribution plan under which the Group pays fixed contributions into a separate entity. The Group has no obligation, legal or constructive, to pay further contributions if the scheme does not have sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. The assets of the scheme are held in a separate trustee administered fund, which is funded by contributions from both the Group and the employees.

In addition, the Group also contributes to the National Social Security Funds.

The Group's contributions to the defined contribution schemes are charged to the profit or loss in the year in which they relate.

Contract staff are entitled to gratuity payment at the completion of the contract. Provision is made for gratuity in line with the contracts.

Short-term benefits

Short-term employee benefit obligations (e.g. medical reimbursements and insurance) are measured on an undiscounted basis and are expensed as the employee renders service.

The monetary benefits for employee accrued leave entitlement at the reporting date are recognised as an expense accrual.

2.12 Leasehold land

Payments to acquire leasehold interest in land are treated as prepaid operating lease rentals and amortised on straight line basis over the period of the lease. When a lease includes land and buildings elements, the Group assesses the classification of each element as either a finance lease or an operating lease. In determining classification of the land element, an important consideration is that land normally has an indefinite economic life. Therefore the finance lease or operating lease classification of the land is considered a area of judgment.

2.13 Income tax expense

Income tax expense comprises current and deferred tax. Current tax is the expected tax payable on the taxable profit for the year using currently enacted tax rates, and any adjustment to tax payable in respect of previous years.

The current income tax charge is calculated on the basis of tax laws enacted or substantively enacted at the reporting date. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation.

Management establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred tax is provided using the liability method, for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date. Currently enacted tax rates are used to determine deferred tax.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

2) Significant accounting policies (continued)**2.13 Income tax expense (continued)**

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

The tax effects of carry-forwards of unused losses or unused tax credits are recognised as an asset when it is probable that future taxable profits will be available against which these losses can be utilised.

Current and deferred tax are recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively. Where current tax or deferred tax arises from the initial accounting for a business combination, the tax effect is included in the accounting for the business combination.

2.14 Leases

When the Group is the lessor in a lease agreement that transfers substantially all of the risks and rewards incidental to ownership of an asset to the lessee, the arrangement is classified as a finance lease within loans and receivables. All other lessees are classified as operating leases.

Minimum lease payments made under finance leases are apportioned between the finance income and the reduction of the outstanding principal. The finance income is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the asset.

Rental income from operating leases is recognised on a straight-line basis over the term of the relevant lease. Rentals payable under operating leases are charged to profit or loss over the terms of the relevant lease.

2.15 Repurchase agreements

When the Group purchases a financial asset and simultaneously enters into an agreement to re-sell the asset (or a substantially similar asset) at a fixed price on a future date ("reverse repo or stock borrowing"), the arrangement is accounted for as a loan or receivable, and the underlying asset is not recognised in the Group's financial statements.

2.16 Property and equipment**Recognition and measurement**

Items of fixtures and equipment are stated at historical cost less accumulated depreciation. Buildings comprising mainly of the head office are stated in the statement of financial position at their revalued amounts, being the fair value at the date of revaluation, less any subsequent accumulated depreciation. Valuations are performed with sufficient regularity to ensure that the fair value of a revalued asset does not differ materially from its carrying amount. Any accumulated depreciation at the date of revaluation is eliminated against the gross carrying amount of the asset, and the net amount is restated to the revalued amount of the asset.

Cost includes expenditures that are directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials, direct labour and any other costs directly attributable to bringing the asset to a working condition for its intended use. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

When parts of an item of property or equipment have different useful lives, they are accounted for as separate items of property and equipment.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

2) Significant accounting policies (continued)**2.16 Property and equipment (continued)****Recognition and measurement (continued)**

The gain or loss arising on the disposal or retirement of an item of property or equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in profit or loss for the year.

Subsequent costs

The cost of replacing part of an item of property or equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The costs of the day-to-day servicing of property and equipment are charged to profit or loss for the year as incurred.

In relation to buildings, revaluations are performed with sufficient regularity such that the carrying amounts do not differ materially from those that would be determined using fair value at the reporting date. Any increase arising on the revaluation is recognised in other comprehensive income and accumulated in the revaluation surplus on property. Decreases that offset previous increases of the same asset are recognised in other comprehensive income and charged against the revaluation surplus on property; all other decreases are charged to the profit or loss for the year.

Depreciation which is recognised in profit or loss is calculated on a straight-line basis to allocate the costs or revalued amounts over their estimated useful lives as follow:

Building	2.5%
Furniture, fittings and equipment	20.0%
Motor vehicles	20.0%
Computers	33.3%

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period. Assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. Excess depreciation, representing the additional depreciation based on revalued amounts over depreciation based on historical costs, is transferred annually from revaluation surplus on property to retained earnings, net of deferred tax.

2.17 Intangible assets**Computer software**

Costs associated with maintaining computer software programs are recognised as an expense as incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software products controlled by the Group are recognised as intangible assets when the following criteria are met:

- it is technically feasible to complete the software product so that it will be available for use;
- management intends to complete the software product and use or sell it;
- there is an ability to use or sell the software product;
- it can be demonstrated how the software product will generate probable future economic benefits;
- adequate technical, financial and other resources to complete the development and to use or sell the software product are available; and
- the expenditure attributable to the software product during its development can be reliably measured.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

2) Significant accounting policies (continued)

2.17 Intangible assets (continued)

Computer software (continued)

Directly attributable costs that are capitalized as part of the software product include the software development employee costs and an appropriate portion of relevant overheads.

Computer software development costs recognised as assets are amortised over their estimated useful lives, which is three to five years.

Acquired computer software licences are capitalized on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortised on the basis of the expected useful lives. Software has a maximum expected useful life of 5 years.

License

Separately acquired licences in business combination are initially recognised at their fair value at the acquisition date. Licences with an indefinite useful life are not amortised and are reviewed at each reporting date to determine whether events and circumstances continue to support an indefinite useful life assessment of the asset. Where the Group re-assesses the useful life of an intangible asset as finite rather than indefinite, the asset may be considered to be impaired. The Group tests the asset for impairment annually and whenever there is an indication that the intangible asset may be impaired by comparing its recoverable amount, with the carrying amount and recognising any excess of the carrying amount over the recoverable amount as an impairment.

2.18 Legal and other claims

Provisions for legal claims are recognised when the Group has a present legal or constructive obligation as a result of past events; it is probable that an outflow of resources will be required to settle the obligation; and the amount has been reliably estimated. Provisions are not recognised for future operating losses.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

2.19 Cash and cash equivalents

Cash and cash equivalents comprise balances with less than three months' maturity from the date of acquisition. These includes notes and coins on hand, unrestricted balances held with Central Bank of Kenya, items in the course of collection from other banks, deposits held at call with banks, net of deposits and balances due to banking institutions and treasury bills with original maturities of less than three months. Such assets are generally subject to insignificant risk of changes in their fair value, and are used by the Group in the management of its short-term commitments.

2.20 Share capital and share premium

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of new shares are shown in equity as a deduction, net of tax, from the proceeds.

2.21 Contingent liabilities

Letters of credit, acceptances, guarantees and performance bonds, which are credit-related instruments, are generally given by the Group to support performance by a customer to third parties. Nominal principal amounts represent amounts at risk should the Group be required to meet these obligations in the event the customer defaults. These obligations are accounted for as off balance sheet transactions and disclosed as contingent liabilities.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

2) Significant accounting policies (continued)

2.22 Regulatory reserves

IFRS 9 requires the Group to recognise an impairment loss when there is objective evidence that loans and receivables are impaired. However, prudential guidelines issued by banking regulators require the Group to set aside amounts for impairment losses on loans and receivables based on their guidelines. Extra losses over and above those already recognised under IFRS 9 are accumulated under regulatory reserves through appropriations of retained earnings.

The Group maintains a regulatory reserve by appropriating from retained earnings an amount equivalent to at least the excess provision required under the Central Bank of Kenya's prudential guidelines and those computed under IFRS 9.

2.23 Fiduciary activities

The Group provides custody, trustee, corporate administration, investment management and advisory services to third parties, which involve the Group making allocation and purchase and sale decisions in relation to a wide range of financial instruments. Those assets that are held in a fiduciary capacity are not included in these financial statements.

2.24 Derivative financial instruments

Derivatives are financial instruments that derive their value from the price of underlying items such as equities, bonds, interest rates, foreign exchange, credit spreads, commodities and equity or other indices. Derivatives are intended to acquire, increase, reduce or alter exposure to market risks. The Group uses derivatives for its customers and on its own account to manage exposure to market risks. Derivative assets and liabilities on different transactions are only set off if the transactions are with the same counterparty, a legal right of set-off exists and the cash flows are intended to be settled on a net basis.

2.25 Segmental reporting

A segment is a distinguishable component of the group that is engaged in providing products or services within a particular economic environment which is subject to risks and rewards that are different from those of other segments. Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker (Group management). The management then allocates resources to each operating segment of the Group and assesses their performance. The operating segments are based on the Group's management and internal reporting structure. All transactions between business segments are conducted on commercial terms with intra-segment revenue and costs being eliminated at Group level.

In accordance with IFRS 8, Operating Segments, the Group has the following business segments; corporate and institutional banking, treasury dealing and brokerage, retail banking, asset finance and investment banking and others (see note 7).

2.26 Proposed dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are appropriated from retained earnings and shown as a separate component of equity until approved by the shareholders at the Annual General Meeting.

2.27 Other income

Other revenue includes dividends received from subsidiaries and associate investments, fair value gains and losses on investment securities at fair value through profit or loss, dividends relating to those financial instruments, and re-measurement gains and losses from contingent consideration on disposals and purchases.

Dividends on equity instruments are recognised in the profit or loss when the Group's right to receive payment is established.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

2) Significant accounting policies (continued)

2.28 Comparatives

Except otherwise required, all amounts are reported or disclosed with comparative information. Where necessary, comparative figures have been adjusted to conform to changes in presentation in the current year.

3) Risk management overview

In the financial services sector, sustainable growth in profitability involves selectively taking and managing risks. The Group's goal is to earn, on behalf of the stakeholders, an optimal, stable and sustainable rate of return for every shilling of risk we take, while continually investing in our business to meet our future growth objectives. The risk management resources and processes are designed to identify, understand, measure and report risks that the Group's businesses are exposed to, and develop governance, controls, and risk management frameworks necessary to mitigate these risks as appropriate. These resources and processes are strengthened by the Group's culture which emphasises transparency, accountability and responsibility for managing the risks we are exposed to.

The Group defines risk as an event or events of uncertainty which can be caused by internal or external factors resulting in the possibility of losses (downside risk). However, the Group appreciates that some risk events may result into opportunities (upside risk) and should therefore be actively sought and exploited.

The Group operates in an environment of numerous risks as shown below that may cause financial and non-financial results to differ significantly from the expected outcomes. The Group has an enterprise-wide approach to the identification, measurement, monitoring and management of risks faced across the region. These financial risks are classified as follows:

- Credit and counterparty risk
- Liquidity and funding risk
- Market risk that fall within:
 - Interest rate risk
 - Foreign exchange risk

3.1 Credit and counterparty risk

Credit and counterparty risk is the potential for loss due to the Group's customers' or counterparties' failure or unwillingness to meet their contractual credit obligations. It is the single largest financial risk that the Group faces. It arises principally from, but is not limited to, commercial and retail loans and advances, commitments from forward foreign exchange contracts, financial guarantees, letters of credit and acceptances, investments in debt securities and other exposures arising from trading and settlement activities with market counterparties.

The amounts presented in these financial statements are net of impairment allowances based on prudent assessment of the customers' or counterparties' abilities to meet their contractual obligations.

The Group's lending principles are laid out in an elaborate series of corporate strategies, policies, standards, guidelines, directives and procedures, all of which are developed, approved and reviewed regularly by the Board Credit Risk Committee and respective Risk Management Committees. This is to ensure policies are current and consistent with the Group's risk appetite. The structure, limits, collateral requirements, ongoing management, monitoring and reporting of credit exposures are all governed by these principles.

i) Who manages credit and counterparty risk

The Board of Directors and Senior Management pay special attention to credit risk exposure at all times. The Board retains the responsibility for under-writing and independent review of the credit risk exposures through specifically constituted Board sub-committees: the Board Credit Risk Committee and the Board Risk Management Committee respectively. To facilitate the day to day management of credit risk i.e. under-writing functions, monitoring and control, there is a specialised, independent and centralised credit review/approval team headed by the Director, Credit risk who reports to the Managing Director. The Board of Directors retains the authority to approve credit facilities that are significant in size or complexity.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

3) Financial risk management (continued)**3.1 Credit and counterparty risk (continued)**

Effective credit risk management begins with experienced and professional lending officers who have been formally mandated to authorise credit exposures for the Group. These individuals are subjected to a rigorous lender qualification process and operate within a disciplined environment with clear delegation of management discretionary limits at both the individual and joint levels depending on the size and complexities of the credit decisions they make.

To facilitate quick credit decisions, the Board Credit Risk Committee has granted formal discretionary limits to several Senior Managers (at individual and committee levels), in line with their skills, experience and ability to make sound credit decisions.

To separate the sales and credit under-writing functions from credit operations, a credit administration unit that reports directly to the Director, Technology and Operations, handles post-approval credit administration as well as the daily monitoring of credit exposures against approved limits. This together with the complete segregation of sales activities from the underwriting process, maintains an adequate governance structure that eliminates conflicts of interest that may occur in the course of business.

Credit risk management key performance indicators, including the quality of our credit portfolios, portfolio concentrations, amongst others, are independently reviewed by the Head of Risk Management & Compliance with oversight from the Board Risk Management Committee.

Regular independent audits of the approval process and adherence to credit risk management programs are carried out by the Internal Audit Department. Adverse findings are submitted to Senior Management and the Board Audit Committee for information and corrective actions implementation. Furthermore, audit programs are carried out using a risk based approach to concentrate activities where high probability and/or high impact risk events are envisaged.

ii) Credit and counterparty risk measurement and assessment

The estimation of credit exposures at the individual and portfolio levels is complex and requires the use of special models, as the value of products or portfolios varies with changes in market variables, expected cash-flows and the passage of time. The assessment of a portfolio of assets' credit exposures entails further estimation of the likelihood of defaults occurring, of associated losses, and of default correlations between borrowers or counterparties, the facilities granted, and their industries. This is achieved using Probability of Default (PD), Exposure at Default (EAD) and Loss Given Default (LGD). This is similar to the approach used for the purposes of measuring Expected Credit Loss (ECL) under IFRS 9.

The Board Credit Risk Committee regularly sets, reviews and approves exposure limits for the larger counterparties as well as tolerance limits on a portfolio basis. In turn, the Group manages the limits and controls concentrations of credit risk exposures against internal and regulatory requirements with respect to individual counterparties or related groups of counterparties, industry sectors, amongst others.

Exposures to any one borrower (including bank counterparties) are further restricted by sub-allocating limits covering separate on and off – balance sheet exposures, as well as daily delivery exposures in relation to trading items e.g. forward foreign exchange contracts.

Lending limits are reviewed regularly in line with the changing business/financial risks of the borrowers, in addition to industry and general economic conditions in which they operate. To enable prudent and consistent credit assessments at the individual level, the Group has robust approval processes and models covering different business segments. This process basically captures the borrower's financial viability, industry / economic performance, geopolitical risks and its managements' ability to steer the organisation. These models are suited to counterparties who are homogeneous in nature for ease of their use.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

3) Financial risk management (continued)**3.1 Credit and counterparty risk (continued)****ii) Credit and counterparty risk measurement & assessment (continued)**

Limits for commercial and corporate clients are reviewed at least once annually. The credit review process ensures that an appropriate facility structure, including covenant monitoring, is in place for each client. The frequency of reviews is increased in accordance with the likelihood and size/complexity of potential credit losses, with deteriorating higher-risk situations referred to independent debt recovery units for closer attention and remediation where appropriate.

The risks in industry sectors are managed through limits and lending criteria / guidelines relevant to each particular industry. Borrower limits are set within the context of established guidelines for individual borrowers and particular industries to ensure the Group does not have excessive concentration in any related group of borrowers or industry. Through this portfolio management process, loans may be syndicated to reduce overall exposure to a single name and/ or industry.

Exposures against tolerance limits in relation to credit risk categories are measured and monitored periodically on an aggregated basis. Actual exposures against limits are monitored daily through the well-established credit management information systems that are in place.

iii) Control and mitigation policies

Although the Group only lends to counterparties that primarily demonstrate adequate capacity to repay loans, it also employs a range of policies, guidelines and models to mitigate credit risk as follows:

Collateral

This is only considered in those cases where the Group would want to take a credit risk mitigant. The Group has developed specific policies and guidelines for the acceptance of different classes of collateral whose estimated fair values are well understood.

Estimates of the collateral's fair values are based on the value of collateral independently and professionally assessed at the time of borrowing, and re-valued with a frequency commensurate with nature and type of the collateral and credit advanced. Collateral structures and covenants are subjected to regular review to ensure they continue to fulfil the intended purpose to the Group.

Collateral is generally not held in respect of deposits and balances due from banking institutions, items in the course of collection, and Government securities, except when securities are held for reverse purchase and securities borrowing activity.

Credit rating

The Group uses an internal rating system for its borrowing clients. The system sets maximum exposure limits for individuals or groups of clients using the rating attained by the borrowers. The rating system will also inform the basis of determining the value and classes of collateral acceptable for the borrower(s).

Settlement risk

This is the risk of loss due to the failure by counterparty to honour its obligations to deliver cash, securities or other assets as contractually agreed. It arises in situations where a payment in cash is made in anticipation of corresponding receipt of cash securities or other assets. Daily settlement limits are approved by the relevant authority levels and established for each counterparty to cover the aggregate of all settlement risks arising from the counterparty's market transactions on a single day. Acceptance of the counterparty's settlement risk is determined on the basis of financial strengths and other non-financial considerations subject to Board Credit Risk Committee's approvals.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

3) Financial risk management (continued)

3.1 Credit and counterparty risk (continued)

iv) Expected credit loss measurement

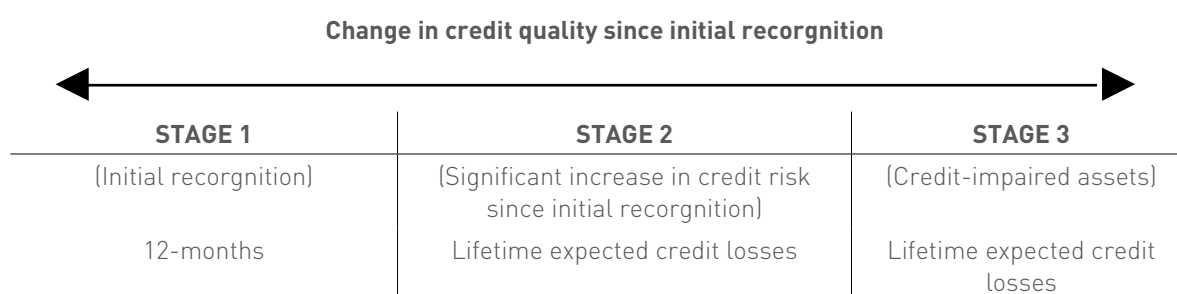
IFRS 9 outlines a 'three-Stage' model for impairment based on changes in credit quality since initial recognition as summarised below:

- **Stage 1:** Assets that are performing. If credit risk is low as of the reporting date or the credit risk has not increased significantly since initial recognition, The Group recognises a loss allowance at an amount equal to 12-month expected credit losses. This amount of credit losses is intended to represent lifetime expected credit losses that will result if a default occurs in the 12 months after the reporting date, weighted by the probability of that default occurring.
- **Stage 2:** Assets that have significant increases in credit risk. In instances where credit risk has increased significantly since initial recognition, the Group measures a loss allowance at an amount equal to full lifetime expected credit losses. That is, the expected credit losses that result from all possible default events over the life of the financial instrument. For these debt assets, interest income recognition will be based on the EIR multiplied by the gross carrying amount.
- **Stage 3:** For debt assets that have both a significant increase in credit risk plus observable evidence of impairment i.e. have defaulted.

Purchased or originated credit-impaired financial assets are those financial assets that are credit impaired on initial recognition. Their ECL is always measured on a lifetime basis (Stage 3).

A pervasive concept in measuring ECL in accordance with IFRS 9 is that it should consider forward looking information.

The following diagram summarises the impairment requirements under IFRS 9 (other than purchased or originated credit-impaired financial assets):



NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

3) Financial risk management (continued)**3.1 Credit and counterparty risk (continued)****iv) Expected credit loss measurement**

The key judgments and assumptions adopted by the Group in addressing the requirements of the standard are discussed below:

a) Significant Increase in credit risk (SICR)

The Group's decision on whether to recognize 12-month or lifetime expected credit losses depends on whether there has been a significant increase in credit risk since initial recognition. An assessment of whether credit risk has increased significantly is performed at each reporting date.

When making the assessment, the Group uses the change in the risk of a default occurring over the expected life of the financial instrument instead of the change in the amount of expected credit losses. This forms the basis of stage 1, 2 and 3 classification and subsequent migration.

The Group applies qualitative and quantitative criteria for stage classification and for its forward and backward credit risk migration.

Quantitative Criteria

The quantitative criteria is based on relative and not absolute changes in credit quality driven by counterparty ratings and days past due.

The Group considers that financial instruments for which default patterns are not concentrated at a specific point during the expected life of the financial instrument, changes in the risk of a default occurring over the next 12 months may be a reasonable approximation of the changes in the lifetime risk of a default occurring and could be used to determine whether credit risk has increased significantly since initial recognition.

The appropriateness of using changes in the risk of a default occurring over the next 12 months to determine whether lifetime expected credit losses should be recognised depends on the specific facts and circumstances. Risk of default occurring over the next 12 months is not a suitable basis for determining whether credit risk has increased on a financial instrument with a maturity of more than 12 months when:

- The financial instruments only have significant payment obligations beyond the next 12 months;
- Changes in relevant macroeconomic or other credit-related factors occur that are not adequately reflected in the risk of a default occurring in the next 12 months; or
- Changes in credit-related factors only have an impact on the credit risk of the financial instrument (or have a more pronounced effect) beyond 12 months.

The Group's quantitative credit grading, as compared to respective entity's regulatory guidelines credit grading is as per the table below:

IFRS 9 credit staging / grading	Regulatory Guidelines	Days past due
1	Normal	Up to date and in line with contractual agreements or within 30 days' arrears
2	Watch	31 to 90 days overdue
3	Substandard	91 to 180 days overdue
	Doubtful	181 – 365 days overdue
	Loss	Over 365 overdue

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

3) Financial risk management (continued)

3.1 Credit and counterparty risk (continued)

iv) Expected credit loss measurement (continued)

a) Significant Increase in credit risk (SICR) (continued)

Qualitative Criteria

In addition to the above, the Group considers other qualitative factors in determining the classification above, and may accelerate the classification of credit facilities where deemed appropriate. They include but not limited to:

- Significant changes in the terms of the same instrument if it were issued at the reporting date that indicate a change in credit risk since initial recognition, e.g.: increase in credit spread; more stringent covenants; increased amounts of collateral or guarantees; or higher income coverage.
- Significant changes in external market indicators of credit risk for the same financial instrument (or similar instrument of the borrower), e.g.: credit spread; credit default swap prices; length of time or the extent to which the fair value of a financial asset has been less than its amortized cost; other market information related to the borrower, such as changes in the price of a borrower's debt and equity instruments; or external credit rating (actual or expected).
- Changes in the Group's credit management approach in relation to the financial instrument (e.g. based on emerging indicators of changes in the credit risk of the financial instrument, the Group's credit risk management practice is expected to become more active or focused on managing the instrument, including the instrument becoming more closely monitored or controlled, or the Group specifically intervening with the borrower).
- Actual or expected adverse changes in business, financial or economic conditions significantly affecting borrower's ability to meet its debt obligations (e.g. increase in interest rates or unemployment rates); operating results of the borrower e.g. declining revenues or margins, increasing operating risks, working capital deficiencies, decreasing asset quality, increased balance sheet leverage, liquidity, management problems or changes in the scope of business or organisational structure (such as the discontinuance of a segment of the business) that results in a significant change in the borrower's ability to meet its debt obligations; or regulatory, economic, or technological environment of the borrower that results in a significant change in the borrower's ability to meet its debt obligations (e.g. a decline in the demand for the borrower's sales product because of a shift in technology).
- Significant changes in the value of collateral or in the quality of third-party guarantees or credit enhancements, which are expected to reduce the borrower's economic incentive to pay or otherwise affect the probability of default; or quality of a guarantee provided by a shareholder (or an individual's parents) if the shareholder (or parents) have an incentive and financial ability to prevent default by capital or cash infusion.
- Expected changes in the loan documentation (e.g. breach of contract leading to covenant waivers or amendments, interest payment holidays, interest rate step-ups, requiring additional collateral or guarantees).
- Significant changes in the expected performance and behavior of the borrower, including changes in the payment status of borrowers in the Group (e.g. increase in delayed contractual payments or number of credit card borrowers expected to approach or exceed their credit limit or who are expected to be paying the minimum monthly amount).

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

3) Financial risk management (continued)

3.1 Credit and counterparty risk (continued)

iv) Expected credit loss measurement (continued)

b) Definition of default and credit-impaired assets

The Group defines a financial instrument as in default, which is fully aligned with the definition of credit-impaired, when it meets one or more of the following criteria:

Qualitative criteria

The borrower meets unlikeliness to pay criteria, which indicates the borrower is in significant financial difficulty. These are instances where:

- The borrower is in long-term forbearance
- The borrower is deceased
- The borrower is insolvent or becoming probable that the borrower will enter bankruptcy
- The borrower is in breach of financial covenants
- An active market for that financial asset has disappeared because of financial difficulties
- Concessions have been made by the lender relating to the borrower's financial difficulty
- Financial assets are purchased or originated at a deep discount that reflects the incurred credit losses

The above criteria have been applied to all financial instruments held by the Group and are consistent with the definition of default used for internal credit risk management purposes. The default definition has been applied consistently to model the Probability of Default (PD), Exposure at Default (EAD) and Loss Given Default (LGD) throughout the Group's expected loss calculations.

An instrument is considered to no longer be in default (i.e. to have cured) when it no longer meets any of the default criteria for a consecutive period of six months. This period of six months has been determined based on an analysis which considers the likelihood of a financial instrument returning to default status after cure using different possible cure definitions.

c) Measuring expected credit loss – inputs, assumptions and estimation techniques

Loans and advances and other credit commitments

"ECL" is defined as the amount on a probability-weighted basis as the difference between the cash flows that are due to the Group in accordance with the contractual terms of a financial instrument and the cash flows that the Group expects to receive.

ECL is formula driven, i.e. **ECL = PD x LGD x EAD**

ECLs are the discounted product of the Probability of Default (PD), Exposure at Default (EAD), and Loss Given Default (LGD), defined as follows:

- The PD represents the likelihood of a borrower defaulting on its financial obligation, either over the next 12 months (12-month PD) or over the remaining lifetime (Lifetime PD) of the obligation.
- EAD is based on the amounts the Group expects to be owed at the time of default, over the next 12 months (12 months EAD) or over the remaining lifetime (Lifetime EAD).
- LGD represents the Group's expectations of the extent of loss on a defaulted exposure. LGD varies by type of counterparty, type of seniority of claim and availability of collateral or other credit support. LGD is calculated on a 12-month or lifetime basis, where 12 month LGD is the percentage of loss expected to be made if the default occurs over the next 12 months and lifetime LGD is the percentage of loss expected to be made if the default occurs over the remaining expected lifetime of the loan.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

3) Financial risk management (continued)

3.1 Credit and counterparty risk (continued)

iv) Expected credit loss measurement (continued)

c) Measuring expected credit loss – inputs, assumptions and estimation techniques (continued)

Loans and advances and other credit commitments (continued)

The ECL is determined by projecting the PD, LGD and EAD for each future year and for each individual exposure or collective segment. These three components are multiplied together and adjusted for the likelihood of survival (i.e. the exposure has not prepaid or defaulted in an earlier month). The discount rate used in the ECL calculation is the original effective interest rate or an approximation thereof.

The lifetime PD is developed by applying a maturity profile to the current 12 month PD. The maturity profile looks at how defaults develop on a portfolio from the point of initial recognition throughout the lifetime of the loans.

The maturity profile is based on historical observed data and is assumed to be the same across all assets within a portfolio and a credit grade. This is supported by a historical analysis.

The 12 month and lifetime EADs are determined based on the expected payment profile, which varies by product type:

- For amortising products or bullet repayment loans, this is based on the contractual repayments owed by the borrower over a 12-month or lifetime basis. This will also be adjusted for any expected overpayments made by the borrower. Early repayments/refinance assumptions are also incorporated.
- For revolving products, the exposure at default is predicted by taking the current drawn-down balance and adding a “credit conversion factor” which allows for the expected drawdown of the remaining limit by the time of default. These assumptions vary by product type and current limit utilisation band, based on analysis of the Group’s recent default data.

The 12-month and lifetime LGDs are determined based on the factors which impact the recoverable amount post default. These vary by product type:

- For secured products, this is primarily based on collateral type and projected collateral values, historical discounts to market/book values due to forced sales, time to repossession and recovery costs observed.
- For unsecured products, LGDs are typically set at product level due to the limited differentiation in recoveries achieved across different borrowers. These LGDs are influenced by collection strategies, including contracted debt sales and prices.

Forward-looking economic information is also included in determining the 12-month and lifetime PD, EAD and LGD. These assumptions vary by the industry segmentation.

The assumptions underlying the ECL calculation – such as how the maturity profile of the PDs and how collateral values change etc. – are monitored and reviewed on an annual basis.

Other non-loan financial assets

ECL on non-loan financial assets such as government securities, other investments at amortised cost and at FVOCI and other financial assets is not measured using the general model. Instead, the Group:

- uses simple external credit ratings as proxies to infer approximate PDs;
- assumes 100% LGDs
- EADs are estimated based on the expected maturities of the instruments, and depending on whether these are stage 1 or stage 2.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

3) Financial risk management (continued)

3.1 Credit and counterparty risk (continued)

iv) Expected credit loss measurement (continued)

d) Forward-looking information incorporated in the ECL

The assessment of SICR and the calculation of ECL both incorporate forward-looking information. The Group has performed historical analysis and identified the key economic variables impacting credit risk and expected credit losses for each portfolio. These economic variables and their associated impact on PD, EAD and LGD vary by industry/portfolio segmentation.

Forecasts of the base economic scenario and the possible best and worst scenarios along with scenario weightings (64.7%, 17.65% and 17.65% respectively) are prepared by an expert economic team. The impact of these economic variables on the PD, EAD and LGD is determined by performing statistical regression analysis to understand the impact changes in these variables have had historically on default rates and on the components of LGD and EAD.

As with any economic forecasts, the projections and likelihoods of occurrence are subject to an inherent uncertainty and therefore the actual outcomes may be significantly different to those projected. The Group considers these forecasts to represent its best estimate of the possible outcomes and has analysed the non-linearities and asymmetries within the Group's different portfolios to establish that the chosen scenarios are appropriately representative of the range of possible outcomes.

The key macro-economic factors that were evaluated by the Group and deemed to be most correlated to the historical and forecasted default statistics include Industry NPL ratios, exports of goods, GDP and inflation.

Other forward-looking considerations not otherwise incorporated within the above scenarios, such as the impact of any regulatory, legislative or political changes, have been considered, but are not deemed to have a material impact on therefore no adjustment has been made to the ECL for such factors. This is reviewed and monitored for appropriateness annually.

e) Grouping of instruments for losses measured on a collective basis

For expected credit losses provisions modelled on a collective basis, a grouping of exposures is performed on the basis of shared risk characteristics, such that risk exposures within a group are homogenous. In performing this grouping, there must be sufficient information for the group to be statistically credible. In concluding on how to group its exposures, the Group considered its approach to credit risk management and grouped its loans and advances at arm's length cost based on market segments such as Corporate, Retail and Staff portfolios.

f) Write-off policy

The Group writes off financial assets, in whole or in part, when it has exhausted all practical recovery efforts and has concluded there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include (i) ceasing enforcement activity and (ii) where the Group's recovery method is foreclosing on collateral and the value of the collateral is such that there is no reasonable expectation of recovering in full.

The Group may write-off financial assets that are still subject to enforcement activity. The Group still seeks to recover amounts it is legally owed in full, but which have been partially written off due to no reasonable expectation of full recovery.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

3) Financial risk management (continued)

3.1 Credit and counterparty risk (continued)

v) Credit risk exposure

a) Maximum exposure to credit risk before collateral held

The following table sets out information about the credit quality and credit risk exposure of loans and advances

Explanation of the terms 'Stage 1', 'Stage 2' and 'Stage 3' is included in Note 3.1 (v).

	Note	Stage 1 12 months ECL		Stage 2 Life time ECL		Stage 3 Life time ECL		Total		2017	
		Shs'000		Shs'000		Shs'000		Shs'000	%	Shs'000	%
Credit exposures											
On – balance sheet items											
Balances with Central Banks	17	9,726,627		-		-		9,726,627	5	7,592,957	4
Items in the course of collection	18	400,689		-		-		400,689	-	233,004	-
Due from banking institutions	19	5,237,549		-		-		5,237,549	2	12,425,067	6
Loans and advances to customers	22	83,060,366		24,166,774		9,625,863		116,853,003	56	118,405,479	57
Government securities	20	61,706,465		-		-		61,706,465	29	54,715,795	26
Other assets – trade receivables	23	137,569		-		-		137,569	-	42,855	-
Derivative assets	21	161,554		-		-		161,554	-	-	-
		160,430,819		24,166,774		9,625,863		194,223,456	93	193,415,157	93
Off-balance sheet items											
Letters of credit	38	3,051,887		1,188,383		-		4,240,270	2	4,001,932	2
Guarantees and performance bonds		10,102,999		930,729		156,655		11,190,383	5	11,629,531	5
		13,154,886		2,119,112		156,655		15,430,653	7	15,631,463	7
		173,585,705		26,285,886		9,782,518		209,654,109	100	209,046,620	100

The above represents the worst case scenario of credit exposure for both years, without taking into account collateral held or other credit enhancements/mitigants. The Group Loans and advances to customers and other trade related items (off-balance sheet items) comprise of 63% (2017: 64%) of the total credit exposure.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

3) Financial risk management (continued)**3.1 Credit and counterparty risk (continued)****v) Credit risk exposure (continued)****a) Maximum exposure to credit risk before collateral held (continued)****Collateral**

The Group routinely obtains collateral and security to mitigate credit risk. The Group ensures that any collateral held is sufficiently liquid, legally effective, enforceable and regularly reassessed.

Before attaching value to collateral, business holding approved collateral must ensure that they are legally perfected devoid of any encumbrances. Security structures and legal covenants are subject to regular review, at least annually, to ensure that they remain fit for purpose and remain consistent with accepted local market practice.

The principal collateral types held by the Group for loans and advances are:

- Mortgages over residential properties; and
- Charges over business assets such as premises, inventory and accounts receivable; and
- Charges over financial instruments such as debt securities and equities.

Valuation of collateral taken will be within agreed parameters and will be conservative in value. The valuation is performed only on origination or in the course of enforcement actions. Within the corporate sectors, collateral for impaired loans including guarantees and insurance is reviewed regularly and at least annually to ensure that it is still enforceable and that the impairment allowance remains appropriate given the current valuation.

The Group will consider all relevant factors, including local market conditions and practices, before any collateral is realized.

While collateral is an important mitigate to credit risk, the Group's underwriting policy ensures that loans are strictly granted on a going concern basis with upfront adequate demonstration of repayment capacity. Other than exposures amounting to Shs 3,115,128,000 (2017: Shs 4,632,736,000) that are unsecured, all other facilities are secured by collateral in the form of charges over cash, land and buildings, marketable securities, plant and machinery, amongst others. The fair value of collateral held for impaired loans and advances is Shs 8,750,789,000 (2017: Shs 7,127,556,000).

Collateral repossessed

It is the Group's policy to dispose repossessed properties on the open market, at fair market value. The proceeds are used to reduce or repay the outstanding claim. In general, the Group does not occupy or foreclose repossessed properties for its own business use.

The Group is confident that its credit policies and programs provide sufficient safeguards against the credit risk exposure held.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

3) Financial risk management (continued)

3.1 Credit and counterparty risk (continued)

v) Credit risk exposure (continued)

b) Movement in gross loans and advances

	Stage 1 12 months ECL	Stage 2 Life time ECL	Stage 3 Life time ECL	Total
	Shs'000	Shs'000	Shs'000	Shs'000
Loan and advances				
Balance at 1 January	89,215,379	20,439,942	13,106,641	122,761,962
– Transfer to stage 1	952,532	(853,559)	(98,973)	-
– Transfer to stage 2	(7,480,778)	7,779,611	(298,833)	-
– Transfer to stage 3	(2,087,646)	(4,100,308)	5,973,342	(214,612)
Net financial assets originated or purchased	27,721,864	10,737,286	(262,735)	38,196,415
Financial assets derecognised	(24,234,661)	(8,307,231)	(3,161,212)	(35,703,104)
	84,086,690	25,695,741	15,258,230	125,040,661

c) Movement in loss allowance on loans and advances

The following tables show reconciliations from the opening to the closing balance of the loss allowance by product. Comparative amounts for 2017 represent the allowance account for credit losses and reflect the measurement basis under IAS 39

	Stage 1 12 months ECL	Stage 2 Life time ECL	Stage 3 Life time ECL	Total
	Shs'000	Shs'000	Shs'000	Shs'000
Balance at 1 January	1,192,908	3,761,414	5,265,710	10,220,032
– Transfer to stage 1	95,230	(67,976)	(27,254)	-
– Transfer to stage 2	(149,440)	211,466	(62,026)	-
– Transfer to stage 3	(101,393)	(821,812)	923,205	-
Net financial assets originated or purchased	321,484	2,180,491	817,046	3,319,021
Financial assets derecognised	(445,787)	(1,697,905)	(1,170,991)	(3,314,683)
	913,002	3,565,678	5,745,690	10,224,370

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

3) Financial risk management (continued)

3.1 Credit and counterparty risk (continued)

vi) Credit quality of loans and advances

Loans and advances at amortised cost less than 30 days past due date are not considered to have experienced SICR, unless other information is available to indicate the contrary. The breakdown of loans and advances based on their staging is summarised below:

	Group			
	Kenya Shs'000	Tanzania Shs'000	Uganda Shs'000	Total Shs'000
At 31 December 2018				
Gross loans and advances				
Stage 1	77,876,027	2,576,256	3,634,407	84,086,690
Stage 2	25,207,205	394,327	94,208	25,695,740
Stage 3	14,318,014	471,835	468,381	15,258,230
	117,401,246	3,442,418	4,196,997	125,040,660
Impairment allowances				
Stage 1	(834,167)	(44,852)	(33,982)	(913,001)
Stage 2	(3,548,100)	(14,563)	(3,015)	(3,565,678)
Stage 3	(5,298,538)	(251,924)	(195,228)	(5,745,690)
Impairment allowances	(9,680,805)	(311,339)	(232,225)	(10,224,369)
	107,720,441	3,131,079	3,964,771	114,816,291
Fair-value				
Loan notes at FVTPL	2,036,712	-	-	2,036,712
Net loans and advances	109,757,153	3,131,079	3,964,771	116,853,003
Coverage ratio for stage 3	37%	53%	42%	38%
At 31 December 2017				
Gross loans and advances				
Neither past due nor impaired	81,339,427	3,192,504	3,010,996	87,542,927
Past due but not impaired	21,548,055	434,385	129,954	22,112,394
Individually impaired	12,050,508	638,309	417,824	13,106,641
Total gross loans advanced	114,937,990	4,265,198	3,558,774	122,761,962
Impairment allowances				
Neither past due nor impaired	-	-	-	-
Past due but not impaired	(679,514)	(32,715)	(9,990)	(722,219)
Individually impaired	(4,922,952)	(258,747)	(84,011)	(5,265,710)
Impairment allowances	(5,602,466)	(291,462)	(94,001)	(5,987,929)
Net loans and advances	109,335,524	3,973,736	3,464,773	116,774,033
Fair-value				
Loan notes at FVTPL	1,672,452	-	-	1,672,452
Net Loans	111,007,976	3,973,736	3,464,773	118,446,485
Coverage ratio of the individually impaired	41%	41%	20%	40%

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

3) Financial risk management (continued)

3.1 Credit and counterparty risk (continued)

vii) Concentrations of risk

The Group monitors concentration of risk exposures in its lending and other asset portfolios by individuals or groups of related borrowers and industry sector concentrations in line with Board of Directors' approved limits. These limits are reviewed regularly using economic risk indicators identified in particular industrial sectors. An analysis of concentrations within the loans and advances to customers and off balance sheet items are as follows:

COMPANY			GROUP	
2018	2017		2018	2017
%	%		%	%
-	-	Manufacturing	22	20
-	-	Social community and personal services	13	15
-	-	Wholesale and retail	16	17
-	-	Transport and communication	19	16
-	-	Agriculture	5	5
-	-	Financial	5	4
-	-	Electricity	2	3
-	-	Other	18	20
-	-		100	100

3.2 Liquidity and funding risk

Liquidity risk is the potential for loss to an institution arising from either its inability to meet its obligations when they fall due or to fund increases in asset without incurring unacceptable costs or losses. Effective liquidity risk management is essential in order to maintain the confidence of depositors and counterparties, and to enable our core business to continue operating even under adverse liquidity circumstances.

i) Who manages liquidity and funding risk

The Assets and Liabilities Committee (ALCO), a management committee, is tasked with the responsibility of ensuring that all foreseeable funding commitments and deposits withdrawals can be met as and when they fall due, and that the Group will not encounter difficulties in meeting its current and future financial obligations or financial liabilities as they fall due.

ALCO relies substantially on the Group's Treasury Department to coordinate and ensure discipline across the Group and business units, certify sufficient liquidity under both normal and stressed conditions, without incurring unacceptable losses and/or risking damage to the Group's reputation.

The Board Executive Committee has oversight over ALCOs activities through regular review of its minutes and significant reports outlining the Group's current exposures against approved risk limits. These reports are also reviewed by the Board Risk Management Committee on a regular quarterly basis.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

3) Financial risk management (continued)

3.2 Liquidity and funding risk (continued)

Liquidity policies / guidelines and limits are reviewed periodically, or as the need arises:

i) How liquidity and funding risk is managed

The Group's liquidity and funding policies require that it:

- Enters into lending contracts subject to availability of funds.
- Projects cash flows by major currencies and consider the level of liquid assets necessary in relation thereto.
- Monitors liquidity ratios against internal and regulatory requirements and guidelines.
- Maintains an array of a diverse range of funding sources as contingency back-up facilities.
- Monitors depositor concentration to avoid undue reliance on large individual depositors and ensure a satisfactory funding mix is attained.
- Invests in short term liquid instruments, which can easily be sold in the market when the need arises.
- Ensure investments in large cash outlay projects e.g. property and equipment purchases are budgeted for and carried out only when the Group has sufficiently liquid cash flows.
- Maintains liquidity and funding contingency plans. These plans and key risk indicators clearly identify early stress conditions and describe actions to be taken in the event of difficulties arising from systemic or other crisis while minimising adverse long-term implications.

ii) Sources of funding

The Group's major source of funding is customer deposits. To this end, the Group maintains a diversified and stable funding base comprising of the core retail and corporate customers and wholesale banking clientele. The Group places considerable importance on the stability of these deposits, which is achieved through the Group's corporate, institutional and retail banking activities and by maintaining depositor confidence in the Group's business strategies and financial strength. An analysis of concentrations within the customer deposits is as follows:

COMPANY			GROUP	
2018 %	2017 %		2018 %	2017 %
-	-	Private enterprises	91	91
-	-	Non-profit institutions and individuals	5	5
-	-	Insurance companies	4	4
-	-		100	100

The Group also borrows from the inter-bank and wholesale markets such as pension funds and insurance companies to meet its short term liquidity and other investment objectives.

The Group does not maintain cash reserves to meet all its obligations as experience over time has shown that a minimum level of reinvestment of maturing customer funds can be predicted with a high level of certainty. Although the contractual repayments of many customer accounts are on demand or short notice, in practice from a behavioral perspective, short-term deposit balances remain stable as inflows and outflows broadly match.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

3) Financial risk management (continued)**3.2 Liquidity and funding risk (continued)****ii) Sources of funding (continued)**

The key measure used by the Group for managing liquidity is the ratio of net liquid assets to deposits from customers (liquidity ratio). For this purpose, net liquid assets include cash and cash equivalents and investments in securities for which there is an active and liquid market less any deposits from banks, as well as other borrowings and commitments maturing within the next month. The banking regulators also require that the Group maintains a cash reserve ratio computed as percentage of eligible customer deposits.

The banking regulations require that the Group maintains a minimum liquidity ratio of 20%. The Group complied with the liquidity requirements during the year.

The average liquidity ratio for the year was 48% (2017: 45 %).

The maturity analysis of assets and liabilities report is presented in the next pages. The Group uses the maturity mismatch ladders to compare cash inflows and outflows each month and over a series of time-bands. The maturity mismatch ladder shows the net cash flows of the Group in various time bands. The Group net funding requirements are determined by analysing present and future cash flows of the entire statement of financial position at selected maturity dates, based on assumptions of the behaviour of assets, liabilities and off-balance sheet items. Calculations will include the cumulative net excess or shortfall over the time frame of the liquidity assessment.

III Exposure to liquidity risk

The Group also monitors its liquidity exposures through an array of internally developed risk indicators such as several types of advances to deposit ratios, proportion of largest depositors to total deposits, liquidity gap analysis ratios, and interbank borrowings as a proportion of total deposits, amongst others. At the end of 2014, the Group began to use the Basel Accord preferred Liquidity Coverage ratio and Net Stable Funding ratio to assess its short and long term liquidity stability. This enables the Group to arrest any early warning signs and take timely corrective action.

As part of the ALCO function, Treasury receives information from business units regarding the liquidity profile of their financial assets and liabilities plus details of other projected cash flows arising from projected future business. Treasury then maintains a portfolio of short-term liquid assets, largely made up of short-term liquid investment grade securities, loans and advances to banks and other inter-bank facilities, to ensure that sufficient liquidity is maintained within the Group as a whole. The liquidity requirements of business units and subsidiaries are met through various funding options to cover any short-term fluctuations and longer term funding to address any structural liquidity requirements.

The table below presents the undiscounted cash flows receivable and payable by the Group under financial assets and liabilities by remaining contractual maturities at the reporting date.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

3) Financial risk management (continued)

3.2 Liquidity and funding risk (continued)

III Exposure to liquidity risk (continued)

LIQUIDITY RISK – As at 31 December 2018

	Up to 1 Month	1 to 3 Months	4 to 12 Months	1 to 3 Years	Over 3 Years	Total
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
FINANCIAL LIABILITIES						
Customer deposits	87,487,069	39,091,315	16,681,406	3,605,640	313,348	147,178,778
Due to banking institutions	9,892,968	13,461	-	-	-	9,906,429
Borrowings	-	-	9,760,376	2,522,651	4,711,204	16,994,231
Total financial liabilities	97,380,037	39,104,776	26,441,782	6,128,291	5,024,552	174,079,438
FINANCIAL ASSETS						
Cash and balances with central banks	11,972,902	-	-	-	-	11,972,902
Items in the course of collection	400,689	-	-	-	-	400,689
Due from banking institutions	5,253,062	-	-	-	-	5,253,062
Government securities	3,041,575	11,614,636	4,019,334	10,449,852	62,378,108	91,503,505
Loans and advances to customers	26,631,656	8,586,234	13,633,810	8,277,781	69,357,792	126,487,273
Total financial assets	47,299,884	20,200,870	17,653,144	18,727,633	131,735,900	235,617,431
Net liquidity gap	50,080,153	18,903,907	8,788,638	(12,599,343)	(126,711,347)	(61,537,993)

LIQUIDITY RISK – As at 31 December 2017

	Up to 1 Month	1 to 3 Months	4 to 12 Months	1 to 3 Years	Over 3 Years	Total
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
FINANCIAL LIABILITIES						
Customer deposits	86,063,494	39,952,950	13,954,711	91,685	77,683	140,140,523
Due to banking institutions	11,553,490	622,426	-	-	-	12,175,916
Borrowings	-	-	243,124	6,817,903	14,565,908	21,626,935
Total financial liabilities	97,616,984	40,575,376	14,197,835	6,909,588	14,643,591	173,943,374
FINANCIAL ASSETS						
Cash and balances with Central Banks	9,516,131	-	-	-	-	9,516,131
Items in the course of collection	233,004	-	-	-	-	233,004
Due from banking institutions	12,432,315	-	-	-	-	12,432,315
Government securities	-	360,035	8,504,581	19,971,420	40,521,981	69,358,017
Loans and advances to customers	30,234,263	8,969,865	12,912,960	21,248,005	65,471,960	138,837,053
Total financial assets	52,415,713	9,329,900	21,417,541	41,219,425	105,993,941	230,376,520
Net liquidity gap	(45,201,271)	(31,245,476)	7,219,706	34,309,837	91,350,350	56,433,146

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

3) Financial risk management (continued)

3.3 Market risk

Market risk is the risk that the values of assets and liabilities or revenues will be adversely affected by changes in market conditions or market movements. Market risks in the Group arise from movements in market prices particularly changes in interest rates, foreign currency exchange rates, fixed rate securities and equity prices which we are exposed to. It is often propagated by other forms of financial risks such as credit and market liquidity risk events. The objective of market risk management programs is to manage and control market risk exposures in order to optimise return on risk taken while maintaining a good market profile as a provider of financial products and services.

Market Risk Management

The Board Risk Management Committee reviews and approves market risk policies and limits periodically or as the need arises. The Treasury Department in consultation with the Risk Management Department are responsible for the development of detailed market risk management policies, subject to review and support by ALCO and approval by the Board Risk Management Committee.

The Board receives quarterly reports of market risk exposures or activities through relevant ALCO minutes, and Treasury reports outlining current risk exposures against approved risk limits or appetite.

How market risk is managed

The Group's Asset & Liability Committee (ALCO) oversees the application of the framework set by the Board of Directors and monitors the Group's market risk exposures as well as activities that give rise to these exposures. Overall responsibility for the management of market risks rests with ALCO which reviews market risk activity reports monthly. Treasury is responsible for the day to day implementation of those policies or programs and limits.

In view of the fact that our market risk operations are not very complex, we basically use interest rates variance analysis models (against budget and prior month), interest rate gap analysis, proportion of interest sensitive deposits to total deposits, amongst other methodologies and key performance indicators, appropriate for our Group's operations. The management of market risk is supplemented by the monitoring of key market risk and economic performance variables.

The distinct market risk exposures faced by the Group are:

- Interest rate risk.
- Foreign exchange risk.
- Price risk.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

3) Financial risk management (continued)

3.3 Market risk (continued)

3.3.1 Interest rate risk

Interest rate risk represents exposures to instruments whose values vary with the level or volatility of interest rates. These instruments include, but are not limited to loans, debt securities, certain traded assets and liabilities, deposits, borrowings and derivative instruments. Generally, hedging instruments used by banks to mitigate such risks include related derivatives such as options and swaps.

The Group is exposed to the risk that the value of a financial instrument will fluctuate due to changes in market interest rates, as funds are sourced and invested at both fixed and floating rates. The maturities of assets and liabilities, plus the ability to replace interest bearing liabilities at an acceptable cost as they mature, are important factors in assessing the Group's exposure to changes in interest rates. In addition to maintaining an appropriate mix between fixed and floating rates deposit base, interest rates on advances to customers and other risk assets are mainly pegged to the Kenya Bankers Reference Rate (KBRR) - for floating rate loans. On 30 January 2017, CBK decided to suspend the KBRR framework, in view of the adoption of the new law capping interest rates.

Interest rates on customer deposits are negotiated between the Group and its customers, with the Group retaining the discretion to re-negotiate the rates at maturity in line with changes in market trends. The interest rates given or charged to clients therefore fluctuate depending on the movements in the market interest rates. The Group also invests in fixed interest rate instruments issued by the Government of Kenya through the Central Bank of Kenya.

The matching and controlled mismatching of the maturities and interest rates of assets and liabilities is fundamental to the management of the Group's interest rate risk. It is unusual for a bank ever to completely be matched due to the nature of business terms and types of products offered.

Interest rate risk – stress tests

The Group monitors the impact of risks associated with the effects of fluctuations in prevailing interest rates. At 31 December 2018, the following table summarises the estimated impact of an immediate hypothetical increase or decrease in interest rates of 125 basis points on consolidated profit before income tax expense, and current interest rate risk profile.

COMPANY			GROUP	
2018 Shs'000	2017 Shs'000		2018 Shs'000	2017 Shs'000
-	-	125 basis points increases in interest rates	405,466	241,947
-	-	125 basis points decrease in interest rates	(405,466)	(241,947)

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

3) Financial risk management (continued)

3.3 Market risk (continued)

3.3.1 Interest rate risk (continued)

INTEREST RATE RISK – As at 31 December 2018

	Effective Rates %	Up to 1 month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	Over 3 Years Shs'000	Non-interest Bearing Shs'000	Total Shs'000
FINANCIAL ASSETS								
Cash and balances with central banks		-	-	-	-	-	11,955,411	11,955,411
Items in the course of collection		-	-	-	-	-	400,689	400,689
Due from banking institutions	1.18	5,227,498	10,051	-	-	-	-	5,237,549
Government securities	11.51	1,496,754	2,341,007	14,253,630	8,843,137	34,771,937	-	61,706,465
Loans and advances to customers	9.71	110,060,889	968,189	2,401,276	3,340,819	81,828	-	116,853,001
Total financial assets		116,785,141	3,319,247	16,654,906	12,183,956	34,853,765	12,356,100	196,153,115
FINANCIAL LIABILITIES								
Customer deposits	5.10	34,470,130	38,675,879	16,271,396	97,186	207,408	54,779,061	144,501,060
Due to banking institutions	5.52	9,749,125	152,212	5,092	-	-	-	9,906,429
Borrowings	7.91	-	229,467	-	5,860,666	8,778,205	-	14,868,338
Total financial liabilities		44,219,255	39,057,558	16,276,488	5,957,852	8,985,613	54,779,061	169,275,827
Interest rate sensitivity gap		72,565,886	(35,738,311)	378,418	6,226,104	25,868,152	(42,422,961)	26,877,288

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

3) Financial risk management (continued)

3.3 Market risk (continued)

3.3.1 Interest rate risk (continued)

INTEREST RATE RISK – As of 31 December 2017

	Effective Rates %	Up to 1 month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	Over 3 Years Shs'000	Non-interest Bearing Shs'000	Total Shs'000
FINANCIAL ASSETS								
Cash and balances with central banks		-	-	-	-	-	9,516,131	9,516,131
Items in the course of collection		-	-	-	-	-	233,004	233,004
Due from banking institutions	0.70	12,425,067	-	-	-	-	-	12,425,067
Government securities	11.37	144,591	230,249	7,583,160	15,741,268	31,016,527	-	54,715,795
Loans and advances to customers	11.10	110,954,116	2,028,131	1,944,736	2,877,014	504,258	97,224	118,405,479
Total financial assets		123,523,774	2,258,380	9,527,896	18,618,282	31,520,785	9,846,359	195,295,476
FINANCIAL LIABILITIES								
Customer deposits	5.30	22,027,952	19,400,159	28,656,703	13,968,484	82,898	54,780,374	138,916,570
Due to banking institutions	3.52	11,519,699	618,796	-	-	-	-	12,138,495
Borrowings	7.34	-	-	227,573	5,658,011	11,140,274	54,780,374	17,025,858
Total financial liabilities		33,547,651	20,018,955	28,884,276	19,626,495	11,223,172	963,975	168,080,923
Interest rate sensitivity gap		89,976,123	(17,760,575)	(19,356,380)	(1,008,213)	20,297,613	(44,934,015)	27,214,553

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

3) Financial risk management (continued)

3.3 Market risk (continued)

3.3.2 Foreign exchange risk

Foreign currency exchange risk refers to the potential changes in current and future earnings or capital arising from movements in foreign exchange market rates. The Group, through stringent intra-day and overnight exposure limits, ensures that the potential risk of loss arising from foreign exchange fluctuations to the Group's earnings and capital is within prudential guidelines and internal policies. Any material overnight position is covered by stop loss orders with our international counter-parties.

The Group is exposed to the risk that the value of foreign currency denominated financial instruments it holds will fluctuate due to changes in market foreign exchange rates. The Board of Directors periodically approves policies and limits on the maximum level of exposures by currency and in total for both overnight and intra-day positions. Foreign currency risk is addressed through the following measures:

- On a daily basis, the overall foreign exchange risk exposure is measured using spot mid-rates and does not exceed 10% of the Group's core capital.
- Any single currency exposure, irrespective of short or long positions does not exceed the limit of 10% of core capital.
- Intra-day and overnight foreign exchange positions are limited within strictly defined exposure and stop loss limits approved periodically by the Board Risk Management Committee.

At 31 December 2018, if the functional currencies in the economic environment in which the Group operates i.e. the Kenya Shilling had weakened or strengthened by 10% against the world's major currencies, with all other variables held constant, consolidated profit before income tax expense would have been higher or lower as depicted in below table:

COMPANY			GROUP	
2018 Shs'000	2017 Shs'000		2018 Shs'000	2017 Shs'000
		10% depreciation/appreciation		
-	-	USD	5,448	4,948
-	-	GBP	56	65
-	-	EUR	79	81
-	-	Others	77	148
-	-	Total	5,660	5,242

3.3.3 Price risk

Shares quoted in the Nairobi Securities Exchange ("NSE") i.e. "listed shares" are stated at their fair value on the last day of business in the year. These values are subject to frequent variations due to changes in their market prices.

At 31 December 2018, if the prices at the NSE had appreciated/depreciated by 5% with all other variables held constant, the impact on the statement of profit or loss, and shareholders' equity would have been Shs 2,728,595 (2017: Shs 3,787,428) higher/lower.

The Group's carries its unquoted equity investment in Tanzania Mortgage Refinance Company at fair value (Note 25). The fair value of the Group's investment in Tanzania Mortgage Refinance Company is equal to the cost of shares purchased in the company. The variability in the range of reasonable fair value estimates for this investment is not significant

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

3) Financial risk management (continued)

3.3 Market risk (continued)

3.3.2 Foreign exchange risk (continued)

The tables below summarise the Group's exposure to foreign currency exchange rate risks

FOREIGN EXCHANGE (CURRENCY) RISK – As at 31 December 2018

	USD Shs'000	GBP Shs'000	EURO Shs'000	Others Shs'000	TOTAL Shs'000
FINANCIAL ASSETS					
Cash and balances with Central Banks	1,006,292	273,048	162,458	516,453	1,958,251
Due from banking institutions	1,128,462	2,397,863	794,988	609,836	4,931,149
Loans and advances to customers	44,804,926	552,323	786,854	1,946	46,146,049
Other assets	45,285,566	856,423	136,641	110,319	46,388,949
Total financial assets	92,225,245	4,079,657	1,880,941	1,238,554	99,424,397
FINANCIAL LIABILITIES					
Customer deposits	35,138,733	3,625,879	1,762,957	5,861,380	46,388,949
Due to banking institutions	5,669,546	-	-	248,085	5,917,631
Other liabilities	48,519,311	479,380	187,091	664,995	49,850,776
Borrowings	9,121,267	-	-	-	9,121,267
Total financial liabilities	98,448,857	4,105,259	1,950,047	6,774,460	111,278,623
Net balance sheet position	(6,223,612)	(25,602)	(69,106)	(5,535,906)	(11,854,226)
OFF BALANCE SHEET POSITION	(5,912,231)	158,387	(317,983)	(314,745)	(6,386,572)

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

3) Financial risk management (continued)

3.3 Market risk (continued)

3.3.2 Foreign exchange risk (continued)

FOREIGN EXCHANGE (CURRENCY) RISK – As at 31 December 2017

	USD Shs'000	GBP Shs'000	EURO Shs'000	Others Shs'000	TOTAL Shs'000
FINANCIAL ASSETS					
Cash and balances with central banks	3,005,576	59,223	376,415	1,060,685	4,501,899
Due from banking institutions	6,146,986	4,882,812	788,818	445,461	12,264,077
Loans and advances to customers	47,841,603	644,135	811,285	2,608,674	51,905,697
Other assets	264,778	391	1,467	137,791	404,427
Total financial assets	57,258,943	5,586,561	1,977,985	4,252,611	69,076,100
FINANCIAL LIABILITIES					
Customer deposits	38,318,716	4,773,136	1,795,887	4,888,633	49,776,372
Due to banking institutions	1,559,137	116,935	124	12,099	1,688,295
Other liabilities	1,516,283	14,765	197,486	235,132	1,963,666
Borrowings	11,746,634	-	-	-	11,746,634
Total financial liabilities	53,140,770	4,904,836	1,993,497	5,135,864	65,174,967
Net balance sheet position	4,118,173	681,725	(15,512)	(883,253)	3,901,133
Off-balance sheet position	524,921	43,581	(121,568)	44,824	491,759

4) Capital management

The Group's objectives when managing capital are:

- To safeguard the Group's ability to continue as a going concern in order to provide acceptable returns to the shareholders and benefits for other stakeholders while maintaining an optimal capital structure.
- To comply with capital requirements set by our regulators within the markets that the Group operates in.
- To maintain a strong capital base to support continued business development.
- To create an acceptable buffer catering for unexpected losses that the Group may incur in adverse market scenarios during the course of its business.
- To manage its capital structure and make adjustments to it according to changes in economic conditions and the risk characteristics of its activities. In order to maintain or adjust the capital structure, the Group may adjust the amount of dividend payment to shareholders, return capital to shareholders or issue capital securities.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

4) Capital management (continued)

The Group's objectives when managing capital are broadly covered as follows:

Banking

In line with our industry, the broader concept of capital and its adequacy is based on guidelines developed by the Basel Committee's Accords and implemented for supervisory purposes by the central banks.

Central Bank of Kenya (CBK), Bank of Tanzania (BOT) and Bank of Uganda (BOU) largely segregate the total regulatory capital into two tiers;

- Tier 1 Capital (Core Capital), which includes ordinary share capital, share premium and retained earnings. The investment in subsidiaries or other financial institutions is deducted in arriving at Tier 1 capital.
- Tier 2 Capital (Supplementary Capital) includes among others, 25% of property revaluation reserves (subject to regulatory approval) and collective impairment allowances.

The risk weighted assets are measured by means of a hierarchy of four risk weights classified according to the nature of, and reflecting an estimate of, the credit risk associated with each asset and counterparty.

A similar treatment is adopted for off-balance sheet exposure, with some adjustments to reflect the more contingent nature of the potential losses.

During the year, the Group had complied in full with all its externally imposed capital requirements. The table below summarises the composition of regulatory capital and the ratios of the Group as at 31 December.

	GROUP		
	Kenya Shs'000	Tanzania Shs'000	Uganda Shs'000
Tier 1 capital	28,030,736	1,091,825	1,098,129
Tier 1 + Tier 2 capital	30,856,983	1,120,119	1,136,276
Risk-weighted assets:			
On-balance sheet	156,241,922	3,780,309	4,251,302
Off-balance sheet	8,884,676	184,206	614,102
Total risk-weighted assets	165,126,598	3,964,515	4,865,404
Regulatory ratios:			
Core capital/Total risk weighted assets	16.98%	27.54%	22.57%
Minimum requirement	10.50%	12.50%	10.00%
Excess/(Deficit)	6.48%	15.04%	12.57%
Total capital/Total risk weighted assets	18.69%	28.25%	23.35%
Minimum requirement	14.50%	14.50%	12.00%
Excess/(Deficit)	4.19%	13.75%	11.35%
Core capital/Total deposits	20.60%	-	-
Minimum requirement	8.00%	-	-
Excess/(Deficit)	12.60%	-	-

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

5) Fair value of financial assets and liabilities (continued)

Financial instruments not measured at fair value(continued)

- i) Level 1 – We have determined the fair value using quoted prices (unadjusted) from the Nairobi Securities Exchange.
- ii) Level 2 – The fair value of these balances approximates their amortised cost.

6) Critical accounting estimates and judgments

The preparation of financial statements requires the use of accounting estimates which, by definition, will seldom equal the actual results. Management also needs to exercise judgement in applying the Group's accounting policies.

This note provides an overview of the areas that involve a higher degree of judgement or complexity, and major sources of estimation uncertainty that have a significant risk of resulting in a material adjustment within the next financial year. Detailed information about each of these estimates and judgements is included in the related notes together with information about the basis of calculation for each affected line item in the financial statements.

Measurement of the expected credit loss allowance

Assets accounted for at amortised cost and fair value through other comprehensive income are evaluated for impairment on a basis described in accounting policy note 2.2.

The Group recognises loss allowance at an amount equal to either 12-month expected credit losses (ECLs) or lifetime ECLs. Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument, whereas 12-month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date.

For credit exposures where there have not been significant increases in credit risk since initial recognition, an entity is required to provide for 12-month ECLs. These are classified as Stage 1 assets.

For credit exposures where there have been significant increases in credit risk since initial recognition on an individual or collective basis, a loss allowance is required for lifetime ECLs. These are classified as Stage 2 assets.

For credit exposures that are credit impaired and in default, similar to stage 2 assets, a loss allowance is required for lifetime ECLs however the probability of default for these assets is presumed to be 100% less any determined recovery.

A number of significant judgements are also required in applying the accounting requirements for measuring ECL, such as:

- a) Determining criteria for significant increase in credit risk;
- b) Choosing appropriate models and assumptions for the measurement of ECL;
- c) Establishing the number and relative weightings of forward-looking scenarios for each type of product/market and the associated ECL; and
- d) Establishing groups of similar financial assets for the purposes of measuring ECL.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

6 Critical accounting estimates and judgments (continued)**Valuation of loan notes at fair value**

As per IFRS 13, where the Group measures a financial instrument at fair value, the fair value should represent the price that would be received to sell an asset in an orderly transaction in the principal (or most advantageous) market between market participants at the measurement date. Fair value is a market-based measurement which uses the assumptions that market participants would use when pricing an asset or liability under current market conditions.

The Group holds loan notes that are measured at fair value through profit or loss. For these, fair value comprises two key cash flow components, being the interest receivable on the mandatorily convertible component of the loan notes and valuation of the shares upon whose sale the principal amount will be realised.

To determine the value of the shares, the Group has utilised a complex model that incorporates observable inputs such as quoted prices of other airlines, and unobservable inputs like market appreciation multiples. Changes in assumptions about these inputs could affect the reported fair value of the loan notes.

Income taxes

The Group is subject to taxation laws and regulations in the various jurisdictions where it operates. Significant estimates are required in determining the provision for income taxes. There may be transactions and calculations, during the normal course of business, whose ultimate tax impact determination has an element of uncertainty. In determining the interpretation and/or application of the various tax rules, disputes may arise with the relevant tax authorities, of which the outcome may not be favourable to the Group. In such cases, the Group relies on internal management expertise and where relevant, seeks expert advice to determine whether the unfavourable outcome is probable or possible.

Where objective estimates of the potential tax liabilities that may crystallise from such tax disputes are determinable, the Group recognises provision in line with IAS 37 - Provisions, Contingent Liabilities and Contingent Assets principles. In such cases, if the final tax determination is different from the amounts that were initially recorded, the difference will impact the current income tax and deferred income tax provisions in the period in which such determination is made.

Where payment is determined to be possible but not probable, the tax exposure is disclosed as a contingent liability

7) Operating segments

The Group operations are within three geographical segments, Kenya, Tanzania and Uganda. Further to the geographical segmentation, Kenya operations are maintained in the following business segments for allocation of resources and assessment of performance.

(i) Corporate, Commercial and Institutional banking

Targets medium to large corporate clientele and institutions, with a focus on liability mobilization and asset growth.

(ii) Treasury dealing and brokerage

Treasury dealing targets corporate clientele and institutions, with a focus on those with a foreign exchange component in their business, whereas the stock brokerage focuses on the execution of transactions at the Nairobi Securities Exchange on behalf of high net worth and institutional clients.

(iii) Retail banking (SME and Personal banking)

Targets the mass affluent to high net worth and business banking clientele, with a focus on becoming the customers' core deposit, transactional banker and financier. This also includes our asset finance product.

(iv) Investment banking

Targets large and medium sized companies for research, advisory and capital restructuring requirements. The segment information provided to the Executive Committee of management for the reported segments is contained on the next page. There were no changes in the reportable segments during the year.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

7) Operating segments (continued)

STATEMENT OF PROFIT OR LOSS									
31 December 2018	Corporate & Institutional banking Shs '000	Treasury Dealing & Brokerage Shs '000	Retail Banking Shs '000	Investment banking & others Shs '000	Total Kenya Shs '000	Uganda Shs '000	Tanzania Shs '000	Group Shs '000	
Interest income	7,327,620	6,582,214	4,677,528	1,042,666	19,630,028	649,552	719,921	20,999,501	
Interest expense	(2,958,645)	(2,050,949)	(2,333,960)	(870,724)	(8,214,278)	(230,918)	(270,909)	(8,716,105)	
Net Interest Income	4,368,975	4,531,265	2,343,568	171,942	11,415,750	418,634	449,012	12,283,396	
Other income	1,373,209	486,981	1,624,396	129,429	3,614,015	70,839	121,475	3,806,329	
Operating Income	5,742,184	5,018,246	3,967,964	301,371	15,029,765	489,473	570,487	16,089,725	
Credit impairment charges	(2,383,546)	-	(973,161)	308,369	(3,048,338)	(107,902)	(182,358)	(3,338,598)	
Operating Expenses	(297,898)	(117,140)	(519,093)	(4,951,441)	(5,885,572)	(488,088)	(554,602)	(6,928,262)	
Segment profit/(loss) before tax	3,060,740	4,901,106	2,475,710	(4,341,701)	6,095,855	(106,517)	(166,473)	5,822,865	
Income tax (expense)/credit	-	-	-	(1,645,587)	(1,645,587)	(1,767)	52,859	(1,594,495)	
Segment profit/(loss) for the year	3,060,740	4,901,106	2,475,710	(5,987,288)	4,450,268	(108,284)	(113,614)	4,228,370	
31 December 2017									
Interest income	7,613,074	4,789,411	4,587,448	972,551	17,962,484	585,911	867,735	19,416,130	
Interest expense	(2,745,977)	(1,689,971)	(1,802,600)	(787,820)	(7,026,368)	(204,330)	(410,922)	(7,641,620)	
Net Interest Income	4,867,097	3,099,440	2,784,848	184,731	10,936,116	381,581	456,813	11,774,510	
Other income	676,462	406,688	1,092,120	93,979	2,269,249	121,630	169,829	2,560,708	
Operating Income	5,543,559	3,506,128	3,876,968	278,710	13,205,365	503,211	626,642	14,335,218	
Credit impairment charges	(1,254,125)	-	(973,161)	(52,439)	(2,279,725)	(35,549)	(164,261)	(2,479,535)	
Operating Expenses	(290,266)	(113,711)	(507,461)	(4,260,672)	(5,172,110)	(464,504)	(618,119)	(6,254,733)	
Segment profit/(loss) before tax	3,999,168	3,392,417	2,396,346	(4,034,401)	5,753,530	3,158	(155,738)	5,600,950	
Income tax (expense)/credit	-	-	-	(1,517,890)	(1,517,890)	12,847	48,511	(1,456,532)	
Segment profit/(loss) for the year	3,999,168	3,392,417	2,396,346	(5,552,291)	4,235,640	16,005	(107,227)	4,144,418	

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

7) Operating segments (continued)

STATEMENT OF FINANCIAL POSITION

As at 31 December 2018

	Corporate & Institutional banking Shs '000	Treasury Dealing & Brokerage Shs '000	Retail Banking Shs '000	Investment banking & others Shs '000	Total Kenya Shs '000	Uganda Shs '000	Tanzania Shs '000	Group Shs '000
Assets								
Cash and balances with Central banks	-	10,529,498	-	-	10,529,498	831,214	594,699	11,955,411
Government securities	-	57,988,860	-	-	57,988,860	1,568,625	2,148,980	61,706,465
Due from banking institutions	-	4,439,342	-	-	4,439,342	492,946	305,261	5,237,549
Customer loans and advances	71,185,355	-	37,156,961	2,327,543	110,669,859	3,964,771	3,437,042	118,071,672
Investment in associates	-	-	-	-	-	-	-	-
Investment in subsidiaries	-	-	-	-	-	-	-	-
Other assets	-	-	-	10,340,704	10,340,704	638,066	457,550	11,436,320
Total assets	71,185,355	72,957,700	37,156,961	12,668,247	193,968,263	7,495,623	6,943,532	208,407,417
Liabilities								
Customer deposits	72,953,340	-	54,228,738	8,889,684	136,071,763	4,121,322	4,307,975	144,501,060
Due to banking institutions	-	9,147,958	-	-	9,147,958	466,824	291,647	9,906,429
Other liabilities	-	-	-	1,093,510	1,093,510	1,597,445	655,502	3,346,458
Borrowings	-	14,868,336	-	-	14,868,336	-	-	14,868,336
Total liabilities	72,953,340	24,016,294	54,228,738	9,983,195	161,181,567	6,185,591	5,255,124	172,622,282
Shareholders' funds	-	-	-	32,581,320	32,581,320	1,751,380	1,452,434	35,785,134
Total liabilities and shareholders' funds	72,953,340	24,016,294	54,228,738	42,564,514	193,762,887	7,936,972	6,707,558	208,407,417
Additions to non-current assets								
Property and equipment	-	-	-	287,474	287,474	27,331	52,775	367,580
Intangible assets	-	-	-	421,118	421,118	6,896	16,459	444,473
	-	-	-	708,592	708,592	34,227	69,234	812,052
Depreciation and amortisation	-	-	-	225,212	225,212	25,869	28,703	279,784
Depreciation	-	-	-	171,060	171,060	19,798	3,150	194,008
Amortisation	-	-	-	-	-	-	-	-

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

7) Operating segments (continued)

STATEMENT OF FINANCIAL POSITION		Corporate & Institutional banking Shs '000	Treasury Dealing & Brokerage Shs '000	Retail Banking Shs '000	Investment banking & others Shs '000	Total Kenya Shs '000	Uganda Shs '000	Tanzania Shs '000	Group Shs '000
As at 31 December 2017									
Assets									
Cash and balances with Central banks		-	8,143,110	-	-	8,143,110	584,177	788,844	9,516,131
Government securities		-	51,495,068	-	-	51,495,068	855,782	2,364,945	54,715,795
Due from banking institutions		-	11,438,868	-	-	11,438,868	810,566	175,634	12,425,068
Customer loans and advances		72,272,297	-	37,156,961	2,426,819	111,856,077	3,464,772	4,439,689	119,760,538
Investment in associates		-	-	-	-	-	-	-	-
Investment in subsidiaries		-	-	-	(0)	(0.46)	-	-	(0.46)
Other assets		-	-	-	8,865,683	8,865,683	494,664	394,583	9,754,930
Total assets		72,272,297	71,077,046	37,156,961	11,292,501	191,798,805	6,209,962	8,163,695	206,172,462
Liabilities									
Customer deposits		72,149,788	-	50,805,857	7,605,236	130,560,881	3,243,330	5,112,360	138,916,571
Due to banking institutions		-	11,445,014	-	-	11,445,014	61,293	632,187	12,138,494
Other liabilities		-	-	-	1,836,451	1,836,451	1,408,159	130,692	3,375,302
Borrowings		-	17,025,858	-	-	17,025,858	-	-	17,025,858
Total liabilities		72,149,788	28,470,872	50,805,857	9,441,688	160,868,204	4,712,782	5,875,239	171,456,225
Shareholders' funds		-	-	-	31,426,076	31,426,076	1,925,448	1,364,714	34,716,237
Total liabilities and shareholders' funds		72,149,788	28,470,872	50,805,857	40,867,763	192,294,280	6,638,229	7,239,952	206,172,462
Additions to non-current assets									
Property and equipment		-	-	-	377,781	377,781	19,501	15,299	412,581
Intangible assets		-	-	-	662,604	662,604	69,121	-	731,725
Depreciation and amortisation		-	-	-	1,040,385	1,040,385	88,622	15,299	1,144,306
Depreciation		-	-	-	210,846	210,846	30,406	33,323	274,575
Amortisation		-	-	-	191,634	191,634	14,804	16,100	222,538

There are no customers individually accounting for more than 10% of the business.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

9) Net fee and commission income (continued)

b) Fee and commission expense (continued)

COMPANY			GROUP	
2018 Shs'000	2017 Shs'000		2018 Shs'000	2017 Shs'000
-	-	Credit card related expenses	60,183	42,667
-	-	Transactional expenses	52,619	60,068
-	-		112,802	102,735

10) Net trading income

COMPANY			GROUP	
2018 Shs'000	2017 Shs'000		2018 Shs'000	2017 Shs'000
-	-	Foreign exchange income	1,277,501	1,158,930
-	-	Bond trading income	13,900	26,443
-	-	Fair value gain/ (loss) on investment in quoted shares (note 25(a))	(3,152)	722
-	-		1,288,249	1,186,095

11) Other operating income

The following items are included in other operating income:

COMPANY			GROUP	
2018 Shs'000	2017 Shs'000		2018 Shs'000	2017 Shs'000
-	-	Gain on loan note at FVTPL	500,189	(500,189)
-	-	Interchange fees	294,001	266,762
-	-	Trust and other fiduciary fees	160,161	131,281
200,000	-	Dividend Income	-	-
145,811	46,708	Management Fees	-	-
-	-	Gain on disposal of motor vehicle and equipment	5,409	2,042
-	-	Other	283,696	283,066
345,811	46,708		1,243,456	182,962

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

13 (a) Employee benefits

The following items are included under employee benefits

COMPANY			GROUP	
2018 Shs'000	2017 Shs'000		2018 Shs'000	2017 Shs'000
53,873	19,523	Salaries and wages	2,916,387	2,481,637
3,750	-	Directors' emoluments - fees	26,997	31,600
93,182	24,206	- other	93,182	164,889
644	978	Pension costs - defined contributions	201,016	198,028
12	-	Pension costs - statutory contributions	34,631	33,728
48,000	-	Incentive compensation provision	557,513	460,712
1,171	-	Gratuity provision	5,256	3,191
200,632	44,707	At 31 December	3,834,982	3,373,785

The total number of employees as at 31 December 2018 for the Group was 1,302 (2017: 1,107).

14 (a) Depreciation and amortisation

COMPANY			GROUP	
2018 Shs'000	2017 Shs'000		2018 Shs'000	2017 Shs'000
-	-	Depreciation (note 27)	279,785	274,575
-	-	Amortisation of computer software (note 28 (a))	194,007	222,538
-	-	Amortisation of operating lease (note 29)	125	125
-	-	At 31 December	473,917	497,238

14 (b) Other operating expenses

The following items are included under this category:

COMPANY			GROUP	
2018 Shs'000	2017 Shs'000		2018 Shs'000	2017 Shs'000
1,543	-	Rental charges	386,670	358,059
-	-	Other premises costs	160,141	144,510
-	-	IT expenses	422,596	274,426
-	-	Publicity and advertising	263,153	164,161
-	-	Deposit protection fund	252,071	174,027
25,104	-	Share registrations costs	25,104	30,420
914	870	Auditors remuneration	20,190	17,190

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

15) Income tax

a) Income tax expense

COMPANY			GROUP	
2018 Shs'000	2017 Shs'000	Current income tax	2018 Shs'000	2017 Shs'000
32,081	375	Current year	1,626,448	2,112,654
(269)	(35,197)	Prior year under-provision	(331)	9,182
31,812	(34,822)		1,626,117	2,121,836
Deferred tax (note 26)				
-	-	Current year	(29,366)	(647,527)
-	-	Prior year under -provision	(2,256)	(17,777)
			(31,622)	(665,304)
31,812	(34,822)		1,594,495	1,456,532

b) Reconciliation of tax expense to expected tax base based on accounting profit

The tax on the profit before income tax differs from the tax charge that would apply if all profit had been taxed using the statutory income tax rate:

COMPANY			GROUP	
2018 Shs'000	2017 Shs'000		2018 Shs'000	2017 Shs'000
173,006	1,251	Profit before tax	5,822,865	5,600,950
51,902	375	Income tax - at the statutory rate of 30 % (2017: 30%)	1,746,860	1,680,286
40,179	-	Tax effect of expenses not deductible for tax	119,279	3,254,809
(60,000)	-	Tax effect of revenues that are not taxable	(269,057)	(3,469,968)
-	-	Prior year under provision :	-	-
(269)	(35,197)	Current tax	(331)	9,182
-	-	Deferred tax	(2,256)	(17,777)
31,812	(34,822)		1,594,495	1,456,532

c) Current income tax payable/(recoverable) movement

COMPANY			GROUP	
2018 Shs'000	2017 Shs'000		2018 Shs'000	2017 Shs'000
(34,822)	446,765	As 1 January	(390,468)	318,646
-	-	Exchange difference on translation	4,186	426
32,081	375	Tax Charge(note 15(a)) - current year	1,626,448	2,112,654
(269)	(35,197)	Tax Charge(note 15(a)) - prior year	(331)	9,182
(16,222)	(446,765)	Income taxation paid	(2,303,723)	(2,831,376)
(19,232)	(34,822)	At 31 December	(1,063,888)	(390,468)
Comprising:				
19,232	(34,822)	Current income tax recoverable	(1,075,176)	(395,513)
-	-	Current income tax payable	11,288	5,045
19,232	(34,822)	At 31 December	(1,063,888)	(390,468)

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

16) Earnings per share

Earnings per share is calculated by dividing the profit attributable to equity holders of the parent company by the weighted average number of ordinary shares outstanding during the year.

COMPANY			GROUP	
2018 Shs'000	2017 Shs'000		2018 Shs'000	2017 Shs'000
141,194	36,073	Profit attributable to equity holders of the Group (Shs'000)	4,262,634	4,176,755
		Number of shares for purposes of calculating earnings per share:		
703,940,163	703,940,163	Issued ordinary shares	703,940,163	703,940,163
0.20	0.05	Earnings Per Share (Shs)	6.06	5.93

The calculation of basic and diluted earnings per share is based on continuing operations attributable to the ordinary equity holders of the parent company. There were no discontinued operations during the year.

The issued shares as at 31 December 2018 are 703,940,163 (2017: 639,945,603) and are fully paid. The EPS for 2017 has been restated to take into account the bonus issue of shares in the year ended 31 December 2018.

17) Cash and balances with central banks

COMPANY			GROUP	
2018 Shs'000	2017 Shs'000		2018 Shs'000	2017 Shs'000
337,455	1,200,000	Cash on hand	2,228,784	1,923,174
		Balances with central banks:		
-	-	Other (available for use by the Group)	2,046,283	184,858
337,455	1,200,000	Included in cash and cash equivalents (note 39 (b))	4,275,067	2,108,032
-	-	Mandatory reserve deposits	7,680,344	7,408,099
337,455	1,200,000		11,955,411	9,516,131

Banks are required to maintain a prescribed minimum cash balance with the Central Banks that is not available to finance the banks' day-to-day activities. The amount is determined as a ratio to the average outstanding average outstanding customer deposits over a cash reserve cycle period of one month. As at 31 December 2018, the cash ratio requirement was 5.25% (2017: 5.25%) in Kenya, 8.0% (2017 – 8.0%) in Tanzania and 8.5% (2017 – 8.5%) in Uganda.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

18) Items in the course of collection

COMPANY		GROUP	
2018 Shs'000	2017 Shs'000	2018 Shs'000	2017 Shs'000
-	-	400,689	233,004
Clearing account balances			

Items in the course of collection are current and are classified as 'loans and receivables'.

19) Due from banking institutions

Balances due from banking institutions are current and are classified as 'loans and receivables'.

COMPANY		GROUP	
2018 Shs'000	2017 Shs'000	2018 Shs'000	2017 Shs'000
-	-	803,205	990,617
-	-	4,434,344	11,434,450
-	-	5,237,549	12,425,067
-	-	1.41%	0.70%
Deposits due from banking institutions			
Balances due from banking institutions			
Weighted average effective interest rate as at year end			

20) Government securities

COMPANY		GROUP	
2018 Shs'000	2017 Shs'000	2018 Shs'000	2017 Shs'000
-	-	37,100,207	31,391,142
-	-	24,665,932	23,324,653
-	-	(59,674)	-
-	-	61,706,465	54,715,795
Treasury bonds at FVOCI (2017 – AFS)			
Treasury bonds at amortised cost (2017: HTM)			
Less: Impairment loss allowance			

The table below summarises the weighted average effective interest rate for government securities.

COMPANY		GROUP	
2018 %	2017 %	2018 %	2017 %
-	-	12.03	11.87
-	-	11.03	10.86
Treasury bonds at FVOCI (2017 – AFS)			
Treasury bonds at amortised cost			

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

20) Government securities (continued)

The maturity profile of Government securities is as follows:

Group	At FVOCI Shs'000	At amortised cost Shs'000	Total Shs'000
2018			
Included in cash and cash equivalents	104,928	4,437,137	4,542,065
Less than 1 year	1,865,523	1,488,641	3,354,164
1-5 years	14,937,137	16,333,714	31,270,851
Over 5 years	20,192,619	2,406,440	22,599,059
Less: Impairment loss allowance	(35,951)	(23,723)	(59,674)
	37,040,533	24,665,932	61,706,465
	Available for sale Shs'000	Held to maturity Shs'000	Total Shs'000 l
2017			
Included in cash and cash equivalents	31,631	341,518	373,149
Less than 1 year	1,072,824	9,168,850	10,241,674
1-5 years	13,937,676	12,993,747	26,931,423
Over 5 years	16,380,278	789,271	17,169,549
	31,422,409	23,293,386	54,715,795

The movement in Government securities was as follows:

Group	At FVOCI Shs'000	At amortised cost Shs'000	Total Shs'000 l
2018			
1 January	31,422,409	23,293,386	54,715,795
Additions during the year	5,892,995	6,782,161	12,675,156
Maturities and disposals	(993,588)	(5,385,892)	(6,379,480)
Changes in fair value (note 33)	754,668	-	689,395
Less: Impairment loss allowance	(35,951)	(23,723)	(59,674)
31 December	37,040,533	24,665,932	61,706,465

21) Derivatives assets

The amount represents the fair value of forward foreign exchange contracts. These derivative assets and liabilities are measured at fair value through profit or loss. Notional principal amounts are the amounts underlying the contract at the reporting date.

COMPANY		GROUP	
2018 Shs'000	2017 Shs'000	2018 Shs'000	2017 Shs'000
-	-	(161,554)	16,467
-	-	6,656,906	12,052,253

Derivative (liabilities)/assets are current.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

22) Loans and advances to customers

COMPANY		GROUP	
2018 Shs'000	2017 Shs'000	2018 Shs'000	2017 Shs'000
-	-	27,591,399	27,167,148
-	-	87,507,310	88,522,689
-	-	9,941,952	7,072,125
-	-	125,040,661	122,761,962
Provisions for impairment			
-	-	913,002	-
-	-	3,565,678	722,219
-	-	5,745,690	5,265,710
-	-	10,224,370	5,987,929
Fair value			
		2,036,712	1,672,452
-	-	116,853,003	118,446,485
-	-		
-	-	53,756,912	53,854,861
-	-	63,096,091	64,591,624
-	-	116,853,003	118,446,485

The Group and the Company enter into finance leasing arrangements for certain plant, equipment, motor vehicles and aircraft. The average term of finance leases entered into is 3 years. Unguaranteed residual values of assets leased under finance leases are estimated at nil (2017: nil).

There are no contingent rents recognised as income in 2017 and 2018.

Finance lease receivables, may be analysed as follows:

COMPANY		GROUP	
2018 Shs'000	2017 Shs'000	2018 Shs'000	2017 Shs'000
-	-	5,178,141	5,178,141
-	-	22,413,258	21,989,007
-	-	27,591,399	27,167,148
-	-	27,597,600	1,024,295

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

22) Loans and advances to customers (continued)

	Stage 1 12 months ECL Shs'000	Stage 2 Life time ECL Shs'000	Stage 3 Life time ECL Shs'000	Total
For the year ended 31 December 2018				
At start of year	-	722,219	5,265,710	5,987,929
IFRS 9 transition adjustment	1,192,908	3,039,195	-	4,232,103
Net increase in impairment provision	(274,224)	(137,893)	3,848,412	3,436,295
Write-offs	-	-	(3,368,432)	(3,368,432)
Exchange difference on Translation	(5,682)	(57,843)	-	(63,525)
At end of year	913,002	3,565,678	5,745,690	10,224,370
For the year ended 31 December 2017				
At start of year	-	692,237	5,022,089	5,714,326
Net increase in impairment provision	-	110	2,438,419	2,438,529
Write-offs	-	-	(2,194,776)	(2,194,776)
Exchange difference on Translation	-	29,872	(22)	29,850
At end of year	-	722,219	5,265,710	5,987,929

The weighted average effective interest rates on loans and advances to customers at year end were as follows:

COMPANY		GROUP	
2018 %	2017 %	2018 %	2017 %
-	-	11.60	11.98
-	-	9.65	10.50
-	-	7.59	8.28

23) Other assets

COMPANY		GROUP	
2018 Shs'000	2017 Shs'000	2018 Shs'000	2017 Shs'000
500	-	320,770	256,198
-	-	1,132,193	2,057,627
-	-	137,569	42,855
500	-	1,590,532	2,356,680

Other assets are current. Other assets, excluding prepayments, are classified at amortised cost.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

24) Due from group companies

	COMPANY	
	2018 Shs'000	2017 Shs'000
NIC Bank Kenya PLC	-	53,955
	-	53,955

The Company has related party transactions with certain of its subsidiaries. These transactions which are primarily short term in nature, include cash accounts, charges for operational support and the borrowing or lending of funds, and are entered into in the ordinary course of business. These are on the same terms as comparable transactions with third parties.

25) Investments

COMPANY			GROUP	
2018 Shs'000	2017 Shs'000		2018 Shs'000	2017 Shs'000
29,568,705	29,118,705	Investment in subsidiaries 25b	-	-
-	-	Corporate bonds at amortised cost	1,256,833	1,355,058
-	-	Quoted equity investment at FVTPL	51,925	69,950
-	-	Unquoted equity security in Tanzania Mortgage Refinance at FVOCI	35,862	23,035
-	-	Equity instruments at FVOCI (2017 – AFS)	3,647	6,799
		Less: Impairment loss allowance	(38,164)	(41,006)
29,568,705	29,118,705		1,310,103	1,413,836

Investment in subsidiaries is non-current. The other investments are current:

a) The movement in investments is as follows:

COMPANY			GROUP	
2018 Shs'000	2017 Shs'000		2018 Shs'000	2017 Shs'000
29,118,705	6,783,112	At start of year	1,413,836	1,507,847
350,000	-	Investment in NIC Tanzania Limited	-	-
100,000	-	Investment in NIC Leasing LLP	-	-
-	315,000	Investment in NC Bank Uganda Limited	-	-
-	(1,425,411)	Repayments of corporate bonds at amortised cost	(98,225)	(70,353)
-	23,446,004	Investment in NIC Bank Kenya PLC	-	-
-	-	Fair value (loss)/gain on quoted equity investment at FVTPL	(18,025)	17,675
-	-	Fair value gain/(loss) on unquoted equity security in Tanzania Mortgage Refinance Company at FVOCI (2017 – AFS)	12,827	(495)
-	-	Equity investment at FVOCI (2017 – AFS)	(3,152)	168
-	-	Impairment loss allowance	2,842	(41,006)
29,568,705	29,118,705	At end of year	1,310,103	1,413,836

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

25) Investments (continued)

b) Investment in subsidiaries (at cost)

Company Name	Country of Incorporation	Principal activity	Holding	2018	2017
			%	Shs'000	Shs'000
NIC Bank Kenya PLC	Kenya	Banking	100	24,446,004	24,446,004
NC Bank Uganda	Uganda	Banking	100	1,828,738	1,828,738
NIC Bank Tanzania	Tanzania	Banking	69.84	2,042,462	1,692,462
NIC Capital	Kenya	Financial advisory	100	500,000	500,000
NIC Insurance Agents	Kenya	Insurance agency	100	1,000	1,000
National Industrial Credit Trustees	Kenya	Dormant	100	500	500
Mercantile Finance Company	Kenya	Dormant	100	50,000	50,000
NIC Ventures Limited	Kenya	Financial innovation	100	1	1
NIC Properties	Kenya	Property	100	550,000	550,000
NIC Leasing LLP	Kenya	Leasing	100	150,000	50,000
				29,568,705	29,118,705

NIC Capital Limited has a subsidiary, NIC Securities Limited whose results have been incorporated in these financial statements. Details of NIC Securities Limited at cost are as follows:

Name	Principal Activity	Holding	2018	2017
NIC Securities Limited	Brokerage services	100%	456,240	456,240

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

25) Investments (continued)

The total non-controlling interest at 31 December 2018 is Shs 359,807,000 (2017: Shs 450,836,000), all of which relate to NIC Bank Tanzania Limited. Transactions with non-controlling interests during the year are as detailed under Note 37.

Significant restrictions

There are no restrictions on the Group's ability to access or use assets and settle liabilities in the countries the Group operates in.

Company Name	2018 Shs'000	2017 Shs'000
Total assets	6,943,532	8,163,695
Liabilities	5,491,098	6,798,981
Shareholders' funds	1,452,434	1,364,714
Total liabilities and equity	6,943,532	8,163,695
Summarised statement of profit or loss		
Total operating income	570,487	626,643
profit before tax	(166,473)	(155,737)
Income tax credit	52,859	48,511
Loss for the year	(113,614)	(107,225)
Total profit allocated to non controlling interest	(34,264)	(32,337)
Summarised statement of cash flows		
Cash used in operations	(245,151)	(269,464)
Net cash used in investing activities	(49,499)	(25,376)
Net cash generated from / (used in) financing activities	175,021	(160,186)
Net decrease in cash and cash equivalents	(119,630)	(455,025)
Cash and cash equivalents at start of the year	442,324	916,648
Exchange differences in cash and cash equivalents	(17,761)	(19,299)
Cash and cash equivalents at end of the year	304,934	442,324

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

25) Investments (continued)

All the subsidiary companies have their financial year ended 31 December and are incorporated as limited liability companies a part from NIC Leasing, which is incorporated as a limited liability partnership. Except for NIC Bank Tanzania Limited and NC Bank Uganda Limited which are incorporated and domiciled in Tanzania and Uganda respectively, all other subsidiaries are incorporated and domiciled in Kenya.

NC Bank Uganda Limited was established in 2012 to offer banking services for our customers in Uganda. The audited financial statements for the year ended 31 December 2018 show that the company made a loss equivalent to Shs 103,720,000 (2018: a profit of Shs 16,002,000).

NIC Group PLC acquired 51% of Savings & Finance Commercial Bank Limited now renamed NIC Bank Tanzania Ltd with effective control being passed on 1 May 2009. The audited financial statements for the year ended 31 December 2018 show that the company made a loss equivalent to Shs 79,042,000 (2017: a loss of Shs 107,220,000).

NIC Capital Limited was established in 2005 to offer investment banking services. The audited financial statements for the year ended 31 December 2018 show that the company made a profit of Shs 4,649,000 (2017: a loss of Shs 6,463,000).

On 31 December 2007, the company acquired NIC Securities Limited (NICSL) (formerly Solid Investment Securities Limited) through its wholly owned subsidiary NIC Capital Limited. Through combinations of direct buy-outs and additional rights issues, the group increased its shareholding in the subsidiary to 91.34% in 2009, and further to 100% in 2014. NICSL offers brokerage services and is a registered broker with the Nairobi Securities Exchange. The audited financial statements for the year ended 31 December 2018 show that the company made a profit of Shs 13,198,000 (2017: Shs 6,864,000). The results of NIC Securities Limited are consolidated in these financial statements.

NIC Insurance Agents Limited was a 68% subsidiary of Mercantile Finance Company Limited (MFC). In 2010, NIC Group PLC acquired the non-controlling interest and now directly owns 100% of the company. The company offers Bancassurance services. The audited financial statements for the year ended 31 December 2018 show that the company made a profit of Shs 73,851,000 (2017: Shs 48,602,000).

National Industrial Credit Trustees Limited functions in a trustee capacity. The audited financial statements show that the company made no profit or loss for the year (2017: Shs nil).

The African Mercantile Banking Company Limited a wholly owned subsidiary of NIC Group PLC having, with the sanction of a special Resolution of the said Company, and with the approval of the Registrar of Companies, changed its name to NIC Ventures Limited ("the Company") on 13th November 2017 and is incorporated in Kenya under the Kenya Companies Act as a private limited liability company. NIC Ventures Limited did not trade during the year ended 31 December 2018. Its activities are limited to provision of innovative solutions through partnerships and investments in financial technology. The audited financial statements show that the company made no profit or loss for the year (2017: Shs nil).

In April 2014, NIC Group PLC (formerly NIC Bank Limited) acquired a 100% shareholding in Codicote Limited for a consideration of Shs 550 million. The Company name was subsequently changed to NIC Properties whose sole activity is the ownership of the Land. Its sole asset is Land LR NO. 209/13628 adjacent to the headquarters of the Group in Upperhill, Nairobi. The audited financial statements for the year ended 31 December 2018 show that the company made a loss of Shs 278,000 (2017: Shs 278,000).

NIC Leasing Limited Liability Partnership was formed during the year ended 31 December 2015 for leasing of motor vehicles and equipment. The audited financial statements for the year ended 31 December 2018 show that the company made a profit of Shs 17,824,000 (2017: Shs 3,120,000).

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

26) Deferred income tax

The net deferred income tax computed at the enacted rate of 30%, is attributable to the following items:

Group

Year ended 31 December 2018	1-Jan-2018 Shs'000	Credit / charge to profit or loss Shs'000	Charge/ credit to OCI Shs'000	Adjustment on initial application of IFRS 9 Shs '000'	31-Dec-18 Shs'000
Assets					
Leave pay accrual	(6,599)	(1,174)	-	-	(7,773)
Gratuity provision	(3,316)	(1,226)	-	-	(4,542)
Bonus deferred	(150,250)	(11,158)	-	-	(161,408)
Excess depreciation over capital allowances	(539,558)	(3,605)	-	-	(543,163)
Financial assets at FVOCI	48,952	-	274,994	-	323,946
Collective allowance for impairment	(2,682,912)	46,922	-	(1,296,134)	(3,932,124)
Tax losses in NC Uganda	(82,121)	(61,381)	-	-	(143,502)
	(3,415,804)	(31,622)	274,994	(1,296,134)	(4,468,566)
Liabilities:					
Revaluation Surplus	-	-	75,321	-	75,321
Exchange differences on translation	(2,372)	-	-	-	(2,372)
Deferred income tax asset	(3,418,176)	(31,622)	350,315	(1,296,134)	(4,395,617)

As at 31 December 2018, the Group had accumulated tax losses available for future relief relating to NC Bank Uganda Limited. In Uganda, tax losses can be carried forward for an indefinite period.

Year ended 31 December 2017	1-Jan-2017 Shs'000	(Credit)/ charge to profit or loss Shs'000	(Credit)/ charge to OCI Shs'000	31-Dec-2017 Shs'000
Assets				
Leave pay accrual	(7,268)	669	-	(6,599)
Gratuity Provision	(1,396)	(1,920)	-	(3,316)
Bonus provision	(74,018)	(76,232)	-	(150,250)
Excess depreciation over capital allowances	(416,012)	(123,546)	-	(539,558)
Available-for-sale financial assets	(350,810)	399,762	-	(276,677)
Provision for impairment	(1,929,138)	(753,774)	-	(2,359,388)
Tax losses in NC Uganda	(50,532)	(31,589)	-	(82,121)
	(2,831,279)	(586,630)	-	(3,417,909)
Liabilities:				
Revaluation surplus	75,789	(75,789)	-	-
Exchange differences on translation	513	(2,886)	-	(2,372)
Deferred income tax asset	(2,752,871)	(665,305)	-	(3,418,176)

As at 31 December 2017, the Group had accumulated tax losses available for future relief relating to NC Bank Uganda Limited. In Uganda, tax losses can be carried forward for an indefinite period.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

27) Property and equipment

Group	Buildings	Furniture & equipment	Motor Vehicles	Work in progress	Total
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
COST OR VALUATION					
At 1 January 2017	370,000	2,476,877	79,064	101,545	3,027,486
Additions	-	92,454	16,503	303,624	412,581
Transfers	-	44,173	-	(44,173)	-
Disposals	-	(7,084)	(7,906)	-	(14,990)
At 31 December 2017	370,000	2,606,420	87,661	360,996	3,425,077
At 1 January 2018	370,000	2,606,420	87,661	360,996	3,425,077
Additions	-	190,011	32,658	144,911	367,580
Revaluations	185,000	-	-	-	185,000
Transfers	-	225,632	-	(337,787)	(112,155)
Disposals	-	(13,207)	(2,487)	-	(15,694)
At 31 December 2018	555,000	3,008,856	117,832	168,120	3,849,808
Comprising:					
Cost	144,617	3,008,856	117,832	168,120	3,439,425
Valuation - 2013	225,383	-	-	-	225,383
Valuation - 2018	185,000	-	-	-	185,000
	555,000	3,008,856	117,832	168,120	3,849,808
DEPRECIATION					
At 1 January 2017	39,643	1,893,505	50,841	-	1,983,989
Charge for the year	13,214	250,293	11,068	-	274,575
Eliminated on disposals	-	(7,023)	(4,374)	-	(11,397)
Translation adjustment	-	31,804	(2,606)	-	29,198
At 31 December 2017	52,857	2,168,579	54,929	-	2,276,365
At 1 January 2018	52,857	2,168,579	54,929	-	2,276,365
Charge for the year	13,214	254,416	12,154	-	279,784
Eliminated on disposals	-	(13,129)	(2,487)	-	(15,616)
Eliminated on revaluation	(66,071)	-	-	-	(66,071)
Translation adjustments	-	5,772	-	-	5,772
At 31 December 2018	-	2,415,638	64,596	-	2,480,234
NET BOOK VALUE					
At 31 December 2018	555,000	593,219	53,236	168,120	1,369,575
At 31 December 2017	317,143	437,841	32,732	360,996	1,148,712

Buildings were revalued at Shs 550 million as at 31 December 2018 by registered, professional valuers, Knight Frank Kenya Limited, on an open market value basis by reference to market evidence of recent transactions for similar properties. At 31 December 2018, the net book value of buildings based on original cost was Shs 94,644,208 (2017: Shs 99,809,104).

Included in motor vehicles and furniture, fittings and equipment are assets with a cost of Shs 1,695,661,030 (2017: Shs 1,516,908,792) which were fully depreciated. The notional depreciation charge on these assets would have been Shs 374,263,896 (2017: Shs 303,380,053). Computer equipment is included under furniture, fittings and equipment.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

27) Intangible assets

Intangible assets comprise the following:

	GROUP	
	2018 Shs'000	2017 Shs'000
Computer software	1,419,692	1,170,885
Goodwill	409,426	409,426
At 31 December	1,829,118	1,580,311

a) Computer software

GROUP	Capitalised Shs'000	Work in Progress Shs'000	Total Shs'000
COST			
At 1 January 2017	1,610,929	234,177	1,845,106
Addition	195,155	536,570	731,725
Transfers	161,323	(161,323)	-
At 31 December 2017	1,967,407	609,424	2,576,831
At 1 January 2018	1,967,407	609,424	2,576,831
Addition	107,239	337,234	444,473
Transfers	505,743	(505,743)	-
At 31 December 2017	2,580,389	440,915	3,021,304
AMORTISATION			
At 1 January 2017	1,183,091	-	1,183,091
Translation adjustments	317	-	317
Charge for the year	222,538	-	222,538
At 31 December 2017	1,405,946	-	1,405,946
At 1 January 2018	1,405,946	-	1,405,946
Translation adjustments	1,658	-	1,658
Charge for the year	194,008	-	194,008
At 31 December 2018	1,601,612	-	1,601,612
Net Book Value	-	-	-
At 31 December 2018	978,777	440,915	1,419,692
At 31 December 2017	561,461	609,424	1,170,885

All software is eternally generated

Assets of the Group with a gross value of Shs 1,205,010,674 (2017: Shs 1,110,366,835) are fully amortised but still in use. The notional amortisation charge on the assets would have been Shs 241,251,288 (2017: Shs 222,874,974). The weighted average remaining useful life of intangible assets 3.2 years (2017: 2.1 years).

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

28) Intangible assets (continued)

b) Goodwill

The goodwill consists of equity interest held by the Group in:

	2018		2017	
	Ownership	Amount	Ownership	Amount
	%	Shs'000	%	Shs'000
NIC Bank Tanzania	69.84	251,996	69.84	251,996
NIC Securities	100	123,430	100	123,430
NIC Properties	100	34,000	100	34,000
As at 31 December		409,426		409,426

Management reviews the business performance of the above subsidiaries. The subsidiaries are deemed Cash Generating Units (CGU) by the Group. The recoverable amount of all CGUs has been determined based on value-in-use calculations which are based on key assumptions about budgeted performance. The budget assumptions reflect current trends, anticipated growth driven by the Group's strategy and management experience.

Based on the results of the impairment tests performed, management believes that there is no impairment of the carrying value of the goodwill in any CGU. In addition, no impairment of the Company's investments in subsidiary undertakings as referred to in note 25 was considered necessary.

The goodwill consists of equity interest held by the Group in:

	NIC Bank Tanzania Shs'000	NIC Securities Shs'000	NIC Properties Shs'000
Value in use	838,150	465,520	76,180
Weighted average cost of capital	15%	15%	15%

Key assumptions used in value in use calculations and sensitivity to changes in assumptions:

- Budgeted EBITDA – Budgeted EBITDA has been based on past experience adjusted for growth and benefits expected from implementation of Group initiatives including additional capital injection.
- Budgeted capital expenditure – capital expenditure are based on planned growth strategies and includes cash outflows for purchase of property, equipment and computer software.
- Long term growth rate is based on an annual growth rate in EBITDA estimated by management for each of the respective subsidiary.
- Discount rate is generally based on the rate of government securities in the East African region adjusted for a risk premium to reflect the higher risk in the respective entities

Sensitivity analysis

Management believes that no reasonably possible change in any of the above key assumptions would cause the carrying value of any CGU to exceed its recoverable amount.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

29) Operating lease prepayments – Leasehold land

COMPANY			GROUP	
2018 Shs'000	2017 Shs'000		2018 Shs'000	2017 Shs'000
		Cost		
-	-	At 1 January and 31 December	526,000	526,000
		Amortization		
-	-	At 1 January	3,250	3,125
-	-	Charge for the year	125	125
-	-	At 31 December	3,375	3,250
-	-	Net book value	522,625	522,750

30) Customer deposits

COMPANY			GROUP	
2018 Shs'000	2017 Shs'000		2018 Shs'000	2017 Shs'000
-	-	Current	54,779,061	54,780,374
-	-	Savings	5,663,340	4,951,299
-	-	Term	80,887,173	77,811,530
-	-	Other	3,171,486	1,373,367
-	-	At 31 December	144,501,060	138,916,570
-	-	Weighted average effective interest as at year end	5.37%	5.30%

The breakdown between current and non current deposits is as below.

COMPANY			GROUP	
2018 Shs'000	2017 Shs'000		2018 Shs'000	2017 Shs'000
-	-	Current	142,111,640	138,747,202
-	-	Non Current	2,389,420	169,368
-	-		144,501,060	138,916,570

Customer deposits are financial instruments classified as liabilities at amortised cost. Included in term deposits are deposits which are at fixed interest rates whereas all other deposits are at variable rates. Other deposits are those held as collateral for irrevocable commitments mainly under import letters of credit and performance bonds. Their fair value approximates the carrying amount

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

31) Due to banking institutions

COMPANY		GROUP	
2018 Shs'000	2017 Shs'000	2018 Shs'000	2017 Shs'000
-	-		
		Maturing within 90 days:	
		Due to banking institutions	
		9,906,429	12,138,495
0.00%	0.00%	Weighted average effective interest rate as at year end	
		3.52%	3.52%

Deposits due to banking institutions are financial instruments classified as liabilities at amortised cost. Balances due to banking institutions are current.

32) Borrowings

a. The Group has unsecured revolving medium term lines of credit for onward lending with:

COMPANY		GROUP	
2018 Shs'000	2017 Shs'000	2018 Shs'000	2017 Shs'000
-	-		
		The International Finance Corporation (IFC)	
		4,312,297	5,033,680
-	-	European Investment Bank (EIB)	
		4,266,113	4,946,122
-	-	The Dutch Development Finance Institution, FMO	
		343,067	694,521
-	-	Societe de Promotion et de Participation pour la Cooperation Economique S.A (PROPARCO)	
		199,792	606,361
-	-	Medium term note	
		5,747,068	5,745,174
-	-	14,868,337	17,025,858
		Analysis of movement:	
-	-	At start of year	
		17,025,860	18,976,960
-	-	Accrued interest	
		1,250,723	1,262,927
-	-	Repayments during the year	
		(3,243,883)	(3,279,574)
-	-	Translation differences	
		(164,363)	65,545
-	-	14,868,337	17,025,858
		At end of year	
		14,868,337	17,025,858
		Maturity Profile:	
-	-	Payable within one year	
		7,704,851	2,155,942
-	-	Payable after one year and within three years	
		4,708,880	5,576,527
-	-	Payable after three years	
		2,454,606	9,293,389
-	-	14,868,337	17,025,858
-	-	Weighted average effective interest	
		7.91%	7.16%

Borrowings are financial instruments classified as a liability at amortised cost. The terms of the borrowings are as follows:

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

32) Borrowings (continued)

NIC Bank Kenya PLC

i. Subordinated debts

NIC Bank Kenya PLC has two sets of long-term subordinated debts facilities obtained to enhance the Bank's capital base:

- US\$ 20 million unsecured facility raised from IFC in December 2014, with a tenure of 7 years. Outstanding principal balance at 31 December 2018 was US\$ 20 million (2017: US\$ 20 million). This facility bears interest at rates referenced to the six months Libor; and
- Shs 5.5 billion raised from the Medium Term Note issued in September 2014 at an interest rate of 12.5%, with a tenure of 5 years. Outstanding principal balance at 31 December 2018 was Shs 5.5 billion (2017: Shs 5.5 billion).

ii. Other borrowings

NIC Bank Kenya PLC has four long-term senior loans as below:

- US\$ 35 million unsecured facility raised from IFC in December 2014, with a tenure of 7 years. Outstanding principal balance at 31 December 2018 was US\$ 22 million (2017: US\$ 29million);
- US\$ 35 million unsecured facility raised from FMO in April 2014, with a tenure of 5 years. Outstanding principal balance at 31 December 2018 was US\$ 3 million (2017: US\$ 7 million);
- US\$ 21 million unsecured facility raised from PROPARCO in April 2012, with a tenure of 7 years. Outstanding principal balance as at 31 December 2018 was US\$ 2 million (2017: US\$ 6million); and
- US\$ 54 million unsecured facility raised from EIB in December 2016, with a tenure of 7 years. Outstanding principal balance as at 31 December 2018 was US\$ 42 million (2017: US\$ 47 million)

These facilities bear interest at rates referenced to the six months Libor.

b. Compliance with debt covenants

During the year, the Group met all its loan repayment obligations.
The Group was in compliance with all financial covenants with all its lenders.

33) Due to group companies

Company

	2018	2017
	Shs'000	Shs'000
NIC Bank Kenya PLC	15,850	61,685

Balances due to group companies are current.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

34) Other liabilities

COMPANY		GROUP	
2018 Shs'000	2017 Shs'000	2018 Shs'000	2017 Shs'000
-	-	183,466	182,831
-	-	92,082	242,561
-	-	30,589	29,946
-	-	23,604	20,039
-	-	2,200	4,200
48,449	-	2,960,242	2,851,823
48,449	-	3,292,183	3,331,400
At 31 December			

Other liabilities are current. Other liabilities, excluding non-financial assets, are classified as liabilities at amortised cost.

Legal and other claims relate substantially to a provision for charges brought against the Group by customers of the stock brokerage subsidiary, NIC Securities Limited. In the directors' opinion, after taking appropriate legal advice, the outcome of these legal claims will not give rise to any significant loss beyond the amounts provided at 31 December 2018.

The preference shares relate to East African Development Bank (EADB) which invested TShs 650 million in 8% non-redeemable and non-cumulative preference shares issued by NIC Bank Tanzania in November 2004. The preference shareholders have the discretion to transfer to the existing shareholders or may convert their shares into ordinary shares upon attainment of certain covenants. Dividends on the preference shares are payable when there are sufficient cash resources at the date of declaration, subject to the business and industry requirements of the company, making of prudent reserves and provisions in general and complying with all applicable legislation.

35) Dividends

At the Annual General Meeting scheduled for 17 April 2019, a first and final dividend in respect of 2018 of Shs 1.25 per share (2017: final dividend of Shs 1.00 per share) amounting to a total of Shs 879,925,204 (2017: Shs 639,946,000) is to be proposed by the directors.

The final proposed dividend for the year is subject to approval by shareholders at the Annual General Meeting and has not been included as a liability in these financial statements

Group and Company

The movement in unclaimed dividends is as follows:

	2018 Shs'000	2017 Shs'000
At 1 January	22,388	35,599
Final dividend declared	639,946	639,946
Dividends paid	(619,348)	(653,157)
At 31 December	42,986	22,388

Payment of dividends to members with shareholding of up to 12.5% is subject to withholding tax at the rate of 5.0% for residents and 10.0% for non-residents.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

36) Share capital and reserves

(a) Share capital and share premium

Group and Company	Number of shares	Share Capital Shs'000	Share premium Shs'000
1 January 2017 and 31 December 2017	639,945,603	3,199,728	2,700,017
Bonus issue	63,994,560	319,973	(319,973)
Bonus issue expenses			(6,050)
31 December 2018	703,940,163	3,519,701	2,373,994

As at 31 December 2018, the authorised share capital of the Company comprised of 800,000,000 (2017: 800,000,000) ordinary shares with a par value of Shs 5. The issued shares as at 31 December 2018 are 703,940,163 (2017: 639,945,603) and are fully paid. Issued and fully paid ordinary shares, which have a par value of Shs 5, carry one vote per share and carry a right to dividend.

In May 2018, the Group issued Bonus shares at the rate of one (1) new fully paid up bonus share of par value Shs 5 for every ten (10) shares of par value Shs 5.

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at General Meetings of the Company.

Premiums from the issue of shares are reported as share premiums. During the year a portion of this was utilized to cater for the bonus issue expenses.

(b) Revaluation surplus on property

Revaluation reserve is made up of the periodic adjustment arising from the valuation of buildings, net of the related deferred taxation. The reserve is not available for distribution to the shareholders.

Group and Company

The movement in revaluation surplus on property is as follows:

	2018 Shs'000	2017 Shs'000
At 1 January	-	175,202
Revaluation surplus on building	251,071	-
Deferred income tax	(75,321)	-
Realised on transfer to group	-	(175,202)
At 31 December	175,750	-

(c) Investments revaluation reserve

This represents the unrealized increase or decrease in the fair value of available-for-sale investments after deduction of deferred income taxes, excluding impairment losses. The reserve is not available for distribution to the shareholders.

The gains from disposals of FVOCI investments amounted to Shs 24,917,000.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

36) Share capital and reserves (continued)

(d) Foreign currency translation reserve

The reserves represent exchange differences arising from translation of the net assets of the Group's foreign operations which are NIC Bank Tanzania Limited and NC Bank Uganda Limited from their functional currency (Tanzania Shillings and Uganda Shillings respectively), to the Group's presentation currency (Kenya Shillings). These differences are recognised directly through other comprehensive income and accumulated in the foreign currency translation reserve in equity. The reserve is not available for distribution to the shareholders.

(e) Regulatory reserves

Where impairment losses required by prudential guidelines issued by the banking regulators exceed those computed under the International Financial Reporting Standards (IFRS), the excess is recognised as a regulatory reserve and accounted for as an appropriation from retained earnings. The reserve is not available for distribution to the shareholders.

Group	2018 Shs'000	2017 Shs'000
1 January	1,042,359	1,238,486
Translation differences	80,794	-
Transfers in the year	(1,059,691)	(196,127)
31 December	63,462	1,042,359

(f) Other reserve

The reserve relates to transactions with non-controlling interests that do not result in loss of control. It is the difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary. See the respective disclosures under notes 37 (a) and (b).

37) Non-controlling interests

The total non-controlling interest consists of equity interest in NIC Tanzania

38) Off balance sheet financial instruments, contingent liabilities and commitments

The total non-controlling interest consists of equity interest in NIC Tanzania

a) Contingent liabilities

COMPANY		GROUP	
2018 Shs'000	2017 Shs'000	2018 Shs'000	2017 Shs'000
-	-	-	4,001,932
-	-	3,051,887	11,629,531
-	-	3,051,887	15,631,463

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

38) Off balance sheet financial instruments, contingent liabilities and commitments (continued)**a) Contingent liabilities (continued)**

In the ordinary course of business, the Group conducts business involving acceptances, letters of credit, guarantees, performance bonds and indemnities. The majority of these facilities are offset by corresponding obligations of third parties. In addition, there are other off balance sheet financial instruments including forward contracts for purchase and sale of foreign currencies, the nominal amounts of which are not reflected in the statement of financial position.

Letters of credit are commitments by the Group to make payments to third parties, on production of documents, on behalf of customers and are reimbursed by customers. Letters of guarantee and performance bonds are issued by the Group, on behalf of customers, to guarantee performance by customers to third parties. The Group will only be required to meet these obligations in the event of default by the customers.

(b) Operating lease prepayments**i) The group as a lessor**

At the end of the reporting period, the Group had contracted with tenants for the following future lease receivables:

Group and Bank	2018 Shs'000	2017 Shs'000
Within one year	10,268	8,940
In the second to fifth year inclusive	41,073	35,760
At 31 December	51,341	44,700

Leases are negotiated for an average term of 6 years and rentals are reviewed every two years. The leases are cancellable with a penalty when the tenants do not give three months' notice to vacate the premises.

ii) The group as a lessee

At the end of the reporting period, the Group had non-cancellable operating leases which fall due as follows:

	GROUP	
	2018 Shs'000	2017 Shs'000
Premises	305,531	306,120
Within one year	658,080	759,231
In the second to fifth year inclusive	963,611	1,065,351
At 31 December		
Office equipment		
Within one year	3,132	1,248
In the second to fifth year inclusive	1,305	-
At 31 December	4,437	1,248

Operating lease payments represent rentals payable by the Group for its business premises and office equipment.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

38) Off balance sheet financial instruments, contingent liabilities and commitments (continued)

Premises leases are negotiated for an average term of 6 years, while office equipment is for an average term of 3 years. For these contingent liabilities, no reimbursement is expected.

c) Capital commitments

	GROUP	
	2018 Shs'000	2017 Shs'000
Authorized and contracted for	444,721	814,474
Authorized but not contracted for	229,853	348,510
At 31 December	674,574	1,162,984

The capital commitments largely relate to branch expansion activities and software acquisition. The Group's management is confident that future net revenues and funding will be sufficient to cover this commitment.

d) Legal proceedings

Various claims against the Group are considered without merit, and the Group is defending them vigorously. It is not possible to estimate the Group's possible loss in relation to these matters, nor the effect that they might have upon operating results in any particular financial period. No contingent liability associated with legal actions has been disclosed as professional advice indicates that it is unlikely that any significant loss will arise.

e) Other credit commitments

Commitments to lend are agreements to lend to customers in future subject to certain conditions. Such commitments are normally made for fixed periods.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

39) Notes to the statement of cash flows

a) Cash from operations

COMPANY			GROUP	
2018 Shs'000	2017 Shs'000		2018 Shs'000	2017 Shs'000
		Reconciliation of profit before income tax to cash from/(used in) operations		
173,006	1,251	Profit before income tax	5,822,865	5,600,950
		Adjustments for:		
-	-	Depreciation (note 27)	279,784	274,575
-	-	Amortization of operating lease prepayments	125	125
-	-	Amortization of intangible assets (note 28)	194,008	222,538
-	-	Gain on sale of motor vehicle and equipment (note 39 (c))	(1,196)	(2,042)
173,006	1,251	Profit before working capital changes	6,295,586	6,096,146
		Decrease/(Increase) in balances with central banks		
-	-	- Mandatory reserve deposits	(271,214)	(1,354,896)
-	-	Decrease/(Increase) in loans and advances to customers	1,552,476	(5,364,616)
-	-	Increase in derivatives held for risk management	(178,021)	(41,085)
(500)	-	Decrease in other assets	887,900	(1,018,067)
53,955	(53,955)	Due (from)/ to group companies	-	-
(45,835)	61,685	Due to group companies	-	-
-	-	(Decrease)/Increase in customer deposits	5,584,490	27,091,885
48,718	-	Decrease in other liabilities	(39,217)	(667,326)
-	-	Accrued interest on borrowings	1,250,723	-
-	-	Fair value movement on government securities	519,723	1,025,070
-	-	Adjustment on initial application of IFRS 9	(4,320,446)	-
229,344	8,981	Cash from operations	11,282,000	25,767,111

b) Cash and cash equivalents

Analysis of balances of cash and cash equivalents as shown in the consolidated statement of financial position and notes.

COMPANY				GROUP	
2018 Shs'000	2017 Shs'000		Note	2018 Shs'000	2017 Shs'000
337,455	1,200,000	Cash and balances with central banks	17	4,205,199	2,037,136
-	-	Items in course of collection	18	400,689	233,004
-	-	Due from banking institutions	19	5,237,549	12,425,067
-	-	Government securities	20	3,435,000	373,149
-	-	Due to banking institutions	31	(9,906,429)	(12,138,495)
337,455	1,200,000	At 31 December		3,372,008	2,929,861

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

39) Notes to the statement of cash flows (continued)

c) Proceeds from sale of motor vehicle and equipment

		GROUP	
	Note	2018 Shs'000	2017 Shs'000
Proceeds from sale of motor vehicle and equipment		1,274	5,635
Disposal at cost	27	(15,695)	(14,990)
Depreciation eliminated on disposal	27	15,617	11,397
Gain on disposal of motor vehicle and equipment	11	1,196	2,042

40) Related party transactions

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operation decisions, or one other party controls both. There are other companies which are related to NIC Group PLC through common shareholdings or common directorships.

In the normal course of business, a number of banking transactions are entered into with related parties i.e. staff, directors, their associates and companies associated with directors. These include loans, deposits and foreign currency transactions. Loans and advances to customers include loans and advances to staff and to companies associated with directors. Contingent liabilities include guarantees and letters of credit for companies associated with directors.

a) Loans and advances to customers:

Companies associated with directors

COMPANY			GROUP	
2018 Shs'000	2017 Shs'000		2018 Shs'000	2017 Shs'000
-	181,769	At 1 January	416,785	350,448
-	(181,769)	Net movement during the year	(216,504)	66,337
-	-	At 31 December	200,281	416,785
-	-	Interest earned	50,795	16,341
-	-	Guarantees and letters of credit to companies associated with directors	363,539	384,378

The above outstanding balances arose from the ordinary course of business and are substantially on the same terms, including interest rates and security, as for comparable transactions with third-party counterparties.

Directors and key management personnel

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

40) Related party transactions (continued)

a) Loans and advances to customers (continued)

COMPANY			GROUP	
2018 Shs'000	2017 Shs'000		2018 Shs'000	2017 Shs'000
		Loans and advances to customers:		
-	59,328	At 1 January	132,834	68,859
-	(59,328)	Net movement during the year	25,566	63,975
-	-	At 31 December	158,400	132,834
-	-	Interest earned	11,913	11,096

These loans and advances are performing and are adequately secured.

b) Customer deposits

Companies associated with directors

COMPANY			GROUP	
2018 Shs'000	2017 Shs'000		2018 Shs'000	2017 Shs'000
-	6,353,307	At 1 January	3,476,332	6,540,124
-	(6,353,307)	Net movement during the year	1,200,474	(3,063,792)
-	-	At 31 December	4,676,806	3,476,332
-	-	Interest paid	291,119	237,071

Directors and key management personnel

COMPANY			GROUP	
2018 Shs'000	2017 Shs'000		2018 Shs'000	2017 Shs'000
-	300,204	At 1 January	247,971	318,594
-	(300,204)	Net movement during the year	98,789	(70,623)
-	-	At 31 December	346,760	247,971
-	-	Interest paid	20,122	15,262

The above outstanding balances arose from the ordinary course of business and are substantially on the same terms, including interest rates and security, as for comparable transactions with third-party counterparties

c) Key management compensation

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

40) Related party transactions (continued)

The remuneration of directors and other members of key management during the year was as follows:

COMPANY			GROUP	
2018 Shs'000	2017 Shs'000		2018 Shs'000	2017 Shs'000
164,035	33,526	Salaries and other benefits	465,930	497,863
		Directors' remuneration		
3,750	-	Fees for services as directors	26,997	34,441
128,908	21,349	Other emoluments (included in salaries and other benefits above)	128,908	144,919
132,658	21,349		155,905	179,360

In line with policy, the above compensation is a consolidated salary package encompassing all employment benefits.

41) Assets pledged as security

As at 31 December 2018, there were no assets pledged by the Group to secure liabilities and there were no secured Group liabilities (2017: nil).

42) Fiduciary activities

The Group holds asset security documents on behalf of customers with a value of Shs 130,791,413,663 (2017: Shs 106,494,284,723). These securities are held by the custody services department and comprise deposits with financial institutions, government securities and quoted and unquoted securities, among others.

43) Group reorganisation

On 11 October 2016, the shareholders approved the creation of a new operating company, a new wholly owned subsidiary company of the Bank named 'NIC Bank Kenya PLC'. Under the reorganization plan, the Kenyan banking business and net assets of NIC Bank Limited were to be transferred to NIC Bank Kenya PLC. The Central Bank of Kenya (CBK) approved the formation of the Non-Operating Holding Company on 15 February 2017. NIC Bank Limited changed its name to 'NIC Group PLC'. NIC Group PLC operates as a Non-operating holding company under section 13(1) of the Banking Act.

NIC Group PLC (previously NIC Bank Limited) transferred some of its assets and liabilities to the new subsidiary; NIC Bank Kenya PLC, at a consideration to be paid partly by cash and partly by issue of shares, as per the transfer of assets agreement between NIC Group PLC and NIC Bank Kenya PLC. The assets and liabilities transferred were those held by NIC Bank Limited as at 31 August 2017. The following accounting entries were made in the books of NIC Group PLC (previously NIC Bank Limited) and NIC Bank Kenya PLC to recognise the above transaction.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

for the year ended 31 December 2018

43) Group reorganisation (continued)

i) Transfer of assets and liabilities other than the excluded assets and liabilities to NIC Bank Kenya PLC;

Net asset before transfer	Shs'000
Assets	186,715,071
Liabilities	(153,108,118)
Net assets at 31 August 2017	33,606,953
Excluded assets & liabilities	
Investments in subsidiaries (excluding Shs 1 billion investment in NIC Bank Kenya PLC before re-organisation)	4,672,701
Deferred tax	3,318,821
Dividends	(30,573)
Total excluded net assets	7,960,949
Net assets transferred	25,646,004

ii) Recognition of consideration made on transfer of net assets;

The consideration for the transfer of shares constituted 15 million shares at Shs 1,000 per share, Share premium of Shs 9.4 billion and cash consideration of Shs 1.2 billion as below:

	Shs'000
Share capital	15,000,000
Share premium	9,446,004
Cash	1,200,000
Total consideration	25,646,004

iii) The following balances were effected through retained earnings:

Investment in subsidiaries	(4,672,701)
Dividends payable	30,573
Realized revaluation reserve	894,415
Cash consideration	(1,200,000)
Total	4,947,713

44) Events after reporting period

On 6 December 2018, NIC Group PLC (NIC) and Commercial Bank of Africa Limited (CBA) announced that their Board of Directors authorized the commencement of discussions regarding a potential merger of the two entities. On 31 January 2019 NIC and CBA announced that their respective Boards of Directors approved the proposed merger and resolved to recommend to their respective shareholders a merger of the two Groups.

The proposed merger will be completed upon fulfilment of a certain set of conditions precedent, customary to transactions of this nature, including but not limited to, the parties obtaining applicable shareholder and regulatory approvals, and the parties entering into and completing various transactional agreements to complete the merger.

The proposed merger will be executed through a share swap, and it is proposed that the shareholders of CBA will exchange their shares in CBA for new shares in NIC, which will be the holding company of the merged businesses and remain a publicly listed company quoted on the Nairobi Securities Exchange. It is envisioned that the share exchange ratio will be based on a 47:53 relative valuation of NIC and CBA respectively. As such, it is expected that the CBA shareholders will in aggregate own 53% of the then issued shares in NIC, whilst existing NIC shareholders will own 47% of the then issued shares in NIC.

Up until the merger becomes effective the two entities will continue to operate independently. The merger is expected to be completed in the second half of 2019.



OTHER INFORMATION

NOTICE OF THE ANNUAL GENERAL MEETING

Notice is hereby given that the fifty ninth Annual General Meeting of the Shareholders of NIC Group PLC (the “**Company**”) will be held at the Tsavo Ballroom, Kenyatta International Convention Centre (KICC) Nairobi on 17th April, 2019 at 10.30 am for the following purposes:-

1. To read the Notice convening the Meeting.
2. To receive, consider and if thought fit, adopt the Financial Statements for the year ended 31st December 2018 and the Directors’ and Auditors’ Reports thereon.
3. To approve the payment of a first and final dividend of Shs. 1.25 per ordinary share (2017: final dividend of Shs 1.00 per ordinary share) on the paid up capital of Shs. 3,519,700,820.
4. To approve the Directors’ Remuneration Policy and Report and the remuneration paid to the Directors in the year ended 31st December 2018 and to authorize the Board to fix the remuneration of the Directors for the year 2019.
5. To elect Directors:
 - (a) In accordance with Article 7.18 of the Company’s Articles of Association, the following Directors retire by rotation and being eligible, offer themselves for re-election:
 - i) J. P. M. Ndegwa; and
 - ii) P. V. Shah.
 - (b) In accordance with the provisions of section 769 of the Companies Act, 2015 (“**Companies Act**”), the following Directors, being members of the Board Audit and Risk Committee, be elected to serve as members of the said Committee:
 - i) P. R. Lopokoityit (Chairman);
 - ii) E. N. Ngaine; and
 - iii) G. A. Maina.
6. To appoint PricewaterhouseCoopers as the Auditors of the Company until the end of the next Annual General Meeting by virtue of section 721(4) of the Companies Act, subject to Central Bank of Kenya approval in accordance with section 24(1) of the Banking Act (Cap.488) (“**Banking Act**”), and to authorize the Directors to fix their remuneration.
7. Proposed merger with Commercial Bank of Africa Limited (“**CBA**”)

Upon consideration of the Shareholder Circular relating to the proposed merger (“**Merger**”) of the Company with CBA circulated to the Shareholders together with this Notice and presented at the meeting, to consider and if thought fit, pass the following resolutions, noting that the implementation of the Merger is subject to, and conditional upon, the various conditions, approvals and exemptions listed in the Shareholder Circular in form and substance satisfactory to the Company and applicable law:

As Ordinary Resolutions

- a) THAT the entry by the Company into the Merger Agreement with NIC Bank Kenya PLC (“**NIC Bank**”) and CBA, a summary of which is set out in the Shareholder Circular (“**Merger Agreement**”), be and is hereby approved and ratified and the Company be authorized to perform its obligations thereunder;
- b) **THAT** the letters of offer from the Company to the shareholders of CBA (the “**CBA shareholders**”) to acquire all their shares in CBA (“**Letters of Offer**”), a summary of which is set out in the Shareholder Circular, be and is hereby approved and ratified in accordance with their terms, such that the acquisition by the Company (through NIC Bank) of all the shares in CBA, and the subsequent acquisition from CBA shareholders of all NIC Bank shares issued and allotted to such CBA shareholders, in consideration for the issue and allotment to CBA shareholders of new shares in the capital of the Company which will upon such issue constitute 53% of the issued share capital of the Company (the “**Share Exchange**”), be and is hereby approved;
- c) THAT following the completion of the Share Exchange, the transfer by NIC Bank to CBA (which will at such time be a wholly owned subsidiary of NIC Bank) of the whole of the banking business and all associated assets and liabilities thereof carried on by NIC Bank prior to the date of the transfer pursuant to the terms of a business and asset transfer agreement entered into or to be entered into between CBA and NIC Bank (which terms are summarized in the Shareholder Circular) (the “**BATA**”) be and is hereby approved, subject to, and in accordance with, the provisions of section 9 of the Banking Act;

NOTICE OF THE ANNUAL GENERAL MEETING (CONTINUED)

- d) **THAT** the Company, as the sole shareholder of NIC Bank be and is hereby authorized to pass resolutions authorizing NIC Bank and (where applicable) the directors of NIC Bank to
- i) increase its capital by allotting and issuing new shares in NIC Bank ("**New NIC Bank Shares**") to the shareholders of CBA in consideration for their shares in CBA pursuant to sections 329 of the Companies Act and the Articles of Association of NIC Bank;
 - ii) acquire the issued shares in CBA from the CBA shareholders;
 - iii) approve and register the transfer by the CBA shareholders to the Company of the New NIC Bank Shares in exchange for the issue and allotment of shares in the Company to the CBA shareholders;
 - iv) approve the transfer by NIC Bank to CBA (which will at such time be a wholly owned subsidiary of NIC Bank) of the whole of the banking business and all associated assets and liabilities thereof carried on by NIC Bank prior to the date of the transfer pursuant to the terms of the BATA and in accordance with section 9 of the Banking Act; and
 - v) approve the Merger and undertake such further acts as may be required to implement the Merger;
- e) **THAT** in addition to the Merger Agreement and Letters of Offer, it is anticipated that numerous other ancillary or administrative agreements and documents will be required to be prepared and executed in order to implement the Merger, including the BATA, share acquisition agreements, business and asset transfer agreements, amalgamation agreements, ancillary documents and applications for various regulatory approvals and exemptions ("**Transaction Documents**") and that the Directors be authorized to prepare, amend, execute, deliver and implement:
- i) each of the Transaction Documents as appropriate; and
 - ii) any further documents and undertake such further acts on behalf of the Company which are necessary or desirable to give effect to the Merger Agreement, Letters of Offer or any of the Transaction Documents or to implement the Merger;
- f) **THAT** in accordance with section 9 of the Banking Act, the Merger, a summary of which is set out in the Shareholder Circular, be and is hereby approved in accordance with the terms of the Merger Agreement, Letters of Offer, BATA and other Transaction Documents;
- g) **THAT** the Directors be authorized to:
- iv) create an Employee Share Ownership Plan ("**ESOP**") for eligible employees of the group following completion of the Merger (subject to the approval of the Capital Markets Authority and applicable law);
 - ii) appoint trustees to administer the ESOP and agree the terms of the trust deed in respect of the ESOP with the trustees; and
 - iii) prepare, amend, execute and implement any further documents and undertake such further acts on behalf of the Company which are necessary or desirable to give effect to the ESOP.
- h) **THAT** in accordance with section 329 of the Companies Act, Regulation 2 of the Fourth Schedule to the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations, 2002 and the Company's Articles of Association and noting that the provisions of section 338 of the Companies Act are not applicable on the allotment of new shares in the Company pursuant to section 342 of the Companies Act as the new shares are to be wholly paid up otherwise than in cash, the Directors be and are hereby unconditionally authorized to:
- i) allot and issue up to a maximum of 793,804,865 new ordinary shares of Kenya Shillings five (Shs. 5) each in the Company ("**Ordinary Shares**"), to the CBA shareholders on completion of the Share Exchange in accordance with the terms of the Merger Agreement and the Letters of Offer such that the CBA shareholders shall own 53% of the issued share capital of the Company, such new shares to be credited as fully paid and to rank *pari passu* in all respects with the existing Ordinary Shares; and
 - ii) take any ancillary actions as may be required in connection with the allotment and issue of such Ordinary Shares, including:
 - a. increasing the nominal share capital of the Company from Kenya Shillings four billion (Shs. 4,000,000,000) comprising of eight hundred million (800,000,000) Ordinary Shares, as required at the relevant time;
 - b. entering the new Ordinary Shares issued into the register of members of the Company against the name of each relevant shareholder; and
 - c. ensuring any new Ordinary Shares are admitted to trading and listing at the Nairobi Securities Exchange,

NOTICE OF THE ANNUAL GENERAL MEETING (CONTINUED)

provided that the Ordinary Shares so allotted shall not participate in the dividend declared by the Company for the year ended 31st December, 2018. The authority given under this resolution (h) shall expire, unless renewed, varied or revoked by the Company, on the earlier of the completion of the Merger and the close of business on the fifth anniversary of the date hereof but, in each case, so that the Company may make offers and enter into agreements prior to the expiration of the authority which would, or might, require shares to be allotted or rights to subscribe for shares to be granted after the authority ends and the Directors may allot shares or grant rights to subscribe for shares under any such offer or agreement as if the authority had not ended;

As a Special Resolution

- i) THAT in accordance with sections 62(a) and 64 of the Companies Act, a new clause 7.56.16 be inserted into the Company's Articles of Association as follows:

"7.56.16. To change the name of the Company, from time to time, by a Directors resolution, and for the avoidance of doubt, no approval from the shareholders of the Company shall be required in respect of any such change of name."

As an Ordinary resolution

8. To authorize the Directors to, at any time, purchase, acquire or dispose of any property, including shares in any company, as they shall deem fit, subject to a maximum limit of 10% of the Company's total assets.

As an Ordinary resolution

9. To authorize the Directors and the Company Secretary of the Company to prepare and execute such documents and effect such filings as are required to give effect to the above resolutions.
10. To transact any other business of the meeting of which due notice has been received.

BY ORDER OF THE BOARD

Livingstone Murage

Group Company Secretary

Nairobi

21st March, 2019

- i. A Member entitled to attend and vote at the meeting and who is unable to attend is entitled to appoint a proxy to attend and vote on his, her or its behalf. A proxy need not be a Member of the Company. To be valid, a proxy form must be duly completed by the Member and lodged with the Group Company Secretary at the Company's registered office situated at NIC House, Masaba Road, Nairobi, Kenya, before 10.30 am on 15th April, 2019, failing which it will be invalid. In the case of a Member which is a corporate body then the proxy must be given under its common seal.
- ii. A copy of this notice, proxy form and a full copy of the Company's consolidated group financial statements including explanatory notes are available from our website www.nicgroup.com or a printed copy may be obtained from the Company's share registrars, Custody & Registrar Services Limited upon request. A printed copy will also be available at the venue on the day of the Annual General Meeting.

PROXY FORM

**The Group Company Secretary,
NIC Group PLC
NIC House
Masaba Road,
P. O. Box 44599 - 00100
GPO Nairobi**

I/We _____

of _____

being a member / members of NIC Group PLC and entitled to _____

votes hereby appoint _____

of _____

or failing him _____

of _____

as my / our Proxy to vote for me / us on my / our behalf at the Annual General meeting of the company to be held on
17th April 2019 and at any adjournment thereof.

As witness my / our hand this _____ day of _____ 2019

Signature (s) of _____

Complete the form provided and attach a copy of your National ID and a copy of the National ID of the proxy appointed.

Return the form (plus copies of the National ID's) to the Company's Registrar, Custody & Registrars, 6th Floor, Bruce House, Standard Street, P.O. Box 8484-00100, Nairobi or alternatively to the Registered Office of the Company so as to arrive not later than **10:30 a.m. on Monday 15th April 2019.**

Duly signed proxy forms and ID copies may also be emailed to proxy@candrgroup.co.ke in PDF format

Note: In case of a Corporation, the Proxy must be made under its Common Seal.

FOMU YA UWAKILISHI

**Katibu wa Kampuni,
NIC Group PLC
NIC House
Masaba Road,
P. O. Box 44599 - 00100
GPO Nairobi**

Mimi / Sisi _____

wa anuani hii _____

nikiwa mwanachama / tukiwa wanachama wa NIC Group PLC na

nikiwa /tukiwa na haki ya kura _____

namchagua / tunamchagua _____

wa sanduku la posta _____

na akiwa hatapata nafasi nimechagua / tumechagua _____

wa sanduku la posta _____

akiwa mwakilishi wangu / wetu kunipigia / kutupigia kura kwa niaba yangu / yetu katika Mkutano wa Mwaka wa Kampuni utakaofanyika tarehe **17 Aprili 2019** au tarehe yoyote iwapo mkutano utahairishwa. Nashuhudia kwa mkono / mikono yangu / yetu siku hii ya

Tarehe _____ mwezi wa _____ 2019

Sahihi _____

Jaza fomu uliyopewa na umbatanishe na nakala ya kitambulisho chako cha kitaifa na nakala ya kitambulisho cha kitaifa cha mwakilishi uliyemteua.

Rudisha fomu (pamoja nakala za vitambulisho vya kitaifa) ukitumia anwani hii; Company's Registrar, Custody & Registrars, 6th Floor, Bruce House, Standard Street, P.O. Box 8484-00100, Nairobi, au kwa ofisi za kampuni zilizosajilisha ili zifike muda usiozidi saa **10:30** asubuhi, **Jumatatu Aprili 15, 2019**.

Fomu za uwakilishi zilizojawa kulingana na maagizo pamoja na nakala za vitambulisho pia zinaweza kutumwa kupitia barua pepe kwa anwani hii; proxy@candrgroup.co.ke. kwa muundo wa PDF.

Elewa: Mwakala akiwa anawakilisha kampuni yoyote au shirika nilazima atumie muhuri rasmi wa kampuni hiyo (common seal).





NIC House
Masaba Rd. Upperhill. P.O.Box 44599-00100, Nairobi Kenya
Tel: +254 (20) 2888217, Fax: +254 (20) 2888505 Mobile: +254 (711)041 111/ +254 (732)041 11 1
Email: customercare@nicgroup.com

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